

CORPORATE INFORMATION

Membership of the Board of Directors during the year ended 31 December 2023

1	Sylva Ogwemoh (SAN)	Chairman	Member
2	Joyce Ojemudia	Managing Director	Member
3	Olabisi Adekola	Executive Director	Member
4	Dr Abatcha Bulama	Non-Executive Director	Member
5	Dr Adiele Ekechukwu	Non-Executive Director	Member
6	Mr Macaulay Atasi	Non-Executive Director	Member
7	Dr Alex Nwuba	Non-Executive Director	Member

COMPANY SECRETARY

Tope Adebayo LLP

FRC/2013/NBA/0000000001586

RE-INSURERS

African Reinsurance Corporation
WAICA Reinsurance Corporation Plc
Nigeria Reinsurance Corporation
Continental Reinsurance Plc

REGISTERED OFFICE

112 Broad Street,
Lagos.
RC NO: 2176
info@africanallianceplc.com

HEAD OFFICE

54 Awolowo Road, Ikoyi Lagos

ACTUARIES

BECODA CONSULTING
FRC/2015/PRO/NAS/004/00000012946
7, Ibiyinka Olorunnimbe Close,
Victoria Island,
Lagos, Nigeria

REGISTRARS

Carnation Registrars Limited
2a, Gbagada Expressway, Anthony Village, Lagos.

ESTATE SURVEYOR AND VALUER

A.C Otegbulu & Co
FRC/2013/NIESV/00000001582

BANKERS

Access Bank Limited
Ecobank Nigeria Limited
Fidelity Bank Plc
First Bank of Nigeria Limited
First City Monument Bank Limited
Guaranty Trust Bank Limited
Keystone Bank Limited
Sterling Bank Plc
Union Bank of Nigeria Plc

AUDITORS

Ukwuegbu, Ogbeleje & Co.
(Chartered Accountants)
23, Rasaki Shittu Street,
Fagbile Estate, Isheri-Oshun,
P.O.Box 53830, Ikoyi,
Lagos.

REGULATORY AUTHORITY

National Insurance Commission (NAICOM)

VISION

“To be the most preferred life insurance specialist”

MISSION

‘We improve the quality of life of our clients and add value to our shareholders’

CORE VALUES

Accountability

We are responsible

Accessibility

We are within your reach

Integrity

We keep our words

Professionalism

We provide quality service

Loyalty

We are committed to our stakeholders

Creativity

We are innovative

31 DECEMBER 2023

CERTIFICATION BY COMPANY SECRETARY

In my capacity as Company Secretary, I hereby certify, in terms of the Companies and Allied Matters Act, that for the year ended 31 December 2023, the company has lodged all such returns as are required of a company in terms of this Act, and that all such returns are, to the best of my knowledge and belief, true, correct and up to date.

COMPANY SECRETARY



Tope Adebayo LLP

FRC/2013/NBA/000000000001586

Lagos, Nigeria.

April 29, 2025

Statement of Directors' Responsibilities in Relation to the Consolidated and Separate Financial Statements

The Companies and Allied Matters Act, 2020 requires the directors to prepare financial statements for each financial year that presents fairly in all material respects, the state of financial affairs of the Company at the end of the year and of its profit or loss. This responsibility includes ensuring that the company:

- a) Keeps proper accounting records that disclose, with reasonable accuracy, the financial position of the Company and comply with the requirements of the Companies and Allied Matters Act 2020
- b) Establishes adequate internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; and
- c) Prepares its financial statements using suitable accounting policies supported by reasonable and prudent judgements and estimates that are consistently applied.

The Directors of African Alliance Insurance Plc accept responsibility for the preparation of the consolidated and separate financial statements that give a true and fair view of the financial position of the Company and Group as at 31 December 2023, and the results of its operations, cash flows and changes in equity for the year then ended, in compliance with International Financial Reporting Standards ("IFRS") and in the manner required by the Companies and Allied Matters Act 2020, the Insurance Act, CAP 117 LFN 2003, relevant guidelines and circulars issued by the National Insurance Commission (NAICOM) and Financial Reporting Council Act 2011.

The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the Group and of the financial performance and cash flows for the year. The directors further accept responsibility for the maintenance of accounting records that may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Going Concern:

As of 31 December 2023, the company had a negative insurance solvency margin of N4.43 billion (2022: (N4.04 billion)) and the total admissible assets less net insurance and investment contract liabilities amounted to N30.62 billion (2022: (N29.8 billion)). The solvency margin is below the N2.00 billion required of life insurance by the NAICOM.

The Directors have set forth specific measures and actions to address this position and bring back the Company and Group to profit making and improved solvency position.

By order of the Board



Jacob Erhabor
Managing Director
FRC/2025/CIIN/002/580404



Oremeyi Onefuwa Longe
Executive Director – Finance
FRC/2025/PRO/ICAN/001/108374

RISK MANAGEMENT DECLARATION

The Board Governance, Establishment, and Enterprise Risk Committee of African Alliance Insurance Plc hereby declare as follows:

- a) The group and company have systems in place for the purpose of ensuring compliance with NAICOM guidelines.
- b) The Board is satisfied with the efficacy of the processes and systems surrounding the production of financial information of the group and company.
- c) The group and company have in place a Risk Management Strategy, developed in accordance with the requirements of NAICOM's guideline on Enterprise Risk Management (ERM), setting out its approach to risk management; and
- d) The systems that are in place for managing and monitoring risks, and the risk management framework, are appropriate to the Group and company, having regard to such factors as the size, business mix and complexity of the Group and company's operations.



Jacob Erhabor
Managing Director
FRC/2025/CIIN/002/580404



Oremeyi Onefuwa Longe
Executive Director – Finance
FRC/2025/PRO/ICAN/001/108374

ENTERPRISE RISK MANAGEMENT

Enterprise risk management philosophy

Our business provides financial guarantee to our clients and this is also linked to their longevity. Hence, the management of our business strongly focuses on mortality studies and investment performance

A key business objective is meeting client genuine claims as and when they occur, achieving this objective involves us in many activities including:

- correctly pricing the insurance risks,
- ensuring our business contracts are adequately written, optimally investing both Insurance and Shareholder Funds,
- timely reporting our financial activities internally and externally, deploying adequate operating and having adequate processes/people/systems

The Board is committed to ensuring ERM is embraced by all the staff of the group and also ensure that our processes reflect our strategic objectives.

Our Risk Culture

The Group is building a risk culture whereby there is an adequate level of risk awareness across all business units and amongst all employees.

Risks faced by the group are communicated across the group. The Risk Management Committee (RMC) ensures that the business units develop a risk culture where all Heads of Departments/Units are aware of the Group's strategy objectives and risk Appetite and limits. The business process adheres to the stipulated risk limits and if they are likely to be exceeded, the information is escalated to the Risk Officer/RMC

Risk management framework

We have robust and effective risk management framework which seeks to protect our group's capital base and earnings without hindering our business growth.

We operate and maintain three lines of defense for the management and oversight of risk to ensure adherence to guiding principles and control. The lines of defense are

First Line – Board and Management

The Board of Directors set the tone for Risk Management through approving the Strategic objectives of the Group and the Group's risk appetite and tolerance limits. The Risk Management Committee has the oversight role of ensuring that the business units adhere to the Boards directives and ensure the business units develop a risk culture where all leaders are aware of the group's strategy.

Risk Management Committee through the chairman reports on risk matters to the board. The Chief Risk Officer collates quarterly enterprise reports to the Risk Management Committee.

Second Line – Risk Management Unit

The group's risk management department is responsible for designing risk framework methodologies and tools which supports the business in analysing and managing risks and providing early warning of adverse trends. The department reports to the Board, management and staff on risk identification, control and mitigation.

Third Line – Internal Audit

This line of defense provides independent and objective assurance on the effectiveness of internal controls established by the Board, management and Risk Unit in the Group.

Risk Appetite

The Group has low appetite for taking risk. The Group intends at all times ensure that it is solvent and ensure that all obligations are met as at when due.

The Group intent: to always be in compliance with applicable laws and regulations and be within its set tolerance limit.

Risk management policies and procedures

The Group has a risk management policy and procedural manual which sets out the Group's risk governance framework. The document is implemented by the Risk Management Committee, and the committee reports on risk matters to the Board. The Chief Risk Officer collates quarterly enterprise - wide reports to the Risk Management Committee.

Risk Classification

Operational Risk

This is the risk of loss from inadequate or failed internal processes, people and systems or from external events which arises from the potential that inadequate information systems, operational problems, breaches in internal controls, fraud, or unforeseen catastrophes will result in unexpected losses. The Group has policies that cover risk that may arise from people, systems and internal process failures. The policies include staff recruitment, training, retention plans, succession plans, remuneration and welfare benefits, designing standard operating procedure and policies, driving compliance culture, process automation, Information Technology support systems, data integrity, IT systems access, etc.

Liquidity Risk

Liquidity risk exist when there is insufficient cash flow to meet the Group's operational and financial obligations and is usually associated with inability to liquidate assets or obtain funding from external sources to pay claims and other liabilities when due. The Group manages its liquidity risk through appropriate assets and liability management strategy through the Investment Management Committee. Monthly reports and review of liquidity gaps are conducted to assess the level of liquidity risk.

Reinsurance Risk

This is the risk of inadequate reinsurance cover to mitigate underwriting risk. It usually occurs when there is insolvency of a reinsurer, discovery of exposures without current reinsurance coverage, or exhaustion of reinsurance covers through multiple losses. The Group has documented reinsurance policies for adequate reinsurance arrangements and treaties for all categories of insurance business transacted. The policies include the process for Reinsurer selection, monitoring, claims recovery, etc.

Underwriting Risk

Underwriting is the process by which an insurer determines the conditions necessary and suitable to accept insurance risk. The risk crystallizes when there is, severe and frequent claims against the Group's projected capacity. The Group has embedded internal control processes to guide its

insurance business and guide against the risk of unexpected losses and capital erosion. There is well documented underwriting policies and procedure and are enforced throughout the organization.

Business Risk

The Group's business risk is associated with gaining market shares and remains profitable. This risk is considered through documented process for product development and launch, business segment profitability analysis, stakeholder's engagement as well as being embedded in our brand promise.

Reputational Risk

This is the risk of events that could cause public distrust and damages to the Group's integrity, reputation and goodwill especially in the eyes of the customers, regulators, competitors, and the general public. We manage reputational risk through a structured approach for defining and implementing core values and acceptable standard of behaviour which the staff are expected to follow while conducting the day to day business of the Group. The Group risk assessment and monitoring process has embedded controls for testing reputational risk and the outcome of such exercise is communicated to the Board Risk Committee on a quarterly basis.

Legal/Compliance Risk Management

The Group has procedures to ensure that all statutory regulations are completely adhered to by the business unit at all time. These regulations include those set by NAICOM and other relevant agencies of government. There are internal control processes that identify potential breaches to the regulations and are promptly mitigated. Some of the control processes include:

- a) Know-your-customer (KYC) procedure
- b) Anti-money laundering/combating the financing
- c) Anti-bribery and corruption measures
- d) Guidelines for adherence to corporate governance
- e) Gift policies
- f) Whistle blowing policies

Risk Report and Risk Map

Issues arising from risk assessment process are collated and presented in a report called the Risk Report which forms the basis of constructing the risk map. The risk map draws senior management's attention to the critical risk factors as well as the adequacy of existing controls to mitigate the risk. The risk map provides a snap short summary of the significant risk and the ratings and probability of occurrence within a specific period. This forms the basis for estimating the potential operational loss.

Risk Control Self-Assessment (RCSA)

The Group has a mechanism for risk assessment on periodic basis and this is known as Risk control self-assessment (RCSA) principle. It involves the tests and procedures or assessments that need to be performed periodically to assure that key controls are in place and are working effectively as designed. The control requirements are proactively assessed through Process risk analysis and review of policy requirements, loss events, and audit findings. The Group then set controls required to comply with policy requirements and test these processes for adequacy and risk mitigation capability. Risk Champions are engaged in each business or risk unit and facilitates the process of risk control self-assessment in the Group.

Key Risk Indicators

The key risk indicator (KRI) provides trend analysis of risk exposures or deviation from standard processes. This helps the Risk Officers and Risk owners to promptly identify increasing threat to business activities and escalate to the appropriate senior levels for control and to probably review the risk appetite. The trend analysis is one of the sources of data for the risk report and risk map documented by the Group.

Loss Events Reporting

The Group has a Loss Event Register that captures all actual loss sustained during operational processes.

Health, Safety and Environment Management

The Health and Safety Management has been instituted to provide and maintain safe healthy working conditions, work equipment and systems for all staff. This responsibility also extends to visitors, contractors and others who may potentially be affected by our activities. The Health and Safety Policy framework underpins the policy statements, roles and responsibilities of HSE officer with “Safety First” culture and zero tolerance for near misses approach.

Business Continuity Plan (BCP)

The business continuity plan (BCP) has been designed to promote resilience against operational threats especially with regards to continuity of critical operations, in the event of a disaster or disruption to critical operations. The BCP framework also addresses adherence to contingency planning procedures, in the event of emergencies. We aim to continually improve on inherent gaps identified during each simulation exercise. The Company is ISO 22301:2019 compliant and certified by MSECB.

Data Privacy Protection Policy

The data privacy protection policy is basically to enable us remain committed to ensuring that the privacy and personal information of our clients and employees (data subjects) are protected. African Alliance Insurance is also responsible for complying with extant Nigerian and applicable international laws and regulations on data protection. We have been enlisted as a data compliant organisation by the National Information Technology Development Agency (NITDA).

CERTIFICATION PURSUANT TO SECTION 60(2) OF INVESTMENT AND SECURITIES ACT NO. 27 OF 2007

We the undersigned hereby certify the following with regards to our audited report for the year ended 31 December 2023 that:

- a. We have reviewed the report:
- b. To the best of our knowledge, the report does not contain:
 - i. Any untrue statement of a material fact, or
 - ii. Omit to state a material fact, which would make the statements, misleading in the light of circumstances under which such statements were made;
- c. To the best of our knowledge, the financial statements and other financial information included in the report fairly present in all material respects the financial condition and results of operation of the group and company as of, and for the periods presented in the report.
- d. We.
 - (i) Are responsible for establishing and maintaining internal controls.
 - (ii) Have designed such internal controls to ensure that material information relating to the company and its consolidated subsidiary is made known to such officers by others within those entries particularly during the period in which the periodic reports are being prepared.
 - (iii) Have evaluated the effectiveness of the group's internal controls as of date within 90 days prior to the report.
 - (iv) Have, present in the report our conclusions about the effectiveness of our internal controls based on our evaluation as of that date.
- e. We have disclosed to the auditors of the group and audit committee:
 - (i) All significant deficiency in the design or operations of internal controls which would adversely affect the group and company's ability to record, process, summarise and report financial data and have identified for the group's auditors any material weakness in internal controls, and
 - (ii) Any fraud, whether or not material, that involves management or other employees who have significant role in the group's internal controls.
- f. We have identified in the report whether there were significant changes in internal controls or other factors that could significantly affect internal controls subsequent to the date of our evaluation, including any corrective actions with regard to significant deficiencies and material weaknesses.

On behalf of the Directors of the Group and Company


Jacob Erhabor
Managing Director
FRC/2025/CIIN/002/580404


Oremeyi Onefuwa Longe
Executive Director – Finance
FRC/2025/PRO/ICAN/001/108374

DIRECTORS' REPORT

The directors submit their report together with the audited consolidated and separate financial statements for the year ended 31 December 2023, which disclose the state of affairs of the Group.

(a) Incorporation and address

The company was incorporated as a private limited liability company in 1960 under the extant Companies and Allied Matters Act with RC No 2176. The Company became a public liability company following the successful completion of the private placement exercise undertaken by the company in June 2008, On 17 September 2009, the Company became listed on the Nigerian Stock exchange. African Alliance Insurance Plc owns 100% equity of Axiom Air Limited, a cargo airline Company and 98% in Ghana Life Insurance Company Limited, a Life Company in Ghana.

(b) Principal activities

The principal activity of the Group is the provision of life assurance and pension business to corporate and retail customers in Nigeria and Ghana.

(c) Operating Results

The Group's results for the 12-months period are set out on pages 63. The loss after tax was N3.30billion for the Group and of N3.30billion for the Company in 2023 and a profit after tax of N4.69 billion and N4.69 billion for the group and company in 2022 respectively have been transferred to retained earnings.

	Group		Company	
	31-Dec-23	31-Dec-22	31-Dec-23	31-Dec-22
	N'000	N'000	N'000	N'000
Insurance Revenue	7,089,169	8,118,388	7,089,169	8,118,388
Insurance Service Result	(9,034,989)	(3,182,815)	(9,034,989)	(3,182,815)
Profit before tax	(3,297,350)	(4,685,150)	(3,297,350)	(4,685,150)
Taxation	(3,678)	(5,304)	(3,678)	(5,304)
Profit after tax	(3,301,028)	(4,690,455)	(3,301,028)	(4,690,455)

(d) Dividends

No dividend was proposed for year ended 31 December 2023.

(e) Directors

The directors who held office during the year and to the date of this report were:

Sylva Ogwemoh (SAN)	- Chairman
Alh.Abatcha Bulama	- Non Executive
Dr. Adiele Ekechukwu	- Non Executive
Sir.Macauley Atasie	- Non Executive
Dr. Alex Nwuba	- Non Executive
Mrs. Joyce Ojemudia	- MD/CEO
Mrs. OlabisiAdekola	-Executive Director

Appointment of Directors

Mr. Sylva Ogwemoh (SAN) was re-elected as a Non-Executive Director of the company and Dr. Alex Nwuba was appointed in 2023.

(f) Induction and Training

The Group has in place an induction and formal orientation program for newly appointed Directors. During inductions, new Directors are provided with materials and are required to attend series of introductory meetings and retreats to become knowledgeable about the Company's businesses and products and also become familiar with the senior management team.

The Enterprise Risk and Governance Committee of the Board in collaboration with the Company Secretary is saddled with the responsibility of ensuring that Directors participate in continuing education programs so as to keep them abreast with the Group's business objectives, operations, strategic plans, business environment as well as industry regulations and other external factors such as corporate governance requirements and best practices. As part of the programme, Directors are encouraged to periodically attend appropriate trainings or seminars which would be beneficial to the Directors in performing their service to the Board.

(g) Performance Evaluation Process

The Enterprise Risk and Governance Committee ensures that a formal evaluation process is in place to assess the composition and performance of the Board, Committees, and individual Directors annually. The assessment is conducted by an independent Consultant so as to guarantee objectivity and fairness. The essence of the evaluation process is to ensure that the Board, its committees and individual Directors are effective and productive and to also identify opportunities for improvement and skill set gaps (if any)

(h) Board Composition and Procedure for Board Appointments.

The Board is composed of individuals with enviable records of achievement in their respective fields. Directors are selected on the basis of certain core competencies and experience spanning across diverse industries and sectors including the Insurance industry, Finance, Media and Public relations, Politics and International relations, Banking, Retail and Consumer Products. In addition to having one or more of these core competencies, candidates for appointment as Directors are identified and considered on the basis of knowledge, experience, integrity, diversity, leadership, reputation and ability to understand the Company's business.

Also, there is a clear separation of responsibilities of the Chairman, CEO, Board and Management thus ensuring non-interference of the Board in management functions. The Non-Executive Directors are independent of Management and are free from any constraint that may materially affect their judgment as Directors of the Company.

(i) Code of Business ethics for Directors and Employees

In compliance with the Rulebook of the Nigerian Stock Exchange, the Company has in place a code of ethics and business conduct policy which serves as a guide for all Directors and Employees for acceptable and appropriate behavior in the Company. All Directors and Employees are encouraged to observe the highest standards of ethics and integrity in their conduct. This Policy can be found on the Company's website www.africanallianceplc.com

The Board ensures that there is an effective internal control and risk management system in place. The Shareholders' Audit Committee is saddled with the supervisory role of receiving

and reviewing reports from Internal Audit, while the Enterprise Risk Committee oversees the assessment of the Company's risk and control processes and ensures that recommendations from the Committees are adequately implemented.

(j) Directors' shareholding

The direct and indirect interests of the Directors in the issued share capital of the Company as recorded in the Register of Directors' shareholding and/or as notified by the Directors for the purpose of Section 301 of the Companies and Allied Matters Act 2020 and the listing requirements of the Nigerian Stock Exchange as at 31 December, 2023 are as follows:

Names	Direct Shareholding	Indirect Shareholding
Olabisi Adekola	500,000	Nil

(k) Directors' interests in contracts

None of the directors has notified the Group for the purpose of section 303 (1) of the Companies and Allied Matters Act 2020, of their direct or indirect interest in contracts or proposed contracts with the Group during the year.

(i) Shareholding

The shares of the company were fully owned by Nigerian Citizens and associations. The range of shareholding as at 31 December 2023 is as follows:

Range of Shares	Number of Shareholders	% Shareholders	Units of Shares Held	% holdings
1 – 1,000,000	1,189	79	257,705,297	1
1,000,001 – 10,000,000	247	17	1,002,267,721	5
10,000,001 – 50,000,000	34	2	848,472,896	4
50,000,001 – 100,000,000	8	1	590,928,865	3
100,000,001 – 500,000,000	15	1	3,308,925,221	16
500,000,001 – 1,000,000,000	2	0	1,508,000,000	7
1,000,000,001 and above	2	0	13,068,700,000	64
Total	1,497	100	20,585,000,000	100

Major Shareholding

The following shareholders held more than 5% of shares of the company according to the Register of members as at 31 December 2023:

	2023		2022	
	Number of Share	Percentage held %	Number of shares	Percentage held %
Conau Limited	11,868,700,000	58	11,868,700,000	58
Universal Insurance Plc	1,200,000,000	6	1,200,000,000	6
	13,068,700,000	64	13,068,700,000	64

(m) Donations and gifts

Contributions to charity and non-government organizations during the year amounts to N225,000 (2022: N520,000)

(n) **Events after year end**

No material facts or circumstances arose between the dates of the statement of financial position and this report that will affect the financial position of African Alliance Insurance Plc as at 31 December 2023.

(o) **Human Resources**

Employment of Disabled Persons

The Group continues to maintain a policy of giving fair consideration to the application for employment made by disabled persons with due regard to their abilities and aptitudes. The Group's policy prohibits discrimination against disabled persons in the recruitment, training and career development of its employees. In the event of members of staff becoming disabled, efforts will be made to ensure that their employment with the Group continues, and appropriate training arranged to ensure that they fit into the Group's working environment. As at 31 December 2023 the Group had no disabled persons in its employment.

Health, Safety and Welfare at Work

The Group enforces strict health and safety rules and practices at the work environment, which are reviewed and tested regularly. The Group retains top-class private hospitals where medical facilities are provided for staff and their immediate families at the Group's expense. Fire prevention and fire-fighting equipment are installed in strategic locations within the Group's premises. The Group operates a Workmen's Compensation Insurance covers for the benefit of its employees. It also operates a contributory pension plan in line with the Pension Reform Act, 2014.

Employee Involvement and Training

The Group ensures, through various fora, that employees are informed on matters concerning them. Formal and informal channels are also employed in communication with employees with an appropriate two-way feedback mechanism. In addition, employees of the Group are nominated to attend both locally and internationally organized courses. These are complemented by on-the job training. All officers of the Group attend meetings and retreats where members of staff critically discuss the Group's performance and recommend solutions to identified challenges.

Gender analysis

The number and percentage of women employed in the Group during the financial year vis-a-vis total workforce is as follows:

	Male number	Female number	Male %	Female %
Employees	56	58	49%	51%
Gender analysis of Board and Top Management is as follows:				
Board	5	2	71%	29%
Top Management	6	4	60%	40%
Detailed analysis of the Board and Top management is as follow:				
Senior Manager	6	2	75%	25%
General Manager	0	0	0%	0%
Executive Director	0	1	0%	100%
Chief Executive Officer	0	1	0%	100%
Non-Executive Director	5	0	100%	0%

(p) Contraventions

The group has made no provision for penalties for contravening any regulations during the year including late filing penalty. The particulars thereof are as disclosed in Note 52 to the consolidated and separate financial.

(q) Share Capital History

The following changes have taken place in the company share capital since inception.

Year	Authorized (N)		Issued & fully paid-up (N)		Consideration
	Increase (N)	Cumulative (N)	Increase (N)	Cumulative (N)	
1961	100,000	100,000	-	25,000	Cash
1996	20,000,000	25,000	-	5,000,000	
1999	-	25,000,000	15,000,000	20,000,000	Cash
2004	175,000,000	200,000,000	130,000,000	150,000,000	Cash
2007	300,000,000	500,000,000		150,000,000	Cash
2008	14,500,000,000	15,000,000,000	5,000,000,000	5,150,000,000	Cash
2008	-	15,000,000,000	2,850,000,000	8,000,000,000	Share exchange
2009	-	15,000,000,000	2,292,500,000	10,292,500,000	Right issue

(r) Dividend History

Dividend in the last ten years

Year	Profit (Loss) After Taxation	Dividend Proposed
2013	1,404,680	Nil
2014	630,161	Nil
2015	(4,757,340)	Nil
2016	3,537,386	Nil
2017	(3,712,591)	Nil
2018	(2,658,566)	Nil
2019	(7,285,544)	Nil
2020	1,967,718	Nil
2021	2,800,322	Nil
2022	(4,690,454)	Nil
2023	(3,301,028)	Nil

Unclaimed Dividend

The Company does not currently have any unclaimed dividend hence no list is provided.

(s) Securities Trading Policy

The Company also has in place a Securities Trading Policy in compliance with Rule 17.15 Disclosure of Dealings in issuers' shares, Rulebook of The Nigerian Stock Exchange, 2016. This policy can be found on the Company's website www.africanallianceplc.com

(t) Auditors

The Auditors, Messrs. Ukwuegbu, Ogbelaje & Co. (Chartered Accountants) after indicating their intention were appointed to continue as auditors for the Company in line with S.401(2) of CAMA 2020.

African Alliance Insurance Plc consolidated financial statements have been authorised for issue by the Board of Directors on April 29, 2025.

By Order of the Board



Tope Adebayo & Co

Company Secretary

FRC/2013/NBA/00000000001586

April 29, 2025

AUDIT COMMITTEE REPORT

In accordance with the provision of section 404(7) of the Companies and Allied Matters Act, 2020, we hereby confirm that we have seen the Audit Plan and Scope as well as the Management Letter on the audit of the books of account of the Group and Company and the related management response.

In our opinion, the plan and scope of the audit for the year ended 31 December 2023 were adequate.

We have reviewed the auditor's findings, and we are satisfied with the management response thereon.

We also confirm that the accounting and reporting policies of the company are in accordance with legal requirements and ethical practices.

Alh.KabirTundeSarumi
FRC/2013/IODN/00000003715
April 29, 2025

MEMBERS OF THE STATUTORY AUDIT AND COMPLIANCE COMMITTEE

Alh.KabirTunde Sarumi	-	Chairman
Dr. Raphael Naji Attu	-	Member
Ms. Juliet Ebere Gbaka	-	Member
Dr.Abatcha Bulama	-	Member
Mr. Macauley Atasie	-	Member

MANAGEMENT DISCUSSION AND ANALYSIS

The Management Discussion and Analysis (MD&A) presents management's view of the financial results of the group's operations and cash flows of African Alliance Insurance Plc and its subsidiaries for the year ended 31 December 2023.

The nature of the business

African Alliance Insurance Plc was incorporated as a Private Limited Liability Company on May 6th1960 and was the first indigenous insurance company to carry out the business of Life Assurance in Nigeria. In 2005, African Alliance Insurance Plc pioneered the sale of Takaful (Islamic Insurance) in Nigeria through a robust selection of Sharia compliant insurance and investment products, also in the same year, the company went into a joint venture with First Securities Discount House Limited (FSDH) to set up Pension Alliance Limited (PAL), a licensed Pension Fund Administrator.

Management objectives and strategies

The Group has established a solid reputation for excellent customer service and prompt claims settlement. Our marketing efforts are co-ordinated through a network of 18 Branches manned by experienced managers and highly motivated sales personnel for effective field coverage. Other recent and on-going capacity building efforts and performance enhancers embarked on by the Company's management include information technology infrastructure to link our offices nationwide for more excellent standard of service delivery through improved on-line, real-time customer claims and policy handling processes.

Result of operations:-(in thousands of Nigerian Naira)

	Group 2023	Group 2022	% Chg.	Company 2023	Company 2022	% Chg.
Insurance Revenue	7,089,169	8,118,388	(14)%	7,089,169	8,118,388	(14)%
Insurance Service Result	(9,034,989)	(3,182,815)	(65)%	(9,034,989)	(3,182,815)	(65)%
Net Investment income	3,825,525	2,216,910	42%	3,825,525	2,216,910	42%
Admin/Operating expense	(1,095,964)	(553,514)	(49)%	(1,095,964)	(553,514)	(49)%
Profit/(Loss) after tax	(3,301,028)	(4,690,454)	42%	(3,301,028)	(4,690,454)	42%

Critical performance measures and indicators

Insurance Revenue –The Insurance Revenue decreased by 14% during the current year under review over previous year 2022. This is attributable to the stiff operating environment as well as inability to consolidate the subsidiary, Ghana Life audited financial statements.

Insurance Service Result decreased by 65%.

Investment income –This increased by 42% as of 31 December 2023. This is attributable to improvement in performance in the market which affected investment income of the Group.

Operating Expenses –The operating expenses of the Group increased by 49% as at 31st December 2023 when compared with previous year 31 December 2022. This is attributable to the increased cost of operation of the Group.

Profit after tax –The Group made a loss after tax of N3.30billion as against N4.69billion loss in the previous year an increase of 42%.

CORPORATE GOVERNANCE REPORT FOR 2023 FINANCIAL YEAR

As leading life insurance company, African Alliance Insurance Plc has consistently improved on the vision championed by its founders over 60 years ago. This position has been achieved by adherence to sound corporate governance practices in its operations.

The Group's Corporate Governance practice is drawn from various applicable codes of corporate governance including the National Insurance Commission's (NAICOM) Corporate Governance Guidelines for Insurance and Reinsurance Companies 2021 (CGGIRC), Code of Corporate Governance for Public Companies in Nigeria 2011 issued by the Securities and Exchange Commission's (SEC), and the Nigerian Code of Corporate Governance 2018 issued by the Financial Reporting Council (FRC).

The Group has developed corporate policies and standards to encourage sound and transparent corporate governance framework to avoid potential conflicts of interest between all stakeholders whilst promoting ethical business practices. At all times, the Group's activities are conducted with high standards of professionalism, accountability and integrity.

Governance Structure

The overall responsibility for ensuring that the highest standard of corporate governance is implemented in the Group resides with the Board of Directors which is accountable to shareholders for creating and delivering sustainable value through management of the Group's business. The following structures have been put in place to ensure enforcement of the Group's corporate governance standard:

- 1 Board of Directors
- 2 Board Committees

The Board

The Board of Directors is responsible for providing entrepreneurial and strategic leadership as well as promoting ethical culture and responsible corporate citizenship. Serving as a link between Stakeholders and the Company, the Board exercises oversight control and supervisory powers in ensuring that Management acts in Shareholder's best interest while sustaining the Company's prosperity.

Board Composition

The Board comprises of the Chairman, Managing Director/Chief Executive Officer, Executive Director for Finance, 3 Non-Executive Directors and 1 Independent Non-Executive Director.

The Board is a mix of Executive and Non-Executive Directors based on integrity, professionalism, career success, recognition, and the ability to add value to the organization. In reviewing Board composition, the Board ensures a mix with representatives from different industry sectors. Members of the Board bring various and varied competencies to bear on all Board deliberations and as a result, the Board derives its effectiveness from the various skills and vast experiences of each Director.

The Board composition is as follows:

Mr. Sylva Ogwemoh (SAN]	- Chairman
Alh.Abatcha Bulama	- Non-Executive Director
Dr. Adiele Ekechukwu	- Independent Non-Executive Director
Sir. Macauley Atasie	- Non-Executive Director
Dr. Alex Nwuba	- Non-Executive Director
Mrs.Joyce Ojemudia	- Managing Director/ CEO
Mrs. Olabisi Adekola	- Executive Director

Board Meetings

The Board is responsible for the effective control and monitoring of the Group's strategies and meets regularly or as the need arises to review strategy implementation of the Company's plans by Management. Directors are provided with comprehensive information at each Board meeting and other meetings and are also briefed on business developments monthly. Likewise, the Board considers the Financial Statement of the Group for the period, reviews Management Accounts while considering the recommendations of the Board Committees and other reports pertaining to issues within the Board's responsibilities.

Responsibilities of the Board

The Board of Directors is the highest governing body in the Company. Its primary responsibility is to build long-term shareholders' value and ensure effective oversight of Management. The Board is also saddled with the following responsibilities:

- a. Exercising leadership, enterprise, integrity and judgment in its oversight and control of the Company so as to achieve the Company's continued survival and prosperity.
- b. Ensuring that the Board and its members work to achieve the company objectives.
- c. Ensuring compliance with the laws of the Federal Republic of Nigeria and other applicable regulations.
- d. Consider and approve the long term and short-term business strategies of the Company while monitoring their implementation by Management.
- e. Being accountable to the Company as well as identifying and managing the relationship with shareholders and other stakeholders.
- f. Establishing and maintaining the Company's values and standards (including an ethical culture) as well as modeling these values and standards.
- g. Overseeing the internal audit functions, approving the internal audit plan, and appointing and removing the head of internal audit function on the recommendation of the Committee responsible for audit.
- h. Establishing the Company's risk management framework and monitoring its effectiveness, setting the Company's risk appetite, receiving and reviewing risk reports.
- i. Providing oversight over Information Technology Governance.
- j. Ensuring that management systems are in place to identify and manage environmental and social risks and their impact.

Board Committees

The oversight functions of the Board of Directors are exercised through its committees which reports and makes necessary recommendations to the Board. All Committees report to the Board and as such, conform to their terms of reference. During the year under review, the Board had five (5) Committees to ensure proper management and direction of the Group via interactive dialogue on a regular basis.

The five standing Committees are:

1. Audit and Compliance Committee,
2. Board Investment and Finance Committee,
3. Board Enterprise Risk Management and Governance Committee
4. Board Remuneration Committee
5. Board Audit Committee

Audit and Compliance Committee

This Committee held four meetings during the year under review. Section 359(6) of the Companies and Allied Matters Act 2020 provides for the functions of this Committee. In addition, the 2011 Securities and Exchange Commission (SEC) Code of Corporate Governance also assigns responsibilities to the Committee. Aside the Statutory Audit Committee, the Company has a Board Audit Committee.

The Committee provides oversight responsibility for the audit, regulatory, compliance and risk functions of the Group. The Committee deliberates on the quarterly compliance reports and takes delivery of the audit reports and statements by the External Auditors. The Committee monitors the effectiveness of the Group's internal control system, and internal audit system. The Committee recommends the appointment of External Auditors and monitors its independence and quality while reviewing the External Auditors' fees.

Core Responsibilities of the Committee include.

1. Ascertaining whether the accounting and reporting policies of the Company are in accordance with legal requirement and agreed ethical practices while reviewing the scope and planning of audit requirements.
2. Reviewing the findings in the Management Letter in conjunction with the External Auditors and Management responses.
3. Keeping under review the effectiveness of the Company's system of accounting and internal control
4. Making recommendations to the Board regarding the appointment, removal and remuneration of the External Auditors of the Company.
5. Providing oversight over Management's processes to ascertain the integrity of the Company's financial statements, compliance with all applicable legal and other regulatory requirements; and assessing the qualification and independence of the External Auditors, and the performance of the Company's internal audit function.

As of December 31, 2023, the Audit and Compliance Committee is comprised of the following:

- | | | |
|----|--------------------------|------------|
| 1. | AlhajiTunde Kabir Sarumi | - Chairman |
| 2. | Dr. Attu Naji Raphael | - Member |
| 3. | Ms Juliet Ebere Gbaka | - Member |
| 4. | Alh. Abatcha Bulama | - Member |
| 5. | Sir. Macauley Atasie | - Member |

Board Finance, Investment and General-Purpose Committee

The Board Finance, Investment and General-Purpose Committee monitors and reviews the Group's investment policies, it ensures that the Group's investment policies reflect the objectives of safety and maintenance of fair returns on investments. The Committee equally establishes standards, rules and guidelines for the Group's investment management operations while reviewing the Group's Investment strategy with a view to sustaining medium to long term competitive edge. The value of the Group's market-to-market portfolios is also evaluated by this Committee. The Committee met four times during the year to review the Groups financial performance and deliberate on the management and performance of the investment portfolio.

Objectives of the Committee include:

1. Assist the Board to oversee the overall management of the Company and Group's finances.
2. Support the Board in overseeing the Company's investment strategy and portfolios to ensure consistency and compliance with set objectives.
3. The Committee reviews and recommends the Company's Annual Operating Budget to the Board for approval.
4. The Committee reviews the capital adequacy and requirements of the Company and make recommendations to the Board.
5. Ensure that the Company and Group's Investment Portfolio is structured to meet the minimum requirement for Investments as per Insurance Act 2003.
6. Review and make recommendations to the Board regarding investment strategy, policy and guidelines, its implementation and compliance with those policies and guidelines.
7. Ensure that the liability of insurance contracts is adequately matched against their maturity profiles.
8. Periodically review the performance of the major securities and financial instruments relative to the investment portfolio of the Company.
9. The Committee annually reviews the company and group's policies

As of December 31, 2023, the Board Finance, Investment and General-Purpose Committee is comprised of the following:

- | | |
|----------------------------|------------|
| 1. Mr. Sylva Ogwemoh (SAN) | - Chairman |
| 2. Alh. Abatcha Bulama | - Member |
| 3. Sir Macauley Atasie | - Member |
| 4. Dr. Adiele Ekechukwu | - Member |
| 5. Mrs. Joyce Ojemudia | - Member |
| 6. Mrs. Olabisi Adekola | - Member |
| 7. Dr Alex Nwuba | -Member |

Board Enterprise Risk Management, Compliance and Governance Committee

The Enterprise Risk Management, Compliance and Governance Committee assists the Board in the development and implementation of a comprehensive Enterprise Risk Management framework in line with NAICOM's risk management guidelines. The Enterprise Risk Management Board Committee supervises the Group's effectiveness in assessing risks appetite vis-a-vis the Company's set objectives. The Committee reviews and recommends for Board approval, the risk management policies and framework as well as assist the Board in its oversight of risk management strategy. It also reviews the adequacy and effectiveness of risk management and controls in the Company while exercising oversight over the process for the identification and assessment of risks across the Company and the adequacy of prevention, detection and reporting mechanisms. The Risk Committee is also saddled with the responsibility of reviewing the Company's compliance level with applicable laws and regulatory requirements which may impact the Company's risk profile.

Objectives of the Committee include:

The development and implementation of a comprehensive enterprise risk management framework in line with NAICOM's risk management guidelines, and where possible, international best practices on risk management.

Reviewing and monitoring of the enterprise risk management practices of the Group and providing improvement recommendations where necessary.

Overseeing the development and implementation of a Business Continuity Plan for the Company and group relative to existing and emerging risks.

Reviewing and monitoring the corporate governance practices and providing improvement recommendations where necessary.

Monitoring the implementation of the corporate strategy in the context of prevailing trends in the business landscape.

Supervising the strategic activities and initiatives of key operational functions of the Company and the group.

Core responsibilities of the Committee include:

Overseeing the development and periodic review of the enterprise risk management framework, policies and procedures.

Reviewing the adequacy of the risk control activities and provide additional control measures where necessary.

Ensuring that the enterprise risk management framework includes processes for the identification, assessment, control and mitigation of all categories of risks.

Escalating high impact risks to the Board as deemed necessary for further consideration with a view to promptly intervening in the mitigation of such risks.

Supporting the Board and Management in the process of defining short to medium term strategic aspirations and objectives for the Company and Reviewing the implementation status of key strategic initiatives as defined in the approved corporate strategy and make necessary recommendations.

As of December 31, 2023, the Board Enterprise Risk Management and Governance Committee comprised of the following:

- | | | |
|----|-------------------------|------------|
| 1. | Mr. Sylva Ogwemoh (SAN) | - Chairman |
| 2. | Alh. Abatcha Bulama | - Member |
| 3. | Sir Macaulay Atasie | - Member |
| 4. | Dr. Adiele Ekechukwu | - Member |
| 5. | Mrs. Joyce Ojemudia | - Member |
| 6. | Mrs. Olabisi Adekola | - Member |
| 7. | Dr Alex Nwuba | - Member |

Board Remuneration Committee

The Board Remuneration Committee was constituted late 2021 and is poised to hold its inaugural meeting in Q1 2022. In line with Paragraph 5.5 and 11.3.3 of NCCG, the Committee is composed of only Non-Executive Directors and is chaired by an Independent Non-Executive Director. The Committee oversees and advises the Board on remuneration policy, performance evaluation, adoption of incentive plans, and various governance responsibilities related to remuneration.

Core responsibilities of the Committee include:

1. Developing, reviewing and recommending changes in the Group's policies bordering on compensation and provision of benefits to employees
2. Reviewing and making recommendations to the Board concerning the nature and amount of compensation and benefits for Directors.
3. Proffering advice and counsel to Executive Management regarding Human Resources Remuneration policy brought to the attention of the Committee from time to time.
4. Providing detailed information on Directors' remuneration in the Group's annual report to ensure proper disclosure of Directors' remuneration to stakeholders.

As of 31 December 2023, the Board Remuneration Committee comprised of the following Non-Executive Directors:

- | | | |
|----|-------------------------|------------|
| 1. | Dr. Adiele Ekechukwu | - Chairman |
| 2. | Mr. Sylva Ogwemoh (SAN) | - Member |
| 3. | Mr. Macauley Atasie | - Member |
| 4. | Alh. Abatcha Bulama | - Member |

ATTENDANCE AT BOARD AND COMMITTEE MEETINGS

BOARD MEETINGS									
Members	Composition	No of meetings attended(4)	28 th Feb 2023	26 th June 2023	30 th Aug, 2023	21 st Nov, 2023			
Mr Sylva Ogwemoh	Chairman	4	X	X	X	X			
Mrs. Joyce Ojemudia	Member	4	X	X	x	X			
Mrs. Olabisi Adekola	Member	4	X	X	X	X			
Dr. Abatcha Bulama	Member	4	X	X	X	X			
Mr. Macauley Atasie	Member	4	X	X	X	X			
Dr. Adiele Ekechukwu	Member	4	X	X	X	X			
Mr Alex Nwuba	Member	4	X	X	X	x			
AUDIT AND COMPLIANCE COMMITTEE									
Members	Composition	No of Meeting Attended(4)	23 Feb 2023	26 th May. 2023	30 th Aug 2023	21 ^d Nov. 2023			
Alhaji Tunde Kabir Sarumi	Chairman	4	X	X	X	X			
Dr. Attu Naji Raphael	Member	4	X	X	X	X			
Ms Juliet Ebere Gbaka	Member	4	X	X	X	X			
Mr. Macauley Atasie	Member	4	X	X	X	X			
Dr. Abatcha Bulama	Member	4	X	X	X	X			
Mrs Joyce Ojemudia	Member	4	X	X	X	X			
Mrs Olabisi Adekola	Member	4	X	X	X	X			
BOARD FINANCE, INVESTMENT AND GENERAL PURPOSE COMMITTEE									
Members	Composition	No of Meeting Attended(4)	22 nd Feb. 2023	1 th Jun. 2023	28 th Aug. 2023	20 th Nov. 2023			
Mr Alex Nwuba	Chairman	4	X	X	X	X			
Mr. Sylva Ogwemoh	Member	0	O	O	O	O			
Mrs. Joyce Ojemudia	Member	4	X	X	X	X			
Mrs Olabisi Adekola	Member	4	X	X	X	X			
Dr. Abatcha Bulama	Member	4	X	X	X	X			
Dr. Adiele Ekechukwu	Member	4	X	X	X	X			
Mr. Macauley Atasie	Member	4	X	X	X	X			
BOARD ENTERPRISES RISK MANAGEMENT AND GOVERNANCE COMMITTEE									
Members	Composition	No of Meeting Attended(3)	27 st Feb, 2023	6 th June. 2023	29 th Aug 2023	20 th Nov. 2023			
Mr Alex Nwuba	Chairman	1	X	X	X	X			
Mr. Macauley Atasie	Member	4	O	X	X	X			
Sylva Ogwemoh (SAN)	Member	4	O	O	O	O			
Dr. Adiele Ekechukwu	Member	4	X	X	X	X			
Dr. Abatcha Bulama	Member	4	X	X	X	X			
Mrs Joyce Ojemudia	Member	4	X	X	X	X			
Mrs Olabisi Adekola	Member	4	X	X	X	X			
BOARD AUDIT COMMITTEE									
Members	Composition	No of Meeting Attended(2)		3 th March. 2023	17 th Aug 2023				
Dr. Adiele Ekechukwu	Chairman	2		X	X				
Sylva Ogwemoh (SAN)	Member	2		X	X				
Dr. Abatcha Bulama	Member	2		X	X				
Sir. Macauley Atasie	Member	2		X	X				
Mrs Joyce Ojemudia	Member	2		X	X				
Mrs Olabisi Adekola	Member	2		X	X				

Note: Connotation - X (Present), 0 (Absent), N/A (Not Applicable)

STATEMENT ON THE BOARD'S LEVEL COMPLIANCE WITH REQUISITE CODE OF CORPORATE GOVERNANCE

In furtherance of the Group's corporate governance objectives and in line with the CGGIRC and NCCGC, a rigorous Board and corporate governance evaluation is conducted every year by an independent consultant to assess the overall performance of the Board and application of corporate governance principles in the given year. Report on the independent Board and corporate governance evaluation conducted in 2021 confirmed the Group's substantial compliance with the various codes of corporate governance.

CERTIFICATE OF CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

In accordance with section 405 of the Companies and Allied Act of Nigeria 2020, the Chief Executive Officer and the Chief Financial Officer certify that the consolidated and separate financial statements have been reviewed and based on their knowledge, the

- (i) audited financial statements do not contain any untrue statement of material fact or omit to state a material fact, which would make the statements misleading, in the light of the circumstances under which such statement was made; and
- (ii) audited financial statements and all other financial information included in the statements fairly present, in all material respects, the financial condition and results of operation of the group and company as of and for, the periods covered by the audited financial statements.

We state that management and directors:

- (i) are responsible for establishing and maintaining internal controls and have designed such internal controls to ensure that material information relating to the Group and Company is made known to the officer by other officers of the group and company, particularly during the period in which the audited financial statement report is being prepared
- (ii) has evaluated the effectiveness of the Group's and Company's internal controls within 90 days prior to the date of its audited financial statements, and
- (iii) certifies that Group's and company's internal controls are effective as of that date

We have disclosed:

- (i) All significant deficiencies in the design or operation of internal controls which could adversely affect the groups and company's ability to record, process, summarize and report financial data, and has identified for the group's and company's auditors any material weaknesses in internal controls, and
- (ii) Whether or not, there is any fraud that involves management or other employees who have a significant role in the group's internal control; and
- (iii) As indicated in the report, whether there were significant changes in internal controls or in other factors that could significantly affect internal controls subsequent to the date of their evaluation, including any corrective actions with regard to significant deficiencies and material weaknesses.

The financial statements of the Group and company for the year ended 31 December 2023 were approved by the Board of Directors on 29 April, 2025

By order of the Board



Jacob Erhabor
Managing Director
FRC/2025/CIIN/002/580404



Oremeyi Onefuwa Longe
Executive Director – Finance
FRC/2025/PRO/ICAN/001/108374

31 DECEMBER 2023

NIGERIA STOCK EXCHANGE FREE FLOAT REPORT

Company Name:	African Alliance Insurance Plc			
Board Listed:	Main Board			
Year End:	December			
Reporting Period:	Year ended 31 December 2023			
Share Price At End of Reporting Period:	N0.20 (2022: N0.20)			
Shareholding Structure/Free Float Status				
	31-Dec-23		31-Dec-22	
	Unit	Percentage	Unit	Percentage
Description	20,585,000,000	100%	20,585,000,000	100%
Issued Share Capital				
Substantial Shareholdings (5% and above)	11,816,192,187	57.66%	11,816,192,187	57.66%
Conau Trade and Investment Limited	1,200,000,000	5.83%	1,200,000,000	5.83%
Universal Insurance Plc	13,068,700,000	63.49%	13,068,700,000	63.49%
Total Substantial Shareholding				
Directors Shareholdings (direct and indirect)				
excluding directors with substantial holdings				
MrsOlabisiAdekola	500,000	0.002%	500,000	0.002%
Total Directors Shareholding	500,000	0.002%	500,000	0.002%
Other Shareholdings				
African Alliance Staff Scheme	23,652,673	0.11%	23,652,673	0.11%
Total Other Shareholdings	23,652,673	0.11%	23,652,673	0.11%
Free Float in Units and Percentage	7,492,147,327	36.40%	7,492,147,327	36.40%
Free Float in Value	N1,498,429,465.40		N1,498,429,465.40	

Declaration:

A) African Alliance Insurance Plc with a free float percentage of 36.40% as at 31 December 2023, is compliant with the Exchange's free float requirements for companies listed on the Main Board.

B) African Alliance Insurance Plc with a free float value of N1,498,429,465.40 as at 31 December 2023, is compliant with the Exchange's free float requirements for companies listed on the Main Board.

RESULT AT A GLANCE

COMPREHENSIVE STATEMENT	INCOME	Group		Company	
		31-Dec-23 N'000	31-Dec-22 N'000	31-Dec-23 N'000	31-Dec-22 N'000
Insurance Revenue		<u>7,089,169</u>	<u>8,118,388</u>	<u>7,089,169</u>	<u>8,118,388</u>
Insurance Service Expenses		<u>(15,978,687)</u>	<u>(11,320,878)</u>	<u>(15,978,687)</u>	<u>(11,320,878)</u>
Insurance Service Result		<u>(9,034,989)</u>	<u>(3,182,815)</u>	<u>(9,034,989)</u>	<u>(3,182,815)</u>
Investment income		<u>3,825,525</u>	<u>2,216,910</u>	<u>3,825,525</u>	<u>2,216,910</u>
Profit/(loss) before tax		<u>(3,297,350)</u>	<u>(4,685,150)</u>	<u>(3,297,350)</u>	<u>(4,685,150)</u>
Profit/(loss) after tax		<u>(3,301,028)</u>	<u>(4,690,455)</u>	<u>(3,301,028)</u>	<u>(4,690,455)</u>

STATEMENT OF FINANCIAL POSITION	Group		Company	
	31-Dec-23 N'000	31-Dec-22 N'000	31-Dec-23 N'000	31-Dec-22 N'000
Total assets	<u>48,792,897</u>	<u>53,473,361</u>	<u>48,792,897</u>	<u>50,588,832</u>
Insurance and investment contract liabilities	<u>43,242,852</u>	<u>45,734,192</u>	<u>43,242,852</u>	<u>43,185,449</u>
Total liabilities	<u>46,720,232</u>	<u>48,396,886</u>	<u>46,720,232</u>	<u>45,215,136</u>
Total Equity	<u>2,072,666</u>	<u>5,076,475</u>	<u>2,072,666</u>	<u>5,373,696</u>
Profit/(Loss) per share (basic)-in kobo	<u>(32%)</u>	<u>(45%)</u>	<u>(32%)</u>	<u>(45%)</u>

UKWUEGBU, OGBELEJE & CO.

(CHARTERED ACCOUNTANTS)

RC. LAZ 029096

23, Rasaki Shittu Street, Isheri-Osun; P.O. Box 53830, Falomo, Lagos.

Newton Hotels Ltd Complex, Plot H2, Imo Specialist Hospital Rd, New Owerri, Imo State

Tel no: 08033006646, 08033047135; Email: consultants@uocng.net, essenceicu@yahoo.com; Website:
www.uocng.net.

Partners: Ifechukwu C. Ukwuegbu, B.Sc, FCA, MNCS; Eva C. Ogbeleje, MPA, FCA, ACIT.

INDEPENDENT AUDITOR'S REPORT

To the members of African Alliance Insurance Plc

Report on the audit of the financial statements of African Alliance Insurance Plc for the year ended 31st December 2023

Our opinion

The consolidated financial statements give a true and fair view of the consolidated and separate financial positions of African Alliance Insurance Plc (the company) and its subsidiary (together "the group") as at 31 December 2023, and of their consolidated and separate financial performances and their consolidated and separate cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Companies and Allied Matters Act Cap C20 LFN 2020, the Insurance Act 2003, circulars and relevant policy guidelines issued by the National Insurance Commission (NAICOM), the Pension Reform Act 2014, the Investment and Securities Act 2007 and the Financial Reporting Council of Nigeria Act, 2011.

What we have audited:

We have audited the accompanying consolidated and separate financial statements of African Alliance Insurance Plc ('the company') and its subsidiary (together 'the group')

African Alliance Insurance Plc's consolidated, and separate financial statements comprise:

- The consolidated and separate statements of financial position as at 31 December 2023;
- The consolidated and separate statements of comprehensive income for the year then ended.
- The consolidated and separate statements of changes in equity for the year then ended.
- The consolidated and separate statements of cash flows for the year then ended; and
- The notes to the consolidated and separate financial statements, which include a summary of significant accounting policies and other explanatory notes.

Emphasis of matter

Without modifying our opinion, we draw attention to note 5.5 to the financial statements which indicates a negative solvency margin of N4.43billion. This is below the minimum regulatory capital of N2 billion required for life insurance business. The total admissible assets of the Company less the net insurance and investment contract liabilities was a deficit of N30.62 billion as of 31 December 2023. These conditions indicate the existence of a material uncertainty that may cast doubt on the company's ability to continue as a going concern.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the consolidated and separate financial statements section of our report.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the Group in accordance with the Institute of Chartered Accountants of Nigeria (ICAN) Professional Code of Conduct and Guide for Accountants and other independent requirements applicable to performing audits of financial statements in Nigeria. We have fulfilled our other ethical responsibilities in accordance with the ICAN Code and in accordance with other ethical requirement applicable to performing audits in Nigeria. The ICAN Code is consistent with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) (Parts A and B).

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated and separate financial statements of the current period. These matters were addressed in the context of our audit of the consolidated and separate financial statements, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

We have fulfilled the responsibilities described in the Auditors' responsibilities for the audit of the financial statements, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matter below, provide the basis for our opinion on the financial statements.

Key Audit Matters identified:

Valuation of Insurance and Investment contract liabilities.

The company has material insurance and investment liabilities. The measurement of insurance and investment contract liabilities involves judgement over uncertain future outcomes like mortality, morbidity, lapse and surrender etc and also economic assumptions such as interest rates, return on investments which are the ultimate total settlement value of long-term liabilities, including any guarantees provided to policyholders.

The insurance and investment contract liabilities of the group was N43.24 billion and for the company N43.24 billion as stated in Note 18 & 19. This is a significant percentage (93%) of the overall liabilities of the company.

The Group has significant life insurance contract liabilities. The valuation of insurance contract liabilities involves high estimation uncertainties and significant judgment over uncertain future outcomes. The measurement of insurance liabilities consists of the liability for remaining coverage (LRC) and the liability for incurred claims (LIC) including both reported but not settled claims as well as incurred but not reported claims (IBNR).

The Group adopted IFRS 17 Insurance Contracts from 1 January 2023 and comparative figures have been restated. The Group uses both the Premium Allocation Approach (PAA) and General Measurement Model (GMM) under IFRS 17. The PAA is applied for the measurement of the groups of insurance contracts in the non-life and group life segment while the GMM is applied for the measurement of the groups of insurance contracts in the individual life segment. The result of management's assessments regarding the calculation of the liability for incurred claims depends on inputs, the choice of actuarial methods and the precision of management judgment in determining actuarial assumptions. Key assumptions with the greatest impact on the carrying amount in respect of non-life insurance contracts involve economic assumptions about inputs such as inflation rate, discount rates as well as estimated future payments for claims, hence the eventual outcome is uncertain.

The key actuarial assumptions used in the valuation of life insurance contract liabilities are judgmental, particularly with respect to the discount rates.

The level of complexity, the assumptions and judgment involved in estimating these amounts make insurance contract liabilities a matter of significance to our audit.

How our audit addressed the matter.

We focused on this balance because of the complexity involved in the estimation process, and the significant judgements that management and the directors made in determining the balance.

The valuation of the Group's gross and reinsurance incurred but not yet reported claims ("IBNR") reserve is determined in line with the provisions of the Nigerian Insurance Act to the extent that they do not conflict with the requirements of the International Financial Reporting Standards (IFRS). It is dependent on a few subjective assumptions about future experience.

Such assumptions include the loss ratio (the total losses paid by an insurance company in the form of claims and adjustment expenses as a proportion of total earned premiums) and recovery rate percentage (derived based on historical recovery to gross claim ratios).

This estimate relies on the quality of the underlying data and involves complex and subjective judgements about future events, both internal and external to the business, for which minor changes in assumptions can result in material impacts to the estimate.

The valuations are carried out by third party valuers. The valuers are engaged by the Group and performed their work in accordance with the International Valuation Standards. The valuers used by the Group are from a well-known firm, with experience in the markets in which the Group operates. We reviewed the journals posted and agreed the values in the financial statements as provided by the valuers.

Classification and measurement of financial assets based on IFRS 9 adoption.

The Group had significant financial assets of N33.24 billion (2022: N36.32 billion). The Group adopted IFRS 9, effective January 1, 2018, which necessitated the development of new accounting policies and disclosures as well as significant judgements in determining the measurement category based on the business model and the cash flow characteristics of the financial assets. The adoption of the new standard resulted in significant changes to accounting policies, classification and measurement of financial instruments.

The significant judgement involved in the adoption of IFRS 9, and classification and measurement of the Group's financial assets make it a matter of significance to the audit.

How we addressed the matter.

Our audit procedures included the following:

- We evaluated the appropriateness of the accounting policies adopted based on the requirements of IFRS 9, and our understanding of the Group's businesses.
- We gained an understanding of management's processes, and the controls implemented to ensure the completeness and accuracy of the exercise.
- We identified and tested relevant controls implemented in the classification and measurement of existing and new financial instruments.
- We evaluated the reasonableness of management's key assumptions/judgements over classification and measurement decisions as well as key judgements and estimates used.
- We assessed the completeness, accuracy and relevance of data used and disclosures required by IFRS 9 in the Group financial statements.

Other information

The directors are responsible for the other information. The other information comprises: *Directors' report, Corporate governance report, Management discussion and analysis, Statement of directors' responsibilities, Report of the audit committee, Hypothecation, Statement of value added and Five year financial summary* but does not include the consolidated and separate financial statements and our auditor's report thereon, which we obtained prior to the date of this auditor's report, and: *Business and financial highlights report, Chairman's statement, Chief Executive's review, Report of external consultants, Technical, operations and product report, Investment report, Risk management report, Non-dealing period policy* which are expected to be made available to us after that date.

Our opinion on the consolidated and separate financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If based on the work we have performed on the other information that we obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

When we read the complete annual report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of the directors and those charged with governance for the financial statements

The directors are responsible for the preparation of the consolidated and separate financial statements that give a true and fair view in accordance with International Financial Reporting Standards (IFRSs) and the requirements of the Companies and Allied Matters Act, 2020, the Financial Reporting Council of Nigeria Act 2011, and the Nigerian Insurance Act 2003, the Investment and Securities Act 2007 and National Insurance Commission (NAICOM) circulars, for such internal control as the directors determine is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatements, whether due to fraud or error.

In preparing the consolidated and separate financial statements, the directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group or to cease operations, or have no realistic alternative but to do so. Those charged with governance are responsible for overseeing the Group's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud

or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated and separate financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

In accordance with the requirements of the Schedule 6 of the Companies and Allied Matters Act, CAP C20 LFN 2020 and Section 28(2) of the Insurance Act 2003, we expressly state that:

- i) We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
- ii) The Company has kept proper books of account, so far as appears from our examination of those books, and returns adequate for our audit have been received from branches not visited by us.
- iii) The Company's statements of financial position and comprehensive income are in agreement with the books of account and returns.

31 DECEMBER 2023

Contraventions

The Company did contravene in the late submission of report to the National Insurance Commission, or the Insurance Act under review and some provisions of the Securities and Exchange Commission.

Compliance with FRC Guideline on Assurance Engagement Report on Internal Control over Financial Reporting

In accordance with the requirements of the Financial Reporting Council of Nigeria, we performed a limited assurance engagement and reported on management assessment of the Company's internal control over financial reporting as of December 31, 2023. The work performed was done in accordance with ISAE 3000 (Revised) Assurance Engagements Other Than Audits or Reviews of Historical Financial Information and the FRC Guidance on Assurance Engagement Reports on Internal Control over Financial Reporting. We have issued an unmodified conclusion in our report dated April 29, 2025



Ukwuegbu, Ogbeleje & Co.

(Chartered Accountants)

Lagos, Nigeria

Engagement Partner: Ifechukwu C. Ukwuegbu

FRC/2014/PRO/ICAN/004/00000010453

April 29, 2025

SUMMARY OF MATERIAL ACCOUNTING POLICY INFORMATION

The following are the statement of material accounting policies applied in the preparation of these financial statements. These policies have been consistently applied to all the years presented, unless otherwise stated.

1.0 General Information

The financial statements of the company for the year ended 31 December 2023 were authorised for issue in accordance with a resolution of the Directors. The company is a public limited company incorporated and domiciled in Nigeria. The Company was listed on the Nigerian Stock Exchange on 17 September 2009. The registered office is located at 54, Awolowo Road, Ikoyi, Lagos.

The Company is principally engaged in the business of providing risk underwriting for life and related financial services and pension services to its customers. Such services include provision of life insurance services to both corporate and individual customers.

1.2 Principal Activities

The principal business of the company is providing risk underwriting and related financial and hospitality services to its customers. Such services include provision of life insurance services to both corporate and individual customers.

The Subsidiaries activities are:

- Ghana Life Insurance Company Limited, a Life assurance company in Ghana.
- Axiom Air Limited, a cargo airline company

1.3 Components of Financial Statements

The Financial statements comprise the Consolidated and Separate Statements of Comprehensive income, Consolidated and Separate statements of Financial Position, Consolidated and Separate Statement of Changes in Equity, Consolidated and Separate Statements of Cash Flows, and the accompanying Notes.

Income and expenses (excluding the components of other comprehensive income) are recognised in the profit or loss segment of comprehensive income to arrive at the profit for the year.

Other comprehensive income is recognised in the other comprehensive segment of the statement of other comprehensive income and comprises items of income and expenses that are not recognised in the statement of profit or loss as required or permitted by IFRS.

The addition of the profit for the year and the other comprehensive income gives the total comprehensive income for the year.

Reclassification adjustments are amounts reclassified to statement of comprehensive income in the current year that were recognised in other comprehensive income in the current or previous years. Transactions with the owners of the Group in their capacity as owners are recognised in the statement of changes in equity.

1.4 Basis of preparation and measurement

The financial statements are prepared in compliance with International Financial Reporting Standards (IFRS) and the requirements of the Companies and Allied Matters Act, Insurance

Act CAP 117 LFN 2003, the Financial Reporting Council of Nigeria Act 2011 and regulatory guidelines as pronounced from time to time by National Insurance Commission (NAICOM). Historical cost basis was used in preparation of the financial statements as modified by the measurement of certain items at revalued amounts as stated below:

- Property, plant and equipment at valuation
- Investment property at fair value
- Investment at fair value
- Impaired assets at their recoverable amounts

1.5 Compliance with IFRS

These financial statements have been prepared in accordance with the International Financial Reporting Standards (IFRS) and IFRS Interpretations Committee (IFRIC) Interpretations applicable to companies reporting under IFRS as issued by the International Accounting Standards Board (IASB). Additional information required by national regulations have been included where appropriate

1.6 Going Concern status

As at the end of the financial year 31 December 2023, the following going concern matters have been identified by the Directors of African Alliance Insurance Plc:

1. The company's solvency margin is below the regulatory requirement as stated in the Insurance Act CAP 117, LFN 2003. The company reported a negative solvency margin of N4.43billion for the year ended 31 December 2023 compared to a minimum of N2billion required for life assurance companies.
2. The total admissible assets of the company less net insurance and investment contract liabilities amounted was a deficit of N30.62billion as at 31 December 2023.
3. The company shareholders fund was N2.07 billion as at the end of 31 December 2023.

The deficiency in solvency margin when compared with the minimum requirement for life business and deficiency in admissible asset over insurance and investment contract liabilities indicate that a material uncertainty exists in the company. However, the favourable position of the other factors gives the executive a lifeline for improvement

The board of directors assessed its ability to continue as a going concern and is satisfied that it has the resources to continue in business for the foreseeable future based on the following action plans that it is current executing and will execute in due course.

Action Plans

The Board of Directors hereby confirm that the following action plans are currently undergoing various levels of execution. The directors believe that these actions will enable the company to address and revert to a going concern status without limitations.

a. Rights issue of N2 billion shares to existing shareholders:

The Directors have appointed relevant professional advisors to assist with the relevant processes of obtaining regulatory approval for a rights issue as soon as possible.

Of significant impact is that Conau Trade and Investment Limited, the company's majority shareholder, has underwritten to take on 100% of the rights in issue, when the right issues have been approved by the regulators and made available to the shareholders.

Shareholders of the company at the last Annual General Meeting (AGM) had given their consent and approval to the offering. This is however subject to the final approval of the regulators (National Insurance Commission (NAICOM), Financial Reporting Council of Nigeria (FRCN) and Securities and Exchange Commission. We are confident that the regulators will give their nod to the offering.

b. Injection of fresh capital by new investors:

The Board of Directors are at the final stages of concluding arrangement with an independent investor with plans to inject about N7 billion into the company as fresh capital. However, the process involves the conduct of due diligence on the financial statements of the company. The above proposed capital injection has been approved by the shareholders at its last Annual General Meeting (AGM), and is in the following phases:

- a) Phase I – Transaction preparation/Investor engagement
- b) Phase II – Documentation/Early Regulatory engagement
- c) Phase III – Regulatory filings
- d) Phase IV – Allotment and listing

The Board of Directors has received the special resolution of the Shareholders to proceed with the action plans and currently in progress.

However, the success of this transaction is not under the control of the directors therefore there is material uncertainty as to the probability that this transaction will succeed.

c. Renewal of overdraft facilities:

The Board of Directors have approved that management access Bank overdraft from its bankers to the tune of N500 million. This is to enable the company meet its immediate operational requirements from time to time and its support working capital requirements. This is however subject to the approval by the bankers to access the revolving credits.

The company's request has now been approved by one of the banks. The approval is however subject to the following conditions to be fulfilled by the company:

- i. Receipt of Board Resolution authorizing borrowing of the facility, accepting the facility, appointing officers to execute documents, operate the facility and authorizing the bank to obtain and retain on the CRMS Taxpayer Identification Number (TIN) related information such as company name, registration number, address etc. and Bank Verification Number (BVN) related information such as Name, Address, Date of Birth, Gender, etc. of Directors.
- ii. Receipt of satisfactory credit check reports on the Borrower and its Directors from the Central bank of Nigeria (CBN) and two other credit bureaus.
- iii. Receipt of Personal Guarantee of the MD/CEO of the Borrower.
- iv. Receipt of fully executed Environmental and Social Risk Management (ESRM) tool kit.

- v. Receipt of irrevocable letter of domiciliation/undertaking from Borrower to domicile sales proceeds.
- vi. Receipt of favourable search report on the landed property pledged.
- vii. Receipt of all required documents for perfection of the pledged property.
- viii. Provision of valuation report on landed property valued by one bank's approved valuer and must cover 130% of the facility amount.

The entity has accepted the facility extended by the bank and commenced the process of complying with these conditions.

d. Disposal of company's interest in Ghana Life Assurance Limited:

Directors are at the final stages of concluding the disposal of its interest in Ghana Life Assurance Limited to another investor. All documentation around the disposal has been submitted to the regulator, NAICOM, for its consent and approval. Directors are confident that the transaction will be approved by NAICOM, this is however subject to the timing of the approval by NAICOM.

e. Sale of FGN bonds:

As part of the strategy to meet likely claims and obligations that might arise from its clients, the Board has approved the partial disposal of FGN Bonds to enable management to meet any form of claims that might arise during the period.

f. Other matters:

- i. **Dividend from PAL Pensions:** The Directors are confident that this company shall continue to pay out dividend of at least N400 million representing its portion of the dividend.
- ii. **Growth in Premium Income:** The Board and Management continue to strive to ensure that the premium income continue to grow. In the last few months new businesses have been won and these factored into the cash projection adapted for the going concern assessment. The Board is confident that this trend will continue.
- iii. **De-Risking of all new businesses:** As part of its strategy to ensure that toxic revenues are no longer part of the business of the company. Management has engaged in appropriate review of the nature of each business before they are accepted. Once any business does not meet its level of risk appetite the business is not accepted. This has manifest in the level of claims being recorded in the last few months. The Board is confident that as this process continues, we will continue to see value and significant reduction in the level of claims payout.

While all of the above will help to address the liquidity challenges of the company, this does not however ameliorate the deficit of the solvency margin.

Material uncertainty exists for each of these plans, because of events that might be beyond expectations of the Directors. There can be no assurance that the Company will be successful with these strategic initiatives. If such initiatives and plans are not successful, the Company and Group may be forced to limit its business activities or be unable to continue as a going concern, which will have a material adverse effect on operations and financial performance of the company. While the Directors are confident that these action plans will be successful and have prepared these financial

statements on a going concern basis, material uncertainties exist that may cast significant doubt on the Company's ability to continue as going concerns.

1.7 Significant judgements and key sources of estimation uncertainty

In the process of applying the accounting policies adopted by the Group, the Directors make certain judgements and estimates that may affect the carrying values of assets and liabilities in the next financial period. Such judgements and estimates are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the current circumstances. The directors evaluate these at each financial reporting date to ensure that they are still reasonable under the prevailing circumstances based on the information available.

The preparation of the Group's financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities and the disclosure of contingent liabilities, at the reporting date, however, uncertainty about these assumptions and estimates could result in outcomes that could require a material adjustment to the carrying amount of the asset or liability affected in the future.

The judgements made by the directors in the process of applying the Group's accounting policies that have the most significant effect on the amounts recognised in the financial statements include:

- **Fair value of unquoted equity financial instruments**

The fair value of financial instruments where no active market exists or where quoted prices are not otherwise available are determined by using valuation techniques. In these cases, the fair values are estimated from observable data using valuation models.

- **Taxation**

Whether it is probable that future taxable profits will be available against which temporary differences can be utilized.

1.8 Functional and presentation currency

The consolidated financial statements are presented in Nigerian Naira (Naira), rounded to the nearest thousand, this is also the functional currency of the Group.

1.9 Presentation of financial statements

The Group presents its statements of financial position broadly in order of liquidity. An analysis regarding recovery or settlement within twelve months after the reporting date (current) and more than 12 months after the reporting date (non-current) is presented in the Notes.

2.0 Changes in accounting policy and disclosures New and amended standards and interpretations.

New and amended standards adopted and interpretations.

The Company applied for the first time, certain standards, and amendments, which are effective for annual periods beginning on or after 1 January 2022. Their adoption has not had any material impact on the disclosures or on the amounts reported in these financial statements.

The Company has not early adopted any other standard, interpretation or amendment that has been issued but not yet effective.

Interest Rate Benchmark Reform Phase 2 Amendments to IFRS 9, IAS 39, IFRS 7, IFRS 4 and IFRS 16

In the current year, IASB published the Phase 2 amendments Interest Rate Benchmark Reform Amendments to IFRS 9, IAS 39, IFRS 7, IFRS 4 and IFRS 16. Adopting these amendments enables the Company to reflect the effects of transitioning from interbank offered rates (IBOR) to alternative benchmark interest rate (also referred to as 'risk free' or RFRs) without giving rise to accounting impacts that would not provide useful information to users of financial statements.

The amendments are relevant for the following types of hedging relationships and financial instruments of the Company, all of which extend beyond 2022:

Fair value hedges where LIBOR-linked derivatives are designated as a fair value hedge of fixed rate debt in respect of the GBP LIBOR risk component.

Cash flow hedges where IBOR-linked derivatives are designated as a cash flow hedge of IBOR-linked bank borrowings.

Bills or exchange and lease liabilities which reference LIBORs and are subject to the interest rate benchmark reform. This standard does not apply to the Company in the current financial year.

Covid-19-Related Rent Concessions beyond 30 June 2021 Amendments to IFRS 16.

In March 2021, the Board amended the conditions of the practical expedient in IFRS 16 that provides relief to lessees from applying the IFRS 16 guidance on lease modifications to rent concessions arising as a direct consequence of the covid-19 pandemic. As a practical expedient, a lessee may elect not to assess whether a covid-19 related rent concession from a lessor is a lease modification. A lessee that makes this election accounts for any change in lease payments resulting from the Covid-19 related rent concession the same way it would account for the change under IFRS 16, if the change were not a lease modification.

Amendments to IFRS 3 (Reference to the Conceptual Framework)

The amendment updates IFRS 3, so that it refers to the 2018 Conceptual Framework instead of the 1989 Framework, it adds to IFRS 3, a requirement that, for transactions and other events within the scope of IAS 37 or IFRIC 21, an acquirer applies IAS 37 or IFRIC 21 (instead of the Conceptual Framework) to identify the liabilities it has assumed in a business combination, it adds to IFRS 3 an explicit statement that an acquirer does not recognize contingent assets acquired in a business combination. Early application of the amendment is permitted if an entity also applies all other updated references (published together with the update Conceptual Framework) at the same time or earlier. There was no impact on the Group financial statements.

IFRS 17 Insurance Contract Implementation.

The Company adopted the IFRS 17 Standard in the year ended December 31, 2023.

IFRS 17 establishes the principles for the recognition, measurement, presentation and disclosure of insurance contracts and supersedes IFRS 4 Insurance Contracts.

IFRS 17 outlines a general model, which is modified for insurance contracts with direct participation features, described as the variable fee approach. The general model is simplified if certain criteria are met by measuring the liability for remaining coverage using the premium allocation approach.

The general model uses current assumptions to estimate the amount, timing and uncertainty of future cash flows and it explicitly measures the cost of that uncertainty. It considers market interest rates, and the impact of policyholders' options and guarantees. For the transition requirements, the date of initial application is the start of the annual reporting period in which the entity first applies the Standard, and the transition date is the beginning of the period immediately preceding the date of initial application.

Impact of the initial application IFRS 17

This standard is expected to have a material impact on the Group's financial reporting and disclosure as the Group has companies who are predominately in the business of insurance contracts. African Alliance Insurance Plc and Ghana Life insurance have already commenced a project implementation exercise and have performed a high-level impact assessment of IFRS 17. The Group expects that the new standard will result in an important change to the accounting policies for insurance contract liabilities and is to have a significant impact on profit and total equity together with presentation and disclosure.

The company adopted various measurement approach to the different portfolios of its insurance contracts as.

Portfolio

Annuity
Protection
Endowment
Investment-linked
Individual life
Group life

Measurement Approach

General Model Approach
General Model Approach
General Model Approach
General Model Approach
General Model Approach
Premium Allocation Approach

New and revised IFRS Standards in issue but not yet effective

A few standards, interpretations and amendments thereto, had been issued by the IASB which are effective but do not impact on these financial statements as summarized in the table below:

Pronouncement	Nature of Change
Amendments to IFRS 10 Consolidated Financial Statements and IAS 28 Investments in associates and Joint Ventures—Sale or Contribution of Assets between an Investor and its Associate or Joint Venture	The amendments to IFRS 10 and IAS 28 deal with situations where there is a sale or contribution of assets between an investor and its associate or joint venture. Specifically, the amendments state that gains or losses resulting from the loss of control of a subsidiary that does not contain a business in a transaction with an associate or a joint venture that is accounted for using the equity method, are recognised in the parent's profit or loss only to the extent of the unrelated investors' interests in that associate or joint venture. Similarly, gains and losses resulting from the remeasurement of investments retained in any former subsidiary that has become an associate or a joint venture that is accounted for using the equity method) to fair value are recognised in the former parent's profit or loss only to the extent of the unrelated investors' interests in the new associate or joint venture. The effective date of the amendments has yet to be set by the Board; however, earlier application of the amendments is permitted. The directors of the Company anticipate that the application of these amendments may have an impact on the Group's consolidated financial statements in future periods should such transactions arise.

Amendments to IAS 1 Presentation of Financial Statements—Classification of Liabilities as Current or Noncurrent	The amendments to IAS 1 affect only the presentation of liabilities as current or non-current in the statement of financial position and not the amount or timing of recognition of any asset, liability, income or expenses, or the information disclosed about those items. The amendments clarify that the classification of liabilities as current or non-current is based on rights that are in existence at the end of the reporting period, specify that classification is unaffected by expectations about whether an entity will exercise its right to defer settlement of a liability, explain that rights are in existence if covenants are complied with at the end of the reporting period, and introduce a definition of ‘settlement’ to make clear that settlement refers to the transfer to the counterparty of cash, equity instruments, other assets or services.
Amendments to IFRS 16 (Lease Liability in a Sale and Leaseback)	Amendment to IFRS 16 Leases requires a seller-lessee impacts how a seller-lessee to subsequently measure lease liabilities arising from a leaseback in a way that it does not recognize any amount of the gain or loss that relates to the right of use it retains. The amendment also requires the seller-lessee to include variable lease payments when it measures a lease liability arising from a sale-and-leaseback transaction. The amendments confirm the following. - On initial recognition, the seller-lessee includes variable lease payments when it measures a lease liability arising from a sale-and-leaseback transaction. - After initial recognition, the seller-lessee applies the general requirements for subsequent accounting of the lease liability such that it recognizes no gain or loss relating to the right of use it retains. A seller-lessee may adopt different approaches that satisfy the new requirements on subsequent measurement. The amendments are effective for annual reporting periods beginning on or after 1 January, 2024. Under IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors, a seller-lessee will need to apply the amendments retrospectively to sale-and-leaseback transactions entered into or after the date of initial application of IFRS 16. This means that it will need to identify and re-examine sale-and-leaseback transactions entered into since implementation of IFRS 16 in 2019, and potentially restate those that included variable lease payments. The impact of the adoption of this amendment on the group is being assessed. The amendments are effective for annual periods beginning on or after 1 January 2024, with early application permitted.
Amendments 10 IAS 16 Property, Plant and Equipment—Proceeds before Intended Use	The amendments prohibit deducting from the cost of an item of property, plant and equipment any proceeds from selling items produced before that asset is available for use, i.e. proceeds while bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management. Consequently, an entity recognises such sales proceeds and related costs in profit or loss. The entity measures the cost of those items in accordance with IAS 2 Inventories. The amendments also clarify the meaning of ‘testing whether an asset is functioning properly’. IAS 16 now specifies this as assessing whether the technical and physical performance of the asset is such that it is capable of being used in the production or supply of goods or services, for rental to others, or for administrative purposes. If not presented separately in the statement of comprehensive income, the financial statements shall disclose the amounts of proceeds and cost included in profit or loss that relate to items produced that are not an output of the entity's ordinary activities, and which line item(s) in the statement of comprehensive income include(s) such proceeds and cost. The amendments are applied retrospectively, but only to items of property, plant and equipment that are brought to the location and condition necessary for them to be capable of operating in the manner intended by management on or after the

	beginning of the earliest period presented in the financial statements in which the entity first applies the amendments. The entity shall recognise the cumulative effect of initially applying the amendments as an adjustment to the opening balance of retained earnings (or other component of equity, as appropriate) at the beginning of that earliest period presented. The amendments are effective for annual periods beginning on or after 1 January 2022, with early application permitted.
Amendments to IAS 37 Provisions, Contingent Liabilities and Contingent Assets—Onerous Contracts—Cost of Fulfilling a Contract	The amendments specify that the 'cost of fulfilling' a contract comprises the 'costs that relate directly to the contract'. Costs that relate directly to a contract consist of both the incremental costs of fulfilling that contract (examples would be direct labour or materials) and an allocation of other costs that relate directly to fulfilling contracts (an example would be the allocation of the depreciation charge for an item of property, plant and equipment used in fulfilling the contract). The amendments apply to contracts for which the entity has not yet fulfilled all its obligations at the beginning of the annual reporting period in which the entity first applies the amendments. Comparatives are not restated. Instead, the entity shall recognise the cumulative effect of initially applying the amendments as an adjustment to the opening balance of retained earnings or other component of equity, as appropriate, at the date of initial application. The amendments are effective for annual periods beginning on or after 1 January 2022, with early application permitted.
Annual Improvements to IFRS Standards 2018-2020—Amendments to IFRS 1 First-time Adoption of International Financial Reporting Standards, IFRS 9 Financial Instruments, IFRS 16 Leases, and IAS 41 Agriculture	The Annual Improvements include amendments to four Standards: IFRS 1 First-time Adoption of International Financial Reporting Standards The amendment provides additional relief to a subsidiary which becomes a first-time adopter later than its parent in respect of accounting for cumulative translation differences. As a result of the amendment, a subsidiary that uses the exemption in IFRS 1:D16(a) can now also elect to measure cumulative translation differences for all foreign operations at the carrying amount that would be included in the parent's consolidated financial statements, based on the parent's date of transition to IFRS Standards, if no adjustments were made for consolidation procedures and for the effects of the business combination in which the parent acquired the subsidiary. A similar election is available to an associate or joint venture that uses the exemption in IFRS 1:D16(a). IFRS 9 Financial Instruments The amendment clarifies that in applying the '10 per cent' test to assess whether to derecognise a financial liability, an entity includes only fees paid or received between the entity (the borrower) and the lender, including fees paid or received by either the entity or the lender on the other's behalf. The amendment is applied prospectively to modifications and exchanges that occur on or after the date the entity first applies the amendment. The amendment is effective for annual periods beginning on or after 1 January 2022, with early application permitted. IFRS 16 Leases The amendment removes the illustration of the reimbursement of leasehold improvements. As the amendment to IFRS 16 only regards an illustrative example, no effective date is stated. IAS 41 Agriculture The amendment removes the requirement in IAS 41 for entities to exclude cash flows for taxation when measuring fair value. This aligns the fair value measurement in IAS 41 with the requirements of IFRS 13 Fair Value Measurement to use internally consistent cash flows and discount rates and enables preparers to determine whether to use pretax or post-tax cash flows and discount rates for the most appropriate fair value measurement.

	The amendment is applied prospectively, i.e. for fair value measurements on or after the date an entity initially applies the amendment. The amendment is effective for annual reporting periods beginning on or after 1 January 2022, with earlier application permitted.
Amendments to IAS 1 Presentation of Financial Statements and IFRS Practice Statement 2 Making Materiality Judgements—Disclosure of Accounting Policies	The amendments change the requirements in IAS 1 with regard to disclosure of accounting policies. The amendments replace all instances of the term 'significant accounting policies' with 'material accounting policy information'. Accounting policy information is material if, when considered together with other information included in an entity's financial statements, it can reasonably be expected to influence decisions that the primary users of general purpose financial statements make on the basis of those financial statements. The supporting paragraphs in IAS 1 are also amended to clarify that accounting policy information that relates to immaterial transactions, other events or conditions is immaterial and need not be disclosed. Accounting policy information may be material because of the nature of the related transactions, other events or conditions, even if the amounts are immaterial. However, not all accounting policy information relating to material transactions, other events or conditions is itself material. The Board has also developed guidance and examples to explain and demonstrate the application of the 'four-step materiality process' described in IFRS Practice Statement 2. The amendments to IAS 1 are effective for annual periods beginning on or after 1 January 2023, with earlier application permitted and are applied prospectively. The amendments to IFRS Practice Statement 2 do not contain an effective date or transition requirements.
Amendments to IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors—Definition of Accounting Estimates	The amendments replace the definition of a change in accounting estimates with a definition of accounting estimates. Under the new definition, accounting estimates are "monetary amounts in financial statements that are subject to measurement uncertainty". The definition of a change in accounting estimates was deleted. However, the Board retained the concept of changes in accounting estimates in the Standard with the following clarifications: • A change in accounting estimate that results from new information or new developments is not the correction of an error. • The effects of a change in an input or a measurement technique used to develop an accounting estimate are changes in accounting estimates if they do not result from the correction of prior period errors The Board added two examples (Examples 4-5) to the Guidance on implementing IAS 8, which accompanies the Standard. The Board has deleted one example (Example 3) as it could cause confusion in light of the amendments. The amendments are effective for annual periods beginning on or after 1 January 2023 to changes in accounting policies and changes in accounting estimates that occur on or after the beginning of that period, with earlier application permitted.
Amendments to IAS 12 Income Taxes — Deferred Tax related to Assets and Liabilities arising from a Single Transaction	The amendments introduce a further exception from the initial recognition exemption. Under the amendments, an entity does not apply the initial recognition exemption for transactions that give rise to equal taxable and deductible temporary differences. Depending on the applicable tax law, equal taxable and deductible temporary differences may arise on initial recognition of an asset and liability in a transaction that is not a business combination and affects neither accounting nor taxable profit. For example, this may arise upon recognition of a lease liability and the

corresponding right-of-use asset applying [FRS 16 at the commencement date of a lease.

Following the amendments to IAS 12, an entity is required to recognise the related deferred tax asset and liability, with the recognition of any deferred tax asset being subject to the recoverability criteria in IAS 12.

The Board also adds an illustrative example to IAS 12 that explains how the amendments are applied.

The amendments apply to transactions that occur on or after the beginning of the earliest comparative period presented. In addition, at the beginning of the earliest comparative period an entity recognises:

- A deferred tax asset (to the extent that it is probable that taxable profit will be available against which the deductible temporary difference can be utilised) and a deferred tax liability for all deductible and taxable temporary differences associated with:
 - Right-of-use assets and lease liabilities
 - Decommissioning, restoration and similar liabilities and the corresponding amounts recognised as part of the cost of the related asset
- The cumulative effect of initially applying the amendments as an adjustment to the opening balance of retained earnings (or other component of equity, as appropriate) at that date.

The amendments are effective for annual reporting periods beginning on or after 1 January 2023, with earlier application permitted.

2.1 Significant accounting policies

The Company has consistently applied the following accounting policies to all periods presented in these financial statements.

Significant accounting policies are defined as those that reflect significant judgments and uncertainties, and potentially give rise to different results under different assumptions and conditions.

Except for the considerations explained in Note 2 above, the Company consistently applied the following accounting policies to the periods presented in the financial statements.

Consolidation

2.1.1 Subsidiaries

Subsidiaries are all entities (including structured entities) over which the Group has control. The Group controls an entity when the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are deconsolidated from the date that control ceases.

The Group applies the acquisition method to account for business combinations. The consideration transferred for the acquisition of a subsidiary is the fair values of the assets transferred, the liabilities incurred to the former owners of the acquiree and the equity interests issued by the Group. The consideration transferred includes the fair value of any asset or liability resulting from a contingent consideration arrangement. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. The Group recognises any non-controlling interest in the acquiree on an acquisition-by-acquisition basis, either at fair value or at the non-controlling interest's proportionate share of the recognised amounts of acquiree's identifiable net assets. Acquisition-related costs are expensed as incurred.

If the business combination is achieved in stages, the acquisition date carrying value of the acquirer's previously held equity interest in the acquiree is re-measured to fair value at the acquisition date; any gains or losses arising from such re-measurement are recognised in profit or loss.

Any contingent consideration to be transferred by the Group is recognised at fair value at the acquisition date. Subsequent changes to the fair value of the contingent consideration that is deemed to be an asset or liability is recognised in accordance with IAS 39 either in profit or loss or as a change to other comprehensive income. Contingent consideration that is classified as equity is not re-measured, and its subsequent settlement is accounted for within equity.

Inter-company transactions, balances and unrealised gains on transactions between Group companies are eliminated. Unrealised losses are also eliminated. When necessary, amounts reported by subsidiaries have been adjusted to conform with the Group's accounting policies.

2.1.2 Changes in ownership interests in subsidiaries without change of control

Transactions with non-controlling interests that do not result in loss of control are accounted for as equity transactions - that is, as transactions with the owners in their capacity as owners. The difference between fair value of any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-controlling interests are also recorded in equity.

2.1.3 Disposal of subsidiaries

When the group ceases to have control, any retained interest in the entity is remeasured to its fair value at the date when control is lost, with the change in carrying amount recognised in profit or loss. The fair value is the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset. In addition, any amounts previously recognised in other comprehensive income in respect of that entity are accounted for as if the group had directly disposed of the related assets or liabilities. This may mean that amounts previously recognised in other comprehensive income are reclassified to profit or loss.

2.2 Foreign currencies

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in the income statement, except when deferred in equity as qualifying cash flow hedges and qualifying net investment hedges. Foreign exchange gains and losses that relate to borrowings and cash and cash equivalents are presented in the income statement within 'other income'.

All other foreign exchange gains and losses are presented in the income statement within 'Other income' or other expenses. Changes in the fair value of monetary securities denominated in foreign currency classified as available for sale are analysed between translation differences resulting from changes in the amortised cost of the security; and other changes in the carrying amount of the security.

Translation differences related to changes in amortised cost are recognised in profit or loss; other changes in carrying amount are recognised in equity. Translation differences on financial assets and liabilities held at fair value through profit and loss are reported as part of the fair value gain or loss. Translation differences on non-monetary financial assets such as equities classified as fair value through other comprehensive income financial 'assets are included in the fair value reserve in equity.

2.3 Financial assets

The Group classifies its financial assets into the following categories: fair value through profit or loss, fair value through other comprehensive income and amortized cost. The classification is determined by management at initial recognition and depends on the objective of the business model.

2.3.1 Classification and Measurements

Financial assets are classified and measured at initial recognition at fair value, including directly attributable transaction cost. Subsequent measurement is based on the business model objective of managing the assets as well as the cashflow characteristics of the asset.

- Business Model Assessment

Business model assessment involves determining if financial assets are managed in order to generate cash flows from collection of contractual cash flows, selling financial assets or both. The Group assesses business model at a portfolio level which reflects how the assets are managed together to achieve a particular business objective.

- **Financial assets at fair value through profit and loss**

Financial assets will be measured at fair value through the income statement if they do not meet the business model criteria of either “Hold to collect” or “Hold to collect and sell”. All equity instruments and similar securities (unless designated at inception to fair value through other comprehensive income); and all derivatives are measured at fair value through profit or loss. An entity have the option to designate a financial asset as measured at fair value through profit or loss if doing so eliminates or significantly reduces an accounting mismatch.

- **Financial assets at fair value through other comprehensive income**

Financial assets will be measured at fair value through other comprehensive income if they are held within a business model where the objective is achieved by both collecting contractual cash flows and selling financial assets (“Hold to collect and sell”), and their contractual cash flows represent solely payments of principal and interest.

2.3.2 Financial assets measured at amortized cost

Financial assets are measured at amortized cost if they are held within a business model whose objective is to hold for collection of contractual cash flows where those cash flows represent solely payments of principal and interest. After initial measurement, debt instruments in this category are carried at amortized cost using the effective interest rate method. Amortized cost is calculated considering any discount or premium on acquisition, transaction costs and fees that are an integral part of the effective interest rate. Amortization is included in Interest income in the Consolidated Statement of Income. Impairment on financial assets measured at amortized cost is calculated using the expected credit loss approach.

2.3.3 Recognition and measurement

Financial assets are initially recognised at fair value plus, in the case of all financial assets not carried at fair value through profit and loss, transaction costs that are directly attributable to their acquisition. Financial assets carried at fair value through profit and loss are initially recognised at fair value, and transaction costs are expensed in the statement of comprehensive income. Financial assets are derecognised when the rights to receive cash flows from them have expired or where they have been transferred and the Group has also transferred substantially all risks and rewards of ownership.

Financial assets at fair value through other comprehensive income and financial assets at fair value through profit and loss are subsequently carried at fair value. Other financial assets are carried at amortised cost using the effective interest method.

Gains and losses arising from changes in the fair value of the ‘financial assets at fair value through profit and loss’ category are included in the income statement in the period in which they arise. Dividend income from financial assets at fair value through profit and loss is recognised in the statement of comprehensive income as part of Investment income when the Group’s right to receive payments is established.

Interest on financial assets fair value through other comprehensive income calculated using the effective interest method is recognised in the income statement. Dividends on equity instruments fair value through other comprehensive income are recognised in the income statement when the Group's right to receive payments is established. Both are included in the investment income line.

2.4 Determination of fair value

For financial instruments traded in active markets, the determination of fair values of financial assets and financial liabilities is based on quoted market prices or dealer price quotations. This includes listed equity securities and quoted debt instruments on major exchanges. The quoted market price used for financial assets held by the Group is the current bid price.

A financial instrument is regarded as quoted in an active market if quoted prices are readily and regularly available from an exchange, dealer, broker, industry, company, pricing service or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis. If the above criteria are not met, the market is regarded as being inactive. Indications that a market is inactive are when there is a wide bid - offer spread or significant increase in the bid - offer spread or there are few recent transactions.

For all other financial instruments, fair value is determined using valuation techniques. In these techniques, fair values are estimated from observable data in respect of similar financial instruments, using models to estimate the present value of expected future cash flows or other valuation techniques, using inputs (for example, NIBOR, MPR etc.) existing at the dates of the statement of financial position.

The Group uses widely recognised money market rates in determining fair values of non-standardised financial instruments of lower complexity like placements, and treasury bills. These financial instruments models are generally market observable. The carrying value less impairment provision of trade receivables and payables are assumed to approximate their fair values.

The fair value of financial liabilities for disclosure purposes is estimated by discounting the future contractual cash flows at the current market interest rate that is available to the Group for similar financial instruments. In cases where the fair value of unlisted equity instruments cannot be determined reliably, the instruments are carried at cost less any impairments. The fair value for loans and receivables as well as liabilities to banks and customers are determined using a present value model on the basis of contractually agreed cash flows, taking into account credit quality, liquidity and costs. The fair values of contingent liabilities and irrevocable loan commitments correspond to their carrying amounts.

2.4.1 De-recognition of financial instrument.

The Group derecognises a financial asset only when the contractual rights to the cash flows from the asset expire or it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another entity. If the Group neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the Group recognises its retained interest in the asset and an associated liability for amounts it may have to pay. If the Group retains substantially all the risks and rewards of ownership of a transferred financial asset, the Group continues to recognise the financial asset and also recognises a collateralised borrowing for the proceeds received.

2.4.2 Reclassification of financial assets

For financial assets, reclassification is required between FVTPL, FVTOCI and amortised cost; if and only if the entity's business model objective for its financial assets changes so its previous business model assessment would no longer apply.

IFRS 9 does not allow reclassification:

- when the fair value option has been elected in any circumstance for a financial asset;
- or equity investments (measured at FVTPL or FVTOCI); or
- for financial liabilities.

If an entity reclassifies a financial asset, it is required to apply the reclassification prospectively from the reclassification date, defined as the first day of the first reporting period following the change in business model that results in the entity reclassifying financial assets. Previously recognised gains, losses (including impairment gains or losses) or interest are not restated.

2.4.3 Impairment of asset

Financial assets carried at amortized cost and FVTOCI.

The IFRS 9 impairment model is applicable to all financial assets at amortized cost, and debt instruments measured at fair value through other comprehensive income. IFRS 9 replaces the 'incurred loss' model (IAS 39) with an Expected Credit Loss ('ECL') model, resulting in earlier recognition of credit losses compared with IAS 39. Expected credit losses are the unbiased probability weighted average credit losses determined by evaluating a range of possible outcomes and future economic conditions. The ECL model has three stages.

Stage 1: As soon as a financial instrument is originated or purchased, an entity is required to recognize a 12-month expected credit loss in profit or loss and a loss allowance is established. For financial assets, interest revenue is calculated on the gross carrying amount (i.e. without deduction for expected credit losses).

Stage 2: If the credit risk increases significantly and is not considered low, a full lifetime expected credit loss is recognized in profit or loss. The calculation of interest revenue is the same as for stage 1 above.

Stage 3: If the credit risk of a financial asset increases to the point that it is considered credit-impaired, interest revenue is calculated based on the amortized cost (i.e. the gross carrying amount less the loss allowance). Financial assets in this stage will generally be assessed individually. Lifetime expected credit losses are recognized on these financial assets. Based on the criteria in stages 1-3, the Group sets reserves for impairment.

No impairment reserve is set on financial assets measured at fair value through profit and loss.

2.4.4 Financial liabilities

Financial liabilities are classified into one of the following measurement categories:

- i. Amortized cost,
- ii. Fair Value through Profit or Loss (FVTPL)

Financial Liabilities at fair value through profit or loss

Financial Liabilities accounted for at fair value through profit or loss fall into two categories: financial liabilities held for trading and financial liabilities designated at fair value through profit or loss on inception. However, for financial liabilities designated at fair value through profit or loss, gains or losses attributable to changes in own credit risk are presented in Other Comprehensive Income.

Financial Liabilities at amortized cost

Financial liabilities that are not classified at fair value through profit or loss fall into this category and are measured at amortized cost using the effective interest rate method.

2.4.5 Offsetting financial instruments.

Financial assets and liabilities are offset, and the net amount reported in the statement of financial position only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the asset and settle the liability simultaneously.

2.4.6 Cash and cash equivalents.

Cash and cash equivalents include cash in hand, bank and call deposits and other short-term highly liquid investments with original maturities of three months or less, which are subject to insignificant risk of changes in their fair value and used by the Company to manage its short-term commitments. Cash and cash equivalents are measured at amortised cost in the statement of financial position.

2.5 Trade receivables and payables related to insurance contracts.

Receivables and payables are recognised when due. These include amounts due to and from agents, brokers and insurance contract holders.

If there is objective evidence that the insurance receivable is impaired, the Group reduces the carrying amount of the insurance receivable accordingly and recognises that impairment loss in the income statement.

Trade and other payables

Trade payables

Trade payables are recognised when due. These include amounts due to agents, reinsurers, co-assurers and insurance contract holders. Trade payables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method. The fair value of a non-interest-bearing liability is its discounted repayment amount. If the due date is less than one year, discounting is not applied.

Accruals and other payables

Other payables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method. The fair value of a non-interest-bearing liability is its discounted repayment amount. If the due date is less than one year, discounting is not applied.

2.6 Investment in Associates

As associate is an entity over which the Group has significant influence and that is neither a subsidiary nor an interest in a joint venture. Significant influence is the power to participate in the financial and operating policy decisions of the investee but is not control or joint control over those policies.

The results and assets and liabilities of associates are incorporated in these consolidated financial statements using the equity method accounting, except when the investment is classified as held for sale, in which case it is accounted for in accordance with IFRS 5 - Noncurrent Asset Held for Sale and Discontinued Operations. Under the equity method, an investment in an associate is initially recognised in the consolidated and separate statement of financial position

at cost and adjusted thereafter to recognize the Group's share of the profit or loss and Other comprehensive income of the associate. When the Group's share of losses of an associate exceeds the Group's interest in that associate (which includes any long-term interest that, in substance, form part of the Groups net investment in the associate), the Group discontinues recognizing its share of further losses. Additional losses are recognised only to the extent that the Group has incurred legal or constructive obligations or made payments on behalf of the associate.

Any excess of the cost of acquisition over the Group's share of the net fair value of the identifiable assets, liabilities and contingent liabilities of an associate recognised at the date of acquisition is recognised as goodwill, which is included within the carrying amount of the investment. Any excess of the Group's share of the net fair value of the identifiable assets, liabilities and contingent liabilities over the cost of acquisition, after reassessment, is recognised immediately in profit or loss.

The requirements of IAS 39 are applied to determine whether it is necessary to recognize any impairment loss with respect to the Group's investment in an associate. When necessary, the entire carrying amount of the investment (including goodwill) is tested for impairment in accordance with IAS 36 Impairment of Assets as a single asset by comparing its recoverable amount (higher of value in use and fair value less costs to sell) with its carrying amount. Any impairment loss recognised forms part of the carrying amount of the investment. Any reversal of that impairment loss is recognised in accordance with IAS 36 to the extent that the recoverable amount of the investment subsequently increases.

When a group entity transacts with its associate, profits and losses resulting from the transactions with the associate are recognised in the Group's consolidated financial statements only to the extent of interests in the associate that are not related to the Group.

2.7 Investment Properties

Investment property is property held on earn rentals or for capital appreciation or both. Investment property, including interest in leasehold land, is initially recognised at cost including the transaction costs. Subsequently, investment property is carried at fair value representing the open market value at the statement of financial position date determined by annual valuation carried out by external registered valuer's, gains or losses arising from changes in the fair value are included in determining the profit or loss for the year to which they relate.

Investment properties are derecognized when either they have been disposed or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. On disposal of an investment property, the difference between the disposal proceeds and the carrying amount is charged or credited to profit or loss.

Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner occupied property, the deemed cost for subsequent accounting is the fair value at the date of change in use. If owner occupied property becomes an investment property, the Group accounts for such property in accordance with the policy stated under property and equipment up to the date of the change in use.

When the Group completes the construction or development of a self-constructed investment property, any difference between the fair value of the property at that date and its previous carrying amount is recognised in the income statement.

2.8 Intangible Assets

Software license costs and computer software that is not an integral part of the related hardware are initially recognised at cost, and subsequently carried at cost less accumulated amortization and accumulated impairment losses. Costs that are directly attributable to the production of

identifiable computer software products controlled by the Group are recognised as intangible assets.

Amortization is calculated using the straight-line method to write down the cost of each license or item of software to its residual value over its estimated useful life.

Amortization begins when the asset is available for use, i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by management, even when idle. Amortization ceases at the earlier date that the asset is classified as held for sale and the date that the asset is derecognized and ceases temporarily, while the residual value exceeds or is equal to the carrying value.

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the income statement when the asset is derecognized.

Intangibles recognised as assets are amortized over their useful lives, which does not exceed five years.

2.9 Property, Plant and Equipment

All categories of property and equipment are initially recognised at cost. Cost includes expenditure directly attributable to the acquisition of the assets. Computer software, including the operating system that is an integral part of the related hardware is capitalized as part of the computer equipment.

Work in progress owner-occupied property that are included in property, plant and equipment are stated at cost to date and are not yet de-componentised as the asset has not been put into use.

Subsequent cost is included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. Repairs and maintenance expenses are charged to the income statement in the year in which they are incurred.

Increases in the carrying amount arising on revaluation are recognised in other comprehensive income and accumulated in equity under the heading of revaluation surplus. Decreases that offset previous increases of the same asset are recognised in other comprehensive income. All other decreases are charged to the statement of profit or loss.

Freehold land is not depreciated. Depreciation is calculated using the straight line method to write down the cost or the revalued amount of each asset to its residual value over its estimated useful life using the following annual rates:

Land	0%
Buildings	2%
Motor Vehicles	25%
Computer Equipment	20%
Furniture & Fittings	10%
Office Equipment	10%
Plant & Machinery	10%
Aircraft (Componentized) & Aircraft Engines	4%
Airframes (Body)	3%
Landing gears	10%
APU Avionic& other electronic parts	15%

Depreciation on an item of property, plant and equipment commences when it is available for use and continues to depreciate until it is derecognized, even if during that period the item is idle. Depreciation of an item ceases when the item is retired from active use and is being held for disposal.

Where no part, of items of property, plant and equipment have a cost that is significant in relation to the total cost of the item, the same rate of depreciation is applied to the whole item.

On an annual basis, the assets' residual values, depreciation method and useful lives are reviewed, and adjusted if appropriate at each statement of financial position date.

An item of property and equipment is derecognized upon disposal or when no future economic benefits are expected from its use or disposal.

Gains and losses on disposal of property and equipment are determined by reference to their carrying amounts and are taken into account in determining operating profit.

2.10 Leases

Based on the accounting policy applied the Company recognizes a right-of-use asset and a lease liability at the commencement date of the contract for all leases conveying the right to control the use of an identified assets for a period. The commencement date is the date on which a lessor makes an underlying asset available for use by a lessee.

The right-of-use assets are initially measured at cost, which comprises:

- the amount of the initial measurement of the lease liability.
- any lease payments made at or before the commencement date, less any lease incentives.
- any initial direct costs incurred by the bank.
- an estimate of costs to be incurred by the lessee in dismantling and removing the underlying assets or restoring the site on which the assets are located.

After the commencement date the right-of-use assets are measured at cost less any accumulated depreciation and any accumulated impairment losses and adjusted for any re-measurement of the lease liability.

Depreciation is calculated using the straight-line method over the estimated useful lives of the leased asset.

The lease liability is initially measured at the present value of the lease payments that are not paid at that date. These include:

- fixed payments, less any lease incentives receivable.
- variable lease payments that depend on a rate, initially measured using the rate as at the commencement date:
- amounts expected to be payable by the company under residual value guarantees.
- the exercise price of a purchase option if the company is reasonably certain to exercise that option.

The lease payments are discounted using the company's incremental borrowing rate or the rate implicit in the lease contract.

2.11 Statutory Deposits

Statutory Deposit represents 10% of the paid-up capital of the Company deposited with the Central Bank of Nigeria (CBN) pursuant to Section 10(3) of the Insurance Act CAP 117 LFN 2003. Statutory deposits are cash balances held with the Central Bank of Nigeria (CBN) in compliance with the Insurance Act, CAP 117, Laws of the Federation of Nigeria, 2003 for the life insurance

companies. The deposits are only available as a last resort to the Company if it goes into liquidation. Statutory deposits are measured at amortised cost.

2.12 Hypothecation of assets

The Company structured its assets to meet the requirements of the Insurance Act 2003 such that policy holder's assets and funds are not co-mingled with shareholders'. In particular, investment properties, investment securities (equities and fixed income securities) and insurance funds hypothecated to policyholders are distinguished from those owned by the shareholders.

2.13 Retirement Benefit Obligations

Defined Contribution Plan

A defined contribution plan is a pension plan under which the company pays fixed contributions into a separate entity. The company has no legal or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods.

The company pays contributions to publicly or privately administered pension insurance plans on a mandatory, contractual or voluntary basis. The company has no further payment obligations once the contributions have been paid. The contributions are recognised as employee benefit expense when they are due. Prepaid contributions are recognised as an asset to the extent that a cash refund or a reduction in the future payments is available.

In accordance with the provisions of the Pension Reform Act 2014. The company engage in a contributory pension with the employer and employee contributing a minimum of 10% and 8% of basic salary, housing and transport allowance respectively to each employee's retirement savings account maintained with their nominated pension fund administrators.

Short-term employee benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided.

A liability is recognised for the amount expected to be paid under short-term cash bonus or profit-sharing plans if the company has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and obligation can be estimated reliably.

Defined benefit and long-term benefits plan

A defined benefit plan is a pension plan that defines an amount of pension benefit that an employee will receive on retirement, usually dependent on one or more factors, such as age, years of service and compensation.

The liability recognised in the statement of financial position in respect of the defined benefit pension plan is the present value of the defined benefit obligation at the date of the statement of financial position less the fair value of plan assets, together with adjustments for unrecognised actuarial gains or losses and past service costs.

Terminal Benefits/Severance pay

This is determined on need - basis. The Company enters into Collective Bargaining Agreement with Staff Union (staff representatives) anytime there is a business imperative to optimize. Management endorses Collective Bargaining Agreement in this instance as the request comes up

2.14 Provisions

General Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. Where the Group expects some or all of a provision to be reimbursed, the reimbursement is recognised as a separate asset but only when the reimbursement is virtually certain. The expense relating to any provision is presented in the income statement net of any reimbursement, if the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

2.15 Current Income Tax

Current income tax is the amount of income tax payable on the taxable profit for the year determined in accordance with the Nigeria Income Tax Act. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted as at the reporting date.

2.16 Deferred Income Tax

Deferred income tax is provided in full on all temporary differences except those arising on the initial recognition of an asset or liability.

Deferred income tax is determined using the liability method on all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes, using tax rates and laws enacted or substantively enacted at the statement of financial position date and expected to apply when the related deferred income tax asset is realized or the deferred tax liability is settled.

Deferred income tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilized. The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilized, unrecognized deferred tax assets are reassessed at each reporting date and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted, at the reporting date.

Deferred tax relating to items recognised outside profit or loss is recognised outside profit or loss. Deferred tax items are recognised in correlation to the underlying transaction either in other comprehensive income or directly in equity.

Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set off such:

- * Current tax assets against current income tax liabilities and
- * The deferred taxes relate to the same taxable entity and
- * The same taxation authority

2.17 Share Capital and Share Premium

Ordinary shares are recognized at par value and classified as 'share capital' in equity. Any amounts received over and above the par value of the shares issued are classified as 'share premium' in equity.

2.18 Statutory Contingency Reserve

The Group maintains contingency reserves in accordance with the provisions of Insurance Act 2003 to cover fluctuations in securities and variations in statistical estimates at the rate equal to the higher of 1% of total premium or 10% of the net profit.

2.19 Retained Earnings

The retained earnings represent the amount available for dividend distribution to the equity shareholders of the company. See statement of changes in equities for movement in retained earnings.

2.20 Assets Revaluation Reserve

This represents the Group's revaluation reserve emanating from revaluation of certain assets

2.21 Income Recognition Insurance Revenue

Revenue on insurance contract is recognized as revenue when paid by the policy holder.

For single premium business revenue is recognised on the date on which the policy is effect.

Insurance revenue comprise the total premiums received for the whole period of cover provided by contracts entered during the accounting period and are recognised on the date on which the policy incepts. Revenue includes any adjustments arising in the accounting period for premiums receivable in respect of business written in prior accounting periods.

Revenue collected by intermediaries, but not yet received, are assessed based on estimates from underwriting or past experience and are included in revenue collected.

2.22 Investment Income

Interest income is recognised in the income statement as it accrues and is calculated by using the effective interest rate method. Fees and commissions that are an integral part of the effective yield of the financial asset or liability are recognised as an adjustment to the effective interest rate of the instrument. Investment income consists of dividends, interest and rental income on investment properties, interest income on loans and receivables, realised gains and losses as well as unrealised gains and losses on fair value assets. Rental income is recognised on an accrual - basis.

Interest income

Interest income is recognised in profit or loss as it accrues and is calculated by using the effective interest rate method. Fees and commissions that are an integral part of the effective yield of the financial asset or liability are recognised as an adjustment to the effective interest rate of the instrument. The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate, a shorter period to the net carrying amount of the financial asset or financial liability.

Dividend income

Dividend income from investment is recognised when the shareholders' right to receive payment have been established.

Realised gains and losses and unrealised gains and losses

Realised gains and losses on investments include gains and losses on financial assets and investment properties. Realised gains and losses on the sale of investments are calculated as the difference between net sales proceeds and the original or amortised cost or fair value and are recorded on occurrence of the sale transaction.

Unrealised gains or losses represent the difference between the carrying value at the year end and the carrying value at the previous year end or purchase value during the year, less the reversal of previously recognised unrealised gains and losses in respect of disposals during the year.

Other operating income

Other operating income represents income generated from sources other than premium revenue and investment income. It includes rental income, profit on disposal of property and equipment, salvage recoveries and other sundry income.

2.23 Interest Income and Expense

Interest income and expense are recognized in profit or loss using the effective interest method. The effective Interest rate is the rate that exactly discounts the estimated future cash (or, where appropriate, the next re-pricing date) to the carrying amount of the financial asset or liability. When calculating the effective interest rate, the entity estimates future cash flows considering all contractual terms of the financial instruments but not future credit losses.

The calculation of the effective interest rate includes contractual fees and points paid or received transaction costs and discounts or premium that are integral part of the effective interest rate.

Transaction costs are incremental costs that are directly attributable to the acquisition, issue or disposal of a financial asset or liability.

Interest income and expense presented in the financial statement include:

Interest on financial assets and liabilities measured at amortized cost calculated on an effective interest basis. Interest on financial assets measured at fair value through profit or loss calculated on an effective interest rate basis.

Expense Recognition

2.24 Expenses

Expenses are recognised in the income statement when a decrease in future economic benefit related to a decrease in an asset or an increase of a liability has arisen that can be measured reliably. This means, in effect, that recognition of expenses occurs simultaneously with the recognition of an increase in liabilities or a decrease in assets (for example, the accrual of employee entitlements or the depreciation of equipment).

When economic benefits are expected to arise over several accounting periods and the association with income can only be broadly or indirectly determined, expenses are recognised in the income statement on the basis of systematic and rational allocation procedures.

This is often necessary in recognizing the equipment associated with the using up of assets such as property, plant and equipment in such cases the expense is referred to as a depreciation or amortization. These allocation procedures are intended to recognise expenses in the accounting periods in which the economic benefits associated with these items are consumed or expire, an expense is recognised immediately in the income statement when expenditure produces no future economic benefits or when, and to the extent that future economic benefits do not qualify, or cease to qualify, for recognition in the statement of financial position as an asset.

2.25 Management expenses

Management expenses are recognised in profit or loss when goods are received, or services rendered. They are expenses other than claims, maintenance and underwriting expenses and include employee benefits, depreciation charges and other operating expenses.

2.26 Impairment of non-financial assets

The group assesses at each reporting date whether there is an indication that an asset may be impaired. If any such indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount, an asset's recoverable amount is the higher of an asset's or cash generating unit's fair value less costs to sell and its value in use.

The recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or Groups of assets. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-discount rate that reflects current market assessments of the time value of money and the risks specific to the asset, in determining fair value less costs to sell, an appropriate valuation model is used.

Impairment losses of continuing operations are recognised in the income statement in those expenses categories consistent with the function of the impaired asset, except for property previously revalued where the revaluation was taken to comprehensive income, in this case the impairment is also recognised in comprehensive income up to the amount of any previous revaluation.

An assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Group makes an estimate of recoverable amount. A previous impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised, if that is the case the carrying amount of the asset is increased to its recoverable amount.

The increased amount cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the income statement unless the asset is carried at revalued amount, in which case the reversal is treated as a revaluation increase.

2.27 Critical accounting estimates and judgements

When preparing the financial statements management undertakes a number of judgements, estimates and assumptions about recognition and measurement of assets, liabilities, income and expenses. The actual results are likely to differ from the judgements, estimates and assumptions made by management and will seldom equal the estimated results. Information about the significant judgements, estimates and assumptions that have the most significant effect on the recognition and measurement of assets, liabilities, income and expenses are discussed.

2.28 Process used to decide on assumptions.

2.28.1 Valuation interest rate:

The valuation interest rate is based on current market risk-free yields with adjustments. The use of a risk-free rate also implies that future investment margins (in excess of the risk-free return) will not be capital. Further the result is a "fair value" liability calculation which aids the comparability of accounts between insurers.

The rate of interest used in the valuation is 12.83% PA, with the exception' of annuities which adopted an interest rate of 12.79%. The basis to be adopted for distribution of profits among policyholders and shareholders is determined by the Directors, considering the requirements of the 2003 Insurance Act with regards to such distributions and the advice of the Actuary.

- a. The directors acting on the advice of the Actuary, determine the principles upon which any distribution of profits to policy holders will be made
- b. Reversionary bonuses are allotted in respect of each full year's premium paid
- c. Reversionary bonuses vest on the policy anniversary

2.28.2 Expenses

The Group makes provisions for expenses in its mathematical reserves of an amount which is not less than the amount expected to be incurred in fulfilling its long-term insurance contracts.

Future maintenance expenses

The regulatory maintenance expenses are derived from the best estimate maintenance expenses plus a prudence margin for adverse deviations. The best estimate maintenance expenses are calculated using the sum of the following:

- (1) Per policy maintenance charges
- (2) Allocated operating expenses

The valuation expense assumptions are as follows:

Type of Business	Current Valuation N'per policy	Previous valuation N'per policy
Individual Life	20,975	20,975
Deposit Based Policies	20,975	20,975
Annuities	20,975	20,975

2.28.3 Expense Inflation

The above expenses are subject to inflation at 13.19% pa. Consumer Price Inflation at 31 December 2023 was 21.34%. Both the expense inflation and expense assumption will be actively reviewed in subsequent valuations once more experience data and an expense analysis is made available.

2.28.4 Mortality

An appropriate base table of standard mortality is chosen depending on the type of contract. An investigation into Group's experience over the most recent three years is performed, and statistical methods are used to adjust the rates reflected in the table to a best estimate of mortality for that year.

The Mortality Table used in the valuation is the Mortality of Assured Lives 1967-70 (A6770) without adjustment. The annuities were valued using the UK's (PA90)-2 Annuitants table.

+ Where negative reserves were calculated, these were set to zero to prevent policies being treated as assets.

+ Any policies subject to substandard terms were valued using the same basis as standard policies.

For annuity, we have adopted the UK Pensioner table PA (90) with age rating of -1 to-2

2.28.5 Withdrawals

Surrenders are acceptable under the Endowment life assurance portfolio after policies have been in force for a pre-defined length of time (at which policies become eligible to receive a surrender value payout).

2.28.6 Group life businesses

Unexpired premium reserves (DPR) are reduced by a margin representing acquisition expenses, as these have been loaded into rates yet they have already been incurred. The acquisition expense ratio of 20% of gross premium was adopted. Group Life commission is currently paid at 9% of premium and a NAICOM (regulatory) fee is payable at 1% of premium. The remaining 10% of premium reflects the loading for additional acquisition expenses.

2.28.7 Reinsurance agreements

Reinsurance is allowed for in the valuation by having gross and reinsurance ceded records in the policy files. All reserves have been reported gross of reinsurance, with the value of the reinsurance asset reported separately.

2.28.8 Changes in assumptions

The Group did not change its assumptions for the insurance contracts.

2.28.9 Insurance and Market risk sensitivities

The sensitivity analysis of insurance and market risk is used as it provides a detailed understanding of the risks inherent in the business and to help develop a risk monitoring and management framework to ensure the risks remain within limits, taking into account the available capital and shareholder risk tolerance levels.

2.29 Insurance contracts

Key types of insurance contracts issued, and reinsurance contracts held.

The Company issues the following type of contracts that are accounted for in accordance with IFRS 17 Insurance Contracts:

Life insurance

For the Life insurance products, the Group offers the following insurance contracts with indication of IFRS 17 methodologies applied on these contracts:

- (a) Individual Life With-profit Policies - These are endowment plans without participating features. The Group accounts for these policies applying the General Model.

Individual Life Without-profit Policies including:

- Term life insurance contracts providing level or decreasing sum assured coverage for a limited period in exchange for renewable fixed premiums.
- Whole of life assurance contracts.

The Company accounts for these policies applying the General Model.

(b) Annuity Policies including:

- Fixed annuity contracts providing the annuitant with a guaranteed income payout for a limited period.

- Deferred annuity contracts providing the annuitant with a guaranteed income payout for life, with the first payment due at the end of the deferment period, provided all contractual premiums were paid. The policyholder is entitled to a surrender benefit (a portion of the accumulation balance at a guaranteed interest rate) if premiums are not fully paid.

The Company accounts for these policies applying the General Model.

(c) Life Business – Deposit based policies.

These contracts are individual term assurance plans providing a death benefit with non-distinct investment components. The Group accounts for these policies applying the General Model.

(d) Group Life Insurance - The Group issues term assurance plans providing death benefits to employees of businesses with coverage of one year or less.

The Company accounts for these contracts applying the Premium Allocation Approach (PAA).

Reinsurance contracts

The Company also holds the following types of reinsurance contracts to mitigate risk exposure.

- For the life business, the Company holds quota share reinsurance treaties and accounts for these treaties applying the PAA.

a. Definitions and classifications

Insurance products sold by the Group are classified as insurance contracts when the Group accepts significant insurance risk from a policyholder by agreeing to compensate the policyholder if a specified uncertain future event adversely affects the policyholder.

This assessment is made on a contract-by-contract basis at the contract issue date. In making this assessment, the Group considers all its substantive rights and obligations, whether they arise from contract, law or regulation.

The Group determines whether a contract contains significant insurance risk by assessing if an insured event could cause the Group to pay to the policyholder additional amounts that are significant in any single scenario with commercial substance even if the insured event is extremely unlikely or the expected present value of the contingent cash flows is a small proportion of the expected present value of the remaining cash flows from the insurance contract.

The Group does not issue any contracts with direct participating features

b. Combining a set or series of contracts

Sometimes, the Group enters two or more contracts at the same time with the same or related counterparties to achieve an overall commercial effect. The Group accounts for such a set of contracts as a single insurance contract when this reflects the substance of the contracts. When making this assessment, the Group considers whether:

- The rights and obligations are different when looked at together compared to when looked at individually.
- The Group is unable to measure one contract without considering the other.

c. **Separating components from insurance and reinsurance contracts**

The Group assesses its insurance and reinsurance products to determine whether they contain components which must be accounted for under another IFRS rather than IFRS 17 (distinct non- insurance components). After separating any distinct components, an entity must apply IFRS 17 to all remaining components of the (host) insurance contract. Currently, the Group's products do not include distinct components that require separation.

Some term life contracts issued by the Group include a surrender option under which the surrender value is paid to the policyholder on maturity or earlier lapse of the contract. These surrender options have been assessed to meet the definition of a non-distinct investment component in IFRS 17.

However, receipts and payments of the investment components are excluded from insurance revenue and insurance expenses. The surrender options are considered non-distinct investment components as the Group is unable to measure the value of the surrender option component separately from the life insurance portion of the contract.

The standard requires an insurer to identify and separate distinct components in certain circumstances. When separated, those components are accounted for under the relevant IFRS (i.e., not under IFRS 17). Investment components that are highly interrelated with the insurance contract of which they form a part are considered non-distinct and are not separately accounted for. However, these non-distinct investment components are excluded from the insurance service results.

Paragraph B18 of IFRS 17 states that an entity needs to assess the insurance risk excluding scenarios that have no commercial substance (ie no discernible effect on the economics of the transaction). Hence, for the purpose of determining if an insurance contract includes an investment component the entity needs to assess whether scenarios in which no payments are made have commercial substance. The entity does not consider a scenario for which no payment is made if that scenario has no commercial substance.

For African Alliance, none of the products issued currently have distinct investment components. For African Alliance deposit-based endowments, unallocated investment income is what covers policy expenses and management expenses as well as guaranteed death benefits. This effectively implies that the investment component in these products is interrelated with the risk component.

The investment component for African Alliance endowments comprises surrender and maturity benefit payable.

d. Level of aggregation

IFRS 17 requires an entity to determine the level of aggregation for applying its requirements. The Group identifies portfolios by aggregating insurance contracts that are subject to similar risks and managed together. In grouping insurance contracts into portfolios, the Group considers the similarity of risks rather than the specific labelling of product lines. The Group has determined that all contracts within each product line, as defined for management purposes, have similar risks. Therefore, when contracts are managed together, they represent a portfolio of contracts.

Each portfolio is subdivided into groups of contracts to which the recognition and measurement requirements of IFRS 17 are applied.

At initial recognition, the Group segregates contracts based on when they were issued. A cohort contains all contracts that were issued within a 12- month period. Each cohort is then further disaggregated into three groups of contracts:

- Contracts that are onerous on initial recognition
- Contracts that, on initial recognition, have no significant possibility of becoming onerous subsequently
- Any remaining contracts

For the Retail Life business, the determination of whether a contract or a group of contracts is onerous is based on the expectations as at the date of initial recognition, with fulfilment cash flow expectations determined on a probability-weighted basis.

The composition of groups established at initial recognition is not subsequently reassessed.

The profitability of groups of contracts is assessed by actuarial valuation models that take into consideration existing and new businesses.

For short term contracts accounted for applying the PAA, the Group determines that contracts are not onerous on initial recognition, unless there are facts and circumstances indicating otherwise. For contracts that are not onerous, the Group assesses, at initial recognition, that there is no significant possibility of becoming onerous subsequently by assessing the likelihood of changes in applicable facts and circumstances. The Group considers facts and circumstances to identify whether a group of contracts are onerous based on:

- Significant changes in external conditions including economic or regulatory changes e.g. (PRAN rate review)
- Changes to the organization or processes
- Changes in underwriting and pricing strategies
- Trends in experience and expected variability in cashflows

Level of aggregation - continued

This consideration is only required for Liability for Remaining Coverage (LRC) and not Liability for Incurred Claims (LIC) which is already measured at current fulfilment value. Fulfilment cashflows can be estimated at whichever aggregate level is deemed appropriate and then subsequently allocated into IFRS 17 portfolios and groups. The fact that incurred claims of a particular cohort is loss-making does not mean the LRC will be onerous as well. Judgement is applied to determine whether each cohort's LRC will be like this incurred experience and hence onerous. For example, actions taken to improve profitability a historically loss-making cohort may indicate that the cohort will be non-onerous going forward.

All short-term contracts have currently been assessed as having no possibility of becoming onerous. The Group expects that improvements will be sustained in future and therefore the cohort will be non-onerous. In subsequent periods, non-onerous contracts are re-assessed based on the likelihood of prevailing facts and circumstances leading to significant possibility of becoming onerous.

Reinsurance contracts held are assessed for aggregation on an individual contract basis and are assessed separately from insurance contracts. The smallest unit of account is a reinsurance contract, even where this contract covers more than one type of insurance product. However, there are cases where a reinsurance contract covers separate and identifiable product lines which are only included in the same legal document for administrative convenience. These contracts have been separated into its different component.

If two or more reinsurance contracts are written on a particular product line, these may be grouped together in the same portfolio as they will be covering risks of the same nature and will be managed together. While, facultative and excess of loss contracts are in separate groups; though they cover the same risks and are even managed together, differing measurement approaches as well as recognition requirements may apply

E. Recognition

Insurance contracts are recognised as at the date when the first payment is received by the policyholder. As African Alliance adheres to the statutory "no premium no cover", the date premium is received from the policyholder will always be earlier or on the same date as the coverage period.

This premium receipt date would then be used to separate the groups of insurance contracts into yearly cohorts. The contract groupings shall not be reassessed until they are derecognized.

As required by the standard, African Alliance will recognize contracts from the date at which they are determined to be onerous, if this occurs before premium payment or cover commencement.

F. Contract Boundaries

The Group includes in the measurement of a group of insurance contracts all the future cash flows within the boundary of each contract in the group. Cash flows are within the boundary of an insurance contract if they arise from substantive rights and obligations that exist during the

reporting period in which the Group can compel the policyholder to pay the premiums, or in which the Group has a substantive obligation to provide the policyholder with insurance contract services. A substantive obligation to provide insurance contract services ends when:

- The Group has the practical ability to reassess the risks of the particular policyholder and, as a result, can set a price or level of benefits that fully reflects those risks. or
- Both of the following criteria are satisfied:
 - The Group has the practical ability to reassess the risks of the portfolio of insurance contracts that contain the contract and, as a result, can set a price or level of benefits that fully reflects the risk of that portfolio.
 - The pricing of the premiums up to the date when the risks are reassessed does not consider the risks that relate to periods after the reassessment date.

A liability or asset relating to expected premiums or claims outside the boundary of the insurance contract are not recognized. Such amounts relate to future insurance contracts.

For life contracts with renewal periods, the Group assesses whether premiums and related cash flows that arise from the renewed contract are within the contract boundary. The pricing of the renewals is established by the Group by considering all the risks covered for the policyholder by the Group, that the Group would consider when underwriting equivalent contracts on the renewal dates for the remaining service. The Group reassesses contract boundary of each group at the end of each reporting period.

G. Measurement of insurance contracts issued

1. General Model

1.1 Insurance contracts - initial measurement

The Group measures a group of contracts on initial recognition as the sum of the expected fulfilment cash flows within the contract boundary and the Contractual Service Margin (CSM) representing the unearned profit in the contracts relating to services that will be provided under the contracts.

Fulfilment cash flows within contract boundary

The fulfilment cash flows are the current unbiased and probability-weighted estimates of the present value of the future cash flows, including a risk adjustment for non-financial risk. In arriving at a probability-weighted mean, the Group considers a range of scenarios to establish a full range of possible outcomes incorporating all reasonable and supportable information available without undue cost or effort about the amount, timing and uncertainty of expected future cash flows. The estimates of future cash flows reflect conditions existing at the measurement date including assumptions at that date about the future. The Group estimates expected future cash flows for a group of contracts at a portfolio level and allocates them to the groups in that portfolio in a systematic and rational way.

When estimating future cash flows, the Group includes all cash flows within the contract boundary including:

- Premiums and any additional cash flows resulting from those premiums.
- Reported claims that have not yet been paid, claims incurred but not yet reported, future claims expected to arise from the policy and potential cash inflows from recoveries on future claims covered by existing insurance contracts.
- An allocation of insurance acquisition cash flows attributable to the portfolio to which the issued contract belongs.
- Claim handling costs.
- Costs of providing contractual benefits in kind, such as home and vehicle repair
- Policy administration and maintenance costs including recurring commissions expected to be paid to intermediaries for policy administration services only (recurring commissions that are insurance acquisition cash flows are treated as such in the estimate of future cash flows)
- Transaction-based taxes
- An allocation of fixed and variable overheads directly attributable to the fulfilment of insurance contracts including overhead costs such as accounting, human resources, information technology and support, building depreciation, rent, and maintenance and utilities.
- Costs incurred for performing investment activities that enhance insurance coverage benefits for the policyholder.
- Costs incurred for providing investment-related service and investment-return service to policyholders.
- Other costs specifically chargeable to the policyholder under the terms of the contract.

The Group does not provide investment-return services in respect of contracts that it issues, nor does it perform investment activities for the benefit of policyholders.

The Group incorporates, in an unbiased way, all reasonable and supportable information available without undue cost or effort about the amount, timing and uncertainty of those future cash flows. The Company estimates the probabilities and amounts of future payments under existing contracts based on information obtained, including:

- Information about claims already reported by policyholders.
- Other information about the known or estimated characteristics of the insurance contracts
- Historical data about the Company's own experience, supplemented, when necessary, with data from other sources. Historical data is adjusted to reflect current conditions.
- Current pricing information, when available

The measurement of fulfilment cash flows includes insurance acquisition cash flows which are allocated as a portion of premium to profit or loss (through insurance revenue) over the period of the contract in a systematic and rational way based on the passage of time. The Group does not elect to accrete interest on insurance acquisition cash flows to be allocated to profit or loss.

Discount Rate

The time value of money and financial risk is measured separately from expected future cash flows with changes in financial risks recognized in profit or loss at the end of each reporting period unless the Group has elected the accounting policy to present the time value of money separately in profit or loss and other comprehensive income. The Group measures the time value of money using discount rates that reflect the liquidity characteristics of the insurance contracts and the characteristics of the cash flows, consistent with observable current market prices. They exclude the effect of factors that influence such observable market prices but do not affect the future cash flows of the insurance contracts (e.g., credit risk).

In determining discount rates for cash flows, the Group uses the 'bottom-up approach' to estimate discount rates starting from a risk-free rate with similar characteristics, plus an illiquidity premium where applicable. Risk free rates are determined by reference to the yields of highly liquid FGN Bonds. The illiquidity premium is determined by reference to observable narrates, including sovereign debt, corporate debt and market swap rat

Risk adjustment for non-financial risk

The Group measures the compensation it would require for bearing the uncertainty about the amount and timing of cash flows arising from insurance contracts, other than financial risk, separately as an adjustment for non-financial risk

The Group uses the cost of capital method in estimating the risk adjustment. The level of capital and the cost of capital rate that feed this estimation technique are calibrated from the Group economic capital's approach within which the Group estimates the impact of non-financial risks. The economic capital approach includes a quantitative measure of the Group's risk appetite which allows a specific measure of the Group's non-financial risk and the degree of its risk aversion for financial reporting purposes. The Group's economical capital approach, and the risk adjustment calculation derived from it, include the benefits of diversification at the issuing entity level. This is allocated to all the groups of insurance contracts. Diversification benefits are derived from a study of the negative correlation that exists among the different non-financial variables impacting the cash flows from the portfolios of the Group and results in lower economic capital being necessary to absorb the residual level of uncertainty.

Contractual service margin (CSM)

The CSM is a component of the overall carrying amount of a group of insurance contracts representing unearned profit that the Group will recognize as it provides insurance contract services over the coverage period.

At initial recognition, the Group measures the CSM at an amount that, unless a group of insurance contracts is onerous, results in no gains recognized in profit or loss arising from:

- The expected fulfilment cash flows of the group.
- The amount of any derecognized asset for insurance acquisition cash flows allocated to the group.
- Any other asset or liability previously recognized for cash flows related to the group.
- Any cash flows that have already arisen on the contracts as of that date.

If a group of contracts is onerous, the Group recognizes a loss on initial recognition. This results in the carrying amount of the liability for the group being equal to the fulfilment cash flows, and the CSM of the group being nil. A loss component is recognized for any loss on initial recognition of the group of insurance contracts.

The Group determines at initial recognition the group's coverage units. The Group then allocates the group's CSM based on the coverage units provided in the period.

The Group allocates contracts acquired with claims in the settlement phase into annual groups based on the expected profitability of the contracts at the date of acquisition. The Group uses the consideration received or paid as an approximation of premiums to calculate the CSM on initial recognition.

Insurance acquisition cash flows

The Group includes insurance acquisition cash flows in the measurement of a group of insurance contracts if they are directly attributable to either the individual contracts in a group, the group itself or the portfolio of insurance contracts to which the group belongs.

The Group estimates, at a portfolio level, insurance acquisition cash flows not directly attributable to the group but directly attributable to the portfolio. The Group then allocates them to the group of newly written and renewed contracts on a systematic and rational basis.

The Group applies judgement in determining the inputs used in the methodology to systematically and rationally allocate insurance acquisition cash flows to groups of insurance contracts. This includes judgements about whether insurance contracts are expected to arise from renewals of existing insurance contracts and, where applicable, the amount to be allocated to groups including future renewals and the volume of expected renewals from new contracts issued in the period.

In the current and prior years, the Group did not allocate any insurance acquisition cash flows to future groups of insurance contracts, as it did not expect any renewal contracts to arise from new contracts issued in the period.

In the current and prior year, the Group did not identify any facts and circumstances indicating that the assets may be impaired.

Deferred acquisition costs (DAC)

Under IFRS 4, the Group recognised deferred acquisition cash flows separately as assets. Under IFRS 17, insurance acquisition cash flows are allocated to existing and future groups of insurance contracts on a systematic and rational basis. For insurance contracts measured under the GMM, on initial recognition of a group of contracts, the allocated insurance acquisition cash flows decrease the CSM and are thus implicitly deferred within the CSM, leading to a lower amount of CSM amortisation recognised in revenue in future reporting periods as services are rendered. However, for presentation purposes, directly attributable acquisition costs allocated to a group of contracts are amortised as an insurance service expense in a systematic way based on the passage of time, with an equal amount recognised as insurance revenue.

Under the PAA, the Group recognised insurance acquisition cash flows in the liability for remaining coverage (LRC) and amortised insurance acquisition cash flows as insurance service expenses.

1.2. Insurance contracts – Subsequent Measurement (General Model)

In estimating the total future fulfilment cash flows, the Group distinguishes between those relating to already incurred claims and those relating to future service. At the end of each reporting period, the carrying amount of the group of insurance contracts will reflect a current estimate of the liability for remaining coverage (LRC) as at that date and a current estimate of the liability for incurred claims (LIC).

The LRC represents the Group's obligation to investigate and pay valid claims under existing contracts for insured events that have not yet occurred, amounts that relate to other insurance contract services not yet provided (i.e. provision of investment-return and investment-related services) and investment components and other amounts not related to insurance contract services that have not yet been transferred to the LIC.

The LRC is comprised of:

- (a) the fulfilment cash flows relating to future service,
- (b) the CSM yet to be earned and
- (c) any outstanding premiums for insurance contract services already provided.

The LIC includes the Group's liability to pay valid claims for insured events that have already incurred, other incurred insurance expenses arising from past coverage service and the liability for claims incurred but not yet reported. It also includes the Group's liability to pay amounts the Group is obliged to pay the policyholder under the contract. This includes repayment of investment components, when a contract is derecognized. The current estimate of LIC comprises the fulfilment cash flows related to current and past service allocated to the group at the reporting date.

Changes in fulfilment cash flows

At the end of each reporting period, the Group updates the fulfilment cash flows for both LIC and LRC to reflect the current estimates of the amounts, timing and uncertainty of future cash flows, as well as discount rates and other financial variable.

The Group has an accounting policy choice which calculates changes in fulfilment cash flows at the end of a reporting period for changes in non- financial assumptions, changes in discount rates and financial assumptions. The Group first calculates the changes in discount rates and financial assumptions on the fulfilment cash flows (as expected at the beginning of the period) and then calculate changes on those cash flows from the change in non-financial assumptions.

Experience adjustments are the difference between:

- The expected cash flow estimates at the beginning of the period and the actual cash flows for premiums received in the period (and any related cash flows paid such as insurance acquisition cash flows and insurance premium taxes)
- The expected cash flow estimates at the beginning of the period and the actual incurred amounts of insurance service expenses in the period (excluding insurance acquisition expenses)

Experience adjustments relating to current or past service are recognized in profit or loss. For incurred claims (including incurred but not reported) and other incurred insurance service expenses, experience adjustments always relate to current or past service. They are included in profit or loss as part of insurance service expenses.

Experience adjustments relating to future service are included in the LRC by adjusting the CSM. The release of the CSM depends on whether the contract does not participate, participates indirectly, or directly participates in the performance of the specified underlying items.

At the end of each reporting period, the Group re-estimates the LRC fulfilment cash flows, updating for changes in assumptions relating to financial and non-financial risks.

Adjustments to the CSM

The following changes in fulfilment cash flows are related to future service and adjust (or 'unlock') the CSM of the group of insurance contracts:

- Experience adjustments relating to the premiums received in the period that relate to future service, and any relate cash flows such as insurance acquisition cash flows and premium-based taxes measured at the 'locked in' discount rates applicable when the contracts in the group were initially recognized.
- The change in the estimate of the present value of expected future cash flows in the liability for remaining coverage, related to non-financial variables, measured at the 'locked in' discount rates applicable when the contracts in the group were initially recognized. All financial variables are locked in at initial recognition.
- Changes in the risk adjustment for non-financial risk relating to future service. The Group has elected not to disaggregate the change in the risk adjustment for non-financial risk between:
 - a change related to non-financial risk and
 - the effect of the time value of money and changes in the time value of money.
- Differences between the amount of investment components that were expected to be payable in the period and the amount of investment components that became payable. The amount of investment components expected to be payable in the period is measured at the discount rates applicable before it became payable

Adjustments to the CSM - continued

The following adjustments do not relate to future service and thus do not adjust the CSM:

- Changes in fulfilment cash flows for the effect of the time value of money and the effect of financial risk and changes thereof.
- Changes in the fulfilment cash flows relating to the LIC.
- Experience adjustments relating to insurance service expenses (excluding insurance acquisition cash flows)

Any further increases in fulfilment cash flows relating to future coverage are recognized in profit or loss as they occur, increasing the loss component of the group of insurance contracts. Any subsequent decreases in fulfilment cash flows related to future coverage do not adjust the CSM until the loss component of the group is fully reversed through profit or loss.

At the end of the reporting period, the carrying amount of the CSM for a group of insurance contracts without direct participating features is the carrying amount at the beginning of the period adjusted for:

- The effect of any new contracts added to the group.
- Interest accreted on the carrying amount of the CSM measured at the discount rates determined at initial recognition.
- The changes in fulfilment cash flows related to future service, except:

- Increases in fulfilment cash flows that exceed the carrying amount of the CSM, giving rise to a loss that results in the group of contracts becoming onerous or more onerous.
- Decreases in fulfilment cash flows that reverse a previously recognized loss on a group of onerous contracts.
- The effect of any currency exchange differences on the CSM
- The amount recognized as insurance revenue because of the transfer of insurance contract services in the period, determined by the allocation of the CSM remaining at the end of the reporting period over the current and remaining coverage period.

An amount of the CSM is released to profit or loss in each period during which the insurance contract services are provided. In determining the amount of the CSM to be released in each period, the Group follows three steps:

- Determine the total number of coverage units in the group. The amount of coverage units in the group is determined by considering the quantity of benefits provided under the contract and the expected coverage period for each contract.
- Allocate the CSM at the end of the period (before any of it is released to profit or loss to reflect the insurance contract services provided in the period) equally to each of the coverage units provided in the current period and expected to be provided in the future.
- Recognize in profit or loss the amount of CSM allocated to the coverage units provided during the period.

The number of coverage units change as insurance contract services are provided, contracts expire, lapse or surrender and new contracts are added to the group. The total number of coverage units depends on the expected duration of the obligations that the Group has from its contracts. These can differ from the legal contract maturity because of the impact of policyholder behavior and the uncertainty surrounding future insured events.

By determining a few coverage units, the Group exercises judgement in estimating the likelihood of insured events occurring and policyholder behavior to the extent that they affect expected period of coverage in the group, the different levels of service offered across periods and the 'quantity of benefits' provided under a contract.

1.3 Premium Allocation

Approach Insurance contracts

This is a simplification of the general model. The Group applies the PAA to the measurement of group life insurance contracts with a coverage period of each contract in the group of one year or less.

Contracts with coverage period above one year which are not immediately eligible for the PAA, were subjected to a PAA eligibility by assessing the expected LRC cashflows under both the PAA and General Model approaches. However, there is no material difference in the measurement of the liability for remaining coverage between PAA and the general model, therefore, these qualified for PAA.

On initial recognition, the Group measures the carrying amount of the Liability for remaining coverage for insurance contracts held as the premiums received - Gross Written premiums (which will be unearned at the start) less the acquisition costs (as the company has chosen not to expense acquisition costs as incurred). The Group has determined that there is no significant financing component in group life insurance contracts with a coverage period of one year or less. The Group does not discount the liability for remaining coverage to reflect the time value of money and financial risk for such insurance contracts.

At subsequent measurement, the LRC is effectively the unearned premium reserve (UPR) under IFRS 4 less the deferred acquisition costs (DAC). Unlike IFRS 4, DAC will not be presented as an asset under IFRS17. It is instead reflected in the overall insurance contract liability for remaining coverage, without being identified as a separate component in the balance sheet.

Premium Experience Adjustment: Where premium experience adjustments relate to current/ past service and are treated at the end of the period, this will be immediately recognized in the P&L as insurance revenue.

Insurance acquisition cash flows

Insurance acquisition cash flows arise from the costs of selling, underwriting and starting a group of insurance contracts that are directly attributable to the portfolio of insurance contracts to which the group belongs. These include direct and indirect costs incurred in originating insurance contracts, including cashflows related to unsuccessful efforts to obtain new business.

Under the PAA, an entity can choose to immediately expense insurance acquisition cash flows in the P&L when incurred if and only if each insurance contract in a group has a coverage period of one year or less. African Alliance has opted not to expense acquisition cash flows immediately when incurred.

Alternatively, an entity can recognize insurance acquisition cash flows in the measurement of liability for remaining coverage (LRC) and amortize insurance acquisition cash flows in the P&L (systematically - in line with earning pattern of premium revenue OR passage of time, with the former being the method adopted by the company).

The exiting IFRS 4 approach is to recognize a separate deferred acquisition cost (DAC) assets for costs associated with writing new insurance contracts (e.g., commissions paid to brokers). Under IFRS 17, if acquisition costs are paid before the related insurance groups are recognized, an entity shall recognize an asset. These assets are derecognized when the group of insurance contracts are recognized. If insurance acquisition cash flows are expected to be paid after the related group is recognized, then they are included as part of the measurement of insurance contracts (LRC).

IFRS 17 allows for the deferral of acquisition costs to smooth out the recognition of profits. Paid acquisition costs are an asset that is amortized (or derecognized) when they are included in the measurement of the related group of insurance contracts. The Company has chosen to defer all insurance acquisition cash flows and recognize them over the coverage period of contracts or groups they are attributed to. Therefore, acquisition costs

and related revenue are recognized over the same periods and in the same pattern, based on the passage of time.

It must be noted that IFRS 17 requires allocation to future renewals if the acquisition cashflows are judged to support future renewals. Also, the expensing acquisition costs policy choice only applies for contracts with coverage period one year or less.

For contracts measured under PAA in the Group, insurance acquisition costs comprise of costs:

- that are directly attributable to individual contracts or groups of contracts in a portfolio belongs; with the costs being allocated to groups on a systematic and rationale method e.g., Activity-Based Costing method or based on GWP proportions or claims cost etc.

1.4 Onerous contracts

The Group considers an insurance contract to be onerous if the expected fulfilment cash flows allocated to the contract, any previously recognized acquisition cash flows and any cash flows arising from the contract at the date of initial recognition in total result in a net cash outflow.

On initial recognition, the onerous assessment is done on an individual contract level assessing future expected cash flows on a probability-weighted basis including a risk adjustment for non-financial risk. Contracts expected on initial recognition to be loss-making are grouped together and such groups are measured and presented separately. Once contracts are allocated to a group, they are not re-allocated to another group, unless they are substantively modified.

On initial recognition, the CSM of the group of onerous contracts is nil and the group's measurement consists entirely of fulfilment cash flows. A net outflow expected from a group of contracts determined to be onerous is the group's 'loss component'. It is initially calculated when the group is first considered to be onerous and is recognized at that date in profit or loss. The amount of the group's loss component is tracked for the purposes of presentation and subsequent measurement.

After the loss component is recognized, the Group allocates any subsequent changes in fulfilment cash flows of the LRC on a systematic basis between the loss component and the LRC excluding the loss component. For groups of onerous contracts, without direct participating features, the Group uses locked-in discount rates. They are determined at initial recognition to calculate the changes in the estimate of future cash flows relating to future service (both changes in a loss component and reversals of a loss component).

For all issued contracts, other than those accounted for applying the PAA, the subsequent changes in the fulfilment cash flows of the LRC to be allocated are:

- Insurance finance income or expense
- Changes in risk adjustment for non-financial risk recognized in profit or loss representing release from risk in the period.
- Estimates of the present value of future cash flows for claims and expenses released from the LRC because of incurred insurance service expenses in the period.

The Group determines the systematic allocation of insurance service expenses incurred based on the percentage of loss component to the total fulfilment cash outflows included in the LRC, including the risk adjustment for non- financial risk, excluding any investment component amount.

For contracts that are measured under PAA, the assumption is that there are no onerous contracts at initial recognition, unless facts and circumstances indicate otherwise. If the measurement of the LIC results in a loss-making group, this does not translate to the LRC being onerous. In this case, the group will be assessed as to whether its LRC will be like the incurred experience and hence considered to be onerous.

If facts and circumstances indicate that a group of contracts is onerous during the coverage period, the onerous liability is calculated as the difference between:

- the carrying amount of the liability for remaining coverage; and
- the FCF that relates to remaining coverage like what is needed under the GMM. This difference is recognized as a loss and shall increase the liability for remaining coverage.

I. Measurement of Reinsurance contracts held

I.1 Recognition

Proportional reinsurance contracts held will be first recognized on the later of the beginning of the coverage period of the reinsurance contract or the date that the first underlying insurance contract in the treaty is initially recognized.

Non-Proportionate reinsurance coverage will be recognized at the beginning of the coverage period of the contract.

I.2. Reinsurance contracts held measured under the PAA

All reinsurance contracts with contract boundaries not exceeding one year are automatically considered to meet PAA eligibility. Most of the Group's Surplus reinsurance contracts are immediately eligible for PAA as they are written on a clean-cut basis. At the end of the period, the reinsurer withdraws from the contract and the reinsurance held portfolio (including outstanding recoveries and ceded portion of unexpired premiums) is transferred to a new reinsurer.

A smaller number of surplus reinsurance contracts and all Facultative contracts are written on an underwriting year basis. This basis extends the contract boundary beyond one year as coverage of contracts ceded to the treaty may continue even after the underwriting year has ended.

Where the reinsurance contracts held covers a group of onerous underlying insurance contracts, the Group adjusts the carrying amount of the asset for remaining coverage and recognizes a gain when, in the same period, it reports a loss on initial recognition of an onerous group of underlying insurance contracts or on addition of onerous underlying insurance contracts to a group. The recognition of this gain results in the recognition for

the loss recovery component of the asset for the remaining coverage of a group of reinsurance contracts held.

1.3 Reinsurance contracts held measured under the General Model

The Group's quota shares life reinsurance and the facultative reinsurance contracts held are accounted for applying the measurement requirements of the General Model for estimates of cash flows and discount rates. The Group measures the reinsurance contracts held, and the underlying insurance contracts issued using consistent assumptions. The Group includes in the estimates of the present value of expected future cash flows for a group of reinsurance contracts held the effect of any risk of non-performance by the reinsurer, including the effects of any collateral and losses from disputes. The effect of non-performance risk of the reinsurer is assessed at each reporting date.

In determining the asset representing the risk adjustment for non-financial risk transferred to the reinsurer, the Group assesses the amount of risk transferred by the Group to the reinsurer by calculating the risk adjustment of the underlying contracts before and after the effect of the reinsurance contracts held. The difference is recognised as the asset representing the risk adjustment reinsured.

On initial recognition, the Group recognises any net cost or net gain on purchasing the group of reinsurance contracts held as a reinsurance CSM, unless the net cost of purchasing reinsurance coverage relates to events that occurred before the purchase of the group of reinsurance contracts, where the Group recognises such a cost immediately in profit or loss as an expense as part of insurance service result.

For a group of reinsurance contracts held on initial recognition of an underlying onerous group of insurance contracts or on addition of onerous underlying insurance contracts to a group, the Group establishes a loss recovery component and, as a result, recognises a gain in profit or loss. The amount of the loss recovery component adjusts the CSM of a group of reinsurance contracts held. It is calculated at an amount equal to the loss recognised on the underlying insurance contracts multiplied by the percentage of claims on the underlying insurance contracts the Group expects to recover from the group of reinsurance contracts held. After initial recognition, the carrying amount of the loss-recovery component shall not exceed the portion of the carrying amount of the loss component of the onerous group of underlying insurance contracts that the entity expects to recover from the group of reinsurance contracts held. Reversal of the loss recovery component adjusts the CSM and the risk adjustment of the group of reinsurance contracts held. After establishing a reinsurance loss recovery component, except for further additions of onerous contracts to the underlying groups, its amount is adjusted for:

- Changes in fulfilment cash flows of underlying insurance contracts related to future service and do not adjust the CSM of their respective groups
- Loss recovery component reversals to the extent those reversals are not changes in the fulfilment cash flows of the group of reinsurance contracts held.

These adjustments are calculated and presented in profit or loss.

The Group adjusts the carrying amount of the CSM of a group of reinsurance contracts held at the end of a reporting period to reflect changes in the fulfilment cash flows applying the same approach as for insurance contracts issued, except when the underlying contract is onerous and the change in the fulfilment cash flows for underlying insurance contracts is recognised in profit or loss by adjusting the loss component. The respective changes in reinsurance contracts held is also recognised in profit and loss (adjusting the loss recovery component).

J. Modification and Derecognition

The Group derecognizes the original contract and recognizes the modified contract as a new contract, if the terms of insurance contracts are modified and the following conditions are met:

- If the modified terms were included at contract inception and the Group would have concluded that the modified contract:
- Is outside of the scope of IFRS 17
- Results in a different insurance contract due to separating components from the host contract
- Results in a substantially different contract boundary
- Would be included in a different group of contracts.
- The original contract met the definition of an insurance contract with direct participating features, but the modified contract no longer meets the definition.
- The original contract was accounted for applying the PAA, but the modified contract no longer meets the PAA eligibility criteria for that approach.

If the contract modification meets any of the conditions, the Group performs all assessments applicable at initial recognition, derecognizes the original contract and recognizes the new modified contract as if it was entered for the first time.

If the contract modification does not meet any of the conditions, the Group treats the effect of the modification as changes in the estimates of fulfilment cash flows.

For insurance contracts accounted for applying the General Model, a change in the estimates of fulfilment cash flows results in a revised end of period CSM (before the current period allocation). A portion of the revised end of period CSM is allocated to the current period, as is the revised CSM amount applied from the beginning of the period but reflecting the change in the coverage units due to the modification during the period.

This portion is calculated using updated coverage unit amounts determined at the end of the period and weighted to reflect the fact that the revised coverage existed for only part of the current period.

For insurance contracts accounted for applying the PAA, the Group adjusts insurance revenue prospectively from the time of the contract modification. The Group derecognizes an insurance contract when, and only when the contract is:

- Extinguished (when the obligation specified in the insurance contract expires or is discharged or cancelled)
- Modified and the derecognition criteria are met.
- When the Group derecognizes an insurance contract from within a group of contracts, it:
 - Adjusts the fulfilment cash flows allocated to the group to eliminate the present value of the future cash flows and risk adjustment for non- financial risk relating to the rights and obligations that have been derecognized from the group.
 - Adjusts the CSM of the group for the change in the fulfilment cash flows (unless it relates to the increase or reversal of the loss component).
 - Adjusts the number of coverage units for expected remaining insurance contract services to reflect the coverage units derecognized from the group and recognizes in profit or loss in the period the amount of CSM based on that adjusted number.

When the Group transfers an insurance contract to a third party and that results in derecognition, the Group adjusts the CSM of the group from which the contract has been derecognized for the difference between the change in the carrying amount of the group caused by the derecognized fulfilment cash flows and the premium charged by the third party for the transfer.

When the Group derecognizes an insurance contract due to modification, it derecognizes the original insurance contract and recognizes a new one. The Group adjusts the CSM of the group from which the modified contract has been derecognized for the difference between the change in the carrying amount of the group as a result of adjustment to fulfilment cash flows due to derecognition and the premium the Group would have charged had it entered into a contract with equivalent terms as the new contract at the date of the contract modification, less any additional premium actually charged for the modification.

K. Presentation

The Group has presented separately in the consolidated statement of financial position the carrying number of portfolios of insurance contracts that are assets and those that are liabilities, and the portfolios of reinsurance contracts held that are assets and those that are liabilities.

The Group disaggregates the amounts recognized in the consolidated statement of profit or loss and other comprehensive income into an insurance service result sub-total that comprises insurance revenue and insurance service expenses and, separately from the insurance service result, the 'net insurance finance income or expenses' sub-total. The Group has voluntarily included the net insurance finance income or expenses line in another sub-total: net insurance and investment result, which also includes the income from all the assets backing the Group's insurance liabilities.

The Group includes any assets for insurance acquisition cash flows recognized before the corresponding groups of insurance contracts are recognized in the carrying amount of the related portfolios of insurance contracts issued.

The Group separately presents income or expenses from reinsurance contracts held from the expenses or income from insurance contracts issued.

2.30 Insurance Revenue

For the General Model, The Group's insurance revenue depicts the provision of services arising from a group of insurance contracts at an amount that reflects the consideration to which the Group expects to be entitled in exchange for those services. Insurance revenue from a group of insurance contracts is therefore the relevant portion for the period of the total consideration for the contracts, (i.e., the amount of premiums paid to the Group adjusted for financing effect (the time value of money) and excluding any investment components).

As the Group provides insurance services under a group of insurance contracts issued, it reduces its LRC and recognizes insurance revenue, which is measured at the amount of consideration the Group expects to be entitled to in exchange for those services.

For groups of insurance contracts measured under the General Model, insurance revenue consists of the sum of the changes in the LRC due to:

- The insurance service expenses incurred in the period measured at the amounts expected at the beginning of the period, excluding:
 - Amounts allocated to the loss component.
 - Repayments of investment components.
 - Amounts that relate to transaction-based taxes collected on behalf of third parties.
 - Insurance acquisition expenses.
 - Amounts relating to risk adjustment for non-financial risk.
- The change in the risk adjustment for non-financial risk, excluding:
 - Changes that relate to future service that adjust the CSM.
 - Amounts allocated to the loss component.
- The amount of CSM for the services provided in the period.
- Other amounts, such as experience adjustments for premium receipts that relate to current or past service, if any

Insurance revenue also includes the portion of premiums that relate to recovering those insurance acquisition cash flows included in the insurance service expenses in each period. Both amounts are measured in a systematic way based on the passage of time.

For the Premium Allocation Approach (PAA), The insurance revenue for the period is the amount of expected premium receipts (excluding any investment component) allocated to the period.

When applying the PAA, the Group recognizes insurance revenue for the period based on the passage of time by allocating expected premium

receipts including premium experience adjustments to each period of service.

At the end of each reporting period, the Group considers whether there was a change in facts and circumstances indicating a need to change, on a prospective basis, the premium receipt allocation due to changes in the expected pattern of claim occurrence.

2.31 Insurance service expenses

Insurance service expenses arising from a group of insurance contracts issued comprises:

- Changes in the LIC related to claims and expenses incurred in the period excluding repayment of investment components.
- Changes in the LIC related to claims and expenses incurred in prior periods (related to past service)
- Other directly attributable insurance service expenses incurred in the period.
- Amortization of insurance acquisition cash flows, which is recognized at the same amount in both insurance service expenses and insurance contra
- Loss component of onerous groups of contracts initially recognized in the period.
- Changes in the LRC related to future service that do not adjust the CSM, because they are changes in the loss components of onerous groups of c

2.32 Income or expenses from reinsurance contracts held.

The Group presents income or expenses from a group of reinsurance contracts held and reinsurance finance income or expenses in profit or loss for the period separately. Income or expenses from reinsurance contracts held are split into the following two amounts:

- Amount recovered from reinsurers.
- An allocation of the premiums paid.

The Group presents cash flows that are contingent on claims as part of the amount recovered from reinsurers. Ceding commissions that are not contingent on claims of the underlying contracts are presented as a deduction in the premiums to be paid to the reinsurer which is then allocated to profit or loss.

The Group establishes a loss recovery component of the asset for the remaining coverage for a group of reinsurance contracts held. This depicts the recovery of losses recognized on the initial recognition of an onerous group of underlying insurance contracts or on addition of onerous underlying insurance contracts to a group. The loss recovery

component adjusts the CSM of the group of reinsurance contracts held. The loss recovery component is then adjusted to reflect:

- Changes in the fulfilment cash flows of the underlying insurance contracts that relate to future service and do not adjust the CSM of the respective groups to which the underlying insurance contracts belong to.
- Reversals of loss recovery component to the extent those reversals are not changes in the fulfilment cash flows of the group of reinsurance contracts held.
- Allocations of the loss recovery component against the amounts recovered from reinsurers reported in line with the associated reinsured incurred claims or expenses.
-

2.33 Insurance finance income and expenses

Insurance finance income or expenses present the effect of the time value of money and the change in the time value of money, together with the effect of financial risk and changes in financial risk of a group of insurance contracts and a group of reinsurance contracts held.

The use of OCI presentation for insurance finance income and expenses

The Group has an accounting policy choice to present all the period's insurance finance income or expenses in profit or loss or to split the amount between profit or loss and other comprehensive income (OCI). When considering the choice of presentation of insurance finance income or expenses, the Group examines the assets held for that portfolio and how they are accounted for.

Currently the Group present all the period's insurance finance income or expenses in the profit or loss.

The Group may reassess its accounting policy choice during the duration of a group of direct participating contracts when there is a change in whether the Group holds the underlying items or no longer holds the underlying items. When such change occurs, the Group includes the amount accumulated in OCI by the date of change as a reclassification adjustment to profit or loss spread across the period of change and future periods based on the method and on assumptions that applied immediately before the date of change. Comparatives are not restated.

When applying the PAA, the Group does not discount the liability for remaining coverage to reflect the time value of money and financial risk for group life policies with a coverage period of one year or less. For those claims that the Group expects to be paid

within one year or less from the date of incurrence, the Group does not adjust future cash flows for the time value of money and the effects of financial risks. However, claims expected to take more than one year to settle are discounted applying the discount rate at the time the incurred claim is initially recognized.

L. Contracts existing at transition date

On transition date, 1 January 2023, the Group:

- Has identified, recognized and measured each group of insurance contracts as if IFRS 17 had always applied (unless impracticable).
- Has identified, recognized and measured assets for insurance acquisition cash flows as if IFRS 17 had always applied. However, no recoverability assessment was performed before the transition date. At transition date, a recoverability assessment was performed, and no impairment loss was identified.
- Derecognized any existing balances that would not exist had IFRS 17 always applied.
- Recognized any resulting net difference in equity.

In determining the appropriate transition approach, the following were considered:

- the coverage period of the in-force policies
- the availability of historical data and assumptions driving measurement and the ability to obtain these without undue cost and effort.

1. Full Retrospective approach

On transition to IFRS 17, the Group applied the full retrospective approach unless impracticable to do so.

The Group has applied the full retrospective approach on transition to all short-term contracts (group life) in force at the transition date.

To do this, at the transition date, we have identified, recognized and measured each group of insurance contracts as if IFRS 17 had always applied; and derecognized any existing balances that would not exist had IFRS 17 always applied; and finally recognized any resulting net difference in equity.

2. Fair Value approach

The Group has applied the fair value approach on transition for individual life contracts as, prior to transition, it grouped contracts from multiple cohorts and years into a single unit for accounting purposes. Obtaining reasonable and supportable information to apply the full retrospective approach was impracticable without undue cost or effort. The Group has determined the CSM of the liability for remaining coverage at the transition date, as the difference between the fair value of the group of insurance contracts and the fulfilment cash flows measured at that date. In determining fair value, the Company has applied the requirements of IFRS 13 Fair Value Measurement, except for the demand deposit floor requirement.

The Group has aggregated contracts issued more than one year apart in determining groups of insurance contracts under the fair value approach at transition as it did not have reasonable and supportable information to aggregate groups into those including only contracts issued within one year

2.34 Transition

The Company applied the fair value approach to all insurance contracts at transition (31 December 2021) – that is, all contract issued on or before December 2021 have been measured at fair value, hence the CSM at the transition date have been calculated using fair value approach. The CSM for those group of insurance contracts were rolled forward to 31 December 2022 to produce the December 2022 comparatives which has been used as the opening CSM for the 31 December 2023 reporting.

For all contracts issued after 31 December 2021, the Fully Retrospective Approach has been used for each group of insurance contracts which are based on annual cohorts. This means that the contracts are each measured at inception date to determine the initial CSM and are disclose as new business CSM in each reporting period.

Transition adjustment as at 1 January 2022					
<u>Assets</u>		31 Dec. 2021 IFRS 4 N'000	Reclassificati on and derecognition N'000	IFRS 17 re- measureme nt N'000	1 Jan. 2022 IFRS 17 N'000
	Not e				
<u>Assets</u>					
Cash and cash equivalents		1,308,629			1,308,629
Financial assets		26,733,181			26,733,181
Trade receivables		-			-
Reinsurance contract assets	A	-	113,116	29,640	142,756
Reinsurance assets	B	113,116	(113,116)	-	-
Deferred tax asset		146,476		-	146,476
Other receivables and prepayments		2,710,190		-	2,710,190
Investment in subsidiaries		542,729			542,729
Investment in properties		8,030,000	-	-	8,030,000
Intangible assets		71,679	-		71,679
Property, plant and equipment		847,736			847,736
Statutory deposit		200,000			200,000
Total assets		40,703,737	-	29,640	40,733,377
<u>Liabilities and equity</u>					
<u>Liabilities</u>					
Insurance contract liabilities	D	41,738,872		471,739	42,210,612

Investment contract liabilities		747,670		747,670
Reinsurance contract liabilities		-		
Borrowings		-		-
Trade payables	E	946,624	-	946,624
Other payables	F	852,615		852,615
Employees benefit obligation		35,652		35,652
Deferred commission income				
Income tax liabilities		582,882		582,882
Deferred tax liabilities		92,107		92,107
Total liabilities		44,996,422	-	471,739 45,468,161
Equity				
Share capital		10,292,500		10,292,500
Share premium				14,365,133
		14,365,133		
Contingency reserve		1,854,545		1,854,545
Fair value reserves		1,616,522		1,616,522
Non-current revaluation reserve		0		0
Retained earnings/(accumulated losses)	G	(32,421,385)	442,102	(32,863,483)
Total equity		(4,292,685)	442,102	(4,734,787)
Total liabilities and equity		40,703,736	-	- 40,733,377

Reconciliation of Statement of financial position on transition as at 1 January 2022 and as at 31 December 2022

Total equity attributable to shareholders of the Company, as restated for the adoption of IFRS 17, is ₦ (4.73) billion at the transition date of 1 January 2022. The total equity attributable to shareholders of the Company reported on an IFRS 4 basis at 31 December 2021 was ₦ (4.52) billion.

The financial impacts on transition to IFRS 17 are summarised in the table below, which sets out the restated statement of financial position on the transition date:

Transition Adjustment as at 31 December 2022					
		31 Dec. 2022 IFRS 4	Reclassification and derecognition	IFRS 17 re- measurement	31 Dec. 2022 IFRS 17
	Note	₦'000	₦'000	₦'000	₦'000
<u>Assets</u>					
Cash and cash equivalents		1,060,089	-	-	1,060,089
Financial assets		36,317,807			36,317,807
Trade receivables			-	-	
Reinsurance contract assets	A		100,957	65,862	166,819
Reinsurance assets	B	100,957	(100,957)	-	-
Deferred acquisition cost	C	-	-	-	-
Deferred tax asset		146,476			146,476
Other receivables and prepayments		691,995		-	691,995
Investment in subsidiaries		105,000			105,000
Investment in properties		11,080,750	-	-	11,080,750
Intangible assets		56,850	-	-	56,850
Property, plant and equipment		763,047	-	-	763,047

Statutory deposit		200,000	-	-	200,000
Total assets		50,522,970	-	65,862	50,588,811
Liabilities and equity					
Liabilities					
Insurance contract liabilities		43,195,255		(786,449)	42,408,806
Investment contract liabilities		776,643	-		776,643
Trade payables	K	665,407	-		665,407
Other payables	L	600,675	-	-	600,675
Income tax liabilities		558,187			558,187
Employee benefit obligation		113,310	-	-	113,310
Deferred tax liabilities		92,107			92,107
Total liabilities		46,001,585		(786,449)	45,215,116
Equity					
Share capital		10,292,500	-	-	10,292,500
Share premium		14,365,133			14,365,133
Contingency reserve		1,922,695	-	-	1,922,695
fair value reserves		15,398,382	-	-	15,398,382
Non current revaluation reserve		-			-
Retained earnings/(accumulated losses)	M	(37,457,337)	-	852,321	(36,605,015)
Total equity		4,521,374	-	852,321	5,373,695
Total liabilities and equity		50,522,959		65,873	50,588,811

Explanatory Note.

IFRS 17 - Insurance Contract Liabilities

D Under IFRS 4, the group cedes insurance risk in the normal course of business on the bases of our treaty and facultative agreements. Reinsurance assets represent balances due from reinsurance companies. Amounts recoverable from reinsurers are estimated in a manner consistent with settled claims associated with the reinsurer's policies and are in accordance with the related reinsurance contract.

Under IFRS 17, Reinsurance contracts held are treated as independent contracts, grouped and measured according to the IFRS 17 requirements, e.g. with General Measurement Method or Premium Allocation Approach. Recoveries on Claims paid, is thus, the only Reinsurance component that remains unchanged from IFRS 4 to IFRS 17.

D Under IFRS 17, the Discounted Cashflow model is also used to determine adequate reserves for in-force long-term Life business contracts as at the valuation date. The results thereof are then used to ascertain adjustments necessary to reserve component balances including the Best Estimate of Liabilities, the Risk Adjustment factor and the Contractual Service Margin.

This difference in treatment of the components of reserve, as well as difference in IFRS 17 prescribed methodology are responsible for the variations on IFRS 4 and IFRS 17 reserves for the Life business.

Under IFRS 4, an assessment is made of whether the recognized life insurance liabilities are adequate by carrying out a liability adequacy test.

The liability value is adjusted to the extent that it is insufficient to meet expected future benefits and expenses. In performing the adequacy test, current best estimates of future contractual cash flows, including related cash flows such as claims handling and policy administration expenses, policyholder options and guarantees, as well as investment income from assets backing such liabilities, are used. Discounted cash flows model is used in the valuation.

Short-term contracts (Group Life) liabilities are similar in components under IFRS 17 and IFRS 4. Differences observed are due to grouping requirements which may increase the provision for premium deficiency (for onerous groups), the introduction by IFRS 17 of a Risk Adjustment factor and of Discounting for Outstanding and Incurred Claims projections.

C Under IFRS 4, this is treated as those direct and indirect costs incurred during the financial year arising from the writing or renewing of insurance contracts and are deferred to the extent that these costs are recoverable out of future premiums. All other acquisition costs are recognized as an expense when incurred.

Under IFRS 17, Deferred Acquisition Cost is included as a part of the Insurance Contract Liabilities and not as a standalone item, as it was under IFRS 4.

E The company has elected to reclassify unallocated premiums & refunds and premium received in advance from Trade Payables to Other Technical Liabilities. They represent financial obligations arising from the group's insurance business that are basically outside the scope of the definition of insurance contracts.

G As at 1 January 2022, IFRS 4 retained earnings closed at N(32.42)bn for the company. The difference between this position and IFRS 17 is a net decrease of N442,098m.

As at 31 December 2022, IFRS 4 retained earnings closed at N(37.46)bn for the company. The difference between this position and IFRS 17 is a net increase of N852,321m.

This is due to the changes that have occurred from the transition to Insurance Revenue, Insurance Service Result, and the inclusion of Net Insurance/Reinsurance and Net Finance Income/(Expenses) in the IFRS 17 restated financial performance, the net movements in the IFRS 9 Expected Credit Loss model adoption and the net impact of remeasurments, reclassification and derecognition of IFRS 4 Balance sheet item

**Reconciliation of Statement of comprehensive income for the year ended 31
C December 2022**

		Transition adjustment as at 31 December 2022			
		31 Dec. 2022 IFRS 4 N'000	Reclassificatio and derecognitic N'000	IFRS 17 re- measur ment N'000	31 Dec. 2022 IFRS 17 N'000
	Note				
Insurance revenue	N		7,109,670	1,008,718	8,118,388
Gross premium income	O	7,109,670	(7,109,670)	-	-
Reinsurance expenses	P	(219,692)	219,692	-	-
Net premium income		6,889,978	219,692	1,008,718	8,118,388
Insurance service expenses	Q	-	(13,302,073)	1,981,195	(11,320,878)
Net expense from reinsurance contracts held	R	-	29,363	(9,688)	19,675
Fees and commission income	S	62,570	(62,570)	-	-
Insurance claim incurred	S1	(9,406,703)	9,406,703	-	-
Net insurance benefits and claims	T	123,915	-	-	123,915
Underwriting expenses	U	(1,263,437)	1,263,437	-	-
Changes in long term insurance contract	U1	(1,155,699)	1,155,699	-	-
Insurance service result	U2	-	(6,039,125)	2,980,225	(3,058,900)
Investment income	V	989,715	-	3,274,899	4,264,614
Other operating income	W	(2,047,704)	-	-	(2,047,704)
		-	2,216,910	-	2,216,910
Insurance finance income/(expense)	X	-		(3,165,731)	(3,165,731)
Reinsurance finance income/(expense)	Y	-	-	-	-
Net insurance finance expense		-	2,216,910	(3,165,731)	(948,821)

Net insurance and investment result		-	2,216,910	(3,165,731)	(948,821)
Other operating and administrative expenses	Z	(953,791)	400,277	-	(553,514)
Unrealised fair value gain	Z1				
2022 impairment gain/loss on Financial Assets					
Deferred tax derecognised on reclassification of financial assets		-		-	-
Net fair value gain/(loss) on investment properties					
Profit before taxation		(4,962,507)	-	(3,165,731)	(4,685,150)
Income tax expense		(5,304)		-	(5,304)
Profit for the year		(4,967,811)	-	(3,165,731)	(4,690,454)
Other comprehensive income, net of tax					
Items that are or may be reclassified to profit or loss:					
Foreign currency translation difference of foreign operations					
Fair value changes in AFS financial assets		-	-	-	-
Deferred tax impact of changes in AFS financial assets		-	-	-	-
Items that will not be reclassified subsequently to profit or loss:					
			13,781,860	-	13,781,860
PPE revaluation gains		-			
Deferred tax impact of revaluation gains		-			
Other comprehensive income, net of tax		-	-	-	-
Total comprehensive income for the year			8,814,049		9,091,407

Explanatory Notes

N. Gross Premium income/Insurance Revenue

Under IFRS 4, the gross premium is adjusted by change in insurance contract liabilities (UPR) to arrive at the Gross Premium Income.

Under IFRS 17, the Insurance revenue is made up of the following items:

- Expected benefits incurred – Under PAA model (Group Life), this is based on premium allocated in the reporting period due to passage of time and it is based on the coverage period of each contract using the start and end date for each contract. For contracts using General Model Approach (GMM), this is based on the expected insurance claims

in the reporting period which are projected using actuarial assumptions.

- Expected expenses incurred - This is the expected expenses projected in the actuarial model using the valuation assumptions. This applies to business using General Model Approach
- Loss Component: systematic allocation – For group of insurance contracts that are loss making, the loss will need to be recognised immediately in P&L and this is shown in the insurance service expenses as “Loss Component: losses and reversal of losses”. However, this loss will need to be tracked from one valuation to another and the loss will need to be systematically allocated across the reporting periods in the coverage period and disclosed in both insurance revenue and insurance service expenses. So, this is in and out in the insurance service result.
- Change in the risk adjustment - The change in risk adjustment is the difference between the current risk adjustment and the prior year-end risk adjustment.
- CSM recognised – The Contractual Service Margin (CSM) is the unearned profit in the business for contracts using GM. The CSM recognised in the period is part of the profit released in the reporting period and it is calculated using the coverage units of the group of insurance contracts.
- Recovery of acquisition cash flows – For businesses using GMM, the acquisition expenses is allowed at initial recognition. However, the acquisition expenses amortised in the period using the coverage unit is disclosed in P&L and it does not impact insurance service result. The corresponding impact is reported in insurance service expense.

For the PAA model, Under IFRS 17, the Insurance revenue is the gross premium allocated to the reporting period. The allocation of the premium is based on the coverage period of each contract using the start and end date for each contract.

The Group and Company have reclassified the Gross premium income and remeasured this balance and reported as Insurance Revenue

Q. Insurance service expenses

Insurance service expense: Under IFRS 17, the insurance service expenses is made up of the following items:

- Incurred claims – This is actual claims reported in the period. Note that this is different from the actual claims paid in the period. The difference between the actual claims paid in the period and the actual claims reported in the period will feed into “changes in BEL related to LIC”.
- Incurred Fulfilment expenses – The fulfilment expenses are the actual incurred expenses relating to the core running of the business
- Amortisation of insurance acquisition cash flows – For businesses using GM, this is the opposite of the “recovery of acquisitions cash flows” in insurance revenue. For businesses using PAA model, this is the amortised acquisition expenses recognised in the reporting period.
- Changes in BEL related to LIC – This represents the movement between movement in IBNR and outstanding claims in the reporting period after allowing for claims reported and claims paid in the period. • Changes in RA related to LIC – This is the change in risk adjustment relating to LIC in the reporting period where applicable.
- Loss Component: systematic allocation – This line discloses the amortised losses for the reporting period. There is a corresponding line in the insurance revenue, so no impact on P&L statement.
- Loss Component: losses and reversal of losses – This contains the impact of losses from group of insurance contracts (GICs) that are either onerous at inception or becomes onerous during the reporting period.

R. Net expense from Reinsurance contracts held Reclassification of N19.68m previously reported as Reinsurance expenses for 01 January 2022 and 31 December 2022 now reclassified and presented as Net expenses from reinsurance contract for the company.

T. Insurance benefit and claims

U2. Insurance service result

V. Investment income reclassified to current value

W. Other operating income recorded with the impairment

X. Net Finance income/expense from insurance contracts held

The Group has remeasured and accounted for insurance and reinsurance contracts under IFRS 17

The reinsurance finance expenses relate to changes in economic movements in reinsurance BEL and reinsurance CSM interest accretion. These items relate to unwind of the cashflows, change in economic assumptions, reinsurance CSM interest accretion.

D Explanatory notes to the reconciliation of the Statement of financial position

Outstanding claims recoverable plus Incurred But Not Reported (IBNR) claims was reclassified to derive the future cashflows for the total incurred claims. The adjusted future cashflows for total outstanding claims recoverable was discounted to present value (i.e. Best estimate liability - BEL).

Transiition adjustment as at 31 December 2022

	Note	31 Dec. 2022 IFRS 4 N'000	Reclassificat ion and derecognitio n N'000	IFRS 17 re- measur ment N'000	31 Dec. 2022 IFRS 17 N'000
(i) Reinsurance assets					
Opening Balance	Z	100,957	(100,957)	-	-
Prepaid Minimum and Deposit reclassified to Other receivables			-		-
Reclassification to reinsurance contract asset			-		-
Closing balance		100,959	(100,957)	-	-

All elements of reinsurance assets, comprising prepaid reinsurance, reinsurers' share of Incurred but not Reported (IBNR) claims as well as reinsurers' share of outstanding claims have been reclassified to reinsurance contract assets.

(ii) Other receivables and prepayments

Balance as per IFRS 4	A1	691,955	-	691,955
-----------------------	----	---------	---	---------

Prepaid Minimum and Deposit reclassified from reinsurance assets

Reclassification to other payable - wrong
account mapping

A2

Closing balance

691,955	-	-	691,955
----------------	---	---	----------------

(ii) Trade Payables

Reinsurance payable

A3

62,943	(62,943)	-	-
--------	----------	---	---

-	-	-	-
---	---	---	---

Balance, end of year

62,943	(62,943)	-	-
--------	----------	---	---

The reinsurance payable was reclassified to the reinsurance contract asset

(iii) Other payables/Deferred commission income

Opening balance

665,407	-	665,407
---------	---	---------

Deferred commission income reclassified to
reinsurance contract assets

A4

-	-
---	---

Reclassification from other receivables -
wrong account mapping

A5

-	-
---	---

Effect of fair value gain wrongly posted

-	-
---	---

Balance, end of year

665,407	-	665,407
---------	---	---------

Deferred commission income which was initially reported as part of Other Payables under IFRS 4 was also reclassified to Reinsurance contract assets as part of Asset for remaining coverage (ARC) under IFRS 17.

(iv) Reinsurance contract assets

Opening balance

-	-	-
---	---	---

ARC reclassified prepaid premium
(IFRS 4)

A6

82,932	82,932
--------	--------

Reinsurance payables reclassified

(-)	(-)
-----	-----

Deferred commission income (DCI) -
reclassified

A7

(-)	(-)
-----	-----

Impact of ARC remeasured under PAA
(IFRS 17)

-	-
---	---

ARC - Deferred commission income in
force (IFRS 17)

-

**Assets for remaining coverage
(ARC)**

-	82,932	-	82,932
---	--------	---	--------

AIC - reclassified from RA claims recovery under IFRS 4	A8	-	83,887		83,887
AIC - impact of actuarial remeasurement				(-)	(-)
AIC - unwinding of discount in the year				-	-
AIC - risk adjustment recognised				-	-
Assets for incurred claims (AIC)		-	83,887	(-)	83,887
Closing balance		-	166,819	(-)	166,819

The Reinsurance contract asset has two components - Asset for Remaining coverage (ARC) and the Asset for incurred claims (AIC). The ARC comprises of the payment obligations for reinsured events that have not yet occurred and for other reinsurance contract services that have not yet been received (i.e., unearned reinsurance premium reserve and deferred commission income).

Explanatory notes to the reconciliation of the Statement of financial position

D –Contd

The AIC comprises the outstanding recoverable for incurred claims that have not been settled, and for other reinsurance contract services already received. It is measured by calculating the present value of the risk-adjusted future cash flows. Outstanding claims recoverable plus Incurred But Not Reported (IBNR) was remeasured to derive the future cashflows for the total incurred claims. The adjusted future cashflows for total outstanding claims recoverable was discounted to present value (i.e. Best estimate liability-BEL).

A risk adjustment for non-financial risk was added to the present value of future cashflows to account for any remaining uncertainty as to the ultimate amount of claims or their payout dates.

Outstanding claims recoverable plus Incurred But Not Reported (IBNR) claims was reclassified to derive the future cashflows for the total incurred claims. The adjusted future cashflows for total outstanding claims recoverable was discounted to present value (i.e. Best estimate liability - BEL).

Transition adjustment as at 31 December 2022

		31 Dec. 2022 IFRS 4 N'000	Reclassificat ion and derecognitio n N'000	IFRS 17 re- measur ment N'000	31 Dec. 2022 IFRS 17 N'000
	Note				
(vi) Deferred acquisition cost					
Opening balance	A9	-	(-)	-	-
Closing balance		-	(-)	-	-
(v) Investment contract liabilities					
Opening balance, welfare scheme		-	-	-	-

Reclassified from individual DA	B1	-	-	-	-
Welfare scheme		-	-	-	-
Opening balance, Individual DA Reclassified to insurance contracts liabilities	B2	-	-	-	-
Reclassified to welfare scheme	B3	-	-	-	-
Individual DA		-	-	-	-
Closing balance		-	(-)	-	-

Deferred acquisition cost (DAC) which was previously reported as a separate line in the statement of financial position under IFRS 4 now reports in Insurance contract liabilities as part of liability for remaining coverage (LRC).

(vii) Insurance contract liabilities

Opening balance	-	(-)	-
Amounts remeasured under LRC:	-	-	-
Premium Reserve for contracts under PAA	-	-	-
-Claims and risk components reclassified from investment contract liabilities	B4	-	-
Deferred acquisition cost reclassified to LRC	B5	(-)	0
Impact of posting error			
LRC for contracts under PAA (IFRS 17)		40,593,841	40,593,841
Contracts excluding loss components			-
Contracts with loss components			-
Liabilities for remaining coverage (LRC)		-	(-)
Opening balance, IFRS 4	-	(-)	-
Amount remeasured under LIC (IFRS 17:			-
Present value of future cash flows for contracts under PAA		1,814,966	1,814,966

Risk adjustment for contracts under PAA			-	-
Impact of discounting			(-)	(-)
Unwinding of discounting in the year		-		-
Liabilities for incurred claims (LIC)	-	-	1,814,966	1,814,966
Closing balance	-	(-)	42,408,806	42,408,806

	Insurance contract liability has two components - Liability for Remaining coverage (LRC) and the Liability for incurred claims (LIC).			
	The LRC comprises the payment obligations for insured events that have not yet occurred and for other insurance contract services that have not yet been provided (i.e. unearned premium reserve and deferred acquisition/commission cost). These provisions were made against the payment obligations for insured events that have not yet occurred.			
	The LIC comprises the payment obligations for incurred claims that have not yet been settled, and for other insurance contract services already provided. It is measured by calculating the present value of the risk-adjusted future cash flows. Outstanding claims plus IBNR was remeasured to derive the future cashflows for incurred claims, the adjusted future cashflows for total incurred claims was discounted to the present value (i.e. Best Estimate Liability (BEL), while also considering the time value of money. A risk adjustment for non-financial risk was added to the remeasured present value of the cash outflows to account for any remaining uncertainty as to the ultimate amount of claims or their payout dates.			
(vii)				
i)	Accumulated Losses			
	Closing balance			
	Opening balance	(31,576,021)	-	(31,576,021)
	Profit for the year	(4,967,811)		(4,967,811)
	Transfer to contingency reserves	(61,183)	-	(61,183)
	Dividend declared and paid	-	-	-
	Fair value gain on financial asset adjustment			0
	IFRS 17 impact - reinsurance contract assets	B6	-	(0)

IFRS 17 impact - insurance contract liabilities	B7	-	-	(0)	(0)
Balance, end of year		(36,605,015)	-	(0)	(36,605,015)

Explanatory notes to the reconciliation of the

E Statement of comprehensive income

IFRS 17 also introduces significant changes in the presentation of the income statement:

- Insurance related income statement lines under IFRS 4, such as Gross premium income, reinsurance expenses, reinsurance expenses have been derecognised under IFRS 17.
- The insurance service result separately presents the result, before the effects of financial risks, for insurance and investment contracts, and comprises insurance revenue and insurance service expenses.
- Insurance revenue represents the allocation over the life of the insurance contract of premiums received. Insurance revenue replaces net premium income.
- Insurance service expense separately presents the claims and expenses incurred in fulfilling insurance.
- The net insurance and investment result comprises investment return, the finance income/expense on insurance contract liabilities that arises from discounting, changes in financial risk and changes in the fair value of underlying items, and the previously presented movement in investment contract liabilities.

Below is a detailed breakdown of the changes in the statement of profit or loss:

			Transiition adjustment as at 31 December 2022			
			31 Dec 2022 IFRS 4	Reclassific ation and derecogniti on	IFRS 17 re- meas urement	31 Dec. 2022 IFRS 17
		Note	₦'000	₦'000	₦'000	₦'000
(i)	Gross premium income		-	-	-	-
	As per IFRS 4	B8	7,109,679	(7,109,679)	-	-
	Closing balance, IFRS 17		7,109,679	(7,109,679)	-	-
(ii)	Reinsurance expenses		-	-	-	-

	As per IFRS 4	B9	(219,692)	219,692		-
	Closing balance, IFRS 17		(219,692)	219,692	-	-
(iii)	Fee and commission income		-	-	-	-
	As per IFRS 4	C1	62,570	(62,570)		-
	Closing balance, IFRS 17		62,570	(62,570)	-	-
(iv)	Net insurance benefits and claims					
	As per IFRS 4		(11,701,925)		-	11,701,925
	Gross claims incurred reclassified to insurance service expenses	C2	-	11,701,925	-	(11,701,925)
	Recoveries on coinsurance and reinsurance reclassified to net expenses on reinsurance contracts	C3	-		-	-
	Closing balance, IFRS 17		(11,701,925)	11,701,925	-	-
E	Explanatory notes to the reconciliation of the Statement of comprehensive income – continued					
			Transition adjustment as at 31 December 2022			
			31 Dec. 2022 IFRS 4	Reclassification and derecognition	IFRS 17 re-measurement	31 Dec. 2022 IFRS 17
		Note	₦'000	₦'000	₦'000	₦'000

(v)	Changes in life / annuity fund estimate					
	As per IFRS 4	C4		-	-	-
(vi)	Underwriting expenses					
	As per IFRS 4	C5	(1,263,437)	1,263,437	-	-
	Closing balance, IFRS 17		(1,263,437)	1,263,437	-	-
(vii)	Insurance revenue					
	Premium reclassified from Gross premium income	C6	-	7,109,679		7,109,679
	Impact of actuarial remeasurement		-	-	1,009,036	1,009,036
	Closing balance, IFRS 17		-	7,109,679	1,009,036	8,118,715
(viii)	Insurance service expenses					
	Gross claims incurred reclassified to insurance service expenses	C7		(11,701,925)		11,701,925
	Underwriting expenses reclassified	C8		(1,263,437)		1,263,437
	Correction of understatement of maintenance expenses				12,937,010	(12,937,010)
	IFRS 17 impact : Risk Adjustment				28,352	28,352

IFRS 17 impact: Adjustment to claims expenses including discounting

Closing balance, IFRS 17

-

(ix)	Net expense from reinsurance contracts					
	Reinsurance premium expenses reclassified under IFRS 4	C9	-	219,692		219,692
	Fees and commission income reclassified under IFRS 4	D1	-	62,570		62,570
	Recoveries on reinsurance not treated in IFRS 4	D2	-	-	-	-
	Impact of actuarial remeasurement				(301,937)	(301,937)
	IFRS 17 impact: Losses on onerous contracts		-	-		
	Closing balance, IFRS 17		-	282,262	(301,937)	(19,675)

(x)	Insurance finance income/(expense)				
	Insurance income/(expenses)	finance	-	-	(3,165,731)
					(3,165,731)
			-	-	
(xi)	Reinsurance finance income/(expense)				
	Reinsurance income/(expenses)	finance	-	-	17,083
					17,083

E Explanatory notes to the reconciliation of the Statement of comprehensive income - continued

Transiition adjustment as at 31 December 2022

			31 Dec. 2022 IFRS 4	Reclassification and derecognition	IFRS 17 remeasurement	31 Dec. 2022 IFRS 17
	Note		N'000	N'000	N'000	N'000
(xiii)		Other operating income				
		Rental Income	D3			
		Foreign exchange gain (xvi)				
		Other income				
		Profit on disposal of fixed assets				
		Closing balance, IFRS 17				
(xiv)		Foreign exchange gain				
		Foreign exchange gain	D4			
		Closing balance, IFRS 17				
(xv)		Net expected credit loss (charge)				
		Total Impairment charge IFRS 4				
		Impairment charge on reinsurance asset				
		Closing balance, IFRS 17				

(xvi)	Total operating expenses			
	Total operating expenses, IFRS 4	(953,791)	400,277	(553,514)
	Attributable expenses reclassified to insurance service expenses			
	D5	-		
		(953,791)	400,277	(553,514)

(xvii) **Net impairment writeback/(charge) on financial assets at amortised cost**

Total impairment as reported in IFRS 4			
Attributable expenses reclassified to insurance service expenses	D6	-	

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

STATEMENT OF FINANCIAL POSITION AS AT DEC 31, 2023								
	Note	Group				Company		
		31-Dec-23 N'000	31-Dec-22 N'000	31-Dec-21 N'000 Restated		31-Dec-23 N'000	31-Dec-22 N'000	31-Dec-21 N'000 Restated
ASSETS								
Cash and cash equivalents	6	820,949	1,141,679	1,389,861		739,360	1,060,089	1,308,630
Financial assets	7							
'-fair value through profit or loss	7.1	33,179,295	36,259,511	26,651,293		33,175,007	36,255,223	26,647,005
'- Amortised cost	7.4	62,491	62,583	86,176		62,782	62,583	86,176
Trade receivables	8	88,884	88,884	88,884		-	-	-
Reinsurance contract assets	9	135,120	166,819	113,116		135,120	166,819	113,116
Other receivables and prepayments	10	690,101	728,369	1,117,988		653,727	691,995	2,710,190
Investment properties	11	14,372,536	12,719,286	9,668,536		12,734,000	11,080,750	8,030,000
Investment in subsidiary	12	-	-	-		105,000	105,000	542,729
Investment in Associate	13	-	-	-		-	-	-
Deferred Tax Asset	25b	147,690	147,690	147,690		146,476	146,476	146,476
Intangible assets	14	160,301	60,413	56,481		156,738	56,850	29,428
Property plant and equipment	15	1,792,388	1,792,388	1,876,748		684,688	763,047	847,736
Right of Use Assets	16	123,954	-	42,252		-	-	42,252
Statutory deposit	17	348,401	348,401	348,401		200,000	200,000	200,000
Total assets		51,922,110	53,473,361	41,587,426		48,792,897	50,588,832	40,703,737
LIABILITIES								
Insurance contract liabilities	18	39,559,241	42,408,806	40,852,662		40,323,718	42,408,806	39,090,388
Investment contract liabilities	19	6,232,355	776,643	3,396,153		2,919,135	776,643	3,396,155
Trade payable	20	1,823,505	838,925	1,184,874		1,649,987	665,407	946,624
Other payables and accruals	21	743,164	732,289	803,762		611,550	600,675	736,881
Provisions and accruals		0	114,472	132,652		0	0	61,700

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Employee benefit liabilities	22i	26,143	47,346	35,652	92,107	113,310	35,652
Borrowings	23	0	134,611	166,202	0	0	54,034
Tax payable	24	594,723	591,045	615,741	561,865	558,187	582,882
Deferred tax liability	25a	673,767	204,005	204,005	561,869	92,107	92,107
Total liabilities		49,652,898	48,396,886	47,391,703	46,720,232	45,215,136	44,996,421
EQUITY							
Share capital	26	10,292,500	10,292,500	10,292,500	10,292,500	10,292,500	10,292,500
Share premium	26c	14,365,133	14,365,133	14,365,133	14,365,133	14,365,133	14,365,133
Contingency reserves	27	2,032,514	1,971,330	1,903,181	1,983,877	1,922,694	1,854,545
Retained earnings	28	(40,549,007)	(37,186,798)	(34,276,985)	(39,967,227)	(36,605,015)	(32,421,384)
Foreign exchange (Translation) reserve	47	(361,968)	(856,957)-	(856,957)	0		
Fair value reserves	29	16,131,871	16,131,870	2,625,201	15,398,383	15,398,383	1,616,522
Total equity		2,269,214	4,717,079	(5,907,828)	2,072,666	5,373,696	(4,292,685)
Non-controlling interest	48	358,172	359,395	143,550	-		-
Total equities and liabilities		51,922,110	53,473,361	41,587,426	48,792,897	50,588,832	40,703,737

Signed on behalf of the Board of Directors on April 29, 2025 by


Jacob Erhabor
Managing Director
FRC/2025/CIIN/002/580404


Oremeyi Onefuwa Longe
Executive Director – Finance
FRC/2025/PRO/ICAN/001/108374

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

STATEMENT OF COMPREHENSIVE INCOME
For the period ended 31, DEC. 2023

		Group		Company	
	Notes	31-Dec-23	31-Dec-22	31-Dec-23	31-Dec-22
		N'000	N'000	N'000	N'000
Insurance Revenue	30	7,089,169	8,118,367	7,089,169	8,118,387
Insurance service expenses	30.b(G)	(15,978,687)	(11,320,878)	(15,978,687)	(11,320,878)
Insurance service result from insurance contracts issued		(8,889,518)	(3,202,491)	(8,889,518)	(3,202,491)
Net income (expenses) from reinsurance contracts held	30.b(P)	(145,471)	(19,675)	(145,471)	(19,675)
Insurance service result		(9,034,989)	(3,182,815)	(9,034,989)	(3,182,815)
Investment Income	30.b(Y)	3,825,525	2,216,910	3,825,525	2,216,910
Net fair value gain/(loss) on financial assets	30.b(R)	-	3,155,432	-	3,155,432
Net Investment income		3,825,515	5,372,342	3,825,515	5,372,342
Impairment gain/loss on financial assets	6	4,713	-	4,713	-
Net fair value gain/loss on investment properties	11	1,653,250	-	1,653,250	-
Investment Result		5,483,478	5,372,342	5,483,478	5,372,342
Finance income (expenses) from insurance contracts issued	30.b(R)	3,008,078	(3,165,731)	3,008,078	(3,165,731)
Finance income (expenses) from reinsurance Contracts issued		-	17,083	-	17,083
Net Insurance Finance expenses	24aa	3,008,078	(3,165,732)	3,008,078	(3,165,731)
Net Insurance and Investment Result	24aa	(2,201,386)	-	(2,201,386)	-
Other expenses		(553,514)	(553,514)	(1,095,964)	(553,514)
Profit before Tax		(1,639,387)	(4,685,150)	(1,639,387)	(4,685,150)
Income Tax expenses	24	(3,678)	(5,304)	(3,678)	(5,304)
Profit for the year		(1,643,065)	(4,690,454)	(1,643,065)	(4,690,454)

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

STATEMENT OF CHANGES IN EQUITY – GROUP								
FOR THE PERIOD ENDED 31 DECEMBER 2023								
	Share capital	Share premium	Contingency reserve	Fair value reserve	Translation reserve	Retained earnings	Non-controlling interest	Total
	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000
1-Jan-23	10,292,500	14,365,133	1,971,330	16,131,871	(856,957)	(37,186,798)	359,395	5,076,475
<i>Total comprehensive income for the year</i>								
Profit for the year						(3,301,028)	-	(3,301,028)
Changes in fair value of FVOCI Investment				-		-	-	-
Translation reserve	-				494,988	(1,221)		493,767
Gain on revaluation of PPE								
Additional reserve on sale of investment in Associate								
Deferred tax on revaluation	-							
Total Comprehensive income for the period	-	-	-		494,988	(3,303,249)	-	(2,807,261)
Transfer to contingency reserve	-		61,184			(59,960)	(1,224)	
Total transactions with owners, recognised directly in equity	-	-	61,184	-		(59,960)	(1,224)	-
31-Dec-23	10,292,500	14,365,133	2,032,514	16,131,871	(361,968)	(40,549,007)	358,172	2,269,214
STATEMENT OF CHANGES IN EQUITY – GROUP								
FOR THE PERIOD ENDED 31 DECEMBER 2022								
	Share capital	Share premium	Contingency reserve	Fair value reserve	Translation reserve	Retained earnings	Non-controlling interest	Total
	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000
1-Jan-22	10,292,500	14,365,133	1,903,181	2,625,241	(856,957)	(34,276,925)	143,550	(5,804,276)
<i>Total comprehensive income for the period</i>								
Profit for the year						(2,843,087)	(58,022)	(2,901,109)
Charges in fair value of FVOCI				13,486,298			275,231	13,761,529
Translation reserve	-							-
Gain on revaluation of PPE				20,331				20,331
Additional reserve on sale of Investment in Associate								
Deferred tax on revaluation	-							
Total Comprehensive income for the year	-	-	-	13,506,630		(2,843,087)	217,208	10,880,751
	-		68,149			(66,786)	(1,363)	
Transfer to contingency reserve	-	-	-	-				-

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

	10,292,500	14,365,133	1,971,330	16,131,870	(856,957)	(37,186,798)	359,395	5,076,475
Total transactions with owners, recognised directly in equity	-	-	218,542	-		(214,171)	(4,371)	-
31-Dec-22	10,292,500	14,365,133	1,903,181	2,625,241	(856,957)	(34,276,925)	143,550	5,076,475

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

STATEMENT OF CHANGES IN EQUITY - COMPANY FOR THE PERIOD ENDED 31 DECEMBER 2023								
	Share capital	Share premium	Contingency reserve	Fair value reserve	Treasury shares	Premium on acquisition of PAL	Retained earnings	Total
	N'000	N'000	N'000	N'000			N'000	N'000
1-Jan-23	10,292,500	14,365,133	1,922,694	15,398,383	-	-	(336,605,055)	5,393,694
<i>Total comprehensive income for the year</i>								
Treasury shares								-
Premium on acquisition of Associate								-
Profit for the year	-						(3,301,028)	(3,301,028)
Other comprehensive income for the year	-			-				
Total Comprehensive income for the period	-	-	-	-			(3,301,028)	(3,301,028)
<i>Transactions with owners, recorded directly in equity</i>								
Transfer to contingency reserve	-		61,183				(61,183)	-
Total transactions with owners, recognised directly in equity	-	-	61,183	-			(61,183)	-
31-Dec-23	10,292,500	14,365,133	1,983,877	15,398,382	-	-	(39,967,227)	2,072,668
STATEMENT OF CHANGES IN EQUITY – COMPANY FOR THE PERIOD ENDED 31 DECEMBER 2022								
	Share capital	Share premium	Contingency reserve	Fair value reserve	Treasury shares	Premium on acquisition of PAL	Retained earnings	Total
	N'000	N'000	N'000	N'000			N'000	N'000
1-Jan-22	10,292,500	14,365,133	1,854,545	1,616,522	-	-	(32,421,384)	(4,292,684)
<i>Total comprehensive income for the year</i>								
Profit for the year								-
Other comprehensive gain/(Loss) for the year								-
Total Comprehensive loss for the year	-						(4,685,150)	(4,685,150)
	-			13,781,861				13,781,081
<i>Transactions with owners, recorded directly in equity</i>	-	-	-	13,781,861			(4,685,150)	8,813,270
Transfer to contingency reserve								
Total transactions with owners, recognised directly in equity	-		68,149				(68,149)	-
	-	-	68,149	-			(68,149)	-
31-Dec-22	10,292,500	14,365,133	1,922,694	15,398,383	-	-	(37,457,346)	4,521,364

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

STATEMENT OF CASH FLOWS
FOR THE PERIOD ENDED 31 DECEMBER 2023

		Group		Company	
		31-Dec-23	31-Dec-22	31-Dec-23	31-Dec-22
		N'000	N'000	N'000	N'000
Cash flows from operating activities					
Cash premium received	18.1a	5,386,767	4,910,568	5,386,767	4,910,568
Premium received yet to be allocated	20i	1,004,068	-	1,004,068	-
Cash received from deposit contract liabilities	19	724,374	654,546	724,374	654,546
Cash withdrawals from deposit contract liabilities	19	(1,986,647)	(55,411)	(1,986,647)	(55,411)
Cash Claims recovered		995,314	131,561	995,314	131,561
Claims paid	18.1a	(12,013,832)	(9,857,075)	(12,013,832)	(9,857,075)
Cash paid to reinsurers/ coinsurers		(31,849)	(384,703)	(31,849)	(384,703)
Commission received	32	-71,417	62,570	71,417	62,570
Maintenance expenses paid	34	(38,244)	(649,356)	(38,244)	(649,356)
Acquisition costs	18.1a	(1,339,464)	(1,223,520)	(1,339,464)	(1,223,520)
Employee benefits paid	41	(995,314)	(953,791)	(995,314)	(953,791)
Other operating expenses paid		-	(987,055)	-	(987,055)
Other income received	36	102,104	107,119	102,104	106,761
Interest received	33	3,826,526	974,907	3,825,526	974,906
Income tax paid	24	-	(30,000)	-	(30,000)
Net cash from operating activities		<u>15,882,544</u>	<u>(4,566,370)</u>	<u>15,850,695</u>	<u>(4,566,728)</u>
Cash flow from investing activities:					
Purchases of plant and equipment	15	(71,200)	(50,596)	(71,200)	(50,596)
Purchase of intangible assets	14	(137,390)	(18,857)	(137,390)	(18,857)
Capital Improvement of investment properties	11	-	-	-	-
Proceeds from disposal of property and equipment		1,696	930	1,696	930
Proceeds from disposal of investment in associate company	13	-	-	-	-
Capital injection made to subsidiary		-	-	-	-
Cash received from associate company	13	-	-	-	-
Purchase of financial assets-Bonds FVTPL	7.2i	(240,000)	935,352	(240,000)	(935,352)
Purchase of financial assets- Bonds amortized cost		-	-	-	-
Proceeds from disposal of investments-equities FVTPL	36b	-	-	-	-
Cash received from disposal of bonds	36a	3,058,136	4,546,880	3,058,136	4,546,880
			866,099		866,09
Cash received from redemption of bond		-	-	-	-
Dividend received	39	259,466	14,809	256,466	14,809
Redemption of financial assets - Amortised cost		-	24,327	-	24,327
Right of Use		195,935	-	195,935	-
Net cash used in investing activities		<u>3,960,431</u>	<u>4,433,431</u>	<u>3,960,431</u>	<u>4,433,431</u>
Cash flow from financing activities:					
Purchase/Proceeds from disposal of associate	13	-	-	-	-
Payments for lease liability – Principal	16	(22,444)	(62,129)	(22,444)	(62,129)
Repayment of borrowings	23	-	(42,124)	-	(42,124)
Proceeds from borrowings	23	-	-	-	-
Net cash used in financing activities		<u>(22,444)</u>	<u>(104,253)</u>	<u>(22,444)</u>	<u>(104,253)</u>
Net increase/(decrease) in cash and cash equivalents		<u>13,073,830</u>	<u>(237,550)</u>	<u>13,073,830</u>	<u>(237,550)</u>

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Cash and cash equivalent at beginning of year	'6.2	1,162,024	1,399,216	1,060,090	1,316,975	
Effect of foreign exchange rate changes		-	10,327	-		
Net increase/decrease in cash and cash equivalents		<u>13,073,830</u>	<u>(237,550)</u>	<u>(13,073,830)</u>	<u>(237,550)</u>	<u>(237,550)</u>
Cash and cash equivalent at end of period		<u>820,949</u>	<u>1,162,024</u>	<u>739,360</u>	<u>1,079,426</u>	
Reconciliation of statement of cash flows						
Cash and cash equivalents at gross amount		820,949	1,162,024	739,360	1,079,426	
Impact of bank overdraft		-	23,922	-	-	
Cash and cash equivalents at gross excluding overdraft		820,949	1,185,946	739,360	1,079,426	
Impact of expected credit loss		-	(44,268)	-	(19,336)	
Cash and cash equivalents at carrying amount		<u>820,949</u>	<u>1,141,678</u>	<u>739,360</u>	<u>1,060,090</u>	

NOTES TO THE FINANCIAL STATEMENTS

1. General Information

Africa Alliance Insurance Company is a public limited company incorporated and domiciled in Nigeria. The registered office is located at 54 Awolowo Road, Ikoyi, Lagos.

The company is principally engaged in the business of providing risk underwriting for life, related financial and pension services, aviation and hospitality services to its customers.

2. Summary of significant accounting policies

The principal accounting policies applied in the preparation of these financial statements are disclosed under General information on the Reporting Entity and Summary of Significant Accounting Policies. These policies have been consistently applied to all the years presented unless otherwise stated.

3. Solvency

The solvency level at the valuation date was (221%) for the Company (2022: (302%)). The company's assets do not match liabilities (see note 5.4). Hence, asset admissibility requirements and localization rules in section 25 of Insurance Act CAP I17 LFN 2003 were not met. The life fund shows a deficit of N30.6billion as at 31 December 2023

The assets backing the life funds are as follows:

	Group		Company	
	2023	2022	2023	2022
	N'000	N'000	N'000	N'000
Government Bonds	3,058,136	6,269,671	3,058,136	6,269,671
Cash and cash equivalents	820,949	1,141,679	739,360	1,060,089
Investment in quoted equity	<u>270,453</u>	<u>139,134</u>	<u>270,453</u>	<u>139,134</u>
Total	<u>4,149,538</u>	<u>7,550,485</u>	<u>4,067,949</u>	<u>7,468,894</u>

4. Management of insurance risk

The risk under any insurance contract is the possibility that the insured event occurs and the uncertainty of the amount of the resulting claim. By the very nature of an insurance contract, this risk is random and therefore unpredictable.

For a portfolio of insurance contracts where the theory of probability is applied to pricing and provisioning, the principal risk that the Group faces under its insurance contracts is that the actual claims and benefit payments exceed the carrying amount of the insurance liabilities. This could occur because the frequency or severity of claims and benefits are greater than estimated. Insurance events are random, and the actual number and amount of claims and benefits will vary from year to year from the level established using statistical techniques.

Experience shows that the larger the portfolio of similar insurance contracts, the smaller the relative variability about the expected outcome will be. In addition, a more diversified portfolio is less likely to be affected by a change in any subset of the portfolio. The Group has developed its insurance underwriting strategy to diversify the type of insurance risks accepted and within each of these categories to achieve a sufficiently large population of risks to reduce the variability of the expected outcome. Factors that aggravate insurance risk include lack of risk diversification in terms of type and amount of risk. The Group issues contracts that transfer insurance and/or financial risk. This section summarises the nature and management of these risks.

4.3 Sources of uncertainty in the estimation of future claim payments

Claims on contracts are payable on a claims-occurrence basis. The Group is liable for all insured events that occurred during the term of the contract, even if the loss is discovered after the end of the contract term. As a result, liability claims are settled over a long period of time, and a larger element of the claims provision relates to incurred but not reported claims (IBNR).

Uncertainty in the estimation of future benefits payments and premium receipts for insurance contracts arises from the unpredictability of long-term changes invariable such as the overall levels of mortality, accident level and the variability in policyholder behavior.

The insurance liabilities have been made on the following principles:-

Type of Business	Valuation Method
Individual Risk Business	Gross premium valuation approach
Individual Deposit Based business	Deposit reserve: Account balance at valuation date Risk reserve: Gross premium
Group Life	UPR + IBNR
Group Deposit Administration	Account Balance at valuation date

4.1 Underwriting risk

Underwriting risk relates mainly to the uncertainty that the insured event will occur. The nature of an insurance contract is that the timing and size of claims are uncertain and therefore unpredictable. The principal underwriting risk is the risk that the actual outcome of mortality, morbidity and medical claims will result in volatile profits from one year to the next. Such volatility may result from large concentrations of risk or from charging in adequate premiums relative to the severity or incidence of the risk accepted. Inadequate policy wording may fail to protect the insurer from claims that were not envisaged when the product was priced. Insurance events are random and the actual number and amount of underwriting benefits will vary from the best estimates established from statistical techniques and taking cognizance of past experience. The Group manages these risks through its underwriting strategy, reinsurance arrangements and claims handling processes.

The following policies and practices are used by the Group as part of its underwriting strategy to mitigate underwriting risk:

- i) All long-term insurance product additions and alterations, both within and outside of agreed business definitions, are required to pass through the approvals framework that forms part of the governance process. The contracted actuary approves the financial soundness of new and revised products.
- ii) The Group's underwriting strategy aims to ensure that the underwriting risks are well diversified in terms of type (medical, occupational, financial) and amount of risk covered. Whilst this is difficult to measure at underwriting stage, the success or failure of the strategy may be measured by the historical stability of profits emerging from the book of business.
- iii) Product pricing and reserving policies also include specific allowance for the risk of HIV/AIDS.
- iv) The contracted actuary reports annually on the profitability of the business taking into consideration the reasonable benefit expectation of policy holders. All new rate tables are

approved and authorized by the statutory actuary prior to being issued.

- v) The right to re-rate premiums is retained as far as possible, although this is limited by competitive pressure.
- vi) Investigations into mortality and morbidity experience are conducted when necessary to ensure that corrective action is taken.

Claims risk is represented by the fact that the Group may incur unexpectedly high mortality and morbidity losses on any group of policies. Client service staffs are trained to identify and investigate fraudulent claims timeously. The legitimacy of claims is verified by internal, financial and operating controls that are designed to contain and monitor claims risks. The internal audit team also investigates and advises on improvements to internal control systems.

4.2 Frequency and severity of claims

The frequency and severity of claims can be affected by several factors. The most significant are the increasing level of death, job loss and level of awards for the damages suffered as a result of road accidents. Estimated inflation is also a significant factor due to the long period typically required to settle cases where information are not readily available. The Group manages these risks through its underwriting strategy, adequate reinsurance arrangements and proactive claims handling.

The underwriting strategy attempts to ensure that the underwritten risks are well diversified in terms of type and amount of risk. Underwriting limits are in place to enforce appropriate risk selection criteria. For example, the Group has the right not to renew policies and it has the right to reject the payment of a fraudulent claim.

The reinsurance arrangements include surplus and quota-share. The effect of such reinsurance arrangements is that the Group should not suffer total net insurance losses of more than N10million on any policy. The Group has specialized claims units dealing with the mitigation of risks surrounding claims. This unit investigates and adjusts all claims. The claims are reviewed individually on a quarterly basis and adjusted to reflect the latest information on the underlying facts, contractual terms and conditions, and other factors. The Group actively manages and pursues early settlements of claims to reduce its exposure to unpredictable developments.

The concentration of insurance risk before and after reinsurance by class of business in relation to the type of insurance risk accepted is summarized below, with reference to the carrying amount of the estimated insurance liabilities (gross and net of reinsurance) arising from all life insurance contracts:

Group	2023			2022		
	Gross liability N'000	Re-Insurance N'000	Net liability N'000	Gross liability N'000	Re-Insurance N'000	Net liability N'000
Life business						
Individual Traditional	6,859,845		6,859,845	8,543,182		8,543,182
Investment linked contracts	2,919,135		2,919,135	4,089,863		4,089,863
Group Credit Life						
Group Life – UPR	341,409	(17,070)	324,339	341,409	(17,070)	324,339
Group Life – AURR	50,567		50,567	50,567		50,567
Group Life – IBNR	838,867	(118,051)	754,981	838,867	(149,749)	754,981
Annuity	29,903,761		29,903,761	29,903,761		29,903,761
Additional reserves	911,505		911,505	911,505		911,505

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Claims reserves-	976,098	976,098	1,055,037	1,055,037		
Total liability – life business	42,801,188	(100,957)	42,700,231	45,734,192	(100,957)	45,633,235

Claims incurred by class of business during the period under review are shown below:

	2023			2022		
	Gross liability N'000	Re-Insurance N'000	Net liability N'000	Gross liability N'000	Re-Insurance N'000	Net liability N'000
Group Life	4,263,781	1,263,437	5,527,219	1,506,159	(123,915)	1,382,244
Group Credit Life		-			-	
Annuity	714,905	-	714,905	4,263,781	-	4,263,781
Term Life		-			-	
Individual Life	12,123,750	-	12,123,750	3,706,049	-	3,706,049
	17,102,436	1,263,437	18,365,874	9,475,989	(123,915)	9,352,074

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Company	2023			2022		
	Gross liability N'000	Re-Insurance N'000	Net liability N'000	Gross liability N'000	Re-Insurance N'000	Net liability N'000
Individual Traditional	6,859,845		6,859,845	6,859,845		6,859,845
Investment linked contracts	4,089,863		4,089,863	4,089,863		4,089,863
Credit Life			-			-
Group Life – UPR	341,409	(17,070)	324,339	341,409	(17,070)	324,339
Group Life – AURR	50,567		50,567	50,567		50,567
Group Life – IBNR	838,867	(118,051)	754,981	838,867	(149,749)	754,981
Annuity	29,903,761		29,903,761	29,903,761		29,903,761
Additional reserves	911,505		911,505	911,505		911,505
Outstanding claims	976,098		976,098	976,098		976,098
Total liability – life business	43,971,917	(135,120)	43,870,961	43,971,917	(166,819)	43,870,961

Claims incurred	2023			2022		
	Gross liability N'000	Re-Insurance N'000	Net liability N'000	Gross liability N'000	Re-Insurance N'000	Net liability N'000
Group Life	4,263,781	1,263,437	5,527,219	1,506,159	(123,915)	1,382,244
Group Credit Life						
Annuity	714,905		714,905	4,263,781		4,263,781
Term Life						
Individual Life	12,123,750		12,123,750	3,706,049		3,706,049
	17,102,436	1,263,437	18,365,874	9,475,989	(123,915)	9,352,074

4.3.1 Individual business

A gross premium method was used for individual risk business. This is a monthly cash flow projection approach taking into account the incidence of all expected future cash flows including office premiums, expenses and benefit payments satisfying the Liability Adequacy Test.

Individual Deposit Business

The reserves for individual deposit administration policies have been taken as the amount standing to the credit of the policy holders at the valuation date. Risk reserves have been held in addition to cover future expenses and the cost of life cover using a cash flow projection approach.

4.3.2 Group business

Reserves for Group Life business comprise an unexpired premium reserve (UPR) and where necessary, are serve for Incurred But Not Reported Claims (IBNR) to make an allowance for the delay in reporting of claims.

The UPR represents the unexpired portion of the premium for each scheme, net of an expense margin reflecting the acquisition cost loadings. The adequacy of the UPR has been tested by comparing against an Additional Unexpired Risk Reserve (AURR), which has been calculated using pooled industry claims data for the underlying assumptions. An AURR will be held in cases where the UPR is deemed insufficient to meet claims in respect of the unexpired period.

A loss ratio has been used for IBNR reserving, where the underlying claim rates are based on an analysis of historical group life claims experience, with judgement adopted where required.

No separate reserve is proposed for claims handling costs for Group Life business as these are typically insignificant in size. Costs incurred are absorbed as part of the general business management costs.

4.4 Process used to decide on assumption

4.4.1 Valuation interest rate:

The valuation interest rate is based on current market risk-free yields with adjustments. The use of a risk-free rate also implies that future investment margins (in excess of the risk-free return) will not be capitalized upon, which satisfies paragraph 27 of IFRS17. Further the result is a “fair value” liability calculation which aids the comparability of accounts between insurers.

Net valuation interest rate of 12.16% pa & 13.94% pa were adopted for annuity and other long term businesses, which has been applied as a single long term rate of return. As at 31 December, 2023, FGN bond yields of duration between 5 and 20 years were round 13.00%. The 30-year FGN bond yield was 13.28%.

For the purpose of determining the valuation interest rate, we have considered a 0.5% prudent margin against the long term yield to arrive at a gross valuation interest rate of 12.16% and 13.94%. This makes some allowance for the volatility and liquidity of the “riskfree” yields.

Type of Business	Rate	
	Risk	Annuity
Assumed Average yield based on a long-term FGNbonds	13.94%	13.04%
Less Prudent Margin	0.00%	0.00%
Less Reinvestment Risk Margin	0.00%	-0.25%
Net Valuation Interest rate	13.94%	12.79%
Rates Adopted	13.94%	12.79%

The valuation

Type of Business	31December 2023 valuation	31December 2022 valuation
Risk products	13.94%	13.94%
Deposit Based policies	13.94%	13.94%
Annuities	12.16%	12.16%

4.4.2 Expenses

The Group makes provisions for expenses in its mathematical reserves of an amount which is not less than the amount expected to be incurred in fulfilling its long-term insurance contracts.

Future maintenance expenses

The regulatory maintenance expenses are derived from the best estimate maintenance expenses plus a prudence margin for adverse deviations. The best estimate maintenance expenses are calculated using the sum of the following:

- (1) Per policy maintenance charges
- (2) Allocated operating expenses

The valuation expense assumptions are as follows:

	Current valuation	Previous valuation
Types of Business	N'per policy	N'per policy
Individual Life	20.975 pp pa	18.531 pp pa
Deposit	20.975 pp pa	18.531 pp pa
Annuities	20.975 pp pa	18.531 pp pa

4.4.3 Expense Inflation

The above expenses are subject to inflation at 13.19% pa. Consumer Price Inflation at 31 December 2023 was 13.19%. In the long run, we anticipate consumer price inflation levels falling and, as well, the Company being efficient in its operations.

4.4.4 Mortality

There has been no change to the mortality assumption since the previous valuation. For annuity books we use UKPA 90 Ultimate Mortality Tables with an age rating of -2 for both males and females.

The mortality table for the current valuation remains at the UK's Mortality of Assured Lives 1967-70 (A67-70) without adjustment for individual risk business.

The industry analysis shows that the A67-70 table appears prudent based on recent experience. Further the reserves are less sensitive to the mortality basis.

4.4.5 Withdrawals

Withdrawals comprise both surrenders (voluntary) and lapses (involuntary). Surrenders are acceptable under the Endowment life assurance portfolio after policies have been in force for a pre-defined length of time (at which policies become eligible to receive a surrender value payout).

4.4.6 Lapses

We have made an allowance for future lapses (being an exit without payment, before a surrender value becomes payable) and surrenders under the endowment plans at the rates;

Rate per annum	Protection Plan	Lapse Rate p.a	Surrender Rate p.a	
		All endowments	Traditional Endowment	Anticipated Endowment
Year1	10.0%	20.0%	0.0%	0.0%
Year2	7.5%	20.0%	0.0%	0.0%
Year3	5.0%	0.0%	10.0%	5.0%
Year4	2.5%	0.0%	7.5%	5.0%
Year5+	2.5%	0.0%	5.0%	5.0%

- i. For individual policies the valuation age has been taken as Age Last Birthday at the valuation date. The period to maturity has been taken as the full term of the policy less the expired term. Full credit has been taken for premiums due between the valuation date and the end of the premium paying term.
- ii. The valuation of the liabilities was made on the assumption that premiums have been credited to the accounts as they fall due, according to the frequency of the payment.
- iii. No specific adjustment has been made for immediate payment of claims.
- iv. No specific adjustment has been made for expenses after premiums have ceased in the case of limited payment policies i.e. they have been allocated at the same level of expenses as premium paying policies.
- v. For all protection business any negative reserves were set to zero to prevent policies being treated as assets.
- vi. Any policies subject to substandard terms were valued using the same basis as standard policies.

4.4.7 Bonuses

Reversionary bonuses are allotted in respect of each full year's premium paid. Reversionary bonuses vest on the policy anniversary.

4.4.8 Group life businesses.

Unexpired premium reserves (UPR) are reduced by a margin representing acquisition expenses, as these have been loaded into rates yet they have already been incurred. Acquisition expense ratio of 20% of gross premium was adopted and a NAICOM (regulatory) fee is payable at 1% of premium, the remaining 10% of premium reflects the loading for additional acquisition expenses.

Additional Reserves

Additional reserves such as data contingencies and expense overrun reserves were estimated as necessary using the information available and reported in the main valuation.

4.4.9 Reinsurance agreements

Reinsurance is allowed for in the valuation by having gross and reinsurance ceded records in the policy files. All reserves has been reported gross of reinsurance, with the value of the reinsurance asset reported separately.

4.4.10 Changes in assumptions

The Group did not change its assumptions for the insurance contracts.

4.5 Insurance and Market risk sensitivities

The sensitivity analysis of insurance and market risk is used as it provides a detailed understanding of the risks inherent in the business and to help develop a risk monitoring and management framework to ensure the risks remain within limits, taking into account the available capital and shareholder risk tolerance levels.

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

4.5a Sensitivity of liabilities to changes in long-term valuation assumptions

N'000	Base	VIR +1%	VIR -1%	Expenses +10%	Expenses -10%	Expense inflation +2%	Expense inflation -2%	Mortality +5%	Mortality -5%
Individual Risk Reserves (Excluding Annuity)	6,859,845	6,594,047	7,148,747	6,979,840	6,740,792	6,946,519	6,783,816	6,868,365	6,851,377
Annuity	29,903,761	28,336,902	31,653,558	30,169,908	29,637,615	30,506,804	29,447,978	30,240,876	28,579,682
Investment Linked Products	3,985,915	3,985,915	3,985,915	3,985,915	3,985,915	3,985,915	3,985,915	3,985,915	3,985,915
Group DA	103,948	103,948	103,948	103,948	103,948	103,948	103,948	103,948	103,948
Group Life – UPR	341,409	341,409	341,409	341,409	341,409	341,409	341,409	341,409	341,409
Group Life - AURR	50,567	50,567	50,567	50,567	50,567	50,567	50,567	50,567	50,567
Group Life - IBNR	838,867	838,867	838,867	838,867	838,867	838,867	838,867	838,867	838,867
Outstanding Claims	976,098	976,098	976,098	976,098	976,098	976,098	976,098	976,098	976,098
Additional Reserves	911,505	865,933	962,214	920,875	902,160	928,623	898,332	920,115	903,226
Reinsurance	(100,957)	(100,957)	(100,957)	(100,957)	(100,957)	(100,957)	(100,957)	(100,957)	(100,957)
Net liability	43,870,960	41,992,731	45,960,366	44,266,471	43,476,414	44,577,795	43,325,974	44,225,204	43,530,132
% change in Net Liability		-4.3%	4.8%	0.9%	-0.9%	1.6%	-1.2%	0.8%	
Summary	Base	Interest rate +1%	Interest rate -1%	Expenses +10%	Expenses 10%	Expense Inflation +2%	Expense Inflation -2%	Mortality +5%	Mortality -5%
Individual	42,637,126	40,758,897	44,726,532	43,032,637	42,242,580	43,343,960	42,092,140	42,991,370	42,296,298
Group	1,334,791	1,334,791	1,334,791	1,334,791	1,334,791	1,334,791	1,334,791	1,334,791	1,334,791
Gross liability	43,971,917	42,093,688	46,061,323	44,367,428	43,577,371	44,678,752	43,426,931	44,326,161	43,631,089
% change in Liability		-4.3%	4.8%	0.9%	-0.9%	1.6%	-1.2%	0.8%	

All stresses were applied independently. The mortality stress has been applied in the opposite direction for annuities. For example the 5% strengthening of the mortality assumption was modeled as 5% higher mortality for annuitants.

5. Management of Financial risk

The Group is exposed to various financial risks in connection with its current operating activities, such as foreign currency risk, interest rate risk, credit risk, market risk and liquidity risk. These risks contribute to the key financial risk that the proceeds from the Group's financial assets are insufficient to fund the obligations arising from insurance policy contracts.

The Company manages these risks through the activities of the Audit Committee and the Investment Committee. Each committee meets at least four times per annum to discuss financial risk issues. Management is responsible for implementing recommendations that have been agreed and reporting back to the relevant committee.

The Audit Committee is a committee of the Board of African Alliance Insurance Plc and is responsible for the implementation and monitoring of overall risk management, internal financial controls and financial and actuarial reporting within the Group. The main responsibilities of this Committee are:

- i) Setting and overseeing the overall standard for financial and actuarial reporting, risk management and internal controls within the Group;
- ii) Monitoring the effectiveness of business risk management processes in the Group;
- iii) Reviewing and assessing the quality of the work done by professionals responsible for financial and actuarial reporting, risk management and internal control;
- iv) Engaging in discussions with external and internal auditors on the quality and acceptability of the control environment and reporting structures.

The Investment Committee is a management committee and is responsible for

- i) Ensuring that insurance and investment contract liabilities are matched with appropriate supporting assets based on the type of benefits payable to the contract holders.
- ii) Ensuring that the long-term investment return on assets supporting policy liabilities are sufficient to fund policy holders' reasonable benefit expectations and the shareholders' profit entitlement;
- iii) The implementation and monitoring of the asset management process to ensure that the risks arising from trading positions are effectively managed within the pre-determined risk parameters.

5.1 Market risk

The business's operations are exposed to market risk. Market risk is the risk of adverse financial impact because of market movements such as currency exchange rates, interest rates and other price changes. Market risks arise due to fluctuations in both value of assets and liabilities. The company has established policies and procedures to manage market risk.

The acquisition of policyholders' assets is based on the design of the product and marketing descriptions. Within these parameters, investments are managed with the aim of maximising policyholder returns while limiting risk to acceptable levels within the framework of statutory requirements. The focus of risk measurement and management is to ensure that the potential risks inherent in an investment are reasonable for the future potential reward, exposure to investment risk is limited to acceptable levels, premium rates are adequate to compensate for investment risk and an adequate reserving policy is applied for long-term policy liabilities. The diverse product range requires a variety of approaches to the management of risk; these range from portfolio management practices and techniques such as optimization of expected risks and rewards based on investment objectives, to asset-liability matching in support of statement of financial position obligations.

5.1.1 Foreign exchange risk

Foreign exchange risk is the risk associated with movement in the foreign exchange prices from foreign currency denominated transactions which the Group is exposed to.

The Group is exposed to foreign exchange currency risk primarily through certain transactions denominated in foreign currency. The Group is exposed to foreign currency denominated in dollars and Pound through bank balances in other foreign currencies.

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

The Group manages its exposure to foreign exchange risk using sensitivity analysis to assess potential changes in the value of foreign exchange positions and impact of such changes on the Group's income. There have been no major changes from the previous year in the exposure to risk or policies, procedures and methods used to measure the risk.

The carrying amounts of the Group's foreign currency-denominated assets as at end of the year are as follows:

	Currency	Group		Company	
		31-Dec-23	31-Dec-22	31-Dec-23	31-Dec-22
		N'000	N'000	N'000	N'000
Cash and bank	Dollars	603	12,472	603	12,472
	Pounds	305,035	328,036	305,037	328,036

The table below shows the effect of the closing rate of the USD and GBP was N990 /\$1 (2022 December: N448.55/\$) and N1450/GBP (2022 December: N540.09 /GBP) respectively as at 31 December 2022 with unfavourable/favourable change in USD/GBP against the naira with all other variables held constant.

Changes in USD exchange rate	Group		Company	
	Impact on PBT			
	31-Dec-23	31-Dec-22	31-Dec-23	31-Dec-22
	N'000	N'000	N'000	N'000
Increase/(decrease) by 10% (+/-)	60	1,247	60	1,247
Increase/(decrease) by 15% (+/-)	90	1,871	90	1,871
Changes in POUNDS exchange rate				
Increase/(decrease) by 10% (+/-)	30,504	32,804	30,504	32,804
Increase/(decrease) by 15% (+/-)	45,756	49,205	45,756	49,205

5.1.2 Interest-rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument or insurance contract or reinsurance contract will fluctuate because of changes in market interest rates. Interest rate risk also arises from fluctuations in future cash flows of a financial instrument because of changes in market interest rates.

The company is exposed to interest rate risk as the company invest in short term investments at fixed interest rates. Interest rate risk also exists in products sold by the company. The company manages this risk by adopting close asset/liability matching criteria, to minimise the impact of mismatches between asset and liability values arising from interest rate movements and interest rate risk exposures from guarantees embedded in insurance liabilities. The

company's insurance contracts and investment contracts with DPF have certain options and guarantees that transfer interest rate risk to the company. These are:

- options to surrender the insurance contract or the investment contract with DPF where the surrender value (i.e. the strike price of the option) is either a fixed amount or a fixed amount plus interest depending on the year in which the contract was issued.
- guaranteed annuity options where the company has guaranteed at the inception of certain contracts that it will be paying a life annuity to the surviving policyholders at their retirement dates which will be calculated using the
- higher of the current annuity rate at that date or the guaranteed annuity rate set in the contract. The guaranteed rate has fixed at inception both the level of mortality risk and the interest rate that will be used to calculate the annuity.

Interest rate risk is managed through monitoring of interest rate sensitivity analysis across all investment portfolios. The table below shows the maturity profile of interest rate sensitivity analysis as at 31 December 2023, holding all other variables constant and assuming all interest rates are floating and move in line with prevailing interest rates. Based on historical data, 100 and 500 basis points changes are deemed to be reasonably possible and are used when reporting interest rate risk.

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

31- December -2023

Group	Non Interest Bearing	1-3 months	3-6 months	Interest earning assets	> 12 months	Total
	N'000	N'000	N'000	6- 12 months	N'000	N'000
Cash and cash equivalents	4	271,422				1,145,398
Financial assets:			398,706	257,332	217,935	6,269,671
-fair value through P or L - equities	-	-				29,846,413
-fair value through P or L - bonds	-	-				62,291
- fair value through OCI	62,291	-		3,581,570	26,264,848	62,291
- Amortized cost	-	-		-	-	713,970
Other receivables and prepayments	443,010	-		(1,489)	63,780	
Statutory deposit	-	-		-	270,960	
					348,401	348,401
	505,305	271,422	398,706	3,837,413	33,435,595	38,448,441
Interest bearing liabilities						
Investment contract liabilities	-	109,808	229,808	1,188,654	1,867,885	3,396,154
Borrowings	-	-	-	-	591,045	591,045
	-	109,808	229,808	1,188,654	2,458,930	3,987,199
Gap	505,305	161,614	168,899	2,648,759	30,976,665	34,461,242
Cumulative gap - Sensitivity analysis	505,305	666,919	835,818	3,484,577	34,461,242	
Increase by 100bp	5,053	1,616	1,689	26,488	309,767	344,612
Increase by 500bp	25,265	8,081	8,445	132,438	1,548,833	1,723,062
Decrease by 100bp	(5,053)	(1,616)	(1,689)	(26,488)	(309,767)	(344,612)
Decrease by 500bp	(25,265)	(8,081)	(8,445)	(132,438)	(1,548,833)	(1,723,062)

Company	Non Interest Bearing	1-3 months	3-6 months	Interest	> 12 months	Total
	N'000	N'000	N'000	6 - 12 months	N'000	N'000
Cash and cash equivalents	4				208,204	
Financial assets :						
-fair value through P or L - equities	-	246,122	375,291		6,269,671	1,063,808
-fair value through P or L - bonds	-	-	-	234,187	-	6,269,671
- fair value through OCI	62,291	-	-	-	63,780	29,846,418
- Amortized cost	-	-	-	3,581,570		62,291
Other receivables and prepayments	2,067,408	-	-	(1,489)		62,291
Statutory deposit	-	-	-	-	238,763	2,306,171
					200,000	200,000
Interest bearing liabilities	2,129,704	246,122	375,291	3,814,268	33,245,266	39,810,650
Investment contract liabilities						
Borrowings	-	81,797	327,189	1,431,452	2,249,425	4,089,863
	-	-	-	-	558,187	558,187
Gap	-	81,797	327,189	1,431,452	2,807,612	4,648,050
Cumulative gap - Sensitivity analysis	-	81,797	327,189	1,431,452	2,807,612	4,648,050
Increase by 100bp	2,129,704	164,324	48,102		30,437,654	
Increase by 500bp	2,129,704	2,294,028	2,342,130	2,382,816	35,162,600	35,161,000
Decrease by 100bp	21,297	1,643	481	4,724,946	304,377	
Decrease by 500bp	106,485	8,216	2,405		1,521,883	

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

(21,297)	(1,643)	(481)	23,828	351,626
(106,485)	(8,216)	(2,405)	119,141	(304,377) 1,758,130
			(23,828)	(1,521,883) (351,626)
				(1,758,130)
			(119,141)	

31- December, 2022

Group	Non Interest Bearing	Interest earning assets				Total
	N'000	1-3 months N'000	3-6 months N'000	6 - 12 months N'000	> 12 months N'000	
Cash and cash equivalents Financial assets:	832	267,024	398,706	257,332	217,786	1,141,680
-fair value through P or L - equities	-	-	-	-	-	139,134
-fair value through P or L - bonds	-	-	-	-	139,134	6,269,671
- fair value through OCI	-	-	-	752,360	5,517,310	29,846,418
- Amortized cost	29,846,418	-	-	-	-	62,291
Other receivables and prepayments Statutory deposit	448,601	-	-	6,205	56,086	728,369
	-	-	-	-	279,768	348,401
	-	-	-	-	348,401	348,401
Interest bearing liabilities	30,295,851	267,024	398,706	1,015,898	6,558,485	38,535,966
Investment contract liabilities Borrowings	-	109,808	229,808	1,188,654	1,867,885	3,396,154
	-	-	-	-	134,611	134,611
	-	109,808	229,808	1,188,654	2,002,496	3,530,769
Gap	30,295,851	157,216	168,899	(172,756)	4,555,989	
Cumulative gap - Sensitivity analysis	30,295,851	30,453,067	30,621,966	30,449,209	35,005,199	35,005,199
Increase by 100bp	302,959	1,572	1,689	(1,728)	45,560	350,052
Increase by 500bp	1,514,793	7,861	8,445	(8,638)	227,799	1,750,260
Decrease by 100bp	(302,959)	(1,572)	(1,689)	1,728	(45,560)	(350,052)
Decrease by 500bp	(1,514,793)	(7,861)	(8,445)	8,638	(227,799)	(1,750,260)

Company	Non Interest Bearing	Interest earning assets				Total
	N'000	1-3 months N'000	3-6 months N'000	6 - 12 months N'000	> 12 months N'000	N'000
Cash and cash equivalents Financial assets	832	241,724	375,291	234,187	5,517,310	6,269,671
-fair value through P or L - equities	-	-	-	752,360	56,086	29,846,418
-fair value through P or L - bonds	430,774	-	-	-	-	62,291
- fair value through OCI	-	-	-	6,205	-	200,000
- Amortized cost	-	-	-	-	261,181	200,000
Other receivables and prepayments Statutory deposit	30,278,023	241,724	375,291	992,753	6,381,766	38,269,558
Interest bearing liabilities	-	81,797	327,189	1,431,452	2,249,425	4,089,863
Investment contract liabilities	-	-	-	-	22,444	4,112,907
Borrowings	-	81,797	327,189	1,431,452	2,271,869	4,112,907
Gap	30,278,023	124	48,102	(438,699)	4,109,898	34,157,251
Cumulative gap - Sensitivity analysis	30,278,023	159,926	30,486,052	(438,699)	4,109,898	34,157,251
Increase by 100bp	30,278,023	124	48,102	(438,699)	4,109,898	34,157,251
Increase by 500bp	30,278,023	159,926	30,486,052	(438,699)	4,109,898	34,157,251

5.2 Credit risk

Credit risk arises from the inability or unwillingness of a counter party to a financial instrument to discharge its contractual obligations. The Group determines counter-party credit quality by reference to ratings from independent ratings agencies or, where such ratings are not available, by internal analysis. The Group seeks to avoid unacceptable concentration of credit risk to groups of counter-parties, to business sectors, product types, etc.

Key areas where the Group is exposed to credit risk are:

- Reinsurers' share of insurance liabilities;
- Amounts due from reinsurers in respect of claims already paid;
- Amounts due from insurance contract holders;
- Amounts due from insurance intermediaries
- Amounts due from loans and receivables;
- Amounts due from money market and cash positions

The Group structures the levels of credit risk it accepts by placing limits on its exposure to a single counterparty, or groups of counterparties. Such risks are subject to an annual or more frequent review on a quarterly basis. Limits on the level of credit risk by category and territory are approved by the Management Committee.

Reinsurance is used to manage insurance risk. This does not, however, discharge the Group's liability as primary insurer. If a reinsurer fails to pay a claim for any reason, the Group remains liable for the payment to the policyholder. The creditworthiness of reinsurers is considered on an annual basis by reviewing their financial strength prior to finalization of any contract.

The Group's financial instruments do not represent a concentration of credit risk because the business deals with a variety of reinsurers and its premiums receivable and loans are spread among a number of major industries, customers and geographic areas. Amounts receivable in terms of long-term insurance business are secured by the underlying value of the unpaid policy benefits in terms of the policy contract. An appropriate level of provisioning is maintained based on the outstanding claims reserve on policies.

The Group manages its exposure to credit risk through counterparty risk using established limits as approved by the Board. These limits are determined based on credit ratings of the counterparty amongst other factors. The investments portfolio is monitored on a monthly basis.

5.2.1 Maximum exposure to credit risk before collateral and other credit enhancements.

	Group		Company	
	31-Dec-23	31-Dec-22	31-Dec-23	31-Dec-22
	N'000	N'000	N'000	N'000
Cash and cash equivalents	820,949	1,141,679	739,360	1,060,089
Investment securities	33,241,786	36,321,804	33,237,789	36,317,807
Trade receivables	88,884	88,884	-	-
Reinsurance assets	135,120	166,819	135,120	166,819
Other receivables	690,101	728,369	653,727	691,995
Statutory deposit	348,401	348,401	200,000	200,000
	35,325,241	38,795,956	34,965,996	38,436,710

5.2.2 Credit quality of financial assets

All assets are classified as "Neither past due nor impaired". Credit quality of trade receivables is summarised as follows:

	Group		Company	
	31-Dec-23	31-Dec-22	31-Dec-23	31-Dec-22
	N'000	N'000	N'000	N'000
Neither past due nor impaired	34,546,256	37,912,841	34,312,269	37,678,561
Individually impaired	778,985	817,253	653,727	691,955
Gross	35,325,241	38,730,094	34,965,996	38,370,516
Less: allowance for impairment	778,985	(3,777,366)	653,727	(3,777,367)
Net	36,104,226	34,952,728	35,619,722	34,593,148

No trade receivable balance was past due but not impaired in line with the regulatory requirement of 'No Premium No Cover'. The risk associated with Trade receivables is low.

5.2.3 Credit quality of financial assets neither past due nor impaired

The credit quality of financial assets that are neither past due nor impaired can be assessed by reference to internal credit ratings or to historical information about counterparty default rates.

5.2.4 Management of credit risk

The Board of Directors is responsible for oversight of the Entity's credit risk, including:

- Formulating credit policies for The Entity, covering collateral requirements, credit assessment, risk grading and reporting, documentary and legal procedures, and compliance with regulatory and statutory requirements.
- Establishing the authorisation structure for the approval and renewal of credit facilities. Authorisation limits are allocated to the Board of Directors as appropriate.
- Reviewing and assessing credit risk in all credit exposures prior to making commitment to customers. Renewals and reviews of facilities are subject to the same review process
- Developing and maintaining The Entity's criteria for categorising exposures, and to focus management on the attendant risks. The responsibility for approving and reviewing the Risk Assets Acceptance Criteria and Credit Risk Policy lies with the Board of Directors
- Reviewing compliance of with exposure and concentration limits, and promotion of best practices throughout the entity in the management of credit risk.

5.2.5 Credit Risk Management

The Entity acknowledges that there are diverse intrinsic risks inherent in the vagaries of its business segments and, as a result, applies different parameters to adequately diminish the risks in each business segments.

The Entity's rating grades as defined by the Board of Directors, covering all the entity's credit exposure to corporate, commercial, conglomerates and multinationals. Obligor rating in the entity is handled by Relationship Managers with further review by Risk Management and Control before it goes through the approval process.

The Entity's external rating system (Moody's.) is shown below:

Moody's	PD		AAIC	Definition
Aaa	0.02%		AAA	Superior asset quality. Asset will be recovered in full. Risk of loss is remote.
Aa1	0.03%		AA	
Aa2	0.05%		AA-	
Aa3	0.09%		A+	
A1	0.14%		A	
A2	0.18%		A-	Asset quality is reliable, but with considerable risk. Risk of loss is doubtful.
A3	0.22%		BBB+	
Baa1	0.28%		BBB	
Baa2	0.43%		BBB-	
Baa3	0.66%		BB+	
Ba1	1.10%		BB	The quality of the Asset is acceptable with some potential weakness. While the asset is currently protected, it is considered potentially weak.
Ba2	1.65%		BB-	
Ba3	2.48%		CCC+	
B1	3.71%		CCC	
B2	5.57%		CCC-	
B3	8.35%		CC+	Asset quality is unreliable with strong tendency for failure/loss. Imminent weakness with slim chance of survival.
Caa1	10.20%		CC	
Caa2	13.80%		CC-	
Caa3	100.00%		C+	Asset recovery is of great concern. The risk of loss is more imminent and pronounced.
			C	
Ca			C-	

The Entity's operational measurements for credit risk are in conformity with the impairment allowances required under the applicable reporting standard – IFRS 9, and are based on expected losses at the date of entering the contract.

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

The estimation of credit exposure is complex and requires the use of models, as the value of a product varies with changes in market variables, expected cash flows and the passage of time. The assessment of credit risk of a portfolio of assets entails further estimations as to the likelihood of defaults occurring, of the associated loss ratios and of default correlations between counterparties.

The Entity has developed models to support the quantification of the credit risk. These rating and scoring models are in use for all key credit portfolios and form the basis for measuring default risks. In measuring credit risk, the Group considers three components: (i) the 'probability of default' (PD) by the client or counterparty on its contractual obligations; (ii) current exposures to the counterparty and its likely future development, from which the Group derive the 'Exposure At Default' (EAD); and (iii) the likely recovery ratio on the defaulted obligations (the 'Loss Given Default') (LGD). The models are reviewed regularly to monitor their robustness relative to actual performance and amended as necessary to optimise their effectiveness.

For debt securities, external ratings are used by Risk Management department for managing of the credit risk exposures as supplemented by The Entity's own assessment through the use of internal ratings tools.

Group

31 December 2023

Policyholder Portfolio

	AAA	AA	A	BB	CC	Total
	(N'000)	(N'000)	(N'000)	(N'000)	(N'000)	(N'000)
Cash and cash equivalents	820,949	-				820,949
Marketable investment securities	-	33,241,786				33,241,786
Total	820,949	33,241,786				34,062,735

Shareholder Portfolio

Cash and bank balances	-	-	-	-	-	-
Marketable investment securities	-	-	-	-	-	-
Reinsurance assets	135,120	-	-	-	-	135,120
Statutory deposit	348,401					348,401
Due from policy holders	-	-	-	-	-	-
Total	483,521					483,521

31 December 2022

Policyholder Portfolio

	AAA	AA	A	BB	CC	Total
Cash and cash equivalents	1,141,679	-				1,141,679
Marketable investment securities	-	36,259,512				36,259,512
Total	1,141,679	36,259,512				37,401,191

Shareholder Portfolio

Cash and bank balances	-	-	-	-	-	-
Marketable investment securities	-	-	-	-	-	-
Reinsurance assets	-	-	-	-	-	-
Statutory deposit	166,819	-	-	-	-	166,819
Due from policy holders	348,401					348,401
Total	515,220	-	-	-	-	515,220

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Company

31 December 2023

Policyholder Portfolio

	AAA	AA	A	BB	CC	Total
	(N'000)	(N'000)	(N'000)	(N'000)	(N'000)	(N'000)
Cash and bank balances	739,360	-	-	-	-	739,360
Marketable investment securities	33,237,789	-	-	-	-	33,237,789
Total	33,977,149	-	-	-	-	33,977,149

Shareholder Portfolio

Cash and bank balances	-	-	-	-	-	-
Marketable investment securities	-	-	-	-	-	-
Reinsurance assets	135,120	-	-	-	-	135,120
Statutory deposit	200,000	-	-	-	-	200,000
Due from policy holders	-	-	-	-	-	-
Total	335,120	-	-	-	-	335,120

31 December 2022

Policyholder Portfolio

	AAA	AA	A	BB	CC	Total
Cash and bank balances	1,060,089	-	-	-	-	1,060,089
Marketable investment securities	36,255,223	-	-	-	-	36,255,223
Total	37,315,312	-	-	-	-	37,315,312

Shareholder Portfolio

Cash and bank balances	-	-	-	-	-	-
Marketable investment securities	-	-	-	-	-	-
Reinsurance assets	166,819	-	-	-	-	166,819
Statutory deposit	200,000	-	-	-	-	200,000
Total	366,819	-	-	-	-	366,819

5.2.6 Concentration of credit risk exposure

a. Geographical sectors

The concentration of credit risk exposure are all in Nigeria.

b. Industry Sector

The following table breaks down the Group's credit exposure at carrying amounts, as categorised by the industry sectors of the Group's counterparties.

Group	31 December 2023				31 December 2022			
	Premium Receivable N'000	Investment securities N'000	Other receivable N'000	Total N'000	Premium Receivable N'000	Investment securities N'000	Other receivable N'000	Total N'000
Finance and insurance		34,062,735		34,062,735		37,463,483		37,463,483
Public sector			348,401	348,401			348,401	348,401
Retail	88,884		690,101	778,985	88,884		728,369	817,253
	88,884	34,062,735	1,038,502	35,190,121	88,884	37,463,483	1,076,770	38,629,137

Company	31 December 2023				31 December 2022			
	Premium Receivable N'000	Investment securities N'000	Other receivable N'000	Total N'000	Premium Receivable N'000	Investment securities N'000	Other receivable N'000	Total N'000
Finance and insurance	-	33,977,149	-	33,977,149	-	37,377,603	-	37,377,603
Public sector			200,000	200,000			200,000	200,000
	-	33,977,149	200,000	34,177,149	-	37,377,603	200,000	37,577,603

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

5.2.7 Offsetting financial assets and financial liabilities.

The disclosures set out in the tables below include financial assets and financial liabilities that are subject to an enforceable master netting arrangement or similar agreement that covers similar financial instruments, irrespective of whether they are offset in the statement of financial position. As at year end, none of these agreement arrangements met the criteria for offsetting in the statement of financial position.

Reinsurance payable and receivables results from the agreement entered into by the parties with a right of set-off on recognized amounts that is enforceable only following a predetermined events as stipulated within the treaty agreements. Under the requirements of 'IFRS 17 - Insurance contract', reinsurance assets and liabilities are disclosed gross. Each party to the agreement will have the option to settle all such amounts on a net basis in the event of default of the other party. An event of default includes a failure by a party to make payment when due.

Group

31 December 2023

Financial assets subject to offsetting, enforceable master netting arrangements and similar agreements

Related amounts not offset in the statement

	Gross amount of recognized financial asset	Gross amount of financial liabilities offset in the statement of financial position	Net amounts of financial assets presented in the statement of financial position	Financial instruments (including non-cash collateral)	Cash collateral received	Net amount
	N'000	N'000	N'000	N'000	N'000	N'000
Reinsurance receivables (note 9)	135,120	-	135,120	-	-	135,120

31 December 2023

Financial liabilities subject to offsetting, enforceable master netting arrangements and similar agreements

Related amounts not offset in the statement

	Gross amount of recognized financial asset	Gross amount of financial liabilities offset in the statement of financial position	Net amounts of financial assets presented in the statement of financial position	Financial instruments (including non-cash collateral)	Cash collateral received	Net amount
	N'000	N'000	N'000	N'000	N'000	N'000
Reinsurance payables (note 20)	112,117	-	-	-	-	112,117

31 December 2022

Financial assets subject to offsetting, enforceable master netting arrangements and similar agreements

Related amounts not offset in the statement of financial position

	Gross amount of recognized financial asset	Gross amount of financial liabilities offset in the statement of financial position	Net amounts of financial assets presented in the statement of financial position	Financial instruments (including non-cash collateral)	Cash collateral received	Net amount
	N'000	N'000	N'000	N'000	N'000	N'000
Reinsurance receivables (note 9)	166,819	-	166,819	-	-	166,819

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

31 December 2022

Financial liabilities subject to offsetting,
enforceable master netting arrangements
and similar agreements

Related amounts not offset in the
statement of financial position

	Gross amount of recognized financial asset N'000	Gross amount of financial liabilities offset in the statement of financial position N'000	Net amounts of financial assets presented in the statement financial of position N'000	Financial instruments (including non-cash collateral N'000	Cash collateral received N'000	Net amount N'000
Reinsurance payables (note 20)	62,943	-	-	-	-	-

Company

31 December 2023

Financial assets subject to offsetting,
enforceable master netting arrangements
and similar agreements

Related amounts not offset in the
statement of financial position

	Gross amount of recognized financial asset N'000	Gross amount of financial liabilities offset in the statement of financial position N'000	Net amounts of financial assets presented in the statement financial of position N'000	Financial instruments (including non-cash collateral N'000	Cash collateral received N'000	Net amount N'000
Reinsurance receivables (note 9)	135,120	-	135,120	-	-	135,120

31 December 2023

Financial liabilities subject to offsetting,
enforceable master netting arrangements
and similar agreements

Related amounts not offset in the statement of financial position

	Gross amount of recognized financial asset N'000	Gross amount of financial liabilities offset in the statement of financial position N'000	Net amounts of financial assets presented in the statement financial of position N'000	Financial instruments (including non-cash collateral N'000	Cash collateral received N'000	Net amount N'000
Reinsurance payables (note 20)	112,117	-	112,117	-	-	112,117

31 December 2022

Financial assets subject to offsetting,
enforceable master netting arrangements
and similar agreements

Related amounts not offset in the statement of financial position

	Gross amount of recognized financial asset N'000	Gross amount of financial liabilities offset in the statement of financial position N'000	Net amounts of financial assets presented in the statement financial of position N'000	Financial instruments (including non-cash collateral N'000	Cash collateral received N'000	Net amount N'000
Reinsurance receivables (note 9)	166,819	-	166,819	-	-	166,819

31 December 2022

Financial assets subject to offsetting,
enforceable master netting arrangements
and similar agreements

Related amounts not offset in the
statement of financial position

	Gross amount of financial assets
--	---

	Gross amount of recognized financial asset	liabilities offset in the statement of financial position	presented in the statement financial of position	Financial instruments (including non-cash collateral	Cash collateral received	Net amount
	N'000	N'000	N'000	N'000	N'000	N'000
Reinsurance receivables (note 20)	62,943	-	62,943	-	-	-

Premium debtors are measured at amortized cost, less provision for impaired receivables. Under IFRS, an asset is impaired if the carrying amount is greater than the recoverable amount. The entity applies the Expected Credit Loss model as per IFRS 9 to calculate impairment for trade receivables."

After analysing this financial instrument based on NAICOM “No Premium No Cover” guidelines, a nil impairment standpoint was taken.

Staged Approach to the Determination of Expected Credit Losses

Change in credit quality since initial recognition

12 month expected credit losses	Lifetime expected credit losses	Lifetime expected credit losses
Effective interest on gross carrying amount	Effective interest on gross carrying amount	Effective interest on amortised cost carrying amount (i.e. net of credit allowances)
<i>Performing (initial recognition*)</i>	<i>Underperforming (Assets with significant increase in credit risk since initial recognition*)</i>	<i>Non-performing (Credit impaired assets)</i>

**Expect for purchased or originated credit impaired assets*

Stage 1: The Company recognises a credit loss allowance at an amount equal to the 12 month expected credit losses. This represents the portion of lifetime expected credit losses from default events that are expected within 12 months of the reporting date, assuming that credit risk has not increased

Stage 2: The Company recognises a credit loss allowance at an amount equal to the lifetime expected credit losses (LTECL) for those financial assets that are considered to have experienced a significant increase in credit risk since initial recognition. A financial assets is significantly impaired if an entity compares the risk of a default occurring over the expected life of the financial instrument as at the reporting date with the risk of default as at the date of initial recognition. This requires the computation of ECL based on Lifetime probabilities of default that represents the probability of a default occurring over the remaining lifetime of the financial assets. Allowance for credit losses is higher in this stage because of an increase in credit risk and the impact of a longer time horizon being considered compared to 12 months in stage 1.

Stage 3: The Company recognises a loss allowance at an amount equal to life-time expected credit losses, reflecting a probability of default (PD) of 100 % via the recoverable cash flows for the asset. For those financial assets that are credit impaired. The Company's definition of default is aligned with the regulatory definition. The regulatory definition of default hinged on the “No premium No cover” policy states that premium not collected after 3 months is deemed impaired and uncollected. The treatment of the loans and other receivables in stage 3 remains substantially the same as the treatment of impaired financial assets under IFRS 9 except for the portfolios of assets purchased or originated as credit impaired.

The Company does not originate or purchase credit impaired loans or receivables

Impairment Methodology

Calculation of Expected Credit Losses

Calculation of the expected credit loss is based on the key risk parameters of PD, LGD and ED according to the formular set below:

ECL	=	PD	x	EAD	x	LGD
12-month / lifetime Expected Credit Loss (ECL)		Probability of default		Exposure at default		Loss Given Default (after consideration of collaterals and recoveries)

The calculation of ECL incorporates forward-looking information in all the ECL components. This forward-looking information which includes inflation rate, Consumer Price Index (CPI), Exchange rate, Employment rate e.t.c will impact the various ECL components as follows:

- Probability of default – The PDs will vary during various stages of an economic cycle. It is based on the likelihood that a borrower will default within one year (PD), assessment of the creditworthiness of the counterparty and transformation of 1 Year horizon into lifetime of the asset.
- Loss Given Default – Collateral values will vary based on the stage of an economic cycle.
- Exposure at default – Change in interest rates may affect the EAD e.g. higher interest rates may result in longer terms for loans causing a change in the

Loss Given Default

The Company applies historical experience to determine the expected loss given default ratios for each class of financial instruments. Where internal historical experience is not available, other sources, e.g. data available from rating companies as well as professional judgments are used to determine the LGD ratios that will apply. Collateral that is held against the financial assets is also considered in determining the LGD.

The Company management has resolved to use the recovery rates as published by Moodys credit analytics for all credit exposures to sovereign denominated in foreign currencies and all corporate exposures.

For sovereign exposures denominated in Naira which are assessed as low credit risk exposures, we have resolved to use LGDs within the range of 5-10% based on the Central banks of Nigeria's Revised Guidance Notes on Credit risk. Section 3.1 of the document addresses exposure to sovereigns and Central banks and states that financial institutions should assign a risk weight of 0% to the following:

- Exposures to Federal Government of Nigeria (FGN) and Central Bank of Nigeria (CBN);
- Instruments issued by other entities backed by express guarantee of the FGN
- Inter-bank transactions guaranteed by the FGN or CBN; and

Inter-bank transactions among supervised institutions collateralized by FGN Bonds, Treasury Bills or other similar sovereign bills.

5.2.9 Liquidity risk

Liquidity risk is the risk that the Company is unable to meet its obligations when they fall due as a result of policyholder benefit payments, cash requirements from contractual commitments, or other cash outflows, such as debt maturities. Such outflows would deplete available cash resources for operational, trading and investments activities. In extreme circumstances, lack of liquidity could result in reductions in the consolidated balance sheet and sales of assets, or potentially an inability to fulfill policyholder commitments. The risk that the Group will be unable to do so is inherent in all insurance operations and can be affected by a range of institution-specific and market-wide events including, but not limited to, credit events, merger and acquisition activity, systemic shocks and natural disasters.

Monitoring and reporting take the form of cash flow measurement and projections for the next day, week and month respectively, as these are key periods for liquidity management. The starting point for those projections is an analysis of the undiscounted contractual cashflow at maturity of the financial liabilities and the expected collection date of the financial assets.

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

All policyholder funds are invested in appropriate assets to meet the reasonable benefit expectations of policyholders, which include the expectation that funds will be available to pay out benefits as required by the policy contract. The disclosure in note 6 demonstrate that the Group has significant liquid resources. The value for policyholders' liabilities and the assets backing them are as per the carrying amount in the statement of the financial position.

The maturity profile of the total policyholders' liabilities and assets backing them is shown below:

Group							
31 December 2023	Carrying amount	0-3 months	3 to 9 months	9 to 1 year	1 to 5 years	> 5 years	Total
	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Trade payables	1,871,887	187,189	467,972	655,160	280,783	280,783	1,871,887
Other liabilities	1,277,960	127,796	319,490	447,286	191,694	191,694	1,277,960
Investment linked contract liabilities	<u>2,919,135</u>	<u>291,914</u>	<u>729,784</u>	<u>1,021,697</u>	<u>437,870</u>	<u>437,870</u>	<u>2,919,135</u>
Total financial liabilities	<u>6,068,981</u>	<u>606,898</u>	<u>1,517,245</u>	<u>2,124,144</u>	<u>910,347</u>	<u>910,347</u>	<u>6,068,981</u>
Cash and bank balances	820,949	82,095	205,237	287,332	123,142	123,142	820,949
Marketable investment securities	33,144,173	3,314,417	8,286,043	11,600,461	4,971,626	4,971,626	33,144,173
Trade receivables	88,884	8,888	22,221	31,109	13,373	13,373	88,884
Reinsurance contract assets	104,554	10,455	26,138	36,594	15,683	15,683	104,554
Other receivables	<u>653,727</u>	<u>65,373</u>	<u>163,432</u>	<u>228,804</u>	<u>98,059</u>	<u>98,059</u>	<u>653,727</u>
Total financial assets	<u>34,812,287</u>	<u>3,481,229</u>	<u>8,703,072</u>	<u>12,184,301</u>	<u>5,221,843</u>	<u>5,221,843</u>	<u>34,812,287</u>
Net financial assets and liabilities	28,743,306	2,874,331	7,185,826	10,060,157	4,311,496	4,311,496	28,743,306
Insurance contract liabilities - Life fund	<u>(42,611,406)</u>	<u>(4,261,141)</u>	<u>(10,652,857)</u>	<u>(14,913,992)</u>	<u>(6,391,711)</u>	<u>(6,391,711)</u>	<u>(42,611,406)</u>
Net policyholders' assets and liabilities	<u>(13,868,100)</u>	<u>(1,386,810)</u>	<u>(3,467,025)</u>	<u>(4,853,835)</u>	<u>(2,080,215)</u>	<u>(2,080,215)</u>	<u>(13,868,100)</u>
Group							
31 December 2022	Carrying amount	0-3 months	3 to 9 months	9 to 1 year	1 to 5 years	> 5 years	Total
	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Trade payables	838,925	83,893	209,731	293,624	125,839	125,839	838,925
Other liabilities	1,505,292	150,529	376,323	526,852	225,794	225,794	1,505,292
Investment linked contract liabilities	<u>4,089,863</u>	<u>408,986</u>	<u>1,022,466</u>	<u>1,431,452</u>	<u>613,479</u>	<u>613,479</u>	<u>4,089,863</u>
Total financial liabilities	<u>6,434,080</u>	<u>643,408</u>	<u>1,608,520</u>	<u>2,251,928</u>	<u>965,112</u>	<u>965,112</u>	<u>6,434,080</u>
Cash and bank balances	1,141,679	114,168	285,420	399,588	171,252	171,252	1,141,679
Marketable investment securities	36,321,804	1,816,090	1,089,654	2,542,526	1,816,090	29,057,443	36,321,804
Trade receivables	88,884	88,884	-	-	-	-	88,884
Reinsurance contract assets	100,957	-	-	100,957	-	-	100,957
Other receivables	<u>728,369</u>	<u>72,837</u>	<u>182,092</u>	<u>254,929</u>	<u>109,255</u>	<u>109,255</u>	<u>728,369</u>
Total financial assets	<u>38,381,693</u>	<u>2,091,979</u>	<u>1,557,166</u>	<u>3,298,000</u>	<u>2,096,597</u>	<u>29,337,950</u>	<u>38,381,693</u>
Net financial assets and liabilities	31,947,613	1,448,571	(51,354)	1,046,073	1,131,486	28,372,837	31,947,613
Insurance contract liabilities - Life fund	<u>(41,644,329)</u>	<u>(1,496,744)</u>	<u>(1,995,659)</u>	<u>(3,193,054)</u>	<u>(5,055,111)</u>	<u>(29,903,761)</u>	<u>(41,644,329)</u>
Net policyholders' assets and liabilities	<u>(9,696,716)</u>	<u>(48,173)</u>	<u>(2,047,013)</u>	<u>(2,146,981)</u>	<u>(3,923,625)</u>	<u>(1,530,924)</u>	<u>(9,696,716)</u>
Net policyholders' assets and liabilities	<u>(17,693,905)</u>	<u>(1,136,875)</u>	<u>(2,437,785)</u>	<u>(2,146,360)</u>	<u>(1,668,207)</u>	<u>(10,303,678)</u>	<u>(17,692,904)</u>

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Company							
31-Dec-23	Carrying amount	0-3 months	3 to 9 months	9 to 1 year	1 to 5 years	> 5 years	Total
	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Trade payables	1,649,987	164,999	412,497	577,496	247,698	247,698	1,649,987
Other liabilities	1,221,740	122,174	305,435	427,609	183,261	183,261	1,221,740
Investment linked contract liabilities	2,919,135	291,913	729,784	1,021,697	437,870	437,870	2,919,135
Total financial liabilities	5,790,862	579,086	1,447,715	2,026,802	868,629	868,629	5,790,862
Cash and bank balances	739,360	73,936	184,840	258,776	110,904	110,904	739,360
Marketable investment securities	33,237,789	3,323,779	8,309,447	11,633,226	4,985,668	4,985,668	33,237,789
Trade receivables	-	-	-	-	-	-	-
Reinsurance contract assets	104,553	-	-	104,554	-	-	104,553
Other receivables	653,727	65,373	163,432	228,804	98,059	98,059	653,727
Total financial assets	34,735,429	3,463,088	8,657,719	12,225,359	5,194,631	5,194,631	34,735,429
Net financial assets and liabilities	28,944,567	2,894,457	7,236,142	10,130,599	4,341,685	4,341,685	28,944,567
Insurance contract liabilities – Life fund	40,849,131	4,084,913	10,212,283	14,297,196	6,127,370	6,127,370	40,849,131
Net policyholders assets and liabilities	69,793,698	6,979,370	17,448,425	24,427,794	10,469,055	10,469,055	69,793,698
Company							
31-Dec-22	Carrying amount	0-3 months	3 to 9 months	9 to 1 year	1 to 5 years	> 5 years	Total
	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Trade payables	600,675	60,067	150,169	210,236	90,101	90,101	600,675
Other liabilities	1,293,384	129,338	323,346	452,685	194,008	194,008	1,293,384
Investment linked contract liabilities	4,089,863	408,986	1,022,466	1,431,452	613,479	613,479	4,089,863
Total financial liabilities	5,983,923	598,392	1,495,981	2,094,373	897,588	897,588	5,983,923
Cash and bank balances	1,060,089	106,009	265,022	371,031	159,013	159,013	1,060,089
Marketable investment securities	36,317,514	1,815,876	1,089,525	2,542,226	1,815,876	29,054,011	36,317,514
Trade receivables	-	-	-	-	-	-	-
Reinsurance contract assets	100,957	-	-	100,957	-	-	100,957
Other receivables	691,955	69,196	172,989	242,184	103,793	103,793	691,955
Total financial assets	38,170,516	1,991,080	1,527,536	3,256,399	2,078,682	29,316,818	38,170,516
Net financial assets and liabilities	32,186,593	1,392,688	31,556	1,162,026	1,181,094	28,419,229	32,186,593
Insurance contract liabilities – Life fund	(39,882,054)	(1,496,744)	(1,995,659)	(3,193,054)	(3,292,837)	(29,903,761)	(39,882,054)
Net policyholders assets and liabilities	(7,695,461)	(104,056)	(1,964,103)	(2,031,028)	(2,111,743)	(1,484,532)	(7,695,461)

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

The maturity of non-derivative financial liabilities and financial assets have been compiled based on undiscounted cash flows, which include estimated interest payments.

5.2.10 Capital management policies and procedures

The Company manages its capital to ensure that the company will be able to continue as going concern and comply with the regulators' capital requirements while maximising the return to stakeholders through the optimization of the debt and equity balance. The capital structure of the company consists of equity attributable to equity holders of the parent, comprising issued capital, reserves and retained earnings.

In line with the Finance Act 2021 - Part ix – Insurance Act, as an existing company, the capital requirement is as shown below:

	Group		Company	
	2023	2022	2023	2022
	N'000	N'000	N'000	N'000
Share capital	10,292,500	10,292,500	10,292,500	10,292,500
Share premium	14,365,133	14,365,133	14,365,133	14,365,133
Contingency reserves	2,032,514	1,971,330	1,983,877	1,922,695
Retained earnings	<u>(40,549,007)</u>	<u>(37,186,797)</u>	<u>(39,967,227)</u>	<u>(36,605,015)</u>
	<u>(13,858,860)</u>	<u>(10,557,835)</u>	<u>(13,325,716)</u>	<u>(10,024,687)</u>
Less own shares	-	-	-	-
	<u>(13,858,860)</u>	<u>(10,557,835)</u>	<u>(13,325,716)</u>	<u>(10,024,687)</u>
Subordinated liabilities approved by the Commission.	-	-	-	-
Other Instruments approved by the Commission.	-	-	-	-
Capital requirements	<u>(13,858,860)</u>	<u>(7,716,112)</u>	<u>(13,326,716)</u>	<u>(5,909,206)</u>

The Company's policy is to maintain a strong capital base to maintain investor, creditor and market confidence and to sustain the future development of the business. Management uses regulatory capital ratios to monitor its capital base. Capital is allocated between specific operations and activities and to a large extent driven by optimization of the return achieved on the capital allocated. The amount of capital allocated to each activity is based primarily on the regulatory capital. In some cases the regulatory requirements do not fully reflect the varying degree of risk associated with different activities. In such cases, the capital requirements may be flexed to reflect differing risk profiles, subject to the overall level of capital to support a particular operation not falling below the minimum required for regulatory purposes. The process of allocating capital to specific operations or activities is undertaken independently of those responsible for the operation by a committee. The National Insurance Commission (NAICOM) specifies the minimum amount and type of capital that must be held by the company to cover the insurance liabilities. The regulator measures the financial strength of insurance companies using the capital adequacy requirements for the category of company. This test compares insurer's capital against the risk profile.

The company recorded a positive shareholders fund and Solvency Margin deficiency of N2,40 billion and N2.04billion respectively. The solvency margin is below the minimum regulatory capital of N2

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

billion required by the National Insurance Commission (NAICOM) for life insurance business. The position of the capital requirement is favourable but will require more fund to meet the needs of the company capital management.

5.3 Group Hypothecation 2023					
	Total	Life Policy Holders Fund	Annuity Funds	Investment Contracts Funds	Shareholders' funds
Assets	N'000	N'000	N'000	N'000	N'000
Cash and Cash Equivalents	820,949	-	-	-	820,949
Financial Assets					
-At fair value through profit or loss	3,058,136	892,405	212,470	1,953,201	
-Available for sale	270,453	231,812		38,641	
-Held to maturity	29,850,706	1,035,000	130,000	400,000	28,187,800
-Loans and receivables	62,491	-	62,784		
Trade Receivables	88,884	-			88,884
Reinsurance Contract Assets	135,120	104,554			
Deferred Acquisition Cost	-	-			
Other Receivables	690,101	159,953			493,774
Investment in subsidiaries	-	-			-
Investment in Associates	-	-			
Investment Properties	14,372,536	6,671,786	3,308,750	1,420,000	2,972,000
Deferred Tax Assets	147,690		-		147,690
Intangible Asset	160,301		-		69,817
Property Plant and Equipment	1,792,388		-		1,792,388
Statutory Deposits	348,401		-		348,401
Right of Use Assets	123,954		-		123,954
Total Assets	51,922,110	9,095,510	3,714,004	3,811,902	35,045,658
Liabilities					
Insurance Contract Liabilities	39,559,241	11,740,568	30,870,838		
Investment Contracts Liabilities	6,232,355			6,232,355	
Borrowings	-				-
Trade Payable	1,823,505				1,823,505
Other payables	743,164				743,164
Employee Benefit Liability	26,143				26,143
Income Tax liabilities	594,723				594,723
Deferred tax liabilities	673,767				673,767
Total Liabilities	49,652,898	11,740,568	30,870,838	6,232,355	3,391,540
Surplus/(Deficit)	2,269,212	(2,645,058)	(27,156,834)	(2,420,453)	3

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

5.3 Group Hypothecation 2022					
	Total	Life Policy Holders Fund	Annuity Funds	Investment Contracts Funds	Shareholders' funds
Assets	N'000	N'000	N'000	N'000	N'000
Cash and Cash Equivalents	1,141,679	710,237	154,936	276,506	
Financial Assets					
-At fair value through profit or loss	6,269,671	4,121,485	212,470	1,935,716	
-Available for sale	139,134	100,493		38,641	
-Held to maturity	29,850,706	929,000	78,100	409,000	28,434,606
-Loans and receivables	62,292	-	62,292		
Trade Receivables	88,884	-			88,884
Reinsurance Contract Assets	100,957	100,957			
Deferred Acquisition Cost	-	-			
Other Receivables	728,369	159,953			568,416
Investment in subsidiaries	-	-			-
Investment in Associates	-	-			
Investment Properties	12,719,286	4,888,536	273,300	1,430,000	6,127,450
Deferred Tax Assets	147,690		-		147,690
Intangible Asset	60,413		-		60,413
Property Plant and Equipment	1,792,388		-		1,792,388
Statutory Deposits	348,401		-		348,401
Right of Use Assets	23,490		-		23,490
Total Assets	53,473,360	11,010,661	781,098	4,089,863	37,591,739
Liabilities					
Insurance Contract Liabilities	41,644,329	11,740,568	29,903,761		
Investment Contracts Liabilities	4,089,863			4,089,863	
Borrowings	134,611				134,611
Trade Payable	838,925				838,925
Other payables	846,761				846,761
Employee Benefit Liability	47,346				47,346
Income Tax liabilities	591,045				591,045
Deferred tax liabilities	204,005				204,005
Total Liabilities	48,396,886	11,740,568	29,903,761	4,089,863	2,662,694
Surplus/(Deficit)	5,076,473	(729,907)	(29,122,663)	(0)	34,929,045

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

5.4 Company Hypothecation						
2023						
Item		Life Fund	Annuity	Investment Contract	Total	
		N'000	N'000	N'000	N'000	
Insurance Contract Liabilities		11,046,871.00	29,276,847.00		40,323,718.00	
Investment Contract Liabilities		-		2,919,135.00	2,919,135.00	
Gross Insurance Funds		11,046,871	29,276,847	2,919,135	43,242,853	
Less						
Reinsurance Receivables						
1	Reinsurance expenses prepaid			-	-	
2	Reinsurers' share of Claims expense paid	(76,220)	-	-	(76,220)	
3	Reinsurers' share of Unearned premium reserve	(58,901)	-	-	(58,901)	
4	Reinsurers' share of Incurred but not reported claims	(1,178)		-	(1,178)	
5	Others (specify)			-	-	
Net Insurance Funds		10,910,572	29,276,847	2,919,135	43,106,554	
Admissible Assets						
1	Cash and Cash Equivalents	325,140	287,632	126,588	739,360	
2	Treasury bills and Government Bonds	2,214,107	275,278	568,751	3,058,136	
3	Corporate Bonds & Debenture	41,750	-	15,826	57,576	
4	Quoted Shares	101,215	-	30,103	131,318	
5	Unquoted Shares	46,292	21,060	27,045	94,397	
6	Loans to Policy holders		-	-	-	
7	Investment Properties	5,759,230	494,948	2,150,822	8,405,000	
	Total Admissible Assets	8,487,734	1,078,918	2,919,135	12,485,787	
SURPLUS (DEFICIT) IN ASSETS COVER		(2,422,838)	(28,197,929)	-	(30,620,767)	

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

5.4 Company Hypothecation						
2022						
Item		Investment Contract	Annuity	Total Life Insurance Fund	Total	Policy holders Fund
		N'000	N'000	N'000	N'000	N'000
Insurance Contract Liabilities			29,903,761	39,882,054	39,882,054	9,978,298
Investment Contract Liabilities		4,089,863		4,089,863	4,089,863	
Gross Insurance Funds		4,089,863	29,903,761	43,971,918	43,971,918	9,978,298
Less						
Reinsurance Receivables						
1	Reinsurance expenses prepaid		-			
2	Reinsurers' share of Claims expense paid		-			
3	Reinsurers' share of Unearned premium reserve		-			
				(17,070)	(17,070)	(17,070)
4	Reinsurers' share of Incurred but not reported claims		-			
				(83,887)	(83,887)	(83,887)
5	Others (specify)		-			
			-	-		-
Net Insurance Funds		4,089,863	29,903,761	43,870,960	9,877,336	43,870,960
Admissible Assets						
1	Cash and Cash Equivalents	276,506	154,936	1,060,089	628,647	1,060,089
2	Treasury bills and Government Bonds	1,935,716	212,469	6,269,670	4,121,485	6,269,670
3	Corporate Bonds & Debenture	-	62,292	62,292		62,292
4	Quoted Shares	38,641	-	139,134	100,493	139,134
5	Unquoted Shares	409,000	78,100	1,416,100	929,000	29,846,418
6	Loan to Policy holders		-	159,953	159,958	159,953
7	Other Loans & Receivables					532,002
8	Investment in Subsidiaries					105,000
9	Investment in Associates					
10	Intangible Assets					33,360
11	Right of Use Assets					23,490
12	Deferred Tax Assets					146,476
13	Statutory Deposit					200,000
14	Investment Properties	1,430,000	273,300	4,953,300	3,250,000	11,080,750
	Total Admissible Assets	4,089,863	781,097	14,060,538	9,189,578	49,658,634
SURPLUS (DEFICIT) IN ASSETS COVER		4,089,863	(29,122,664)	(29,810,423)	5,787,674	(687,758)

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

5.5 Minimum Capital requirement

The Company's issued and paid up share capital as at December, 2023 is N10,292,500 (2022: N10,292,500)

The Solvency Margin for African Alliance Insurance Plc. as at 31 December 2023 is as follows:			
	Total	Admissible	Inadmissible
	N'000	N'000	N'000
Assets			
Cash & Cash Equivalent	739,360	739,360	-
FVTPL- Quoted Equities	270,453	270,453	-
FVTPL- Bonds	3,058,136	3,058,136	-
FVTOCI	29,846,418	29,846,418	-
Amortised Cost	62,292	62,292	-
Trade Receivable	-	-	-
Reinsurance contract assets	135,120	135,120	-
Other Receivable & Prepayment	653,729	171,471	482,250
Investment properties	12,734,000	8,405,000	4,329,000
Investment in Subsidiary	105,000	-	105,000
Investment in Associate	-	-	-
Retirement benefit assets	-	-	-
Deffered Tax Asset	146,476	-	146,476
Intangible assets	156,738	156,738	-
Right of Use Assets	-	-	-
Property Plant & Equipment(Land & Building)	284,000	284,000	-
Property Plant & Equipment (Others)	400,680	400,680	-
Statutory Deposit	200,000	200,000	-
Total Assets (a)	48,793,676	43,730,951	5,062,725
Liabilities			
Insurance Contract Liabilities	40,323,718	40,323,718	-
Investment Contract Liabilities	2,919,135	2,919,135	-
Borrowing	-	-	-
Trade Payable	1,649,987	1,649,987	-
Other Payables & Accruals	611,550	611,550	-
Provision and Accruals	-	-	-
Employee Benefits Liabilities	92,107	92,107	-
Deffered Tax Liabilities	561,869	-	561,869
Tax Payable	561,865	561,865	-
Total Liabilities (b)	46,720,232	46,158,362	561,869
SOLVENCY MARGIN (a-b)		(2,427,411)	
Subject to Higher of:			
Net Premium Income			
15% of Net premium income	917,751		
Or			
Minimum Capital Requirement		2,000,000	
Surplus/(Deficit) In Solvency Margin		(4,427,411)	
Gross Solvency ratio		(121) %	
Net Solvency ratio		(221) %	

During the year the solvency margin was (221) % (2022: (302) %).

The company did not meet the minimum capital requirement of N2 billion as stipulated by the Insurance Act

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

The Solvency Margin for African Alliance Insurance Plc. as at 31 December 2022 is as follows:			
	Total	Admissible	Inadmissible
	N'000	N'000	N'000
Assets			
Cash & Cash Equivalent	1,060,089	943,982	116,107
FVTPL- Quoted Equities	139,135	139,135	-
FVTPL- Bonds	6,269,671	6,269,671	-
FVTOCI	29,846,418	29,846,418	-
Amortised Cost	62,292	62,292	-
Trade Receivable	-	-	-
Reinsurance Contract Assets	100,957	100,957	-
Other Receivable & Prepayment	691,955	172,434	519,521
Investment properties	11,080,750	5,335,966	5,744,784
Investment in Subsidiary	105,000	-	105,000
Investment in Associate	-	-	-
Retirement benefit assets	-	-	-
Deffered Tax Asset	146,476	-	146,476
Intangible assets	33,360	33,360	-
Right of Use Assets	23,490	-	23,490
Property Plant & Equipment(Land & Building)	284,000	284,000	-
Property Plant & Equipment (Others)	479,378	479,378	-
Statutory Deposit	200,000	200,000	-
Total Assets (a)	50,522,970	43,867,593	6,655,377
Liabilities			
Insurance Contract Liabilities	39,882,054	39,882,054	-
Investment Contract Liabilities	4,089,863	4,089,863	-
Borrowing	22,444	22,444	-
Trade Payable	600,675	600,675	-
Other Payables & Accruals	708,927	708,927	-
Provision and Accruals	-	-	-
Employee Benefits Liabilities	47,346	47,346	-
Deffered Tax Liabilities	92,107	-	92,107
Tax Payable	558,187	558,187	-
Total Liabilities (b)	46,001,604	45,909,497	92,107
SOLVENCY MARGIN (a-b)		(2,041,906)	
Subject to Higher of:			
Net Premium Income	6,889,986		
15% of Net premium income	1,033,498		
Or			
Minimum Capital Requirement		2,000,000	
Surplus/(Deficit) In Solvency Margin		(4,041,906)	
Gross Solvency ratio		(202) %	
Net Solvency ratio		(302) %	

The company's capital objectives are to ensure that the company is properly capitalized and always funded, having regard to its regulatory needs, prudent management and the needs of all stakeholders.

Precisely, the company has adopted the following capital management policies:

- (i) Maintenance, as a minimum, of capital sufficient to meet the statutory requirement.

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

- (ii) An Economic Capital at Risk (ECaR) approach is also used by the management and the board to ensure that obligations to policyholders can be met in adverse circumstances.
- (iii) Maintenance of an appropriate level of liquidity at all times. The company further ensures that it can always meet its expected capital and financing needs, having regard to business plans to guarantee its going concern status, forecast and any strategic initiatives.

Sensitivities

The company has both qualitative and quantitative risk management procedures to monitor the key risks and sensitivities of the business. This is achieved through scenario analysis and risk assessments. From an understanding of the principal risks, appropriate risk limits and control are defined. The Enterprise Risk Management committee plays a major role here.

The risk types affecting the surplus capital of the company are market risk, credit risk, liquidity risk, liability risk, business risk and operational risk.

The minimum capital required is compared with the equity maintained during the period in the table below:

	31-Dec-23 N'000	31-Dec-22 N'000	31-Dec-23 N'000	31-Dec-22 N'000
Shareholders' equity	2,072,666	5,076,475	2,072,666	4,521,364
Capital requirement on regulatory basis	2,000,000	2,000,000	2,000,000	2,000,000
Shortfall in Solvency Margin	(4,428,190)	(4,041,905)	(4,428,190)	(4,041,905)
Shortfall in Asset cover for contract liabilities	(27,532,680)	(29,852,571)	(22,004,995)	(27,810,423)

5.5B Measurement basis of financial assets and liabilities

Group	31 December 2023			31 December 2022		
	Fair Value	Amortised Cost	Total	Fair Value	Amortised Cost	Total
	N'000	N'000	N'000	N'000	N'000	N'000
Cash and cash equivalents	820,949	-	820,949	1,141,679	-	1,141,679
Investment securities	33,241,786	-	33,144,173	36,259,511	62,292	36,321,804
Trade receivables	-	88,884	88,884	-	88,884	88,884
Reinsurance contract assets	-	135,120	135,120	-	166,819	166,819
Other assets	-	653,727	653,727	-	728,369	728,369
Statutory deposit	-	348,401	348,401	-	348,401	348,401
Total Financial assets	34,062,715	1,262,506	35,325,241	37,401,190	1,394,76	38,730,094
Financial liabilities	-	134,611	134,611	-	134,611	134,611
Bank overdraft	-	1,871,887	1,871,887	-	838,925	838,925
Trade payable	-	634,912	634,912	-	1,485,153	1,485,153
Other payables and accruals	-	-	-	-	-	-
Investment linked contract liabilities	-	-	-	-	-	-
Total Financial liabilities	-	2,641,410	2,641,410	-	2,458,689	2,458,689

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Company	31 December 2023			31 December 2022		
	Fair Value	Amortised Cost	Total	Fair Value	Amortised Cost	Total
	N'000	N'000	N'000	N'000	N'000	N'000
Cash and cash equivalents	739,360	-	739,360	1,060,089	-	1,060,089
Investment securities	33,237,789	-	33,237,789	36,255,223	62,291	36,317,514
Trade receivables	-	135,120	135,120	-	166,819	166,819
Reinsurance contract assets	-	758,726	758,726	-	796,955	796,955
Other assets	-	200,000	200,000	-	200,000	200,000
Statutory deposit	-	-	-	-	-	-
Total Financial assets	33,977,149	1,093,846	35,070,995	37,315,311	1,226,065	38,541,3
Financial liabilities						
Bank overdraft	-	-	-	-	22,444	22,444
Trade payable	-	1,649,987	1,649,987	-	600,675	600,675
Other payables and accruals	-	1,221,740	1,221,740	-	1,314,461	1,314,461
Investment linked contract liabilities	-	2,919,135	2,919,135	-	4,089,863	4,089,863
Total Financial liabilities		5,790,862	5,790,862		6,027,443	6,027,443

5.6 Measurement of financial assets and liabilities at fair value

The Group measures fair values using the following fair value hierarchy, which reflects the significance of the inputs used in making the measurements:

Level 1: inputs that are quoted market prices (unadjusted) in active markets for identical instruments.

Level 2: inputs other than quoted prices included within Level 1 that are observable either directly (i.e. as prices) or indirectly (i.e. derived from prices). This category includes instruments valued using: quoted market prices in active markets for similar instruments; quoted prices for identical or similar instruments in markets that are considered less than active; or other valuation techniques in which all significant inputs are directly or indirectly observable from market data. All level 2 valuation were derived using either the net present value and discounted cash flow models or comparison with similar instruments for which market observable prices exist.

Level 3: inputs that are unobservable. This category includes all instruments for which the valuation technique includes inputs not based on observable data and the unobservable inputs have a significant effect on the instrument's valuation. This category includes instruments that are valued based on quoted prices for similar instruments for which significant unobservable adjustments or assumptions are required to reflect differences between the instruments.

There were no transfers from Level 1 to Level 2 or between level 2 or level 3 of the fair value hierarchy during the year.

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

5.6.1 Fair value of financial assets and liabilities

The table below summarises the carrying amounts and fair values of the financial assets and liabilities.

	Group				Company			
	31 December 2023		31 December 2022		31 December 2023		31 December 2022	
	Carrying value	Fair value	Carrying value	Fair value	Fair value	Fair value	Fair value	Fair value
	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Financial assets								
Statutory deposits	348,401	348,401	348,401	348,401	200,000	200,000	200,000	200,000
Cash and bank balances	820,949	820,949	1,141,679	1,141,679	739,360	739,360	1,060,089	1,060,089
Investment securities:	-	-						
FVTPL-equities	270,453	270,453	139,135	139,135	270,453	270,453	139,134	139,134
FVTPL-bonds	3,058,136	3,058,136	6,269,671	6,269,671	3,058,136	3,058,136	6,269,671	6,269,671
FVOCI	29,752,800	29,752,800	29,850,706	29,850,706	29,846,418	29,846,418	29,846,418	29,846,418
Amortized cost	62,784	62,784	62,292	62,292	62,782	62,782	62,291	62,291
Loan and receivables	-	-			-	-		
Trade receivables	88,884	88,884	88,884	88,884	-	-		
Reinsurance contract assets	135,120	135,120	166,815	166,815	135,120	135,120	166,815	166,815
Other receivables	634,912	634,912	728,369	728,369	653,727	653,727	691,955	691,955
TOTAL	35,378,304	35,378,304	38,795,956	38,730,094	34,965,996	34,965,996	38,370,516	38,370,516
Financial liabilities								
Trade payables	1,871,887	1,871,887	838,925	838,925	1,649,987	1,649,987	600,675	600,675
Other liabilities	634,912	634,912	1,619,764	1,619,764	1,221,740	1,221,740	1,336,905	1,336,905
Investment linked contract	2,919,135	2,919,135	4,089,863	4,089,863	2,919,135	2,919,135	4,089,863	4,089,863
TOTAL	5,425,933	5,425,933	6,548,552	6,548,552	5,790,862	5,790,862	6,027,443	6,027,443

5.7 The risk types affecting the surplus capital of the company are market risk, credit risk, insurance risk, liquidity risk, liability risk, business risk and operational risk.

5.7.1 Financial instruments measured at fair value - Fair value hierarchy

The following table analyses financial instruments measured at fair value at the reporting date, by the level in the fair value hierarchy into which the fair value measurement is categorised. The amounts are based on the values recognised in the statement of financial position.

Group

31 December 2023	Level 1	Level 2	Level 3	Total Fair value
	N'000	N'000	N'000	N'000
Financial assets				
Investment securities:				
Financial assets designated at fair value through P or L	6,408,806			6,408,806
Fair value through other comprehensive income			29,850,706	29,850,706
Investment Properties		12,719,286		12,719,286
	6,408,806	12,719,286	29,850,706	48,978,797

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Group 31 December 2022	Level 1	Level 2	Level 3	Total Fair value N'000
	N'000	N'000	N'000	
Financial assets				
Investment securities:				
Financial assets designated at fair value through P or L	6,408,806			6,408,806
Fair value through other comprehensive income			29,850,706	29,850,706
Investment Properties		12,719,286		12,719,286
	6,408,806	12,719,286	29,850,706	48,978,797

Company 31 December 2023	Level 1	Level 2	Level 3	Total Fair value N'000
	N'000	N'000	N'000	
Financial assets				
Investment securities:				
Financial assets designated at fair value through P or L	3,328,589			3,328,589
Financial assets designated at fair value through P or L			29,846,418	29,846,418
Investment properties		12,734,000		12,734,000
	3,328,589	12,734,000	29,846,418	45,909,007

Company 31 December 2022	Level 1	Level 2	Level 3	Total Fair value N'000
	N'000	N'000	N'000	
Financial assets				
Investment securities:				
Financial assets designated at fair value through P or L	6,408,805			6,408,805
Financial assets designated at fair value through P or L			29,846,418	29,846,418
Investment properties		11,080,750		11,080,750
	6,408,805	11,080,750	29,846,418	47,335,972

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

5.7.2 Financial instruments not measured at fair value

The following table sets out the fair values of financial instruments not measured at fair value and analyses them by the level in the fair value hierarchy into which each fair value measurement is categorized:

Group

31 December 2023	Level 1	Level 2	Level 3	Total Fair value	Total carrying amount
	N'000	N'000	N'000	N'000	N'000
Financial assets					
Cash & cash equivalents	820,949				820,949
Investment securities:					
Fair value through profit or loss	3,058,136				3,058,136
Trade receivables		88,884			88,884
Reinsurance contract assets		135,120			135,120
Other receivables		658,727			658,727
Statutory deposit		348,401			348,401
	3,879,085	1,262,506			5,141,591
Financial liabilities					
Trade payables	-	-	-	-	-
Other liabilities	-	-	-	-	-
Investment linked contract liabilities	-	-	-	-	-

Group

31 December 2022	Level 1	Level 2	Level 3	Total Fair value	Total carrying amount
	N'000	N'000	N'000	N'000	N'000
Financial assets					
Cash & cash equivalents	739,360				739,360
Investment securities:					
Fair value through profit or loss	3,058,136				3,058,136
Trade receivables		88,884			88,884
Reinsurance contract assets		166,815			166,815
Other receivables		728,369			728,369
Statutory deposit		348,401			348,401
	3,797,496	1,332,473			5,532,288
Financial liabilities					
Trade payables	-	-	-	-	-
Other liabilities	-	-	-	-	-
Investment linked contract liabilities	-	-	-	-	-

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Company

31 December 2023

	Level 1	Level 2	Level 3	Total Fair value	Total carrying amount
	N'000	N'000	N'000	N'000	N'000
Financial assets					
Cash & bank balances	-	739,360		739,360	739,360
Investment securities:	-	-			-
Fair value through profit or loss-equities	270,453	-		270,453	270,453
Fair value through profit or loss-bonds	3,058,136	-		3,058,136	3,058,136
Fair value through other comprehensive income	29,846,418	-		29,846,418	29,846,418
Reinsurance contract assets	-	135,120		135,120	135,120
Other receivables	-	653,727		653,727	653,727
Statutory deposit	-	200,000		200,000	200,000
	33,175,007	1,728,206	-	34,903,214	34,903,214
Financial liabilities					
Trade payables	-	-	-	-	-
Other liabilities	-	-	-	-	-
Investment linked contract liabilities	-	-	-	-	-

Company

31 December 2022

	Level 1	Level 2	Level 3	Total Fair value	Total carrying amount
	N'000	N'000	N'000	N'000	N'000
Financial assets					
Cash & bank balances		-		-	-
Investment securities:					-
Fair value through profit or loss-equities	-				-
Fair value through profit or loss-bonds	-				-
Fair value through other comprehensive income	-				-
Reinsurance contract assets		166,819		166,819	166,819
Other receivables		691,995		691,995	691,995
Statutory deposit		200,000		200,000	200,000
	-	1,058,814	-	1,058,814	1,058,814
Financial liabilities					
Trade payables	-	-	-	-	-
Other liabilities	-	-	-	-	-
Investment linked contract liabilities	-	-	-	-	-

There was no transfer between levels during the year under review.

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

5.7.3 Financial instruments in level 3

The financial instruments in level 3 above comprise unquoted equity instruments. The following table shows a reconciliation from the beginning balances to the ending balances for financial instruments in level 3 of the fair value hierarchy.

	Group		Company	
	31-Dec-23	31-Dec-22	31-Dec-23	31-Dec-22
	N'000	N'000	N'000	N'000
At 1 January	29,850,786	16,089,177	29,846,418	16,084,889
Acquisition				
Translation adjustment				
Fair value changes	-	13,761,529	-	13,761,529
At 31 December	29,850,786	29,850,705	29,846,418	29,846,418

These are investment in unquoted securities which are not traded or quoted on any stock market. The Company has no intention of disposing the securities in the foreseeable future.

The Company holds equity instruments in non-listed companies designated at the fair value other comprehensive income. The Company holds non-controlling interest between (2%- 49%) in these companies.

The unquoted equity instruments are carried at fair value (2021: carried at fair value) using market approach. The resulting fair value adjustment of all equities designated at fair value through other comprehensive income (FTOCI) are recorded in other income.

5.7.3a Sensitivity Analysis on Financial instruments in level 3

Directors apply the discounted cash flow methodology for the fair measurement of its unquoted level 3 financial instruments, to determine their fair value at each reporting date. A significant number of the inputs, while not observable in the market, are however derived from market prices, rates or are estimated based on assumptions, and similar listed or quoted entities. These assumptions, judgement and estimation usually required for the adoption of an appropriate valuation model to be used, determination of expected cashflows on the financial instruments being valued, determination of the probability of counterparty default, and selection of appropriate discount rates and driven by the Directors. Fair value estimates obtained from such models are adjusted for factors such as the liquidity risk or model uncertainties, to the extent that Directors believes that a third-party market participant would take them into account in pricing a transaction. Model inputs and values are calibrated against historical data and published forecasts. This calibration process is inherently subjective, and it yields ranges of possible inputs and estimates of fair value.

The group's valuation methodology takes into account growth in net earnings or cash flow, fixed capital investments, working capital investments and net borrowings, beta, risk free rate, market risk premium and assumed annual growth rate. These features are used to estimate expected future cashflows and discounted at a risk-adjusted rate. This technique is subject to inherent limitations such as estimation of the appropriate risk-adjusted discount rate, and different assumptions and inputs would yield different results.

When assessing a DCF valuation, the adopted discount rate and adopted terminal yield have a strong interrelationship in deriving a fair value given the discount rate will determine the rate at which the terminal

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

value is discounted to the present value. An increase in the discount rate and a decrease in the terminal yield will offset the impact on the fair value. Same impact will apply if there is a decrease in the discount rate and an increase in the terminal yield. A linear directional change in the discount rate and the terminal yield will potentially increase the impact on the fair value.

Significant inputs	Impact on fair value of an increase in input	Impact on fair value of a decrease in input
Risk free rate	Increase	Decrease
Beta	Decrease	Increase
Market risk premium	Decrease	Increase
Assumed terminal growth rate	Decrease	Increase

This is the premium estimated as required over the long term risk-free rate. In most cases, the unsystematic risk pertaining to countrywide factors such as sociopolitical risk, a country's sovereign rating etc. is usually priced into risk-free instruments such as government bonds. The unsystematic risk pertaining to the stock market or particular industry is addressed by the market risk premium, while the beta is responsible for company-specific risks. We have used a market risk premium of 6% for the valuation, as we believe most of the inherent risks in the Nigerian capital market have been largely priced in the bond yields.

Beta

The beta of a stock measures the sensitivity of the excess expected return on an individual share relative to that of a benchmark equities market or index. It is best derived by the regression analysis of a company's stock price returns to that of the benchmark market index. However, in cases where a company is not publicly listed, it can be derived by using a proxy from a similar company which is publicly listed, or by using the industry average. There are however cases where there are no comparable companies that are publicly listed to use as proxies. In such cases, betas are estimated or assumed based on the sensitivity of the industry to the stock market and/or the overall economy as a guide. The unquoted financial instruments valuation is peculiar in the sense that it is privately held and does not have ready and direct comparable publicly listed on the Nigerian Stock Exchange, although there are similar unlisted entities in the market. We assumed a beta of 1.28 for the unquoted financial instrument based on our perceived sensitivity of its industry to the Nigerian economy.

Risk-Free rate

The risk-free rate used in the valuation models is the yield of the most actively traded 10-yr FGN bond, as we believe this is the best reference for a risk-free instrument with a similar duration to the investment horizon of equities.

The risk-free rate used in the unquoted financial instruments valuation reports was the current yield, 16% on the most actively traded 10-yr FGN bond in the Nigerian bond market at the time.

Assumed terminal growth rate

This is the rate that the company is assumed to continue to grow after the forecasted years in the valuation. It is usually close to the GDP rate of the country where the company is situated. In certain cases, the assumed growth rate may exceed the current GDP as the industry may be in its growth phase.

We have reduced the terminal growth rate for the unquoted financial instruments to 4% in line with growth projections for the country. It is important to note that huge potentials remain largely untapped in the Nigerian housing industry, predicated on a large and growing population with unmet housing needs.

5.7.4 Fair valuation methods and assumptions

i. Cash & cash equivalents

This represents cash held in various bank accounts at the end of the year. The fair value of this amount is the carrying amount

ii. Other receivables

Other assets represent amount due from reinsurers and other related parties which usually have a short recycle period and as such the fair values of these balances approximate their carrying amount.

iii. Statutory deposit

This represents the deposit held by Central bank of Nigeria. i.e. 10% of the minimum capitalisation in compliance with the Insurance Act. The fair value of this balance is approximately its carrying amount.

iv. Trade payables

These represent amount payable to reinsurers and other creditors which have a short recycle period and as such the fair values of these balances approximate their carrying amount.

v. Other liabilities

These are amounts outstanding and are payable within a period of one year. Amount outstanding are assumed to approximate their respective fair values.

vi. Insurance contract liabilities

These are amounts payable to policyholders in the event of a claim. The carrying amount have been calculated by the actuary and the carrying amount represents the fair value as at 31 December, 2022.

SEGMENT REPORTING

Identification of reportable segments

The business activities of African Alliance Insurance Plc. Group are first organized by product and type of service: life insurance activities and air freight activities.

Information regarding the results of each reportable segment is included below. Performance is measured based on segment profit (or loss) before income taxes, as included in the internal management reports that are reviewed by the Group's CEO. Segment profit is used to measure performance as management believes that such information is the most relevant in evaluating the results of certain segments relative to other entities that operate within this industry. Inter-segment pricing is determined on an arm's length basis.

Information reported to the chief operating decision maker (the CEO) for the purposes of resource allocation and assessment of segment performance focuses on types of goods or services delivered or provided. The Company's reportable segments under IFRS 8 are therefore as follows:

- Life business
- Air freight business

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Life Business

The Life reportable segment offers a wide variety of insurance products for both personal and corporate customers. The products offer range from provision of group life policies, traditional life policies with a segment of investment linked and annuity policies. The main source of income in this segment is the premium received from the insured on risk covered by the entity and the investment income earned on placements and deposit with financial institutions.

Air Freight

This reportable segment is a private company who provides cargo air transportation through relevant leasing arrangement.

Segment revenues and results.

The following is an analysis of the group revenue and results from continuing operations by reportable segment:

	Segment revenue		Segment profit	
	31-Dec-23	31-Dec-22	31-Dec-23	31-Dec-22
	N'000	N'000	N'000	N'000
Life business	6,814,931	6,814,931	(4,749,368)	(4,749,368)
Internet income				
- Life Business			989,357	989,357
- Air freight			358	358
			989,715	989,715
Interest expense				
- Life Business				
- Air freight				
Depreciation & Amortisation				
- Life Business			(251,098)	(251,098)
- Air freight				
			(251,098)	(251,098)
Other income			224,681	224,681
Impairment charges			18,640	18,640
Fair value gain on investment properties			3,050,750	3,050,750
Fair value through profit or loss			104,682	104,682
Loss from investment contracts			(94,347)	(94,347)
Gain on disposal of associate			-	-
Share of profit of equity accounted investee			-	-
Other operating and administrative expenses			(2,178,926)	(2,178,926)
Finance cost			(10,534)	(10,534)
Profit before tax (continuing operations)			(2,895,804)	(2,895,804)

Segment revenue reported above represents revenue generated from external customers. There were no inter-segment sales in the current year.

The accounting policies of the reportable segments are the same as the Group's accounting policies. Segment profit represents the profit before tax carried by each segment without allocation of other operating administration costs and director's salaries, share of profit of associates, investment income, other gains and losses as well as finance costs. This is the measure reported to the chief operating decision maker for the purposes of resource allocation and assessment of segment performance.

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Segment assets

	31-Dec-23	31-Dec-22
	N'000	N'000
Life business	53,466,950	53,466,950
Air Freight	6,411	6,411
	53,473,361	53,473,361

Segment liabilities

Life business	45,030,250	45,030,250
Air Freight	3,366,636	3,366,636
	48,396,886	48,396,886

Other segment information

	Depreciation and amortization additions to non-current assets:			
	Year end 31	Year end 31	Year end 31	Year end 31
	Dec 2023	Dec 2022	Dec 2023	Dec 2022
	N'000	N'000	N'000	N'000
Life business	251,098	251,098	50,596	50,596
Air Freight	-	-		
	251,098	251,098	50,598	50,598

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 31 DECEMBER 2023

6	Cash and cash equivalent	Group	Company		
		Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000	Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000
	Cash in Hand	-	138		
	Cash in bank (note 6.2)	295,056	374,855	273,904	353,703
	Short-term bank deposits	525,755	766,686	465,456	706,386
		820,949	1,141,679	739,360	1,060,089
	Short Term Bank Deposit				
	Short Term Bank Deposit	574,737	810,954	489,505	725,722
	ECL Impairment (notes 6.1)	(44,268)	(44,268)	(19,336)	(19,336)
	Additional ECL Impairment during the year	(4,713)	-	(4,713)	-
		525,756	766,686	465,456	706,386

6.1 Movement in ECL adjustment on cash and cash equivalent is detailed below

	Group			Company
	31-Dec-23	31-Dec-22	31-Dec-23	31-Dec-22
	N'000	N'000	N'000	N'000
At 1 January	44,268	33,277	19,336	8,345
Movement for the year	4,713	10,991	4,713	10,991
At 31 December	48,981	44,268	24,049	19,336

6.2 **Cash and cash equivalent for the purpose of cashflow**

Cash and cash equivalents includes cash in hand, deposits held at call with banks, other short-term highly liquid investments with original maturities of three months or less. They include:

	Group		Company	
	Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000	Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000
Cash in hand	-	138		
Cash in bank	273,904	374,855	273,904	355,158
Short-term bank deposits	489,505	810,954	489,505	725,722
Bank overdraft (see note 23)	-	(23,922)		
Cash and cash equivalent for cash flow purpose	763,408	1,162,025	763,408	1,079,425

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

7 Financial assets

7.1 FVTPL - Quoted equities

These are quoted equities in the Nigerian Stock Exchange, the fair value were determined by reference to the quoted closing bid price at the end of the reporting year derived as follows:

	Group		Company	
	Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000	Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000
Quoted equity securities	270,453	139,134	270,453	139,134
	270.453	139.134	270.453	139.134

7.1i Movement in FVTPL - Quoted equities

At 1 January	139,135	147,544	139,135	147,544
Transfer to Conau Trade and Investment Limited (note 7.1ii)	-	-	-	-
Disposal	-	-	-	-
Fair value changes	131,318	(8,409)	131,318	(8,409)
At 31 December	270,453	139,135	270,453	139,135

7.1ii **During the year 2021, the entity's investment in quoted equities of 3,900,000,000 units in universal Insurance Plc s was transfer to CONAU Trade and Investment Limited as part of the purchase consideration towards the re-acquisition of its investment in PAL Pensions Limited at market value of N780 million included in the disposal amount above.

For the purpose of cash flow, the market value of N780 million was not included as the transfer didn't involve exchange of cash between the parties (Conau Trade and Investment Limited and the Entity African Alliance Insurance)

7.2 FVTPL - Debt Securities (bonds)

Government and corporate bonds	2,929,077	6,156,579	2,929,077	6,156,579
Fair value changes	129,058	113,092	129,058	113,092
	3,058,136	6,269,671	3,058,136	6,269,671

7.2i Movement in FVTPL - Debt Securities (bonds)

At 1 January	6,269,672	10,414,572	6,269,672	10,414,572
Reclassification from Amortized cost – FVTPL	-	-	-	-
Additions	240,000	935,352	240,000	935,352
Redemption/disposal	(3,580,594)	(5,193,344)	(3,580,594)	(5,193,344)
Interest income on bond	-	-	-	-
Fair value changes	129,058	113,092	129,058	113,092
	3,058,136	6,269,671	3,058,136	6,269,671

7.2ii Net fair value gains/(loss)

Fair value gain on equity shares	131,318	(8,409)	131,318	(8,409)
Fair value gain on Bonds	129,058	113,092	129,058	113,092
	260,377	104,682	260,377	104,682

7.2iii Fair value movement

As 1 January	338,838	225,746	338,838	225,746
Fair value changes	129,058	113,092	129,058	113,092
At 31 December	467,896	338,838	467,896	338,838

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

7.2iv Redemption/disposal of bond

Bonds dispose at cost	-	4,447,728	-	4,447,728
bonds mature at cost	-	800,000	-	800,000
Fair value changes on bond redeem and matured	-	(54,384)	-	(54,384)
	-	5,193,344	-	5,193,344

Bond disposed – Proceed

Bond matured - Proceed

	-	4,546,880	-	4,546,880
	-	866,090	-	866,099
	-	5,412,979	-	5,412,979

7.3 FVOCI (Unquoted Equities)

The unquoted equities carried as fair value through Other Comprehensive Income financial assets were fair valued using the fund prices advised by the investee companies

Other unquoted equities (note 7.3i)	98,685	97,906	94,397	93,618
Investment in PAL Pension Limited (note 7.3ii)	29,752,800	29,752,800	29,752,800	29,752,800
	29,851,485	29,850,706	29,847,197	29,846,418

7.3i Movement in FVOCI – other unquoted equities

At 1 January	97,906	97,127	93,618	92,839
Translation adjustment	-	-	-	-
Fair value changes	779	779	779	779
At 31 December	98,685	97,906	94,397	93,618

7.3ii Movement in unquoted equities FVOCI

At 1 January	29,752,800	15,992,050	29,846,418	15,992,050
Additions	-	-	-	-
Impairment (charge)/write back	-	-	-	-
Fair value loss at the date of repurchase Note 29	-	-	-	-
Disposal	-	-	-	-
Fair value changes	-	13,760,750	-	13,760,750
At 31 December	29,752,800	29,752,800	29,846,418	29,752,800

7.4 Amortised cost - Debt securities

Commercial paper	-	-	-	-
Corporate bond	57,576	57,576	57,576	57,576
Promissory notes	-	-	-	-
Treasury Bills	6,205	6,205	6,205	6,205
ECL Adjustment	(999)	(1,489)	(999)	(1,489)
	62,782	62,292	62,782	62,292

7.4i Movement in Amortised cost - Debt securities

At 1 January	62,292	88,108	63,781	88,108
Reclassification from Amortized cost – FVTPL	-	-	-	-
Additions	-	-	-	-
Redemption	-	(24,327)	-	(24,327)
ECL Adjustment	(999)	(1,489)	(999)	(1,489)
At 31 December	61,293	62,292	62,782	62,292

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

7.4ii Movement in ECL adjustment on Amortised cost - Debt securities

At 1 January	(1,489)	(1,932)	(1,489)	(1,932)
Movement for the year	490	443	490	443
At 31 December	(999)	(1,489)	(999)	(1,489)

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 31 DECEMBER 2023

8	Premium receivables	Group		Company	
		Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000	Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000
	Premium receivables	88,884	88,884	-	-
	Trade debtors	58,159	58,159	-	-
	Impairment allowance	(58,159)	(58,159)	-	-
		88,884	88,884	-	-

8.1 Movement in impairments of trade receivables

At 1 January	58,159	58,159	-	-
Additional charge during the year	-	-	-	-
At 31 December	58,159	58,159	-	-

8.2 Premium receivables age analysis for the group relates to its subsidiary company, Ghana Life Insurance.

	Group			
	31-Dec-23		31-Dec-22	
Age of Debt	No of Policies	N'000	No of Policies	N'000
Within 14 Days	-	-	-	-
Within 15-30 Days	41	61,650	41	61,650
Within 31- 90 Days	14	27,234	14	27,234
Within 91-180 Days	-	-	-	-
Above 180 Days	-	-	-	-
	55	88,884	55	88,884

8.3 Movement in Premium Receivables

	2023 N'000	2022 N'000	2023 N'000	2022 N'000
Opening Trade Premium	88,884	88,884	-	-
Gross Premium Written	5,983,285	7,109,670	5,983,285	7,109,670
Total	6,072,169	7,198,554	5,983,285	7,109,670
Premium Received/Receipted	(5,983,285)	(7,109,670)	(5,983,285)	(5,983,285)
Closing Premium Receivables	88,884	88,884	-	-
Less:				
Impairment (ECL) allowance	-	-	-	-
	88,884	88,884	-	-

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

9	Reinsurance contract assets: This is analysed as follows						Group			-	Company		
							31-Dec-23	31-Dec-22	1Jan 22		31-Dec-23	31-Dec-22	1-Jan-22
	Asset for Remaining coverage						76,220	82,932	51,223		76,220	82,932	51,223
	Asset for Incurred claims						58,901	83,887	91,533		58,901	83,887	91,533
	Risk Adjustment						-	-			-		
							135,120	166,819	142,756		135,120	166,819	142,756

GROUP LIFE

9.1	Reinsurance contract assets: This is analysed as follows						Group			-	Company		
							31-Dec-23	31-Dec-22	1 Jan 22		31-Dec-23	31-Dec-22	1-Jan-22
	Asset for Remaining coverage						76,220	82,932	51,223		76,220	82,932	51,223
	Asset for Incurred claims						58,901	83,887	91,533		58,901	83,887	91,533
	Risk Adjustment							-					
							135,120	166,819	142,756		135,120	166,819	142,756

Reconciliation of the asset for remaining coverage and the asset for incurred claims for reinsurance contracts

					Asset for Remaining Coverage (ARC)		Asset for Incurred Claims (AIC)	Total
	Reconciliation of carrying amounts by ARC/AIC: reinsurance				Non-onerous	Onerous	AIC	
	Opening reinsurance contract assets				82,932	-	83,887	166,819
	Opening reinsurance contract liabilities				-	-	-	-
	Net opening balance				82,932	-	83,887	166,819

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

	Reinsurance service expenses				(152,333)	-	-	(152,333)
	Insurance service expenses							
	Incurred claims and other expenses				-	-	31,849	31,849
	Recoveries of changes related to assets for incurred claims				-	-	(24,986)	(24,987)
	Net expenses or income from reinsurance head				-	-	6,863	6,863
					(152,333)	-	6,863	(145,471)
	Reinsurance finance income/expenses				-	-	-	-
	Total change in comprehensive income				(152,333)	-	6,863	(145,471)
	Premiums paid				145,621	-	-	145,621
	Recoveries on claims and expenses paid				-	-	(31,849)	(31,849)
	Total cash flows				145,621	-	(31,849)	113,772
	Closing Reinsurance contract assets				76,220	-	58,901	135,120
	Closing Reinsurance contract liabilities				-	-	-	-
	Net closing balance				76,220	-	58,901	135,120

9.1b Reconciliation of the asset for remaining coverage and the asset for incurred claims for reinsurance contract

					Asset for Remaining Coverage (ARC)		Asset for Incurred Claims	Total
	Reconciliation of carrying amounts by ARC/AIC: reinsurance				Non-onerous	Onerous	AIC	
	Opening reinsurance contract assets				51,223	-	91,533	142,756
	Opening reinsurance contract liabilities				-	-	-	-
	Net opening balance				51,223	-	91,533	142,756
	Reinsurance service expenses				(104,240)	-	-	(104,240)
	Incurred claims and other expenses				-	-	123,915	123,915

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Recoveries of changes related to assets for incurred claims			-	-	(0)	(0)
Net expenses or income from reinsurance head			-	-	123,915	123,915
Investment components			-	-	-	-
			(104,240)	-	123,915	19,675
Reinsurance finance income/expenses			-	-	-	-
Total change in comprehensive income			(104,240)	-	123,915	19,675
Premiums paid			135,948	-	-	135,948
Recoveries on claims and expenses paid			-	-	(131,561)	(131,561)
Total cash flows			135,948	-	(131,561)	4,387
Closing reinsurance contract assets			82,932	-	83,887	166,819
Closing reinsurance contract liabilities			-	-	-	-
Net closing balance			82,932	-	83,887	166,819

10	Other receivables and prepayments	Group		Company	
		Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000	Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000
	Mortgage Loans- staff	10,555	15,357	10,555	15,357
	Policy loans	180,696	199,354	180,696	178,360
	Due from agents	58,457	60,403	58,457	60,403
	Investment Income Receivable	0	4,654	0	
	Prepayment Rent	4,408	4,416	4,408	4,416
	Prepayment – Others	48,490	145,135	48,490	86,377
	Staff Loans & Receivables	8,477	-	8,477	7,061
	Interest receivables on loans	-	2,134	-	-
	Withholding tax receivables	-	317,061		317,061
	Deposit for Investment (note 10.2)	-	-	-	-
	Due from related company (note 10.3)	1,600,267	1,600,267	1,600,267	1,600,267
	Director's current account	-	-		
	Stock of raw materials & consumables	1,701	5,629	1,701	2,126
	Staff share loans	2,131,790	2,131,790	2,131,790	2,131,790
	Other receivables	533,402	19,537	390,123	66,105

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

	4,578,244	4,505,736	4,434,964	4,469,322
Impairment allowance (note 10.1d)	(3,888,143)	(3,777,366)	(3,781,232)	(3,777,367)
	690,101	728,369	653,727	691,955
Current	690,101	728,369	(87,745)	
Non-current	-	-	742,472	691,955
	690,101	728,369	653,727	691,955

NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 31 December 2023

	Group		Company	
	Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000	Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000
10.1a The Movement in Other receivables and prepayments				
At 1 January	4,469,323	4,924,543	4,469,323	6,516,745
Transfer from Loans and Receivables	-	-	-	-
Additional loans and receivables	-	-	-	-
Balances written off against provision	-	-	-	-
Movement during the year	108,921	(418,808)	108,921	(2,047,423)
At 31 December	4,578,244	4,506,736	4,578,244	4,469,322

10.1b Staff Share Loan:

This amount is made up of African Alliance Company Plc share purchased during the private placement exercise on behalf of staff of the company and this has been fully impaired.

	Group		Company	
	Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000	Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000
10.1c The Movement in impairment allowance is as follows				
At 1 January	3,777,367	3,806,555	3,777,367	3,806,556
Impairment allowance no longer required	3,870	(29,189)	3,870	(29,189)
Balances written off against provision	-	-	-	-
At 31 December	3,781,237	3,777,366	3,781,237	3,777,367

10.1d Impairment allowance

Policy Loans	18,407	18,407	18,407	18,407
Mortgage staff loans	2,842	2,935	2,842	2,935
		236		
Due from agents	4,199		4,199	236

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

	Investment income receivables	-	-	-	-
	Deposit for investment	-	-	-	-
	Due to related company	1,600,267	1,600,267	1,600,267	1,600,267
	Placement	-	-	-	-
	Staff Account Receivable	7,002	7,002	7,002	7,002
	Staff Share loan	2,131,790	2,131,790	2,131,790	2,131,790
	Short term loan	143,279	-	-	-
	Other receivables	16,729	16,729	16,729	16,729
		-	-	-	-
		3,924,516	3,777,367	3,781,237	3,777,367
10.1e	Movement in impairment allowance in other receivables				
	Policy loans (note 10.1f)	-	-	-	-
	Mortgage Staff Loan	2,935	(2,979)	2,935	(2,979)
	Agency Loan	935	(26,210)	935	(26,210)
	Staff Account Receivable	-	-	-	-
	Short Term Loan	-	-	-	-
	Other Debit Balance	-	-	-	-
		3,870	(29,188)	3,870	(29,189)

10.1f Policy Loans

The Company grants policy loan to customers with in-forced policies collateralised by the life insurance policy. There was no movement in impairment of policy loan during the year. Movement in impairment in the comparative period relates to excess impairment allowance write back.

10.2 10.2 Deposits for shares/Investment

First Ghana Building Company Limited, Ghana

Paramount Hotel, Ghana

Fountain Trust Limited

Golden Securities Limited
Ghana Life Insurance Limited

10.2 a Movement in Deposit for shares

At 1 January

Additional injection of funds during the year

At 31 December

The deposit for shares for subsidiary, Ghana Life, was impaired because the subsidiary has not been able to deliver dividend to shareholders since statement was made available for the year 2022.

10.2 b Impairment Allowance

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

At January 1
Additional impairment
At 31 December

Due from related company

Universal Insurance Company

This represents receivable balances from Universal Insurance Company Plc(a related company) from prior years.
Balance has been fully provisioned in prior years in the books of African Alliance Insurance Company Plc.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 31 DECEMBER 2023

	Group		Company	
	Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000	Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000
11 Investment properties				
At 1 January	12,719,286	9,668,536	11,080,750	8,030,000
Acquisition/improvement	-	-	-	-
Transfer to Conau Trade and Investment Limited	-	-	-	-
Transfer to Land & Building	-	-	-	-
Fair value gain on revaluation	1,653,250	3,050,750	1,653,250	3,050,750
At 31 December	14,372,536	12,719,286	12,734,000	11,080,750
Of the investment properties, the following relates to insurance Funds:				
Insurance funds	8,405,000	8,578,551	8,405,000	7,473,437
Shareholders funds	5,967,536	4,140,735	4,329,000	3,607,313
	14,372,536	12,719,286	12,734,000	11,080,750

The properties were valued by A.C. Otegbulu & Partners Estate surveyors & Valuers, a registered member of Financial Reporting Council of Nigeria (FRCN/2013/NIESV/0000001582), in December, 2021 on the basis of determining the open market value of the investment properties. The open market value of all the properties were determined using recent comparable market prices.
The properties are held for long term capital appreciation and rental income.

11.1 *There was no acquisition or improvement on investment properties during the year

11.2	Transfer to Conau Trade and Investment Limited				
	Fair value as at disposal date	-	1,220,000	-	1,220,000
	Carrying amount	-	(860,000)	-	(860,000)
	Gain on disposal	-	360,000	-	360,000

11.2a During the year 2021, Investment property on 29A Akin Adesola Victoria Island was transfer to Conau Trade and Investment Limited as part of purchase considerations towards the re-acquisition of its investment in PAL Pensions Limited at market value of 1.220 billion.

11.3 The Investment property on 1 plot land Ajah Road, Ajah, Lagos was moved to land and building. The Company reclassified its investment property at 1 plot Ajah Road, Ajah, Lagos to Property, Plant and Equipment because it now occupy the whole building for its marketing and business generation purpose during the year 2021.

Group	Actual	Actual	Company	Actual
Actual			Actual	

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

		31-Dec-23 N'000	31-Dec-22 N'000	31-Dec-23 N'000	31-Dec-22 N'000
11.4	<i>A brief description of the properties held by Company are as follows</i>				
	13/17 Breadfruit Street, Lagos Island, Lagos State	4,920,000	4,822,000	4,920,000	4,822,000
	Pankere Village, Near Abijo GRA, IbejuLekki L.G.A. Lagos State	4,329,000	2,972,000	4,329,000	2,972,000
	245, Aba road Property, Port Harcourt, Rivers State	944,000	910,000	944,000	910,000
	Plot 2220/No 36 Suez Crescent,Wuse Zone 4, Abuja	1,078,000	975,000	1,078,000	975,000
	73 Oyemekun street, Akure, Ondo State	38,000	31,250	38,000	31,250
	No 9B Crescent B, Oba Oyekan Estate, Lekki Phase 1, Lagos State	97,000	85,500	97,000	85,500
	112 Broad Street, Lagos	1,328,000	1,285,000	1,328,000	1,285,000
	Land & Residential properties held in Ghana Life Insurance	1,638,536	1,638,536	-	-
		14,372,536	12,719,286	12,734,000	11,080,750

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

11.4a **A brief description of the properties held by the company in its name are as follows:**

13/17 Breadfruit Street, Lagos Island, Lagos State	4,920,000	4,822,000	4,920,000	4,822,000
No 9B Crescent B, Oba Oyekan Estate, Lekki Phase 1, Lagos State	97,000	85,500	97,000	85,500
73 Oyemekun street, Akure, Ondo State	38,000	31,250	38,000	31,250
112 Broad Street, Lagos	1,328,000	1,285,000	1,328,000	1,285,000
Plot 2220/ No 36 Suez Crescent, Wuse Zone 4, Abuja	1,078,000	975,000	1,078,000	975,000
245, Aba road Property, Port Harcourt, Rivers State	944,000	910,000	944,000	910,000
Land & Residential properties held in Ghana Life Insurance	1,638,536	1,638,536	-	-
Insurance	10,043,536	9,747,286	8,405,000	8,108,750

11.4b **A brief description of the properties held by the company in the name of Conau Limited are as follows:**

Pankere Village Near Abijo GRA, IbejuLekki L.G.A. Lagos State	4,329,000	2,972,000	4,329,000	2,972,000
	-	-	-	-
	-	-	-	-
	4,329,000	2,972,000	4,329,000	2,972,000
	14,372,535	12,719,286	12,734,000	11,080,750

Total investment property

Investment properties are carried at fair value as at 31 December 2023 which has been determined by an independent professional valuer, AC Otegbulu & Partners Estate Surveyors and valuers, a registered member of Financial Reporting Council of Nigeria (FRCN/2013/NIESV/00000013597) with the signing partner as Austin C. Otegbulu (FRC/2013/NIESV/00000001582). Valuations are performed on an annual basis and the fair value gains and losses are recognized in the profit or loss account.

The Properties have been valued using fair value basis. The fair value of all the properties are determined using recent comparable prices i.e. the highest price in terms of money, which the subject property asset will fetch in an open and competitive market under all conditions requisite to a fair value.

None of the assets above are encumbered or pledged as security for loan as at 31 December 2023. Rental income earned during the year amounted to N95.62m (2022: N104.3m)

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

11.5 Movement in Investment Properties
11.5a Group

Description	Opening balance N'000	Translation N'000	Disposal/Transfer N'000	Fair value N'000	Closing balance N'000
13/17 Breadfruit Street, Lagos Island, Lagos State	4,822,000		-	98,000	4,920,000
Pankere Village, Near Abijo GRA, IbejuLekki L.G.A. Lagos State	2,972,000		-	1,357,000	4,329,000
245, Aba road Property, Port Harcourt, Rivers State	910,000		-	34,000	944,000
Plot 2220/No. 36 Suez Crescent, Wuse Zone 4, Abuja	975,000		-	103,000	1,078,000
73 Oyemekun Street, Akure, Ondo State	31,250		-	6,750	38,000
No 95, Crescent B, Oba Oyekan Estate, Lekki Phase 1, Lagos State	85,500		-	11,500	97,000
112 Broad Street, Lagos	1,285,000		-	43,000	1,328,000
Land & Residential properties held in Ghana Life Insurance	1,638,536	-	-	-	1,638,536
Insurance	12,719,286		-	1,653,250	14,372,536

11.5b Movement in Investment Properties
Company

Description	Opening balance N'000	Additions N'000	Disposal/Transfer N'000	Fair value N'000	Closing balance N'000
13/17 Breadfruit Street Lagos Island, Lagos State	4,822,000		-	98,000	4,920,000
Pankere Village, Near Abijo, GRA IbejuLekki L.G.A, Lagos State	2,972,000		-	1,357,000	4,329,000
245, Aba road Property, Port Harcourt, Rivers State	910,000		-	34,000	944,000
Plot 2220/No 36 Suez Crescent, Wuse Zone 4, Abuja	975,000		-	103,000	1,078,000
73 Oyemekun street, Akure	31,250		-	6,750	38,000
No 9B Crescent B, Oba Oyekan Estate, Lekki Phase 1, Lagos State	85,500		-	11,500	97,000
112 Broad Street, Lagos	1,285,000		-	43,000	1,328,000
	11,080,750	-	-	3,050,750	12,734,000

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

**11.6 INVESTMENT PROPERTIES NOT IN THE NAME OF AFRICAN ALLIANCE
FOR THE PERIOD ENDED 31 DECEMBER 2023**

PROPERTIES	TITLE OF DOCUMENTS	DATE OF ACQUISITION	TITLE DOCUMENT NO	LOCATION	CARRYING AMOUNT N'000
Pankere Village, Near Abijo, IbejuLekki L.G.A Lagos State	Deed of Assignment & Governor's Consent for Application to assignment between Land Owner and Conau Limited	Year 2008	N/A	Abijo GRA IbejuLekki, Lagos state	4,329,000

**INVESTMENT PROPERTIES IN THE NAME OF AFRICAN ALLIANCE
FOR THE PERIOD ENDED 31 DECEMBER 2023**

PROPERTIES	TITLE OF DOCUMENTS	DATE OF ACQUISITION	TITLE DOCUMENT NO	LOCATION	CARRYING AMOUNT N'000
13/17 Breadfruit Street, Lagos Island, Lagos State	Lagos State Government Land Certificate and Deed of Assignment	Year 1960	L03746	13/17 Breadfruit Street, Lagos	4,920,000
245 Aba road Property, Port Harcourt, Rivers State	Deed of Assignment & Certificate of Occupancy	Year 2008	N/A	Plot C4, Rumuogba Layout, Aba road, Port Harcourt	944,000
73 Oyemekun Street, Akure, Ondo State	Certificate of Right of Occupancy	Year 1983	N/A	73 Oyemekun street, Akure	38,000
No 9b Crescent B, Oba Oyekan Estate, Lekki Phase 1, Lagos State	Lagos State Government Allocation Letter	Year 2004	N/A	Block B House 9B Oba AdeyinkaOyekan Housing Estate Lekki, Lagos	97,000
Plot 2220/ No 36 Suez Crescent, Wuse Zone 4 Abuja	Deed of Assignment between Federal Republic of Nigeria represented by EFCC and Conau Limited	Year 2008	N/A	2220 Suez Canal Crescent SaniAbacha Estate, Abuja	1,078,000
112 Broad Street, Lagos	Lagos State Government Land Certificate and Deed of Assignment	Year 1961	L03990	112 Broad Street, Lagos	1,328,000
					8,405,000

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 31 December 2023

12	Investment in subsidiary The company's investment in subsidiary is as stated below:	Group		Company	
		Actual 31-Dec-23	Actual 31-Dec-22	Actual 31-Dec-23	Actual 31-Dec-22
		N'000	N'000	N'000	N'000
	Axiom Air Limited (Note 12a)	-	-	3,000,000	3,000,000
	Ghana Life Insurance Company Limited (Note 12b)	-	-	1,770,741	1,770,741
		-	-	4,770,741	4,770,741
	Impairment allowance (note 12d)	-	-	(4,665,741)	(4,665,741)
		-	-	105,000	105,000

12a Axiom Air Limited: -
The movement in Axiom Air Limited is as follows:

On 1 January	-	-	-	-
Additions, during the period (capital injection)	-	-	-	-
Impairment allowance	-	-	-	-

The company was incorporated on 17 July 2008 to carry on the business of airline owners and management, provide air transport for public use; to provide all necessary and or desirable services incidental to this objective, including booking, reservation, routing and ticketing services, baggage management, flight catering and entertainment and provision of hotel accommodation. The company is wholly owned.

12b Ghana Life Insurance Company Limited
The movement in Ghana Life Limited is as follows:

	Group		Company	
On 1 January	-	-	1,770,741	1,770,741
Additions, during the period (capital injection)	-	-	-	-
Impairment allowance	-	-	(1,665,741)	(1,665,741)
	-	-	105,000	105,000

The company is a subsidiary of African Alliance Insurance Plc. The company is domiciled in Ghana and is permitted by its regulation to carry on the business of life insurance.

For the year 2022 under review, the company was under the country,s regulators administration. No audited financial statement was made available to African Alliance Insurance Plc for the year 2022, thus the financials of the subsidiary for the year 2022 was excluded from consolidation. The subsidiary has not paid dividend since acquisition in 2008, hence the need to further impair the value of the subsidiary.

12c Movement in the impairment in Ghana life is as follows

	Group		Company	
	Actual 31-Dec-23	Actual 31-Dec-22	Actual 31-Dec-23	Actual 31-Dec-22
	N'000	N'000	N'000	N'000
On 1 January	-	-	1,665,742	1,228,013
Impairment charge/(written back) for the year	-	-	-	437,728
At 31 December	-	-	1,665,741	1,665,741

12d Movement in impairment allowance in investment in subsidiary

On 1 January	-	-	4,665,741	4,228,013
Impairment charge/(written back) for the year	-	-	-	437,728
On 31 December	-	-	4,665,741	4,665,741

Movement in impairment charge

	At 1 Jan 2023	Additional charge	31-Dec-23
Axiom Air Limited	3,000,000		3,000,000
Ghana Life Insurance company	1,665,740	-	1,665,740
	4,665,740	-	4,665,740

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

		Actual 31-Dec-22 N'000	Actual 31-Dec-21 N'000	Actual 31-Dec-22 N'000	Actual 31-Dec-21 N'000
13	Investment In associate	-	-	-	-
	Investment in Pension Alliance Limited	-	-	-	-

14	Intangible assets 2023	Software in Progress	Computer Software N'000	Group Total N'000	Computer Software N'000	Company Total N'000
	Cost					
	On 1 January 2023	24,375	165,820	190,195	153,164	153,164
	Additions	-	137,390	137,390	137,390	137,390
	On 31 December 2023	24,375	303,210	327,585	290,554	290,554
	Amortisation					
	On 1 January 2023	-	119,804	119,804	119,804	119,804
	Charge for the period	-	42,480	42,480	14,012	14,012
	On 31 December 2023	-	167,284	167,284	133,816	133,816
	Net book amount					
	On 31 December 2023	24,375	156,378	160,301	156,738	156,738
	On 31 December 2022	33,360	56,850	60,413	56,850	56,850

14.1	Intangible assets 2022	Software in Progress	Computer Software N'000	Group Total N'000	Computer Software N'000	Company Total N'000
	Cost					
	At 1 January 2022	24,375	146,963	171,338	134,307	134,307
	Additions	-	18,857	18,857	18,857	18,857
	At 31 December 2022	24,375	165,820	190,195	153,164	153,164
	Amortisation					
	At 1 January 2022	-	114,858	114,858	104,880	104,880
	Charge for the period	-	14,924	14,924	14,924	14,924
	At 31 December 2022	-	129,783	129,782	119,803	119,803
	Net book amount					
	At 31 December 2022	24,375	36,038	60,413	33,361	33,361
	At 31 December 2021	24,375	32,105	56,480	29,428	29,428

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 31 December 2023

15 Property and equipment
Group 2023

							Plant & Machin ery	Aircraft	
Cost	Land	Building N'000	Motor Vehicles N'000	Furniture & Fittings N'000	Computer Equipment N'000	Office Equipment N'000			Total N'000
At 1 January 2023	98,000	1,184,444	449,317	251,773	335,994	398,256	9,171	2,281,122	5,008,079
	-	-	28,702	-	4,452				50,596
Additions						17,442	-	-	
Disposal	-	-	(8,590)				-	-	(8,590)
Transfer from Investment Properties									
Derecognition		-					-	-	-
Revaluation	2,000	18,331	-	-	-	-	-	-	20,331
At 31 December 2023	100,000	1,202,775	469,429	251,773	340,446	415,698	9,171	2,281,122	5,070,414
Depreciation									
At 1 January 2023	-	10,906	288,880	138,584	231,355	171,311	9,171	2,281,122	3,131,329
	-	3,381	59,876	17,517	37,154				155,287
Charge for the year						37,359			
Disposal	-		(8,590)						(8,590)
Elimination of accum dep on revaluation	-								-
Revaluation	-	-	-						-
At 31 December 2023	-	14,287	340,166	156,101	268,509	208,670	9,171	2,281,122	3,278,026
Net book amount									
At 31 December 2023	100,000	1,188,488	129,263	95,672	71,937	207,028			1,792,388
At 31 December 2022	98,000	1,173,538	160,437	113,18	104,639	226,945			1,876,748

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

NOTES TO THE FINANCIAL STATEMENTS

FOR THE PERIOD ENDED 31 DECEMBER 2023

**Property and
equipment
Group 2022**

Cost	Land	Building N'000	Motor Vehicles N'000	Furniture & Fittings N'000	Computer Equipment N'000	Office Equipment N'000	Plant & Machinery	Aircraft	Total N'000
At 1 January 2022	98,000	1,184,444	449,317	251,773	335,996	398,256	9,171	2,281,122	5,008,079
Additions	-	-	28,702	-	4,452	17,442	-	-	50,596
Disposal	-	-	(8,590)	-	-	-	-	-	(8,590)
Transfer from Investment Properties									
Derecognition		-					-	-	-
Revaluation	2,000	18,331	-	-	-	-	-	-	20,331
At 31 December 2022	100,000	1,202,775	469,429	251,773	340,448	415,699	9,171	2,281,122	5,070,414
Depreciation									
At 1 January 2022	-	10,906	288,880	138,584	231,355	171,311	9,171	2,281,122	3,131,329
	-	3,381		17,517					155,287
Charge for the year			59,876		37,154	37,359			
Disposal	-		(8,590)						(8,590)
Elimination of accum dep on revaluation	-								-

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Revaluation	-	-	-	-	-	-	-	-	-
At 31 December 2022	-	14,287	340,166	156,101	268,509	208,670	9,171	2,281,122	3,278,026

Net book amount									
At 31 December 2022	100,000	1,188,488	129,263	95,672	71,937	207,028		1,792,388	
			160,437	113,18	104,639	226,945		1,876,748	

At 31 December 2021 98,000 1,173,538

1. There were no capital commitment contracted or authorized at reporting date (2021: Nil)
2. There were no capitalized borrowing cost related to the acquisition of property, plant and equipment during the year (2021: Nil).
3. None of the assets are pledged during the year (2021: Nil).
4. Management reports its property, plant and equipment at fair value as permitted by IAS 16.
5. The revaluation gain is on building located at 1 plot land Ajah Epe, Lagos for African Alliance Insurance Plc.
6. The revaluation gain on Land is located at 34 Association Avenue Ilupeju, Lagos

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 31 December 2023

15 Property and equipment
Company

	Land	Building N'000	Motor Vehicles N'000	Furniture & Fittings N'000	Computer Equipment N'000	Office Equipment N'000	Total N'000
Cost							
At 1 January 2023	100,000	188,331	436,753	214,394	306,263	415,699	1,661,441
Additions	-	-	58,151	-	7,837	5,212	71,200
Disposal	-	-	-	(763)	408	(1,341)	(1,696)
Transfer from Investment Properties	-	-	-	-	-	-	-
Derecognition	-	-	-	-	-	-	-
Revaluation	-	-	-	-	-	-	-
At 31 December 2023	100,000	188,331	494,904	213,632	314,508	419,570	1,730,945
Depreciation							
At 1 January 2023	-	4,331	307,490	133,309	244,263	208,670	898,063
Charge for the year	-	3,490	65,301	14,814	30,937	35,441	149,982
Disposal	-	-	-	(273)	(176)	(1,339)	(1,788)
Elimination of accumdep on revaluation	-	-	-	-	-	-	-
Revaluation	-	-	-	-	-	-	-
At 31 December 2023	-	7,821	372,790	147,849	275,024	242,772	1,046,256
Net book amount							
At 31 December 2023	100,000	180,510	122,114	65,782	39,484	176,798	684,689
At 31 December 2022	100,000	184,000	129,763	81,086	62,000	207,027	763,376

Property and equipment
Company

	Land	Building N'000	Motor Vehicles N'000	Furniture & Fittings N'000	Computer Equipment N'000	Office Equipment N'000	Total N'000
Cost							
At 1 January 2022	98,000	170,000	416,641	214,394	301,811	398,256	1,599,102
Additions	-	-	28,702	0.04209	4,452	17,442	50,596
Disposal	-	-	(8,590)	-	-	-	(8,590)
Transfer from Investment Properties	-	-	-	-	-	-	-
Derecognition	-	-	-	-	-	-	-
Revaluation	2,000	18,331	-	-	-	-	20,331
At 31 December 2022	100,000	188,331	436,753	214,394	306,263	415,699	1,661,441
Depreciation							
At 1 January 2022	-	950	256,204	115,792	207,109	171,311	751,366
Charge for the year	-	3,381	59,876	17,517	37,154	37,359	155,287
Disposal	-	-	(8,590)	-	-	-	(8,590)
Elimination of accumdep on revaluation	-	-	-	-	-	-	-
Revaluation	-	-	-	-	-	-	-
At 31 December 2022	-	4,331	307,490	133,309	244,263	208,670	898,063
Net book amount							
At 31 December 2022	100,000	184,000	129,263	81,086	62,000	207,029	763,047
At 31 December 2021	98,000	169,050	160,437	98,603	94,702	226,945	847,736

- There was no capital commitment contracted or authorized at reporting date (2021: Nil)
- There was no capitalized borrowing cost related to the acquisition of property, plant and equipment during the year (2021: Nil).
- None of the assets are pledged during the year (2021: Nil).
- Management reports its property, plant and equipment at fair value as permitted by IAS 16.
- The revaluation gain is on building located at 1 plot land Ajah Epe, Lagos for African Alliance Insurance Plc.
- The revaluation gain on Land is located at 34 Association Avenue Ilupeju, Lagos.

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

15.2 Movement in revaluation of Property, plant and equipment

15.2a Group 2023

Description	Nature	At 1 January	Translation	Additions	Disposal / reclassification	Depreciation/ impairment	Fair value	At 31 December
		N'000	N'000	N'000	N'000	N'000	N'000	N'000
A story building on KM 20 Lekki Epe Expressway, Lagos	Building	99,000	-	-	-	(4,331)	8,331	99,000
A story building on KM 20 Lekki Epe Expressway, Lagos	Land	85,000					10,000	85,000
Bare Land 34 Association Avenue, Ilupeju, Lagos.	Land	100,000	-	-	-		2,000	100,000
17 Aviation Road, Accra, Ghana	Building	1,014,444	-	-	-	(9,956)	-	1,004,488
		1,282,444	-	-	-	(14,287)	20,331	1,288,488

15.2b Company 2023

Description	Nature	At 1 January	Translation	Additions	Disposal / reclassification	Depreciation/ impairment	Fair value	At 31 December
		N'000	N'000	N'000	N'000	N'000	N'000	N'000
A story building on KM 20 Lekki Epe Expressway, Lagos	Building	95,000	-	-	-	(4,331)	8,331	99,000
A story building on KM 20 Lekki Epe Expressway, Lagos	Land	75,000					10,000	85,000
Bare Land 34 Association Avenue, Ilupeju, Lagos.	Land	98,000	-	-	-		2,000	100,000
	Building		-	-	-			
		268,000	-	-	-	(4,331)	20,331	284,000

Measurement at historical cost

15.3 basis

Had the Group's or Company's land and buildings been measured on a historical cost basis, their carrying amount would have been as follows:

Description	GROUP		COMPANY	
	31-Dec-23	31-Dec-22	31-Dec-23	31-Dec-22
	N'000	N'000	N'000	N'000
A story building on KM 20 Lekki Epe Expressway, Lagos	160,669	160,669	160,669	160,669
Bare Land 34 Association Avenue, Ilupeju, Lagos.	93,000	93,000	93,000	93,000
17 Aviation Road, Accra, Ghana	1,152,879	1,152,879	-	-
	1,406,548	1,406,548	253,669	253,669

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 31 DECEMBER 2023

		Group		Company	
		Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000	Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000
16 Right of Use Assets					
At 1 January		23,490	42,252	23,490	42,252
Additions		195,935	62,129	195,935	62,129
Amortizations		(95,472)	(80,890)	(95,472)	(80,890)
		123,953	23,490	123,953	23,490

ROU Assets	Location	Period	1-Jan	Additions	Charge for the current year	31 December
Onitsha Office	Onitsha 2	1/11/2021-31/10/2022	-	1,800,000	1,800,000	-
Breadfruits Office	13/17 Breadfruit Str.	13/01/2016-12/7/2023	802,860	-	522,793	280,068
Head Office Ikoyi	54, Awolowo Road, Ikoyi	1/02/18-31/01/2023	26,114,400		24,105,600	2,008,800
Ilupeju Agency Office	13, Town Planning Way Ilupeju, Lagos	1/12/21-30/11/2022	-	37,548,500	37,548,500	-
Abuja office	79, Adetokunbo Ademola Crescent Abuja	1/07/2022-30/06/2024	-	18,380,000	4,595,000	13,785,000
Abuja office	79, Adetokunbo Ademola Crescent Abuja	1/07/2020-30/06/2022	4,045,000	-	4,045,000	-
Abuja office	79, Adetokunbo Ademola Crescent Abuja	1/12/2021-30/11/2023	11,289,167	4,400,000	8,273,333	7,415,833
			42,251,427	62,128,500	80,890,226	

17 Statutory deposit

This represents 10% of the regulatory minimum share capital deposited with the Central Bank of Nigeria in accordance with the requirement of section a(i) and section 10(3) of Insurance Act. Interest Income earned on this deposit is included in investment income

	Group		Company	
	Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000	Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000
Statutory deposit	348,401	348,401	200,000	200,000
Non-current		348,401	200,000	
	348,401			200,000

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

		Group			Company		
18	Insurance Contract Liabilities	31-Dec-23	31-Dec-22	1 Jan 22	31-Dec-23	31-Dec-22	1 Jan 22
		N'000	N'000	N'000	N'000	N'000	N'000
	Liability for Remaining Coverage:	37,380,866	40,593,841	40,326,361	37,380,866	40,593,841	40,326,361
	Liability for Incurred Claims	2,942,852	1,814,966	1,884,251	2,942,852	1,814,966	1,884,251
		40,323,718	42,408,806	42,210,612	40,323,718	42,408,806	42,210,612

						Liability for Remaining Coverage (LRC)	Liability for Incurred Claims	Total	
	Reconciliation of carrying amounts by LRC/LIC: insurance					Non-onerous	Onerous		LIC
	Opening insurance contract assets					-	-	-	-
	Opening insurance contract liabilities					38,144,957	2,448,884	1,814,966	42,408,806
	Net opening balance					38,144,957	2,448,884	1,814,966	42,408,806
	Insurance revenue					(7,089,169)	-	-	(7,089,169)
	Insurance service expenses								
	Incurred claims and other expenses					-	(1,805,332)	6,962,153	5,156,821
	Acquisition expenses					1,339,464	-	-	1,339,464
	Changes related to future service					-	8,437,384	-	8,437,384
	Changes related to past service					-	-	1,045,018	1,045,018
	Total Insurance service expenses					1,339,464	6,632,052	8,007,171	15,978,687
	Investment components					(5,134,547)	-	5,134,547	-
	Insurance service result					(10,884,252)	6,632,052	13,141,718	8,889,518
	Insurance finance expenses					(3,008,078)	-	-	(3,008,078)
	Total change in comprehensive income					(13,892,330)	6,632,052	13,141,718	5,881,440
	Premiums received					5,386,767	-	-	5,386,767
	Claims and expenses paid					-	-	(12,013,832)	(12,013,832)
	Acquisition costs paid					(1,339,464)	-	-	(1,339,464)
	Total cash flows					4,047,303	-	(12,013,832)	(7,966,529)
	Closing insurance contract assets					-	-	-	

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

	Closing insurance contract liabilities			28,299,930	9,080,936	2,942,852	40,323,718
	Net closing balance			28,299,930	9,080,936	2,942,852	40,323,718

2023

18.1a.1 Endowment							
Reconciliation of the liability for remaining coverage and the liability for incurred claims for insurance contracts - Endowment							
					Liability for Remaining Coverage (LRC)	Liability for Incurred Claims	Total
Reconciliation of carrying amounts by LRC/LIC: insurance				Non-onerous	Onerous	LIC	
Opening insurance contract assets							-
Opening insurance contract liabilities				4,483,668	600,208	-	5,083,876
Net opening balance				4,483,668	600,208	-	5,083,876
Insurance revenue				(733,833)	-	-	(733,833)
Insurance service expenses				-	-	-	
Incurred claims and other expenses				-	(454,220)	297,797	(156,422)
Acquisition expenses				573,221	-	-	573,221
Changes related to future service				-	3,093,910	-	3,093,910
Changes related to past service				-	-	490,979	490,979
Total Insurance service expenses				573,221	2,639,689	788,777	4,001,687
Investment components				(2,614,282)	-	2,614,282	-
Insurance service result				(2,774,895)	2,639,689	3,403,059	3,267,853
Insurance finance expenses				380,982	-	-	380,982
Total change in comprehensive income				(2,393,912)	2,639,689	3,403,059	3,648,836
Premiums received				1,823,382	-	-	1,823,382
Claims and expenses paid				-	-	(2,912,080)	(2,912,080)

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Acquisition costs paid				(573,221)	-	-	(573,221)
Total cash flows				1,250,161	-	(2,912,080)	(1,661,919)
Closing insurance contract assets							-
Closing insurance contract liabilities				3,339,916	3,239,897	490,979	7,070,792
Net closing balance				3,339,916	3,239,897	490,979	7,070,792

18.1a.2 Protection

Reconciliation of the liability for remaining coverage and the liability for incurred claims for insurance contracts - Protection							
				Liability for Remaining Coverage (LRC)		Liability for Incurred Claims	Total
Reconciliation of carrying amounts by LRC/LIC: insurance				Non-onerous	Onerous	LIC	
	Opening insurance contract assets						-
	Opening insurance contract liabilities			87,987	-	-	87,987
	Net opening balance			87,987	-	-	87,987
	Insurance revenue			(3,409)	-	-	(3,409)
	Insurance service expenses			-	-	-	
	Incurred claims and other expenses			-	(36,546)	70,699	34,153
	Acquisition expenses			1,180	-	-	1,180
	Changes related to future service			-	266,895	-	266,895
	Changes related to past service			-	-	168,204	168,204
	Total Insurance service expenses			1,180	230,349	238,903	470,431
	Investment components			(316,221)	-	316,221	-
	Insurance service result			(311,632)	230,349	555,124	473,840
	Insurance finance expenses			9,526	-	-	9,526
	Total change in comprehensive income			(302,106)	230,349	555,124	483,367
	Premiums received			11,347	-	-	11,347
	Claims and expenses paid			-	-	(386,920)	(386,920)
	Acquisition costs paid			(1,180)	-	-	(1,180)

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Total cash flows						10,167	-	(386,920)	(376,753)
	Closing insurance contract assets								-
	Closing insurance contract liabilities					(203,952)	230,349	168,203	194,600
	Net closing balance					(203,952)	230,349	168,203	194,601

18.1a.3 Investment Linked									
Reconciliation of the liability for remaining coverage and the liability for incurred claims for insurance contracts – Investment Linked									
						Liability for Remaining Coverage (LRC)		Liability for Incurred Claims	
									Total
Reconciliation of carrying amounts by LRC/LIC: insurance						Non-onerous	Onerous	LIC	
Opening insurance contract assets									-
Opening insurance contract liabilities						3,705,154	-	-	3,705,154
Net opening balance						3,705,154	-	-	3,705,154
Insurance revenue						(47,305)	-	-	(47,305)
Insurance service expenses						-	-	-	
Incurred claims and other expenses						-	(493,527)	584,923	91,395
Acquisition expenses						6,874	-	-	6,874
Changes related to future service						-	1,333,470	-	1,333,470
Changes related to past service						-	-	1,009,302	1,009,302
Total Insurance service expenses						6,874	839,942	1,594,225	2,441,041
Investment components						(2,204,044)	-	2,204,044	-
Insurance service result						(2,244,475)	839,943	3,798,269	2,393,736
Insurance finance expenses						472,453	-	-	472,453
Total change in comprehensive income						(1,772,022)	839,942	3,798,269	2,866,190
Premiums received						720,970	-	-	720,970
Claims and expenses paid						-	-	(2,788,967)	(2,788,967)
Acquisition costs paid						(6,874)	-	-	(6,874)

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Total cash flows				714,097	-	(2,788,967)	(2,074,870)
Closing insurance contract assets							-
Closing insurance contract liabilities				2,647,229	839,942	1,009,302	4,496,474
Net closing balance				2,647,229	839,942	1,009,302	4,496,474

18.1a.4 Credit Life							
Reconciliation of the liability for remaining coverage and the liability for incurred claims for insurance contracts – Credit Life							
					Liability for Remaining Coverage (LRC)	Liability for Incurred Claims	Total
Reconciliation of carrying amounts by LRC/LIC: insurance					Non-onerous	Onerous	LIC
Opening insurance contract assets							-
Opening insurance contract liabilities					(605)	852	-
Net opening balance					(605)	852	-
Insurance revenue					(277)	-	-
Insurance service expenses					-	-	-
Incurred claims and other expenses					-	-	-
Acquisition expenses					-	-	-
Changes related to future service					-	-	-
Changes related to past service					-	-	-
Total Insurance service expenses					-	-	-
Investment components					-	-	-
Insurance service result					(277)	-	-
Insurance finance expenses					29	-	-
Total change in comprehensive income					(248)	-	-
Premiums received					-	-	-
Claims and expenses paid					-	-	-
Acquisition costs paid					-	-	-

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Total cash flows					-	-	-	-
Closing insurance contract assets								-
Closing insurance contract liabilities					(852)	852	-	0
Net closing balance					(852)	852	-	0

18.1a.5 Annuity								
Reconciliation of the liability for remaining coverage and the liability for incurred claims for insurance contracts – Annuity								
					Liability for Remaining Coverage (LRC)		Liability for Incurred Claims	Total
Reconciliation of carrying amounts by LRC/LIC: insurance					Non-onerous	Onerous	LIC	
Opening insurance contract assets								-
Opening insurance contract liabilities					29,336,592	1,847,824	-	31,184,416
Net opening balance					29,336,592	1,847,824	-	31,184,416
Insurance revenue					(3,676,394)	-	-	(3,676,394)
Insurance service expenses					-	-	-	
Incurred claims and other expenses					-	(821,038)	4,191,713	3,370,676
Acquisition expenses					-	-	-	-
Changes related to future service					-	3,743,110	-	3,743,110
Changes related to past service					-	-	-	-
Total Insurance service expenses					-	2,922,072	4,191,713	7,113,785
Investment components					-	-	-	-
Insurance service result					(3,676,394)	2,922,072	4,191,713	3,437,391
Insurance finance expenses					(3,871,069)	-	-	(3,871,069)
Total change in comprehensive income					(7,547,463)	2,922,072	4,191,713	(433,678)
Premiums received					34,469	-	-	34,469
Claims and expenses paid					-	-	(4,191,713)	(4,191,713)

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Acquisition costs paid				-	-	-	-
Total cash flows				34,469	-	(4,191,713)	(4,157,244)
Closing insurance contract assets							-
Closing insurance contract liabilities				21,823,598	4,769,896	-	26,593,494
Net closing balance				21,823,598	4,769,896	-	26,593,494

18.1a.6 Group Life							
Reconciliation of the liability for remaining coverage and the liability for incurred claims for insurance contracts – Group Life							
				Liability for Remaining Coverage (LRC)		Liability for Incurred Claims	Total
Reconciliation of carrying amounts by LRC/LIC: insurance				Non-onerous	One rous	LIC	
Opening insurance contract assets							-
Opening insurance contract liabilities				532,160	-	1,814,966	2,347,126
Net opening balance				532,160	-	1,814,966	2,347,126
Insurance revenue				(2,634,768)	-	-	(2,634,768)
Incurred claims and other expenses				-	-	1,817,020	1,817,020
Acquisition expenses				758,189	-	-	758,189
Changes related to future service				-	-	-	-
Changes related to past service				-	-	(623,466)	(623,466)
Total Insurance service expenses				758,189	-	1,193,553	1,951,742
Investment components				-	-	-	-
Insurance service result				(1,876,579)	-	1,193,553	(683,026)
Total change in comprehensive income				(1,876,579)	-	1,193,553	(683,026)
Premiums received				2,796,598	-	-	2,796,598
Claims and expenses paid				-	-	(1,734,152)	(1,734,152)

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Acquisition costs paid				(758,189)	-	-	(758,189)
Total cash flows				2,038,409	-	(1,734,152)	304,257
Closing insurance contract assets							-
Closing insurance contract liabilities				693,990	-	1,274,367	1,968,357
Net closing balance				693,990	-	1,274,367	1,968,357

18.2 GMM Business							
Reconciliation of the liability for remaining coverage and the liability for incurred claims for insurance contracts – GMM Business							
				Liability for Remaining Coverage (LRC)		Liability for Incurred Claims	Total
Reconciliation of carrying amounts by LRC/LIC: insurance				Non-onerous	Onerous	LIC	
Opening insurance contract assets							-
Opening insurance contract liabilities				37,612,797	2,448,884	-	40,061,681
Net opening balance				37,612,797	2,448,884	-	40,061,681
Insurance revenue				(4,454,401)	-	-	(4,454,401)
Insurance service expenses				-	-	-	
Incurred claims and other expenses				-	(1,805,332)	5,145,133	3,339,801
Acquisition expenses				581,275	-	-	581,274,547
Changes related to future service				-	8,437,384	-	8,437,384
Changes related to past service				-	-	1,668,485	1,668,485
Total Insurance service expenses				581,275	6,632,052	6,813,618	14,026,945
Investment components				(5,134,547)	-	5,134,547	-
Insurance service result				(9,007,673)	6,632,052	11,948,165	9,572,544
Insurance finance expenses				(3,008,078)	-	-	(3,008,078)
Total change in comprehensive income				(12,015,751)	6,632,052	11,948,165	6,564,466
Premiums received				2,590,169	-	-	2,590,169

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Claims and expenses paid			-	-	(10,279,680)	10,279,680
Acquisition costs paid			(581,275)	-	-	(581,275)
Total cash flows			2,008,894	-	(10,279,680)	(8,270,786)
Closing insurance contract assets						-
Closing insurance contract liabilities			27,605,940	9,080,936	1,668,485	38,355,361
Net closing balance			27,605,940	9,080,936	1,668,485	38,355,361

2023

18.2a Reconciliation of components of insurance contract liabilities – GMM Business

Reconciliation of carrying amounts by BEL/RA/CSM: insurance	Estimates of present value of future cashflows	Risk Adjustment	CSM	Total
Opening insurance contract assets				-
Opening insurance contract liabilities	37,833,734	1,244,996	982,951	40,061,681
Net opening balance	37,833,734	1,244,996	982,951	40,061,681
Changes related to current services				
CSM for service provided	0	0	(263,776)	(263,776)
Risk Adjustment release for expired risks	0	(175,597)	0	(175,597)
Experience adjustments	(93,951)	-	-	(93,951)
Total changes related to current services	(93,951)	(175,597)	(263,776)	(533,325)
Changes related to future services				
New contracts recognised	(40,368)	8,920	39,226	7,777
Changes in estimates reflected in CSM	217,689	4,210	(221,899)	-
Changes in estimates resulting in contract losses	8,402,379	27,228	-	8,429,607
Total changes related to future services	8,579,700	40,357	(182,673)	8,437,384
Adjustments to liabilities for incurred claims	1,668,485	-	-	1,668,485
Total changes that relate to past service	1,668,485	0	-	1,668,485

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Insurance service result	(10,154,234)	135,241	446,449	(9,572,544)
Insurance finance expenses	(3,134,083)	-	126,005	(3,008,078)
Total change in comprehensive income	(7,020,151)	135,241	320,444	(6,564,466)
Total cash flows	(8,270,786)	-	-	(8,270,786)
Closing insurance contract assets				-
Closing insurance contract liabilities	36,583,099	1,109,756	662,507	38,355,361
Net closing balance	36,583,099	1,109,756	662,507	38,355,361

Expected release of Contractual Service Margin for insurance contracts issued

CSM with positive sign

Expected release of Contractual Service Margin					Annuity	Protection	Investment Linked	Credit Life
Year 1					0	23,602	104,326	7
Year 2					0	774	69,730	
Year 3					0	404	45,037	
Year 4					0	1,909	29,179	
Year 5					0	73	11,293	
Year 6					0	82	3,406	
Year 7					0	91	2,044	
Year 8					0	102	1,238	
Year 9					0	113	977	
Year 10					0	127	267	
Above Year 10					0	5,184	24	
Total CSM					0	32,460	267,519	72

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Insurance contracts recognized in a year

					Annuity	Protection	Investment Linked	Credit Life
Estimates of future cash inflows					-	640	86,717	
Estimates of future cash outflows								
	- Claims				-	340	491	
	- Directly attributable expenses				-	186	87,903	
	- Acquisition cash flows				-	40	4,081	
					-	567	92,475	
Risk adjustment for non-financial risk					-	16	2,019	
Contractual service margin					-	57	-	
Total insurance contract liabilities at Inception					-	-	7,777	

2022

18.1a Reconciliation of the liability for remaining coverage and the liability for incurred claims for insurance contract

					Liability for Remaining Coverage (LRC)		Liability for Incurred Claims	Insurance Contract Liabilities (ICL)	
	Reconciliation of carrying amounts by LRC/LIC: insurance				Non-onerous	Onerous	LIC		
	Opening insurance contract assets				-	-	-	-	
	Opening insurance contract liabilities				40,326,361	-	1,884,251	42,210,612	
	Net opening balance				40,326,361	-	1,884,251	42,210,612	
	Insurance revenue				(8,118,388)	-	-	(8,118,388)	
	Incurred claims and other expenses				-	(401,468)	7,724,936	7,323,468	

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Acquisition expenses			1,223,521	-	-	1,223,521
Changes related to future service	-			2,850,352	-	2,850,352
Changes related to past service			-	-	(76,463)	(76,463)
Total Insurance service expenses			1,223,521	2,448,884	7,648,473	11,320,878
Investment components			(2,139,316)	-	2,139,316	-
Insurance service result			(9,034,183)	2,448,884	9,787,789	3,202,490
Insurance finance expenses			3,165,731	-	-	3,165,731
Total change in comprehensive income			(5,868,452)	2,448,884	9,787,789	6,368,221
Premiums received			4,910,568	-	-	4,910,568
Claims and expenses paid			-	-	(9,857,075)	(9,857,075)
Acquisition costs paid			(1,223,521)	-	-	(1,223,520)
Total cash flows			3,687,048	-	(9,857,075)	(6,170,027)
Closing insurance contract assets			-	-	-	-
Closing insurance contract liabilities			38,144,957	2,448,884	1,814,966	42,408,806
Net closing balance			38,144,957	2,448,884	1,814,966	42,408,806

18.1a.1 Endowment

Reconciliation of the liability for remaining coverage and the liability for incurred claims for Insurance Contracts-- endowment

Reconciliation of carrying amounts by LRC/LIC: insurance	Liability for Remaining Coverage (LRC)		Liability for Incurred Claims	Insurance Contract Liabilities (ICL)
	Non-onerous	Onerous	LIC	
Opening insurance contract assets				-
Opening insurance contract liabilities	3,890,179	-	-	3,890,180

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Net opening balance	3,890,179		- -	3,890,179
Insurance revenue	(633,887)		- -	(633,887)
Insurance service expenses	-	-	-	
Incurred claims and other expenses	-	(88,693)	366,918	278,225
Acquisition expenses	318,006	-	-	318,006
Changes related to future service	-	688,902	-	688,902
Total Insurance service expenses	318,006	600,208	366,919	1,285,133
Investment components	(1,449,310)	-	1,449,310	-
Insurance service result	(1,765,191)	600,208	1,816,229	651,246
Insurance finance expenses	372,152	-	-	372,152
Total change in comprehensive income	(1,393,039)	600,208	1,816,229	1,023,398
Premiums received	2,304,534	-	-	2,304,534
Claims and expenses paid	-	-	(1,816,229)	(1,816,229)
Acquisition costs paid	(318,006)	-	-	(318,006)
Total cash flows	1,986,528	-	(1,816,229)	170,299
Closing insurance contract assets				-
Closing insurance contract liabilities	4,483,668	600,208	-	5,083,877
Net closing balance	4,483,668	600,208	-	5,083,877

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

18.1a.b Protection

Reconciliation of the liability for remaining coverage and the liability for incurred claims for insurance contracts--Protection

Reconciliation of carrying amounts by LRC/LIC: insurance	Liability for Remaining Coverage (LRC)		Liability for Incurred Claims	Insurance Contract Liabilities (ICL)
	Non-onerous	Onerous	LIC	
Opening insurance contract assets				-
Opening insurance contract liabilities	60,095	-	-	60,095
Net opening balance	60,095	-	-	60,095
Insurance revenue	(89,438)	-	-	(89,438)
Insurance service expenses	-	-	-	-
Incurred claims and other expenses	-	-	45,393,274	45,393
Acquisition expenses	7,653	-	-	7,653
Changes related to future service	-	-	-	-
Changes related to past service	-	-	-	-
Total Insurance service expenses	7,653	-	45,393	53,046
Investment components	-	-	-	-
Insurance service result	(81,785)	-	45,393	(36,392)
Insurance finance expenses	21,923	-	-	21,922
Total change in comprehensive income	(59,864)	-	45,393	(14,470)
Premiums received	95,408	-	-	95,408
Claims and expenses paid	-	-	(45,393)	(45,393)
Acquisition costs paid	(7,653)	-	-	(7,653)
Total cash flows	87,755	-	(45,393)	42,362

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Closing insurance contract assets				-
Closing insurance contract liabilities	87,987	-	-	87,986
Net closing balance	87,987	-	-	87,986

18.1a.c Group Life

Reconciliation of the liability for remaining coverage and the liability for incurred claims for insurance contracts—Group Life

Reconciliation of carrying amounts by LRC/LIC: insurance	Liability for Remaining Coverage (LRC)		Liability for Incurred Claims	Insurance Contract Liabilities (ICL)
	Non-onerous	Onerous	LIC	
Opening insurance contract assets				-
Opening insurance contract liabilities	990,071	-	1,884,251	2,874,322
Net opening balance	990,071	-	1,884,251	2,874,322
Insurance revenue	(2,303,089)	-	-	(2,303,089)
Insurance service expenses	-	-	-	-
Incurred claims and other expenses	-	-	2,308,021	2,308,021
Acquisition expenses	590,677	-	-	590,677
Changes related to past service	-	-	(76,463)	(76,463)
Total Insurance service expenses	590,677	-	2,231,558	2,822,235
Investment components	-	-	-	-
Insurance service result	(1,712,411)	-	2,231,558	519,146
Insurance finance expenses	-	-	-	-
Total change in comprehensive income	(1,712,411)	-	2,231,558	519,146
Premiums received	1,845,177	-	-	1,845,177

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Claims and expenses paid	-	-	(2,300,843)	(2,300,843)
Acquisition costs paid	(590,677)	-	-	(590,677)
Total cash flows	1,254,500	-	(2,300,843)	(1,046,343)
Closing insurance contract assets				-
Closing insurance contract liabilities	532,160	-	1,814,966	2,347,126
Net closing balance	532,160	-	1,814,966	2,347,126

18.1a.d Investment Linked

Reconciliation of the liability for remaining coverage and the liability for incurred claims for insurance contracts—Investment Linked

Reconciliation of carrying amounts by LRC/LIC: insurance	Liability for Remaining Coverage (LRC)		Liability for Incurred Claims	Insurance Contract Liabilities (ICL)
	Non-onerous	Onerous	LIC	
Opening insurance contract assets				-
Opening insurance contract liabilities	4,128,749	-	-	4,128,749
Net opening balance	4,128,749	-	-	4,128,749
Insurance revenue	(911,093)	-	-	(911,093)
Insurance service expenses	-	-	-	
Incurred claims and other expenses	-	-	541,434	541,434
Acquisition expenses	305,577	-	-	305,577
Changes related to future service	-	-	-	-
Changes related to past service	-	-	-	-
Total Insurance service expenses	305,577	-	541,434	847,011
Investment components	(690,006)	-	690,006	-

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Insurance service result	(1,295,522)	-	1,231,440	(64,082)
Insurance finance expenses	565,772	-	-	565,772
Total change in comprehensive income	(729,750)	-	1,231,440	501,690
Premiums received	611,732	-	-	611,732
Claims and expenses paid	-	-	(1,231,440)	(1,231,440)
Acquisition costs paid	(305,577)	-	-	(305,577)
Total cash flows	306,155	-	(1,231,440)	(925,285)
Closing insurance contract assets				-
Closing insurance contract liabilities	3,705,154	-	-	3,705,154
Net closing balance	3,705,154	-	-	3,705,154

18.1a.e Credit Life

Reconciliation of the liability for remaining coverage and the liability for incurred claims for insurance contracts—Credit Life

Reconciliation of carrying amounts by LRC/LIC: insurance	Liability for Remaining Coverage (LRC)		Liability for Incurred Claims	Insurance Contract Liabilities (ICL)
	Non-onerous	Onerous	LIC	
Opening insurance contract assets				-
Opening insurance contract liabilities	1,479	-	-	1,479
Net opening balance	1,479	-	-	1,479
Insurance revenue	(3,441)	-	-	(3,441)
Insurance service expenses	-	-	-	
Incurred claims and other expenses	-	-	2,849	2,849
Acquisition expenses	1,608	-	-	1,608

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Changes related to future service	-	852	-	852
Changes related to past service	-	-	-	-
Total Insurance service expenses	1,608	852	2,849	5,309
Investment components	-	-	-	-
Insurance service result	(1,833)	852	2,849	1,868
Insurance finance expenses	178	-	-	178
Total change in comprehensive income	(1,655)	852	2,849	2,046
Premiums received	1,180	-	-	1,180
Claims and expenses paid	-	-	(2,849)	(2,849)
Acquisition costs paid	(1,608)	-	-	(1,608)
Total cash flows	(428)	-	(2,849)	(3,277)
Closing insurance contract assets				-
Closing insurance contract liabilities	(605)	852	-	248
Net closing balance	(605)	852	-	248

18.1a.f Annuity

Reconciliation of the liability for remaining coverage and the liability for incurred claims for insurance contracts—Annuity

Reconciliation of carrying amounts by LRC/LIC: insurance	Liability for Remaining Coverage (LRC)		Liability for Incurred Claims	Insurance Contract Liabilities (ICL)
	Non-onerous	Onerous	LIC	
Opening insurance contract assets				-
Opening insurance contract liabilities	31,255,788	-	-	31,255,788
Net opening balance	31,255,788	-	-	31,255,788

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Insurance revenue	(4,177,441)	-	-	(4,177,441)
Insurance service expenses	-	-	-	-
Incurred claims and other expenses	-	(312,774)	4,460,320	4,147,546
Acquisition expenses	-	-	-	-
Changes related to future service	-	2,160,598	-	2,160,598
Changes related to past service	-	-	-	-
Total Insurance service expenses	-	1,847,824	4,460,320	6,308,144
Investment components	-	-	-	-
Insurance service result	(4,177,441)	1,847,824	4,460,320	2,130,704
Insurance finance expenses	2,205,707	-	-	2,205,707
Total change in comprehensive income	(1,971,734)	1,847,824	4,460,320	4,336,411
Premiums received	52,537	-	-	52,537
Claims and expenses paid	-	-	(4,460,320)	(4,460,320)
Acquisition costs paid	-	-	-	-
Total cash flows	52,537	-	(4,460,320)	(4,407,783)
Closing insurance contract assets				-
Closing insurance contract liabilities	29,336,592	1,847,824	-	31,184,415
Net closing balance	29,336,592	1,847,824	-	31,184,415

18.2 GMM Business

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Reconciliation of the liability for remaining coverage and the liability for incurred claims for insurance contracts—GMM Business

Reconciliation of carrying amounts by LRC/LIC: insurance	Liability for Remaining Coverage (LRC)		Liability for Incurred Claims	Insurance Contract Liabilities (ICL)
	Non-onerous	Onerous	LIC	
Opening insurance contract assets				-
Opening insurance contract liabilities	39,336,290	-	-	39,336,290
Net opening balance	39,336,290	-	-	39,336,290
Insurance revenue	(5,815,299)	-	-	(5,815,299)
Insurance service expenses	-	-	-	
Incurred claims and other expenses	-	(401,468)	5,416,915	5,015,447
Acquisition expenses	632,843	-	-	632,843
Changes related to future service	-	2,850,352	-	2,850,352
Changes related to past service	-	-	-	-
Total Insurance service expenses	632,843	2,448,884	5,416,915	8,498,643
Investment components	(2,139,316)	-	2,139,316	-
Insurance service result	(7,321,772)	2,448,884	7,556,232	2,683,344
Insurance finance expenses	3,165,731	-	-	3,165,732
Total change in comprehensive income	(4,156,041)	2,448,884	7,556,232	5,849,075
Premiums received	3,065,391	-	-	3,065,391
Claims and expenses paid	-	-	(7,556,232)	(7,556,232)
Acquisition costs paid	(632,843)	-	-	(632,843)
Total cash flows	2,432,547	-	(7,556,232)	(5,123,684)

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Closing insurance contract assets				-
Closing insurance contract liabilities	37,612,797	2,448,884	-	40,061,681
Net closing balance	37,612,797	2,448,884	-	40,061,681

2022

18.2a Reconciliation of components of insurance contract liabilities – GMM Business

Reconciliation of carrying amounts by BEL/RA/CSM: insurance	Estimates of present value of future cashflows	Risk Adjustmen t	CSM	Total
Opening insurance contract assets				-
Opening insurance contract liabilities	37,023,076	1,198,766	1,114,448	39,336,290
Net opening balance	37,023,076	1,198,766	1,114,448	39,336,290
Changes related to current services				
CSM for service provided	0	0	(301,700)	(301,700)
Risk Adjustment release for expired risks	0	(163,256)	0	(163,256)
Experience adjustments	297,948	-	-	297,948
Total changes related to current services	297,948	(163,256)	(301,700)	(167,008)
Changes related to future services				
New contracts recognised	(172,624)	10,269	162,355	-
Changes in estimates reflected in CSM	85,688	61,934	(147,622)	-
Changes in estimates resulting in contract losses	2,713,069	137,283	-	2,850,352
Total changes related to future services	2,626,133	209,486	14,733	2,850,352
Changes that relate to past service				
Adjustments to liabilities for incurred claims	-	-	-	-

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Total changes that relate to past service		0	0	-	-
Insurance service result	(2,924,081)	(46,230)	286,967	(2,683,344)	
Insurance finance expenses	3,010,262	-	155,470	3,165,731	
Total change in comprehensive income	(5,934,343)	(46,230)	131,497	(5,849,075)	
Total cash flows	(5,123,684)	-	-	(5,123,684)	
Closing insurance contract assets					-
Closing insurance contract liabilities	37,833,734	1,244,996	982,951	40,061,680	
Net closing balance	37,833,734	1,244,996	982,951	40,061,680	

	Expected release of Contractual Service Margin				Annuity	Protection	Investment Linked	Credit Life	Total
Year 1							185,490	416	301,700
Year 2					0	27,886	178,255	54	324,744
Year 3					0	3,016	121,330	0	231,816
Year 4					0	6,960	90,752	0	131,432
Year 5					0	3,807	74,918	0	110,438
Year 6					0	1,920	51,255	0	157,547
Year 7					0	6,661	23,433	0	118,250
Year 8					0	1,729	15,806	0	44,792
Year 9					0	2,666	11,524	0	42,187
Year 10					0	1,308	8,053	0	109,909
Above Year 10					0	24,405	23,220	0	534,644
Total CSM					0	137,696	784,035	471	2,107,459

					Annuity	Protection	Investment Linked	Credit Life	Total
--	--	--	--	--	----------------	-------------------	--------------------------	--------------------	--------------

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Estimates of future cash inflows				20,976	1,491	189,519	-	900,743
Estimates of future cash outflows								-
- Claims				15,064	702	2,335	-	417,359
- Directly attributable expenses				4,465	379	118,736	-	184,899
- Acquisition cash flows				917	53	6,627	-	125,862
				20,447	1,135	127,696	-	728,119
Risk adjustment for non-financial risk				203	20	3,480	-	10,268
Contractual service margin				326	337	58,342,670	-	162,355
Total insurance contract liabilities at Inception				-	-	-	-	-

NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 31 December 2023

19 Investment contract liabilities

The investment contract liabilities comprise interest-linked guaranteed investment funds.

The movement in the investment contract liabilities is shown below:

	Group		Company	
	Actual	Actual	Actual	Actual
	31-Dec-23	31-Dec-22	31-Dec-23	31-Dec-22
	N'000	N'000	N'000	N'000
At 1 January	4,089,863	3,396,155	4,089,863	3,396,155
Deposits received during the year	724,374	654,546	724,374	654,546
Deposits Admin. No longer required	3,313,220	(3,313,220)	-	(3,313,220)
				(55,411)
Withdrawals during the year	(1,986,647)	(55,411)	(1,986,647)	
Guaranteed interest in the year	91,545	94,573	91,545	94,573
At 31 December	6,232,355	776,643	2,919,134	776,643
Non-current	6,232,355	776,643	2,919,134	776,643

Investment contract liabilities consist of group deposit administered funds and account balance of policy holders under investment linked insurance funds. Movement in the relevant funds are detailed below

	Group		Company	
	Actual	Actual	Actual	Actual
	31-Dec-23	31-Dec-22	31-Dec-23	31-Dec-22
	N'000	N'000	N'000	N'000
19.1 Liabilities on administered deposits				
At 1 January	103,948	114,191	103,948	114,191
Deposits received during the year	-	728	3,810	728
Deposit Adm. No longer required	-	-	-	-
Withdrawals during the year	-	(12,000)	8,537	(12,000)

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Guaranteed interest in the year	-	1,029	-	1,029
At 31 December	103,948	103,948	116,294	103,948
19.2 Investment linked fund				
At 1 January	3,985,915	3,281,964	3,985,915	3,281,964
Deposits received during the year	720,564	653,818	720,564	653,818
Withdrawals during the year	(1,986,647)	(43,411)	(1,986,647)	(43,411)
Guaranteed interest in the year	83,008	93,544	83,008	93,544
At 31 December	2,802,840	3,985,915	2,802,840	3,985,915

- 19.3** In 2015, the Pension Transitional Arrangement Directorate (PTAD) transferred Legacy Funds and Assets for certain schemes to the Entity under the deposit Administration. A reconciliation was done by both parties to agree the total liability of N2,476,599,743.16 on 10 May 2021 and the total outstanding balance was paid into the Directorate's E-Recovery Account on 30th June 2021.

The excess of the amount carried in the books and the reconciled outstanding balance resulted in the recognition of the balance no longer required upon the certificate of non-indebtedness issued by PTAD on the 30th July 2021.

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

		Group		Company	
		Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000	Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000
20	Trade payable				
	Unallocated premium deposits	1,537,534	533,466	1,537,534	533,466
	Due to co-insurance	-	3,929	-	3,929
	Due To/from Reinsurance	112,117	62,943	112,117	62,943
	Trade creditors	173,854	238,586	336	65,069
		1,823,505	838,925	1,649,987	665,407
	Current	1,823,505	838,925	1,649,987	665,407
20i	Unallocated premium deposits				
	At 1 January	533,466	709,893	533,466	709,892
	Movement during the year	1,004,068	(176,427)	1,004,068	(176,426)
	At 31 December	1,537,534	533,466	1,537,534	533,466
20ii	The amount represent premium deposits for which policy holders are yet to be identified due to inadequate information. The Company has already set up a committee to review it and make recommendations to management. Please see below the age analysis of the payables				

S/N	Age of Unallocated Premium Deposit	Group		Company	
		31-Dec-23 N'000	31-Dec-22 N'000	31-Dec-23 N'000	31-Dec-22 N'000
1	0 - 90 days	-	-	-	-
2	91- 180 days	-	-	-	-
3	181-270 days	-	-	-	-
4	271 -365 days	1,537,534	533,466	1,537,534	533,466
5	366 days and above	-	-	-	-
		1,537,534	533,466	1,537,534	533,466

20iii	Trade Creditors				
	Joramco	-	40,162	-	-
	Jordan Air motive	-	198,088	-	-
	Due to Frenchies suppliers	336	336	336	336
		336	238,586	336	336

		Group		Company	
		Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000	Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000
21	Other payables and accruals				
	Agent savings (note 21i)	-	-	-	-
	PAYE and other withholding taxes payable	169,571	165,437	169,571	165,437
	Provisions and accruals	123,771	114,278	123,771	112,450
	Rent payable	23,131	123,197	23,131	123,196
	Other creditors (note 21ii)	154,878	337,165	154,878	284,713
		140,199	12,601	140,199	-
	Current (Payable within the period)	743,164	732,289	611,549	600,675

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

21(i) Agents savings relates to the contributions or savings deducted from the entity's agent earnings which serves as security deposit against any loan granted to the agent.

		Group		Company	
		Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000	Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000
22	Retirement benefit asset	-	-	-	-
22i	Retirement benefit liabilities				
	Staff pension scheme		47,346	92,107	113,310
	Staff defined benefit plan	-	-	-	-

Contributory Pension Scheme

The company and its employees makes joint contribution of 10% and 8% respectively of the basic salary, housing and transport allowance to each employee's retirement savings account maintained with their nominated pension fund administrators.

		Group		Company	
		Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000	Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000
23	Borrowings				
	<i>Secured -at amortised cost</i>			-	-
	Overdraft Facility	23,921	23,921	-	22,444
	Term Loan (i)	110,690	110,690	-	-
		134,611	134,611	-	22,444

- (i) The Group through its subsidiary-Ghana Life Assurance Limited has an overdraft facility of GHC700,000 with Zenith Bank to finance early redemption of maturing obligations and other operating expenses. Interest rate is at 21% per annum.
- (ii) Term loan represents a cash backed loan facility of N80million granted by First bank, the facility has a tenor of 24 months at an interest rate of 5%.

		Group		Company	
		Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000	Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000
(iii)	Movement in overdraft facility				
	On 1 January	23,921	23,921	-	-
	Additions	-	-	-	-
	Interest expense	-	-	-	-
	Repayment	-	-	-	-
	On 31 December	23,921	23,921	-	-
	Movement in Term Loan				
	On 1 January	110,690	142,280	22,444	54,034
	Additions	-	-	-	-
	Interest expense	-	10,534	-	10,534
	Repayment	-	-	-	-
		(110,690)	(42,124)	(22,444)	(42,124)
	On 31 December	-	110,690	-	22,444

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

	Group		Company	
	Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000	Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000
24 Tax payable				
<i>Company income tax payable:</i>				
At 1 January	591,045	615,741	558,186	582,882
Charge to profit and loss	3,678	5,304	3,678	5,304
	-	-	-	-
Tax paid in the year	-	-	-	-
	-	(30,000)	-	(30,000)
At 31 December	594,723	591,045	561,864	558,186
Current	594,723	591,045	561,864	558,186

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

24aa Statement of Profit or Loss

A	Statement of profit or loss	Annuity	Protection	Investment Linked	Group Life	Credit Life	Endowment	Investment	Total
A.1	Insurance revenue	3,676,394	(3,409)	47,305	2,634,768	277	733,834	-	7,089,169
A.2	Insurance service expense	(7,113,785)	(470,431)	(2,441,041)	(1,951,742)	-	(4,001,687)	-	(15,978,687)
A.3	Net income or expense from reinsurance contracts held	-	-	-	(145,471)	-	-	-	(145,471)
	Insurance service result	(3,437,391)	(473,840)	(2,393,736)	537,555	277	(3,267,853)	-	(9,034,989)
A.4	Investment income	2,542,771	3,256	166,144	217,157	-	556,113	340,084	3,825,525
A.5	Insurance finance expenses	3,871,069	(9,526)	(472,453)	-	(29)	(380,982)	-	3,008,078
A.6	Reinsurance finance income	-	-	-	-	-	-	-	-
	Financial insurance result	6,413,840	(6,270)	(306,309)	217,157	(29)	175,131	340,084	6,833,603
	Other expenses	(102,091)	(20,831)	(288,529)	(396,723)	-	(146,897)	(140,894)	(1,095,964)
	Profit before tax	2,874,358	(500,941)	(2,988,574)	357,989	248	(3,239,619)	199,190	(3,297,350)
	Income tax	(3,081)	-	-	(384)	(0)	-	(214)	(3,678)
	Profit for the year	2,871,277	(500,941)	(2,988,574)	357,605	247	(3,239,619)	198,976	(3,301,028)

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

B Statement of other comprehensive income

	Statement of other comprehensive income	Annuity	Protection	Investment Linked	Group Life	Credit Life	Endowment	Investment	Total
B.1	Change in fair value of financial assets	-	-	-	-	-	-	-	-
B.2	Amount reclassified to profit or loss	-	-	-	-	-	-	-	-
B.3	Debt instruments at fair value through other comprehensive income	-	-	-	-	-	-	-	-
B.4	Insurance finance expenses	-	-	-	-	-	-	-	-
B.5	Reinsurance finance income	-	-	-	-	-	-	-	-
B.6	Net insurance financial result	-	-	-	-	-	-	-	-
B.7	Total gross comprehensive income	-	-	-	-	-	-	-	-

C Statement of financial position

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

	Statement of financial position	Annuity	Protection	Investment Linked	Group Life	Credit Life	Endowment	Investment	Total
C.1	Cash and cash equivalents	505,903	651	56,782	23,399	0	139,712	12,911	739,360
C.2	Financial Assets	22,742,773	29,275	2,552,646	1,051,919	4	6,280,751	580,421	33,237,789
C.3	Investment in subsidiaries	71,845	92	8,064	3,323	0	19,841	1,834	105,000
C.4	Reinsurance contract assets	-	-	-	135,120	-	-	-	135,120
C.5	Investment Properties	8,713,169	11,216	977,965	403,010	2	2,406,270	222,370	12,734,000
C.6	Intangible Assets	107,247	138	12,037	4,960	0	29,618	2,737	156,738
C.7	Property and equipment	468,494	603	52,584	21,669	0	129,382	11,956	684,688
C.8	Other receivable	447,309	576	50,206	20,689	0	123,531	11,416	653,727
C.9	Trade Receivables	-	-	-	-	-	-	-	-
C.10	Statutory deposit	136,849	176	15,360	6,330	0	37,793	3,493	200,000
C.11	Deferred tax assets	100,225	129	11,249	4,636	0	27,679	2,558	146,476
C.12	Total assets	33,293,814	42,857	3,736,893	1,675,056	6	9,194,576	849,695	48,792,897
C.13	Current tax liabilities	396,673	1,531	40,257	22,158	17	86,367	14,862	561,865

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

C.14	Investment contract liabilities	-	-	-	-	-	-	2,919,135	2,919,135
C.15	Insurance contract liabilities	26,593,494	194,601	4,496,474	1,968,357	(0)	7,070,793	-	40,323,718
C.16	Reinsurance contract liabilities	-	-	-	-	-	-	-	-
C.17	Trade Payables	1,123,493	1,379	73,409	95,948	-	245,712	110,046	1,649,987
C.18	Other payables	416,411	511	27,208	35,562	-	91,070	40,787	611,550
C.19	Employees benefit obligations	62,717	77	4,098	5,356	-	13,716	6,143	92,107
C.20	Deferred tax liabilities	382,583	470	24,998	32,673	-	83,672	37,474	561,869
C.21	Total liabilities	28,975,370	198,568	4,666,443	2,160,054	17	7,591,331	3,128,448	46,720,232
C.22	Share capital	7,324,576	12,879	757,715	399,836	290	1,610,603	186,602	10,292,500
C.23	Share Premium	10,222,833	17,975	1,057,534	558,047	405	2,247,901	260,438	14,365,133
C.24	Contingency Reserve	1,411,811	2,482	146,049	77,068	56	310,443	35,967	1,983,877
C.25	Asset Revaluation reserve	-	-	-	-	-	-	-	-
C.26	Retained earnings	(23,820,680)	(584,208)	(6,121,865)	(1,644,878)	1	(7,293,775)	(501,822)	(39,967,227)
C.27	Fair value reserve	10,958,137	19,267	1,133,600	598,186	434	2,409,587	279,170	15,398,382
C.28	Other reserves	(1,778,234)	375,894	2,097,417	(473,259)	(1,196)	2,318,486	(2,539,108)	-
C.29	Total equity	4,318,443	(155,711)	(929,550)	(484,998)	(11)	1,603,245	(2,278,752)	2,072,666

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

C.30	Total liabilities and equity	33,293,814	42,857	3,736,893	1,675,056	6	9,194,576	849,695	48,792,897
------	-------------------------------------	-------------------	---------------	------------------	------------------	----------	------------------	----------------	-------------------

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

		Group		Company	
		Actual	Actual	Actual	Actual
		31-Dec-23	31-Dec-22	31-Dec-23	31-Dec-22
		N'000	N'000	N'000	N'000
25	Deferred tax liability				
	The analysis of deferred tax liabilities is as follows:				
	Deferred tax liability to be incurred within 12 months				
	Deferred tax liability to be incurred after more than 12 months				
		204,005	204,005	92,107	92,107
		204,005	204,005	92,107	92,107
	The movement on the deferred tax liabilities account is as follows:				
25a	At 1 January	204,005	204,005	92,107	92,107
	Foreign exchange difference arising from translation	-	-	-	-
		469,762	-	469,762	-
	Income statement charge	-	-	-	-
		-	-	-	-
	At 31 December	673,767	204,005	561,869	92,107
	Non- current	673,767	204,005	561,869	92,107
25b	Deferred tax asset				
	The movement on the deferred tax asset account is as follows:				
	At 1 January	147,690	147,690	146,476	146,476
	Exchange difference adjustment				
	Foreign exchange difference arising from translation				
	Income statement charge				-
		147,690	147,690	146,476	146,476
	At 31 December	147,690	147,690	146,476	146,476
	Non- current	147,690	147,690	146,476	146,476

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

26	Share capital	Actual	Actual	Actual	Actual
	<i>Ordinary Shares</i>	31-Dec-23	31-Dec-22	31-Dec-23	31-Dec-22
		Number	Number	Number	Number
26a	Authorised share capital ('000)	30,000,000	30,000,000	30,000,000	30,000,000
26b	Paid up share capital of 20.585 billion ordinary shares of 50 kobo each	10,292,500	10,292,500	10,292,500	10,292,500
	Paid up/(Cancelled) during the year				
	At 31 December	10,292,500	10,292,500	10,292,500	10,292,500
	<i>Number of shares</i>	31-Dec-23	31-Dec-22	31-Dec-23	31-Dec-22
	Shares at the beginning of the year('000)	20,585,000	20,585,000	20,585,000	20,585,000
	Paid up/(Cancelled) during the year ('000):				
	At 31 December	20,585,000	20,585,000	20,585,000	20,585,000

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

	Group		Company	
	Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000	Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000
26c Share premium				
At 1 January	14,365,133	14,365,133	14,365,133	14,365,133
Share Premium cancellation				
Capital Restructuring account	-	-		
At 31 December	14,365,133	14,365,133	14,365,133	14,365,133
27 Contingency reserves				
At 1 January	1,971,330	1,903,181	1,922,694	1,854,545
Transfer from retained earnings	61,183	68,149	61,183	68,149
At 31 December	2,032,513	1,971,330	1,983,879	1,922,694

In accordance with the insurance act, a contingency reserve is credited with the greater of 1% of total premiums or 10% of net profit. This shall accumulate until it reaches the amount of greater of minimum paid-up capital or 50 percent of net premium

	Group		Company	
	Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000	Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000
28 Retained earnings				
At 1 January	(37,186,795)	(34,276,923)	(36,605,015)	(32,421,386)
Transfer to contingency reserves	(61,183)	(68,149)	(61,183)	(68,149)
Profit/(Loss) for the period	(3,301,028)	(2,901,108)	(3,301,028)	(4,971,811)
Non-controlling interest	358,171	59,385	-	852,331 -
At 31 December	(40,549,007)	(37,186,795)	(39,967,227)	(36,605,015)

	Group		Company	
	Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000	Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000
29 Fair value reserves				
At 1 January	16,131,871	2,625,241	15,398,382	1,616,522
Gain/(Derecognition) on revaluation on land and building	-	20,331	-	20,331
Change in value of FVOCI financial assets (net of taxes)	-	13,761,529	-	13,761,529
Additional reserve on repurchase of PAL Pension Limited	-	-	-	-
	-	(275,230)		
At 31 December	16,131,871	16,131,871	15,398,382	15,398,382

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 31 DECEMBER 2023

		Group		Company	
		Actual	Actual	Actual	Actual
		31-Dec-23	31-Dec-22	31-Dec-22	31-Dec-22
		N'000	N'000	N'000	N'000
29a	Fair value changes-statement of comprehensive income				
	Gain/(Derecognition) on revaluation on land and building	-	20,331	-	20,331
	Change in value of available for sale financial assets (net of taxes)	-	13,761,529	-	13,761,529
	Additional reserve on repurchase of PAL Pension Limited	-	-	-	-
		-	-	-	-
		-	13,781,860	-	13,781,860
		Group		Company	
		31-Dec-23	31-Dec-22	31-Dec-23	31-Dec-22
		N'000	N'000	N'000	N'000
30	Insurance Revenue				
	Individual life	277	3,441	277	3,441
	Group life	2,634,768	2,303,089	2,634,768	2,303,089
	Annuity	3,676,394	4,177,441	3,676,394	4,177,441
	Protection	3,409	89,438	3,409	89,438
	Investment linked.	47,305	911,093	47,305	911,093
	Takaful	0	0	0	0
	Endowment (Esusu)	733,834	633,887	733,834	633,887
	Esusu	0	0	0	0
	Insurance Revenue	7,089,169	8,118,389	7,089,169	8,118,389

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

2023
Insurance Revenue

Insurance revenue					Annuity	Protection	Investment Linked	Group Life	Credit Life	Endowment	Investment	Total
Amounts relating to changes in LFRC												
	Expected benefits incurred				4,180,165	4,147	47,043	2,623,956	166	236,332	-	7,091,810
	Expected expenses incurred				158,250	4,056	379,269	-	36	229,621	-	771,231
	Loss Component: systematic allocation				(821,038)	(36,546)	(493,527)	-	-	(454,221)	-	(1,805,331)
	Change in the risk adjustment				159,016	153	3,321	10,812	4	13,104	-	186,409
	CSM recognised				-	23,602	104,326	-	72	135,776	-	263,776
Recovery of acquisition cash flows					-	1,180	6,874	-	-	573,221	-	581,275
Contracts not measured under PAA					3,676,394	(3,409)	47,305		277	733,834	-	7,089,169
Contracts measured under PAA								2,634,768				

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Total insurance revenue			3,676,394	(3,409)	47,305	2,634,768	277	733,834	-	7,089,169

2023

30b

Insurance service expense

	Insurance service expense			Annuity	Protection	Investment Linked	Group Life	Credit Life	Endowment	Investment	Total
A	Incurred claims			(3,984,749)	(28,470)	-	(1,012,758)	-	-	-	(5,025,977)
B	Incurred Fulfilment expenses			(206,964)	(42,229)	(584,923)	(804,262)	-	(297,798)	-	(1,936,176)
C	Amortisation of insurance acquisition cash flows		-		(1,180)	(6,874)	(758,189)	-	(573,221)	-	(1,339,464)
D	Changes in BEL related to LIC		-		(168,203)	(1,009,302)	623,466	-	(490,979)	-	(1,045,019)
E	Loss Component: systematic allocation			821,038	36,546	493,527	-	-	454,221	-	1,805,332
F	Loss Component: losses and reversal of losses			(3,743,110)	(266,895)	(1,333,469)	-	-	(3,093,910)	-	(8,437,384)
G	Total insurance service expense			(7,113,785)	(470,431)	(2,441,041)	(1,951,742)	-	(4,001,687)	-	(15,978,687)

Net income or expense from reinsurance contract held

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

	Net income or expense from reinsurance contracts held		Annuity	Protection	Investment Linked	Group Life	Credit Life	Endowment	Investment	Total
H		Expected recovery for claims	-	-	-	(151,834)	-	-	-	(151,834)
I		Reinsurance RA allocation	-	-	-	(500)	-	-	-	(500)
J	Allocation of reinsurer Insurance Revenue		-	-	-	(152,334)	-	-	-	(152,334)
K		Amounts recoverable for claims	-	-	-	31,849	-	-	-	31,849
L		changes in BEL related to reinsurance LIC	-	-	-	(24,987)	-	-	-	(24,987)
	Amounts recoverable from reinsurer		-	-	-	6,863	-	-	-	6,863
M	Net income or expense from reinsurance contracts held		-	-	-	(145,471)	-	-	-	(145,471)

Insurance finance expenses

	Net finance expenses from insurance contracts		Annuity	Protection	Investment Linked	Group Life	Credit Life	Endowment	Investment	Total
N		Unwind of discount on FCFs: LRC	(3,631,707)	(4,782)	(396,502)	-	(24)	(546,062)	-	(4,579,077)
O		Effect of change in economic assumptions: LRC	(3,292,551)	(858)	(40,177)	-	-	(45,025)	-	(3,378,611)
P		Interest accretion on CSM	(0)	(5,946)	(51,487)	-	(6)	(68,566)	-	(126,005)
Q		Effect of change in Discount rate assumptions: LRC	10,795,327	2,059	15,713	-	-	278,671	-	11,091,770
R	Total Net finance expenses from insurance contracts		3,871,069	(9,526)	(472,453)	-	(29)	(380,982)	-	3,008,078

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Reinsurance finance income

Net finance expenses from reinsurance contracts				Annuity	Protection	Investment Linked	Group Life	Credit Life	Endowment	Investment	Total
Investment income				Annuity	Protection	Investment Linked	Group Life	Credit Life	Endowment	Investment	Total
S		Interest revenue on financial assets not measured at FVTPL		1,180,885	1,449	77,159	100,850	-	258,264	157,938	1,776,544
T		Fair value Gain or Loss		998,290	1,225	65,228	85,256	-	218,330	133,517	1,501,846
U		Other investment revenue		368,975	589	24,109	31,511	-	80,696	49,349	555,229
V		Net impairment loss on financial assets		(5,379)	(7)	(351)	(459)	-	(1,177)	(720)	(8,093)
W	Total Net Investment Income			2,542,771	3,256	166,144	217,157	0	556,113	340,084	3,825,525

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

2022

Insurance revenue

Insurance revenue					Annuity	Protection	Investment	Group Life	Credit Life	Endowment	Investment	Total
Amounts relating to changes in LFRC												
	Expected benefits incurred				4,196,325	12,251	49,376	2,301,703	645	132,176	-	6,692,476
	Expected expenses incurred				138,295	11,753	366,449	-	747	210,950	-	728,195
	Loss Component: systematic allocation				(312,774)	-	-	-	-	(88,693)	-	(401,468)
	Change in the risk adjustment				155,594	441	4,201	1,386	25	2,994	-	164,642
	CSM recognised				-	57,340	185,490	-	416	58,454	-	301,700
	Recovery of acquisition cash flows				-	7,652	305,577	-	1,607	318,006	-	632,843
Contracts not measured under PAA					4,177,441	89,438	911,093		3,441	633,887	-	8,118,388
Contracts measured under PAA								2,303,089				
Total insurance revenue					4,177,441	89,438	911,093	2,303,089	3,441	633,887	-	8,118,388

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

2022
30b

Insurance services expenses

	Insurance service expense			Annuity	Protecti on	Investme nt Linked	Group Life	Credit Life	Endowment	Investment	Total
A	Incurred claims			(4,263,781)	(31,834)	-	(1,513,336)	-	-	-	(5,808,952)
B	Incurred Fulfilment expenses			(196,539)	(13,559)	(541,434)	(794,684)	(2,848)	(366,919)	-	(1,915,984)
C	Amortisation of insurance acquisition cash flows			-	(7,652)	(305,577)	(590,677)	(1,607)	(318,006)	-	(1,223,521)
D	Changes in BEL related to LIC			-	-	-	76,462	-	-	-	76,463
E	Loss Component: systematic allocation			312,774	-	-	-	-	88,693	-	401,468
F	Loss Component: losses and reversal of losses			(2,160,598)	-	-	-	(852)	(688,902)	-	(2,850,352)
G	Total insurance service expense			(6,308,144)	(53,046)	(847,011)	(2,822,235)	(5,309)	(1,285,133)	-	(11,320,878)

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Net income or expense from reinsurance contract held

	Net income or expense from reinsurance contracts held		Annuity	Protecti on	Investme nt Linked	Group Life	Credit Life	Endowment	Investment	Total	
H		Expected recovery for claims	-	-	-	(104,087)	-	-	-	(104,087)	
I		Reinsurance RA allocation	-	-	-	(153)	-	-	-	(153)	
J	Allocation of reinsurer Insurance Revenue		-	-	-	(104,240)	-	-	-	(104,240)	
K		Amounts recoverable for claims	-	-	-	123,915	-	-	-	123,915	
	Amounts recoverable from reinsurer		-	-	-	123,914	-	-	-	123,914	
L	Net income or expense from reinsurance contracts held		-	-	-	19,675	-	-	-	19,675	

Insurance finance expenses

	Net finance expenses from insurance contracts		Annuity	Protecti on	Investme nt Linked	Group Life	Credit Life	Endowment	Investment	Total	
M		Unwind of discount on FCFs: LRC	(3,537,680)	(6,532)	(491,101)	-	(170)	(461,901)	-	(4,497,383)	
N		Effect of change in economic assumptions: LRC	(790,326)	(1,616)	(52,718)	-	-	(58,209)	-	(902,869)	
O		Interest accretion on CSM	(106,170)	(692)	(21,955)	-	(5)	(26,648)	-	(155,470)	
P		Effect of change in Discount rate assumptions: LRC	2,228,470	(13,082)	-	-	(3)	174,606	-	2,389,990	

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Q	Total Net finance expenses from insurance contracts	(2,205,707)	(21,922)	(565,772)	-	(178)	(372,152)	-	(3,165,731)	
----------	--	--------------------	-----------------	------------------	----------	--------------	------------------	----------	--------------------	--

Investment income

Income with positive sign

	Investment income				Annuity	Protection	Investment Linked	Group Life	Credit Life	Endowment	Investment	Total
R	Interest revenue on financial assets not measured at FVTPL				680,942	1,170	35,575	36,784	272	144,623	90,348	989,715
S	Fair value Gain or Loss				2,170,994	3,729	113,422	117,277	868	461,091	288,051	3,155,432
T	Other investment revenue				82,179	141	4,293	4,439	58	17,453	10,904	119,467
U	Net impairment loss on financial assets				(1,408,857)	(2,420)	(73,604)	(76,106)	(563)	(299,223)	(186,930)	(2,047,704)
V	Total Net Investment Income				1,525,257	2,620	79,686	82,394	635	323,945	202,374	2,216,910

NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 31 DECEMBER
2023223

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

Net impairment loss on financial assets		((2,047,704)	(8,093)	(2,047,704)
Amounts Operating income				
Net foreign exchange income or expense				

Total Net Investment Income	3,825,525	2,216,910	3,825,525	2,216,910
------------------------------------	------------------	------------------	------------------	------------------

Dividend Income

Pension Alliance Limited		-	-	-
Others – Quoted & Unquoted	-	14,809	-	14,809
Total Dividend Income	-	14,809	-	14,809

34	Profit/(Loss) from investment contract:				
	Investment income from investment contract				
	liabilities	197	226	197	226
	Deposit administration no longer required(note 19.3)				
	Guaranteed interest	(91,545)	(94,573)	(91,545)	(94,573)
		(91,348)	(94,347)	(91,348)	(94,347)

	Group		Company	
	Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000	Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000
35				
ECL Impairment on assets				
Provision on due from related party no longer required	-	-	-	-
Mortgage and policy loans	-	-	-	-
Cash & cash equivalent (note 6.1)	-	10,991	-	10,991
Investment securities (note 7.4ii)	-	(443)	-	(443)
Unquoted equities	-	-	-	-
Staff account receivables	-	-	-	-
Other receivables (note 10.1e)	-	(29,188)	-	(29,189)
Short term loan	-	-	-	-
	-	(18,640)	-	(18,640)

36 ECL Allowance on cash and cash equivalents and financial assets – Group

	At 1 January N'000	Movement during the year N'000	At 31 December N'000
Cash & Cash Equivalents	44,269	-	44,269
Amortized cost-bonds	1,489	-	1,489
Agency loans	237	-	237
Mortgage loans	2,935	-	2,935
Policy loans	18,409	-	18,409
Staff Account Receivable	7,001	-	7,001
Short term loan	-	-	-
Other debit balances	16,729	-	16,729
	91,070	-	91,070

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

36a ECL Allowance on cash and cash equivalents and financial assets – Company

	At 1 January	Movement	At 31 December
	N'000	during the year	N'000
Cash & Cash Equivalents	19,336	-	19,336
Amortized cost-bonds	1,489	-	1,489
Agency loans	237	-	237
Mortgage loans	2,935	-	2,935
Policy loans	18,407	-	18,407
Staff Account Receivable	7,002	-	7,002
Short term loan	-	-	-
Other debit balances	16,729	-	16,729
	66,136	-	66,136

37 Employee benefit expenses

The number of persons employed excluding directors in the Group and in the Company during the year and at the end of the year ended 31 December, 2023 were 172 and 114, respectively (2022: 172 and 114)

	Group		Company	
	Actual	Actual	Actual	Actual
	31-Dec-23	31-Dec-22	31-Dec-23	31-Dec-22
	N'000	N'000	N'000	N'000
Wages and salaries	703,596	693,841	703,596	693,841
Other Staff Cost	243,157	216,038	243,157	216,038
Defined contribution pension costs	40,974	43,912	40,974	43,912
Defined benefit pension cost	7,588	-	7,588	-
	995,314	953,791	995,314	953,791

38 The number of employees of the company, other than directors, who received emoluments in the following ranges was:

	Group		Company	
	31-Dec-23	31-Dec-22	31-Dec-23	31-Dec-22
	N'000	N'000	N'000	N'000
N1,000,001 – N1,500,000	58	-	58	--
N1,500,001 – N2,000,000	3	3	3	3
N2,000,001 – N2,500,000	7	7	7	7
N2,500,001 – N3,000,000	1	1	1	1
N3,000,001 – N3,500,000	43	43	43	43
N3,500,001 – N4,000,000	33	33	33	33
Above N4,000,000	27	27	27	27
	172	172	114	114

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

The average number of full time persons employed by the Company during the year per level were as follow:

Executive director	2	2	2	2
Management staff	18	18	7	7
Non-management staff	152	152	105	105
	172	172	114	114

Directors' remuneration

Remuneration paid to the directors of the Company were as follows:

	Group		Company	
	31-Dec-23	31-Dec-22	31-Dec-23	31-Dec-22
	N'000	N'000	N'000	N'000
Short term benefits:				
- Directors fees	-	17,845	-	17,845
- Directors sitting allowances	-	9,700	-	9,700
- Executive compensation	-	-	-	-
- Other directors' costs and expenses	-	-	-	-
	-	27,545	-	27,545

Fees and other emoluments disclosed above include amounts paid to:

The Chairman	<u>3,328</u>	<u>-</u>	<u>3,328</u>
The highest paid director	<u>14,400</u>	<u>-</u>	<u>14,400</u>

The number of directors who received fees and other emoluments (excluding pension contributions) in the following ranges was:

	Group		Company	
	31-Dec-23	31-Dec-22	31-Dec-23	31-Dec-22
	N'000	N'000	N'000	N'000
Below N5,000,000	-	-	-	-
N5,000,000 – N10,000,000	-	-	-	-
N10,000,000 and above	<u>5</u>	<u>5</u>	<u>5</u>	<u>5</u>
	<u>5</u>	<u>5</u>	<u>5</u>	<u>5</u>

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 31 DECEMBER 2023

	Group Actual 31-Dec-23 12 months N'000	Actual 31-Dec-22 12 months N'000	Company Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000
39 Other operating and administrative expenses				
Directors' emoluments	25,846	17,845	25,846	17,845
Bank Charges	54,637	41,575	54,637	41,575
Professional fee				
Motor vehicle running cost	-	-	-	-
Auditors' remuneration	12,000	12,000	12,000	12,000
Depreciation	149,982	155,285	149,982	155,285
Amortisation on Rights of Use assets	95,472	80,890	95,472	80,890
Amortisation on intangible assets	14,013	14,924	14,013	14,924
NITDA	-	8,309	-	8,309
Consultancy expenses	168,478	92,940	168,478	92,940
Security	12,929	11,005	12,929	11,005
Rent and rates	38,052	16,854	38,052	16,854
General maintenance and running costs	154,054	148,837	154,054	148,837
Advert and Publicity	179,907	204,615	179,907	204,615
Telecommunications	15,337	12,568	15,337	12,568
Dues and Subscription	15,848	9,897	15,848	9,897
Travels and accommodation	284,856	226,890	284,856	226,890
Insurance supervision fees	-	74,576	-	74,576
Insurance expenses	33,462	23,749	33,462	23,749
Printing and stationeries	10,021	2,617	10,021	2,617
Industrial training fund	10,620	11,555	10,620	11,555
Entertainment	22,212	9,576	22,212	9,576
VAT expenses	28,746	16,010	28,746	16,010
Nigeria Social Insurance Trust Fund(NSTIF)	-	3,492	-	3,492
Electricity and Water				
Loss on Disposal of Investment				
Foreign exchange loss	458,701	-	458,701	-
Nigeria Police Levy	-	-	-	-
Amortization of leasehold premises	12,134	31,707	12,134	31,707
Office ICT expenses	137,853	149,211	137,853	149,211
Donation	2,900	520	2,900	520
Office cleaning expenses	20,109	27,721	20,109	27,721
Medical expenses	-	1,364	-	1,364
			-	28,644
Information Technology levy	-		23,585	23,585
Other regulatory fees and fines	23,585	23,585		
Loss on disposal of PPE			-	-
Stamp duties	-			
Business registration cost				
Other Administrative Expenses		46,118		
	48,980		48,980	46,118
	2,007,148	1,476,234	2,007,148	1,476,234

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

40 ECL Allowance on cash and cash equivalents and Financial Assets

Cash & Cash Equivalents	4,713	10,991
Amortised Cost-bonds	490	(443)
Agency Loans	(1,169)	(26,210)
Loans and Receivables	189	(2,979)
	8,093	(18,641)

	Group Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000	Company Actual 31-Dec-23 N'000	Actual 31-Dec-22 N'000
41 Finance cost				
Interest expense on borrowings	-	10,534	-	10,534
42 Income tax expense				
Current tax on profits for the year (note 24)	3,678	5,304	3,678	5,304
Capital gains tax	-	-	-	-
Deferred tax charge for the year	-	-	-	-
	3,678	5,304	3,678	5,304

43 Related parties

Shareholders		31-Dec-23	31-Dec-22
Conau Limited		58%	58%
Universal Insurance Plc		6%	6%
Nature of the balance & transactions	Related party	2022 N'000	2022 N'000
Intercompany receivables	Axiom Air Ltd	-	-
Intercompany receivable	African Alliance Holding Limited	-	-
Intercompany receivables	Universal Insurance Company Plc	1,600,267	1,600,267
Deposit for shares	Ghana Life Insurance	-	-
Conau Trade and Investment Limited	Sale and repurchase of PAL	-	-

44 Contingent liabilities and commitments

(a) Legal proceedings

The Group is presently in fifteen (15) legal proceedings (2022 fifteen (15)), the cases arose in the normal course of business. However, the outcome of the cases will not give rise to any significant loss from the review case files and confirmation from the company's solicitor indicates that there were no material contingent liabilities in respect of pending litigations against the Group.

The Directors are of the opinion that all known commitments and liabilities which are relevant in assessing the situation of the company have been taken into consideration in the preparation of these financial statements.

The Company operates in the insurance industry and is subject to legal proceedings in the normal course of business. While it is not practicable to forecast or determine final results of all pending or threatened legal proceedings, management does not believe that such proceedings (including litigations) will have a material effect on its results and financial position.

However, due to the material amount and the relationship that exist between the parties, this pending litigation is disclosed between the entity and the management of its former associate company PAL Pension Limited now investment measured at Fair Value through other comprehensive income:

African Alliance Insurance Plc Vs Pension Alliance Limited - FHC/L/CS/193/2021.

The Petitioner is minority shareholder and holds 49 percent of the total share of the 1st Respondent. The outstanding 51 percent shares is held by First Securities Discount House (FSDH Merchant Bank Limited), the majority shareholder. The Board of Directors consisted of 12 members, in which the Petitioner retained a board seat, which was occupied by its erstwhile Managing Director, Mrs Funmi Omo. Following the resignation and exit from the Petitioner and the 1st Respondent in 2020, the Petitioner lost its only board seat. The Petitioner has proposed nominee to fill the causal vacancy created by the exit of its former Managing Director, its board nominee to ensure and protect its right of participation on the board of the company.

By Article 27 and 28 of the Article of Association of the 1st Respondent, the directors of the company are authorized to appoint new directors and an additional director to fill a causal vacancy, while the appointment is to be approved by members at the general meeting.

Since the Petitioner has no Director on the Board of the 1st Respondent, the majority shareholders have refused to appoint any director nominated by the Petitioner. The Petitioner is thus unable to participate in the management of the 1st Respondent despite being the only one shareholder aside the Majority shareholder.

The Majority shareholder acting through its nominated board of directors, has advantage of the Petitioner's lack of board participation to propose resolutions that are detrimental to the interest of the Petitioner.

In 2020, the Respondent in collaboration with the Majority shareholder proposed written resolution of the Board of Directors for increase of the 1st Respondent's share capital from N1,100,000,000 to N2,300,000,000 and authorizing the 1st respondent directors to raise up to N10,000,000,000 from local or foreign investors.

The Petitioner opposed this on the basis that share capital can be increased by special resolution passed at general meetings and the proposed capital dilutes the Petitioner's equity and violates the Petitioner's preemptive rights including the re-election of exiting directors and appointment of a non-executive director.

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

The petitioner thus filed this action for minority protection. It also filed a motion for interim and interlocutory injunctions asking for restraining orders. The Honourable court granted the application for interim injunction and the matter was adjourned to 17th January 2022. The 1st, 2nd, 3rd and 4th Respondent entered their appearance in the suit and filed an application before the court.

Financial implications

In granting the interim order, the Honourable court ordered the AAI file a written undertaking to compensate the Respondent in damage if the interim order of the court ought not to have been made in the first instance. In the unlikely event that the Honourable Court holds that the order ought not to have been granted, the financial implications of the suit will be limited to the reasonable damages that the court will order to be paid to the Respondents. There are also the ancillary expenses for prosecuting the suit.

(b) Capital commitments.

At 31 December 2023, the Group has no capital commitments in respect of buildings and equipment purchases.

45 Profit per share

Basic earnings per share is calculated by dividing the profit per share attributable to equity holders of the company by the weighted average number of ordinary shares in issues.

	31-Dec-23	31-Dec-22	31-Dec-23	31-Dec-22
Profit for the year N'000	<u>(3,301,028)</u>	<u>(6,967,811)</u>	<u>(3,301,028)</u>	<u>(4,967,811)</u>
Weighted number of shares at the end of the year ('000)	<u>20,585,000</u>	<u>20,585,000</u>	<u>20,585,000</u>	<u>20,585,000</u>
Basic Earnings per share (basic) – in kobo	(0.16)	(0.24)	(0.16)	(0.24)

46 Proposed dividends

There was no proposed dividend during the year (2022: NIL)

47 Foreign exchange (Translation) reserve

	31-Dec-23	Group
	N'000	31-Dec-22
		N'000
The movement in translation reserve during the year is shown as follows:		
At 1 January	(856,957)	(856,957)
Exchange difference arising on translating the foreign operations		-
Non-controlling interest portion of the exchange difference (note 51)	494,988	-
At 31 December	(361,969)	(856,957)

48 Non-controlling interest

	31-Dec-23	Group
		31-Dec-22
At 1 January	359,395	359,395
Share of profit/loss for the year,	(1,224)	-
Changes in fair value of FVOCI Investments	-	-
Share of contingency reserve	-	-
Share of foreign exchange translation difference		-
Share of gain on revaluation of land and building		
At 31 December	358,171	359,395

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

49	Contraventions	31-Dec-23	31-Dec-22
	Nature of penalties	N'000	N'000
	Outstanding penalty for late submission to NAICOM	-	3,585
	Penalty for late submission to Securities and Exchange Commission	-	20,000
		<u>-</u>	<u>23,585</u>

50	Reconciliation of liabilities arising from financing activities				
	Group	31-Dec-22	Cashflows	Non-cash changes	31-Dec-23
				Amortization & Transfer	Accrued Interest
		N'000	N'000	N'000	N'000
	Short-term borrowings (see note 23)	134,611	42,124	-	10,534
	Lease liabilities (see note 16)	23,490	62,129	(80,890)	-
	Investment in Associate – PAL (see note 13)	-	-	-	-
		208,454	104,253	(80,890)	10,534
					158,101

	Company	31-Dec-22	Cashflows	Non-cash changes	31-Dec-23
				Amortization & Transfer	Accrued Interest
		N'000	N'000	N'000	N'000
	Short-term borrowings (see note 23)	54,034	42,124	-	10,534
	Lease liabilities (see note 16)	42,252	62,129	(80,890)	-
	Investment in Associate – PAL (see note 13)	-	-	-	-
		96,286	104,253	(80,890)	10,534
					45,934

OTHER NATIONAL DISCLOSURES

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

AFRICAN ALLIANCE INSURANCE PLC
VALUE ADDED STATEMENT
For the period ended 31 December

	GROUP				COMPANY			
	2023	%	2022	%	2023	%	2022	%
	N,000		N,000		N'000		N'000	
Gross Premium Income	5,743,525	(284) %	6,889,987	(143) %	5,743,525	(284) %	6,889,987	(100) %
Fees and Commission Income	71,417	(3) %	62,570	(1) %	71,417	(3) %	62,570	(1) %
Net Investment Income	1,776,544	(37) %	895,368	(19) %	1,776,544	(37) %	895,368	(13) %
Other Income	646,441	(9) %	224,681	(5) %	646,441	(9) %	224,323	(3) %
	8,237,927	(332) %	8,072,606	(168) %	8,237,927	(332) %	8,072,248	(117) %
Claims incurred, commission paid , and other operating expenses	(8,017,648)	432%	(12,876,713)	268%	(7,539,845)	432%	(14,943,057)	217%
Value Added	220,279	100%	(4,804,107)	100%	698,082	100%	(6,870,809)	100%
Applied as follows:								
In payment of employees:								
Salaries, wages and other benefits	953,791	(74) %	953,791	(20) %	1,431,594	(205) %	953,791	(14) %
In payment to providers of capital	-		-		-		-	
Interest on loan	(3,678)	(1)%	10,534	0%	(3,678)	(1)%	10,534	0%
In payment to Government	-		-		-		-	
Taxation	-	-	5,304	0%	-	-	5,304	0%
For future replacement of assets, expansion of business and payment of dividend to shareholders:	-	-	-	-	-	-	-	-
Depreciation &Amortisation	259,466	(22) %	282,806	(6) %	259,466	37%	282,806	(4) %
Fair value reserve	1,502,846	(28) %	(3,155,432)	66%	1,502,846	215%	(3,155,432)	46%
Profit/Loss for the year	(2,491,145)	225%	(2,901,109)	60%	(2,491,145)	(357) %	(4,967,811)	72%
Total	(220,279)	100%	(4,804,107)	100%	698,082	100%	(6,870,809)	100%

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

AFRICAN ALLIANCE INSURANCE PLC
FIVE YEAR FINANCIAL SUMMARY
FOR THE PERIOD ENDED 31 DECEMBER

GROUP

STATEMENT OF FINANCIAL POSITION

	2023	2022	2021	2020	2019
	N'000	N'000	N'000	N'000	N'000
Cash and Cash Equivalent	820,949	1,141,679	1,389,861	17,799,223	2,076,831
Financial Assets	33,144,173	36,321,804	26,737,469	24,082,463	22,440,098
Trade Receivables	88,884	88,884	88,884	11,603	125,469
Reinsurance Assets	104,554	100,957	113,116	486,196	311,054
Loans and receivables	-	-	-	-	-
Other receivables and Prepayments	797,006	728,369	1,117,988	596,544	667,926
Investment Properties	14,372,536	12,719,286	9,668,536	10,774,958	10,432,005
Investment in Subsidiary	-	-	-	-	-
Investment in Associates	-	-	-	-	1,545,042
Retirement benefit asset	-	-	-	-	-
Deferred Tax Assets	147,690	147,690	147,690	147,972	147,935
Intangible Assets	69,817	60,413	56,481	62,165	57,323
Property Plant and Equipment	1,792,388	1,792,388	1,876,748	1,841,453	1,629,625
Right of Use Assets	123,954	23,490	42,252	139,511	220,019
Statutory Deposits	348,401	348,401	348,401	364,998	353,534
	-	-	-	-	-
Total Assets	51,667,073	53,473,361	41,587,426	56,307,086	40,006,861
Liabilities					
Insurance Contract Liabilities	42,611,406	41,644,329	40,852,662	53,185,432	41,521,103
Investment Contract liabilities	2,919,135	4,089,863	3,396,153	5,143,523	5,651,964
Trade Payables	1,871,887	838,925	1,184,874	877,560	1,027,469
Other payables and accruals	634,912	752,678	803,762	621,143	344,386
Provisions and accruals	-	94,083	132,652	73,305	68,937
Employee benefits liability	48,325	47,346	35,652	49,732	114,363
Borrowing	-	134,611	166,202	452,799	1,460,582
Income tax liabilities	594,723	591,045	615,741	632,980	786,761
Deferred tax liabilities	204,005	204,005	204,005	384,482	377,272
Total Liabilities	48,884,392	49,396,886	47,391,703	61,420,956	51,352,837
Equity					
Issued and paid Shared capital	10,292,500	10,292,500	10,292,500	10,292,500	10,292,500
Share Premium	14,365,133	14,365,133	14,365,133	14,365,133	14,365,133
Contingency Reserve	2,032,514	1,971,330	1,903,181	1,684,639	1,061,976
Retained earning	(39,825,536)	(37,186,797)	(34,276,925)	(36,431,262)	(37,346,004)
Translation Reserve	(570,748)	(856,957)	(856,957)	(282,862)	(686,898)
Non-Controlling Interest	359,948	359,395	143,550	39,929	1,407
Fair value reserve	16,131,871	16,131,871	2,625,241	5,218,054	965,911
Total Equity	2,782,681	5,076,474	(5,804,277)	(5,113,869)	(11,345,975)
TOTAL EQUITY & LIABILITIES	51,667,073	53,473,361	41,587,426	56,307,087	40,006,862
INCOME STATEMENT					
Insurance Revenue	7,089,169	8,118,388	7,166,770	7,121,766	8,744,391
Net Income/(expenses) from reinsurance	(145,471)	19,675	7,030,064	7,008,642	8,487,440
Profit/(Loss) before tax	(3,301,023)	(4,696,401)	2,185,421	1,615,155	(7,019,288)
Taxation	(3,678)	(5,304)	231,424	(46,219)	(18,737)
Profit/(Loss) after taxation	(2,491,145)	(2,901,108)	2,416,845	1,568,936	(7,038,025)
Other Comprehensive Income	-	13,781,860	(3,107,253)	4,663,170	96,398
Total Comprehensive Income/Loss	2,491,145	10,880,752	(690,408)	6,232,107	(6,941,627)

African Alliance Insurance Plc
Consolidated and Separate Financial Statements
For the Year ended 31 December 2023

AFRICAN ALLIANCE INSURANCE PLC
FIVE YEAR FINANCIAL SUMMARY
FOR THE PERIOD ENDED 31 DECEMBER
COMPANY
STATEMENT OF FINANCIAL
POSITION

	2023	2022	2021	2020	2019
	N'000	N'000	N'000	N'000	N'000
Cash and Cash Equivalent	739,360	1,060,089	1,308,630	17,659,067	1,859,154
Financial Assets	33,237,789	36,317,514	26,733,181	24,078,157	22,435,898
Reinsurance Contract Assets	104,553	100,957	113,116	486,196	311,054
Other Receivables and Prepayments	653,727	691,955	2,710,191	1,152,966	1,062,137
Investment Properties	12,734,000	11,080,750	8,030,000	8,969,500	8,811,600
Investment in Subsidiary	105,000	105,000	542,728	542,728	542,728
Investment in Associate	-	-	-	-	1,545,042
Retirement benefit asset	-	-	-	-	-
Deferred tax assets	146,476	146,476	146,476	146,476	146,476
Intangible Assets	32,785	33,360	29,428	25,720	21,775
Property Plant and Equipment	684,688	763,378	847,735	621,668	551,033
Right of use Asset	123,952	23,490	42,252	139,511	220,019
Statutory Deposits	200,000	200,000	200,000	200,000	200,000
Total Assets	48,762,330	50,522,969	40,703,737	54,021,989	37,706,916
Liabilities					
Insurance Contract Liabilities	40,849,131	39,882,054	39,090,388	51,198,654	39,673,313
Investment Contract Liabilities	2,919,135	4,089,863	3,396,154	5,143,524	5,651,966
Trade Payables	1,649,987	600,675	946,624	639,310	739,568
Other payables and Accruals	611,550	685,797	736,881	518,338	300,344
Provisions and Accruals	-	23,131	61,700	22,500	33,500
Employee benefits liability	48,325	47,346	35,652	49,732	114,363
Borrowing	-	22,444	54,034	252,759	940,159
Income tax liabilities	561,865	558,187	582,882	600,123	753,905
Deferred tax liabilities	92,107	92,107	92,107	92,107	92,107
Total Liabilities	46,732,100	46,001,605	44,996,422	58,517,047	48,299,225
Equity					
Issued and paid Shared capital	10,292,500	10,292,500	10,292,500	10,292,500	10,292,500
Share Premium	14,365,133	14,365,133	14,365,133	14,365,133	14,365,133
Contingency Reserve	1,983,877	1,922,695	1,854,544	1,570,986	964,214
Retained earning	(40,009,675)	(37,457,344)	(32,421,384)	(34,938,147)	(36,299,093)
Fair value reserve	15,398,382	15,398,382	1,616,522	4,214,472	84,939
Total Equity	2,030,218	4,521,365	(4,292,685)	(4,495,056)	(10,592,307)
Total Liabilities & Equity	48,762,318	50,522,970	40,703,737	54,021,991	37,706,918

STATEMENT OF COMPREHENSIVE
INCOME

	2023	2022	2021	2020	2,019
	N'000	N'000	N'000	N'000	N'000
Insurance revenue	7,089,169	8,118,388	6,158,340	5,963,632	,286,907
Net Income/(expenses) from reinsurance	(145,471)	19,675	6,022,576	5,850,508	7,029,956
Profit/loss before tax	(3,304,803)	(4,685,150)	2,835,487	2,013,936	(7,266,832)
Taxation	(3,678)	(5,304)	(35,265)	(46,218)	(18,712)
Profit after taxation	(3,301,125)	(4,679,846)	2,800,322	1,967,718	(7,285,544)
Other comprehensive income	-	-	(2,597,950)	4,129,533	(46,731)
Total Comprehensives income	-	-	202,372	6,097,251	(7,332,275)